The Institute of Chartered Accountants of Bangladesh (ICAB)

Financial Accounting and Reporting

Volume II



Workbook
For CA Professional Level Exams

CA BANGLADESH

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF BANGLADESH

www.icab.org.bd

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The Institute of Chartered Accountants of Bangladesh

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Questions within the Workbook should be treated as preparation questions, providing you with a firm foundation before you attempt the exam-standard questions.

**** Italic denotes changes***

Chapter 11

Analysis and interpretation of financial and non-financial information

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 *Introduction to analysis and interpretation*

2 *Accounting ratios*

3 *Non-financial performance measures*

Summary

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Introduction

Learning outcomes

- *Analyse and interpret financial and non-financial information to identify significant features, inconsistencies, limitations and draw conclusions*

Syllabus links

In this chapter, we consider the analysis and interpretation of financial and non-financial information for single entities, covering certain specified ratios and topics from an internal perspective. Ratios are also considered in other Professional Level modules, then at the Advanced Stage, you will build on this knowledge by introducing the investor perspective and auditor perspective to analysis and interpretation.

Examination context

In the examination, students may be required to:

- *Calculate specified ratios and discuss reasons for movement*
- *Explain the effect of accounting treatments on specified ratios or performance indicators*
- *Explain the effect of accounting policy choices, accounting treatments or business choices on specified ratios or performance indicators*

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Introduction to analysis and interpretation** In Financial Accounting and Reporting, we consider analysis and interpretation of financial and non-financial information from the perspective of the company. This is to identify trends in data, inconsistencies and errors.	**Approach** Read quickly through this short introductory section.		

Topic	Practical significance	Study approach	Exam approach	Interactive questions
2	***Accounting ratios*** *Accounting ratios are a common way to begin analysing and interpreting financial information. This section covers the ratios that are examinable in Financial Accounting and Reporting.*	***Approach*** *Make sure you understand the purpose of and can calculate the following ratios:* • *Performance: gross profit margin, operating profit margin* • *Gearing* • *Efficiency: asset turnover, non-current asset turnover, inventory turnover, inventory days, trade receivables collection period, trade payables payment period* • *Return on capital employed*	*An exam question may ask you to calculate a specified ratio and explain why it has moved compared to prior year, to budget or to another comparator.* *Or you could be asked to discuss the effect of a particular accounting treatment on a certain ratios.*	***IQ1: Operating profit margin*** ***IQ2: Inventory days*** ***IQ3: Trade receivables collection period*** ***IQ4: Calculating accounting ratios*** ***IQ5: Revaluation*** *These interactive questions explore the calculation and interpretation of the ratios in this section.*
3	***Non-financial performance measures*** *Companies use non-financial reporting measures to monitor key aspects of their operations and strategy. These measures help to provide a fuller picture of the entity and the value it creates.*	*Work through the section, paying attention to the different ratios covered.* ***Stop and think*** *Can you think of reasons why the measures presented might change year on year? Can you think of other non-financial performance measures ratios you have seen reported in annual reports of companies you know?*	*You could be asked to provide reasons why a non-financial performance measure has changed. Make sure you refer back to the given scenario.*	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 *Introduction to analysis and interpretation*

Section overview

In Financial Accounting and Reporting, we consider analysis and interpretation from an internal perspective to identify inconsistencies and errors and to analyse trends.

The financial statements and annual report contain a lot of financial and non-financial information about a company. Users of this information need to analyse and interpret it in order to understand it fully.

As we saw in Chapter 1, there are many different users of financial statements and their information needs are different. The analysis and interpretation each group performs will also therefore be different.

*We also saw in Chapter 1 that most large companies publish an **annual report and financial statements** together as one document. The annual report includes narrative reporting (eg, a strategic report) that 'tells the story' of the company. It is important that the information in the strategic report agrees to the information in the financial statements: the narrative and the figures must tell the same story.*

*In Financial Accounting and Reporting we will consider the analysis and interpretation of financial and non-financial information from an **internal perspective**, with the aim of **identifying inconsistencies and errors** and **analysing trends**. Analysis and interpretation of financial information is also considered in other Professional Level modules, then you will build on this at the Advanced Stage, in Corporate Reporting, when you will also consider the investor viewpoint and look at ratios from the perspective of the auditor.*

*A common way to begin analysing financial information is to calculate and interpret **accounting ratios.***

2 Accounting ratios

Section overview

- *Ratios are commonly classified into different groups according to the focus of the investigation.*
- *Ratios can help in assessing performance, short-term liquidity, long-term solvency, efficiency and investor returns.*
- *In Financial Accounting and Reporting, we look at these ratios and how to interpret them:*
  - *Performance: gross profit margin, operating profit margin*
  - *Gearing*
  - *Efficiency: asset turnover, non-current asset turnover, inventory turnover, inventory days, trade receivables collection period, trade payables payment period*
  - *Return on capital employed*

2.1 *Introduction to ratios*

Accounting ratios summarise accounting data to make it easier to understand and interpret a company's financial position and performance. Accounting ratios help with assessing the performance of a business by identifying significant relationships between different figures.

*Accounting ratios need **a comparison** in order to be useful. They can be compared to:*

- *Previous years*
- *Other companies*
- *Industry averages*
- *Budgeted or forecast vs actual*

*Calculating accounting ratios help to focus attention on important areas, however the ratio and why it has changed or is different to the comparative then needs to be **interpreted** so that **trends**, **inconsistencies** and **errors** can be identified.*

Accounting ratios are generally grouped into the following main areas:

- *Performance*
- *Short-term liquidity*
- *Long-term solvency, including gearing*
- *Efficiency (asset and working capital)*
- *Investor (or stock market) ratios*

Notes

1. *There are many accounting ratios and different ways to define those ratios. Only the accounting ratios and the definitions specified in this chapter are examinable in Financial Accounting and Reporting. Short-term liquidity, investor ratios and long-term solvency ratios except for gearing are beyond the scope of the Financial Accounting and Reporting syllabus and will be covered in other modules.*
2. *The Financial Accounting and Reporting syllabus only requires analysis and interpretation of **single entity** information. Analysis of groups will be covered in the Advanced Stage.*
3. *In the Financial Accounting and Reporting exam, analysis and interpretation of financial and non- financial information may be tested in any of questions 1, 2 or 3. It will not be tested as a whole question on analysis and interpretation, but rather as a part of a question.*



Professional skills focus: Concluding, recommending and communicating

In the exam, you can demonstrate the skill of concluding, recommending and communicating by interpretating and explaining any movements on ratios. Make sure your answer considers the scenario and presents plausible reasons for movements and changes in the ratios you are asked to calculate.

2.2 *Performance ratios*

Performance ratios help a user to assess the company's ability to generate profit.

2.2.1 Gross profit margin

$$\text{Gross profit margin} = \frac{\text{Gross profit}}{\text{Revenue}} \times 100\%$$

Gross profit margin measures the percentage of revenue remaining after deducting the direct costs of earning that revenue (cost of sales). It does not take in to account overhead costs, finance costs or tax.

*If a company's gross profit margin **has increased compared to the prior year**, the company's gross profit margin is said to have **improved:** the company is generating more revenue from its sales after deducting the cost of goods or services sold.*

Possible reasons for changes in the year-on-year gross profit margin or differences compared to other companies are:

- *Changes to revenue, caused by, for example:*
  - *Change in sales price without a corresponding change in the cost of goods/services sold*
  - *Change in sales mix between high-margin and low-margin products*
  - *Launches of new products with a different margin to the existing products*
  - *Effects of currency translation on revenue*
- *Changes to cost of sales, caused by, for example:*
  - *Change in purchase costs for raw materials without a corresponding change in sales price*
  - *Changes in production costs such as costs of labour or quantity of labour required per item sold or improvements in operational efficiency for example by investing in automation*
  - *Obsolescence of inventory (as this is written off through cost of sales)*
  - *A change in accounting policy, for example changing the measurement of inventories from first-in, first-out to average cost*
  - *Foreign currency changes*
  - *Economies of scale: as a company gets bigger, it may benefit from economies of scale in that it can purchase in bulk, which will reduce cost of sales.*

A change in sales volume on its own would not affect the gross profit margin as the same change would be seen in cost of sales. However, if an increase in sales volume were caused by offering discounts to customers, for example, then the gross profit would decrease leading to a decrease in the gross profit margin.

2.2.2 Operating profit margin

$$\text{Operating profit margin} = \frac{\text{Operating profit}}{\text{Revenue}} \times 100\%$$

Operating profit margin measures the percentage of revenue remaining after deducting cost of sales, administrative costs, distribution costs and other operating costs. It does not take finance costs or tax into account. If there has been no change in the gross profit margin, a change in the operating profit margin shows how well a company is controlling overheads that aren't direct costs of earning that revenue, eg its administrative and distribution expenses.

*If a company's operating profit margin **has increased compared to the prior year**, the company's operating profit margin is said to have **improved**: the company is generating more revenue from its sales after deducting the cost of goods/services sold and overheads.*

Possible reasons for changes in the year-on-year operating profit margin or differences compared to other companies are generally the same as for gross profit margin, but with additional considerations relating to operating costs:

- *Incurring significant non-recurring expenses, such as a large impairment loss which has been charged to operating costs*
- *Incurring relocation expenses or research expenses (as they are written off to profit or loss)*
- *Economies of scale: as a company gets bigger, it may benefit from economies of scale so more revenue can be generated for the same fixed operating costs, which will improve operating profit margin*
- *Proportion of fixed versus variable costs: a company with higher fixed costs relative to variable costs will experience more significant changes in operating profit margin if revenue changes.*
- *Improving operational efficiency*

If a company's gross profit margin increases, it is likely that there would also be an increase in the operating profit margin. Therefore, if a company's gross profit margin increased but its operating profit margin decreased this would need to be investigated.



Professional skills focus: Assimilating and using information

To interpret the gross profit margin and operating profit margin, you need to consider what amounts make up the numerator and denominator of the ratio. Think back to the items included within each of gross profit and operating profit in the proforma statement of profit or loss.

For example, the operating profit margin considers operating profit, which is profit before finance costs and tax have been deducted. So in your explanation of why operating profit margin has changed, discussing increases in finance costs or tax charges will not be relevant, but discussing items that have had a big effect on administrative expenses will be highly relevant.



Interactive question 1: Operating profit margin

Farfalle Ltd has an operating profit margin of 23% in the current year and 20% in the prior year. The following have been suggested as reasons for this improvement:

(1) *Farfalle Ltd reclassified some expenses from distribution costs to cost of sales in the current year*

(2) *Farfalle Ltd moved its manufacturing centre to a different location where the rent and employment costs were less than in the prior year*

(3) *Farfalle Ltd recorded a significant revaluation in the carrying amount of one of its properties during the current year*

(4) *Farfalle Ltd paid off one of its bank loans at the start of the current year resulting in significant savings in finance costs compared to last year.*

Requirement

Explain which, if any, of the suggested reasons for the improvement in operating profit margin could be correct.

*See **Answer** at the end of this chapter.*

2.3 *Gearing ratio*

The gearing ratio measures the proportion of a company's total capital structure that is financed by debt.

$$\text{Gearing} = \frac{\text{Debt}}{\text{Equity}} \times 100\%$$

or

$$\text{Gearing} = \frac{\text{Debt}}{\text{Equity + debt}} \times 100\%$$

Notes

1. *'Debt' is non-current liabilities that are interest-bearing, such as bank loans, redeemable preference shares and lease liabilities.*
2. *Equity includes share capital, share premium, revaluation surplus and other reserves.*
3. *If you are required to calculate gearing as part of an exam question, you should assume it is calculated as* ***debt/ equity****, unless you are specifically told otherwise.*

The gearing ratio assesses the extent to which a company relies on debt financing to support its operations and investments. It is a ***measure of risk****. A* ***higher amount of debt generally indicates a higher risk****: if profits fall, interest on borrowings and capital repayments of debt* ***must*** *still be paid, with potentially serious repercussions if they are not. (However, since interest on debt is often tax deductible (unlike dividends) there are tax benefits to debt financing.)*

If a company requires a new loan, the lender will often review the gearing ratio of the company. Since a company with ***high gearing has a higher risk of default****, a lender will charge a* ***higher rate of interest*** *to compensate them for this risk.*

Changes in the gearing ratio arise because of changes to either debt or equity or both. For example:

- *Issue or buyback of shares: issuing shares increases equity and so gearing will reduce, however, if a company issues redeemable preference shares, they are accounted for as a liability, so gearing will increase. Share buy-backs will reduce equity and therefore increase gearing.*
- *Debt management: taking on more debt (such as a loan) will increase the gearing ratio, paying off debt will reduce it.*
- *Revaluation of non-current assets: upward revaluation of non-current assets will increase the revaluation surplus and equity, and therefore decrease gearing.*
- *Entering into a lease contract: a lease contract will result in the recognition of a right-of-use asset and lease liability, the lease liability will increase debt and therefore gearing.*

2.4 *Efficiency ratios*

Efficiency ratios are used to assess ***how effectively a company uses its assets and liabilities*** *to generate sales and maximise profits.*

2.4.1 Asset turnover

Asset turnover measures how efficiently the company is using its resources to generate revenue.

$$\text{Asset turnover} = \frac{\text{Revenue}}{\text{Capital employed}}$$

Where:

Capital employed = equity + non-current liabilities = total assets – current liabilities

***Capital employed** refers to the amount of money a company has invested in its operations and is using to generate profits. It is calculated as equity + non-current liabilities which is equal to total assets less current liabilities. Capital employed is **affected by the accounting choices** of the company. For example, a **revaluation** of property, plant and equipment will cause capital employed to increase.*

***Note:** Capital employed should include **interest-bearing** non-current liabilities only, for example, bank loans, redeemable preference shares and lease liabilities.*

Asset turnover can be further subdivided by separating out the non-current asset element to give non-current asset turnover:

$$\text{Non - current asset turnover} = \frac{\text{Revenue}}{\text{Non - current assets}}$$

Non-current asset turnover indicates how much revenue a company is making per CU1 of non-current assets.

Asset turnover (and non-current asset turnover) enables comparisons to be made between businesses in terms of the extent to which they work their assets in the generation of revenue. A higher asset turnover indicates that the company is using its assets more efficiently. A lower asset turnover may mean that the business is not using its assets efficiently to generate sales.

When you are analysing and interpreting asset turnover, you must do so in the context of the company and the industry it operates in. For example, companies operating in service industries will have smaller asset bases than companies operating in the mining sector, so comparing the net asset turnover of a retail company to that of a mining company is unlikely to be useful.

2.4.2 Inventory turnover

*The inventory turnover ratio measures the **efficiency of managing inventory levels relative to demand**. A company needs inventories to meet the needs of customers, but inventories do not generate revenues until they are physically sold and tie up capital during this period. A balance has to be found between keeping too much and too little inventory.*

There is no target figure for all businesses, the levels of inventory kept will depend on the type of business. For example, a retailer selling fresh fruit and vegetables will turn inventory over much more quickly than a jewellery retailer.

$$\text{Inventory turnover} = \frac{\text{Cost of sales}}{\text{Inventories}}$$

(= number of times inventories are turned over each year – usually the higher the better)
or

$$\text{Inventory days} = \frac{\text{Inventories}}{\text{Cost of sales}} \times 365$$

(= number of days on average that an item is in inventories before it is sold – usually the lower the better)

Ideally the three components of inventories should be considered separately:

- *Raw material to volume of purchases*
- *WIP to cost of production*
- *Finished goods to cost of sales*

A higher number of inventory days compared to the prior year or industry average may indicate that inventory is not being managed properly and there are older items which need to be written down or written off, that sales forecasts are not being met, or that there are other marketing-based problems that mean inventories are not being sold as planned. If a business is seasonal, then inventories will vary at different times of the year, and so the inventory days figure may not be useful.

Interactive question 2: Inventory days

LunrTech Ltd has seen an increase in inventory days in the current year compared to the prior year. The operations manager has explained that this is because of the seasonal fluctuations in sales orders (higher in autumn and winter) and the general slowdown in trading experienced by LunrTech Ltd over the last year.

Requirement

Explain how to calculate inventory days, what it measures and whether the operations manager is correct in their explanation of the increase.

*See **Answer** at the end of this chapter.*

2.4.3 Trade receivables collection period

This measures the number of days it takes credit customers to pay the company.

$$\text{Trade receivables collection period} = \frac{\text{Trade receivables}}{\text{Revenue}} \times 365$$

If possible, cash sales should be excluded from revenue since they do not generate receivables.

*The trade receivables collection period should be compared to the **company's credit policy** (is the company doing what its policy says it should be doing in terms of credit - if not, why?) and to **previous periods** (are there improvements or deteriorations in the figure? Why?).*

In general, a shorter trade receivables collection period is better because it means quicker conversion of receivables into cash. A longer collection period may mean that there are inefficiencies in the collection process or delays in receiving payments from customers.

Interactive question 3: Trade receivables collection period

*Give three examples of reasons a trade receivables collection period could change from year to year. See **Answer** at the end of this chapter.*

2.4.4 Trade payables payment period

This measures the number of days it takes the company to pay its credit suppliers.

$$\text{Trade payables payment period} = \frac{\text{Trade payables}}{\text{Credit purchases}} \times 365$$

The trade payables payment period should be broadly similar to the trade receivables collection period, where a business makes most sales and most purchases on credit. If no figures are available for credit purchases, cost of sales can be used.

Trade payables are a valuable source of short-term finance for the business. However, delaying payment for too long a period could cause operational problems if suppliers stop providing goods and services until payment is received.

2.5 *Link between performance and efficiency - ROCE*

Return on capital employed (ROCE) *measures how* ***efficiently*** *a company uses its resources (its capital employed) to generate profits.*

A company will want to ***maximise*** *its ROCE.*

$$\text{ROCE} = \frac{\text{Operating profit}}{\text{Capital employed}} \times 100\%$$

Where:

Capital employed = equity + non-current liabilities = total assets – current liabilities

Notes

1. *Operating profit is used because ROCE measures the return achieved by management from assets that they control, before payments (ie interest) to providers of financing for those assets (lenders and shareholders). (You may see the numerator of ROCE described as profit before interest and tax (PBIT) in other Professional level modules or in the Advanced Stage, but in the financial statement layout used in Financial Accounting and Reporting, PBIT is equivalent to operating profit.)*
2. *Capital employed refers to the amount of money a company has invested in its operations and is using to generate profits. It is calculated as equity + non-current liabilities which is equivalent to total assets less current liabilities.*
3. *Capital employed should include* ***interest-bearing*** *non-current liabilities only, for example, bank loans, redeemable preference shares and lease liabilities.*

ROCE is a useful ratio in analysing performance and efficiency together as ROCE is the product of operating profit margin and asset turnover:

ROCE = operating profit margin × asset turnover

$$\text{ROCE} = \frac{\text{Operating profit}}{\text{Capital employed}} \quad \frac{\text{Operating profit}}{\text{Revenue}} \quad \frac{\text{Revenue}}{\text{Capital employed}}$$

Breaking down ROCE into operating profit margin and asset turnover may help you to understand and give reasons for why ROCE has changed compared to prior years or other companies.

Examples of why ROCE may differ between companies or when compared to prior years are given below:

- *Revaluation of non-current assets. An upwards revaluation of non-current assets will increase depreciation (reducing operating profit) and increase capital employed, so ROCE will fall.*
- *Entering into a lease contract for a non-current asset. A lease contract will increase liabilities and increase capital employed, and therefore reduce ROCE. If a company purchased an asset outright with cash, there would be no impact on capital employed.*
- *Timing of asset purchases. If a company purchases a large non-current asset (eg a property) just before the year end, its capital employed will increase, but there will not have been time for that property to generate profits, so ROCE will likely decrease.*
- *Industry type. Companies with higher asset bases, such as manufacturing companies, will typically have higher capital employed and therefore lower ROCE than, say, tech companies or services companies.*

- *Age of non-current assets. If one company has old asset with a low carrying amount they will have a higher ROCE than a company who has newer assets with a higher carrying amount.*



Interactive question 4: Calculating accounting ratios

The summarised financial statements of Indom Ltd are presented below.

Indom Ltd

Summarised statement of financial position at 31 December 20X1

	CU	CU
Non-current assets		2,600
Current assets		
Inventories	600	
Trade receivables	900	
Investments	40	
Cash and cash equivalents	60	
		1,600
		4,200
Equity		
Ordinary share capital (CU1)		1,150
Retained earnings		650
Equity		1,800
Non-current liabilities		
Borrowings	1,400	
Redeemable preference shares	200	
		1,600
Current liabilities		
Trade payables	750	
Bank overdraft	50	
		800
		4,200

Summarised statement of profit or loss and other comprehensive income for the year ended 31 December 20X1

	CU	CU
Revenue		6,000
Cost of sales		(4,000)
Gross profit		2,000
Operating expenses		(1,660)
Operating profit		340
Finance costs		(95)
Profit before tax		245
Tax		(50)
Profit for the year		195

Requirement

Calculate the following ratios for Indom Ltd:

- *Return on capital employed*
- *Gross profit margin*
- *Operating profit margin*
- *Asset turnover*
- *Non-current asset turnover*
- *Inventory turnover and inventory days*
- *Trade payables payment period*
- *Trade receivables collection period*
- *Gearing (calculated as debt / equity)*

*See **Answer** at the end of this chapter.*

2.6 Considerations when interpreting accounting ratios

It is not enough to just calculate an accounting ratio. The ratio must be **compared** to prior year, to budgets, or to another comparator, such as a competitor or industry averages, and then the results must be **interpreted** so we can understand and explain why a change has happened.

Issues to consider in interpreting accounting ratios:

(a) **Accounting treatments and judgements**. Choice of accounting policies and judgements made by management will affect accounting ratios. For example, adopting a revaluation policy and revaluing non-current assets will affect equity and therefore affect ratios such as ROCE and gearing. Accounting judgements, such as determining the useful lives of assets, the amortisation periods for intangible assets and the measurement of provisions will also impact key figures in the financial statements and therefore affect accounting ratios.

(b) **Errors and deliberate incorrect accounting**. A sudden or significant change in a ratio may indicate an error in the underlying data or inconsistency in the way transactions have been accounted for. **Ethical issues** may also arise: management may be under pressure to improve performance or financial position or to not breach loan covenants (a loan covenant is a requirement specified in a loan agreement which a borrower must comply with, for example, a loan covenant may specify that the gearing ratio must not exceed a certain amount). This pressure may lead to deliberate incorrect accounting or 'creative accounting'. For example, if the gearing ratio must remain at a certain level in order to obtain loan finance, there might be pressure to incorrectly account for a lease by not recognising the right-of-use asset and lease liability and simply recording the lease payments as an expense.

(c) **Economic issues**: the overall state of the economy will affect how well the business performs. Changes in interest rates and foreign exchange rates may affect consumer demand and increase costs for the business.

(d) **Business issues**. Business factors which influence accounting ratios include:

  (1) **Type of business** - eg a services provider may have very little property, plant and equipment (and so higher ROCE) while a manufacturer may have lots of property (lower ROCE).

  (2) **Management actions** - eg price discounting to increase market share will reduce margins but increase revenue; withdrawing from unprofitable market sectors is likely to reduce revenue but increase profit margins; conducting efficiency projects will likely reduce costs and improve margins.

Interactive question 5: Revaluation

Frost First Ltd revalued its property during the year, resulting in a large revaluation surplus.

Requirement

Explain the effect of the revaluation on Frost First Ltd's return on capital employed, operating profit margin and non-current asset turnover ratios.

*See **Answer** at the end of this chapter.*

3 *Non-financial performance measures*

Section overview

Non-financial performance measures can help provide a better understanding of the company's performance and the value it creates.

*Financial metrics alone cannot give a full picture of the entity's performance and the value it creates. Companies therefore use **non-financial performance measures** to monitor key aspects of their operations and strategy. Non-financial performance measures are also often disclosed in annual reports, sustainability reports, and other communications to provide stakeholders with a more comprehensive understanding of the company's performance, progress towards its strategic objectives and alignment with the values it has set for itself.*

Non-financial measures can offer valuable insights for management into areas such as customer satisfaction, employee engagement, operational efficiency, innovation, and sustainability matters. The non-financial performance measures a company chooses to use will be specific to its circumstances, the industry it operates in and its strategic goals.

3.1 *Examples of non-financial performance measures*

Examples of non-financial performance measures are given below.

Customer-related measures

- ***Net Promoter Score (NPS)***

  *NPS measures **customer loyalty and customer satisfaction**. It is based on a short survey undertaken by customers which is then fed into a formula to generate a score. This score can then be benchmarked against other businesses. To be most useful, NPS should be compared with companies in the same industry.*

- ***Customer churn rate***

  *The customer churn rate (also just called 'churn') measures the rate at which customers stop transacting with a company, so the **rate at which the business is losing customers**. This is particularly important in subscription-based businesses, such as Netflix for example, where revenue is based on monthly subscribers. Companies strive for low churn rates as it is much cheaper to retain the customers you have, than to continually win new customers.*

Employee-related measures

Employee-related measures can measure engagement, motivation and satisfaction of employees, and diversity and inclusion of the company and include measures such as:

- ***Employee net promotor score (eNPS)*** *- similar to the customer NPS but measures employee satisfaction. If employees are satisfied, they are more likely to work to the best of their ability.*
- ***Employee retention rate*** *- measures how many employees stay with a company over a certain period of time compared to all employees in that period. Recruiting and training new employees is expensive, so retaining employees, with all the knowledge they have gained, is preferable.*
- ***Gender pay gap*** *- measures the difference between the median average hourly earnings of men and women in a business.*

Sustainability measures

How a company's operations impact on people and the planet and how sustainability-related issues create risks and opportunities for the company is increasingly important information both for management of the company and for the company's stakeholders.

As well as disclosing narrative information about impacts, risks and opportunities, companies may also use sustainability-related performance measures and metrics to monitor progress towards their sustainability-related goals. Examples of these measures include the following.

Social measures: *these include measures relating to people within the business (employees) and those outside of it, including in the supply chain and wider communities*

- ***Community contribution:*** *a measure of the contribution the company makes to the community, often quoted as the monetary value of volunteer and pro bono time given by employees, plus cash contributions.*
- ***Social Return on Investment (SROI)****: calculates the social value generated by a specific project or initiative.*
- ***Occupational health and safety measures****, including rates of workplaces injuries, ill health and fatalities.*
- ***Measures of labour conditions in the supply chain****: for example, percentage of supplier facilities that have been audited to a supplier code of conduct.*
- ***Diversity and inclusion measures****, including gender pay gap, diversity of governing bodies and employees based on gender, age group, minority group etc.*

Environmental measures:

- ***Greenhouse gas (GHG) emissions****: many companies use the GHG Protocol standard and disclose Scope 1, 2 and 3 GHG emissions. Disclosure of GHG emissions in accordance with the GHG protocol is required by the TCFD recommendations and by IFRS S2, Climate-related Disclosures (see Chapter 2).*
- ***Progress towards net z ero targets****: tracks a company's progress to reach net zero emissions, management can use this measure to assess whether they are on target to meet their set net zero targets, and if not, identify ways they can improve.*
- ***Habitat restoration metrics****: tracks efforts to restore and protect natural habitats.*
- ***Water usage and management****, including water consumption, water discharge and water withdrawal.*
- ***Energy use intensity****: calculates energy consumption per square metre or per unit of production.*
- ***Recycled content****: measures the percentage of recycled materials used in products and packaging.*

Context example: Reporting standards

*The IFRS Sustainability Disclosure Standards, the SASB Standards (which are referenced by the IFRS Sustainability Disclosure Standards) and the **Global Reporting Initiative (GRI) Standards** help companies to report on their impacts and sustainability-related risks and opportunities. The standards include suggested metrics related to a topic or industry to help companies identify and report on their most significant issues. Companies may also want to report on how their sustainability targets align with the UN Sustainable Development Goals.*

Other metrics

Examples of other non-financial measures are given below.

Area	Example performance measures
Operational measures	• On-time delivery rate • Defect rate • Website: bounce rate (percentage of website visitors who leave the website after viewing only one page) • Website: page views (how many times a specific webpage is viewed)
Innovation measures	• Number of new products launched • R&D expenditure as a percentage of revenue • Patent applications filed
Cyber-security measures	• Number of data breaches • Average time to detect/respond to threats • Percentage of employees who have completed security training

The types of non-financial performance measures used by companies will depend on the industry the company operates in and its strategic goals. Consider the following examples of a car manufacturer, BMW, and a software-as-a-service provider, Xero Ltd.

Context example: BMW Group

The BMW Group is a leading global car manufacturer, with global revenues of EUR 155,498 million in the 2023 financial year. In its annual report, BMW Group includes the following non-financial performance measures:

- *Number of employees*
- *Percentage share of women in management positions in BMW Group*
- *Number of deliveries (of cars)*
- *Share of all-electric cars as a percentage of all deliveries of cars*
- *CO2 emissions of the new vehicle fleet (in grams per kilometre)*
- *CO2 emissions per vehicle produced*
- *Spending on employee training and development*
- *Energy consumption per vehicle produced*
- *Number of new financial service contracts with retail customers (for car finance)*

(BMW, 2024)

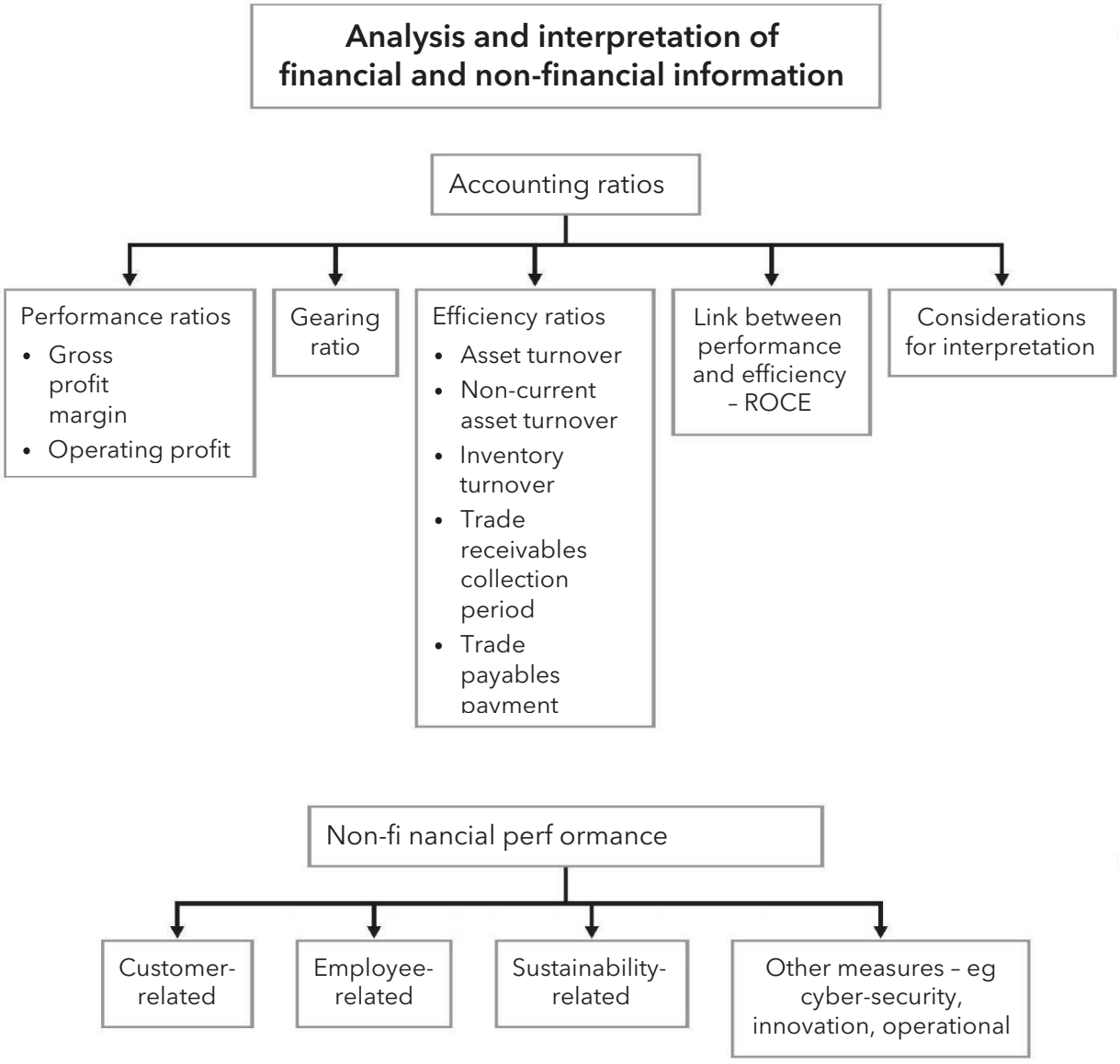
Context example: Xero Ltd

Xero Ltd is a provider of cloud accounting software on a monthly subscription basis. In the financial year ended March 2022, it had total operating revenue of NZ$1,097 million (approx. CU500m) and 3.3 million global subscribers. Xero Ltd included the following non-financial performance measures in its annual report:

Area	Example measures
People and	• Average employee Net Promotor • Score Percentage of female employees • Gender pay equality gap
Customers, partners and ecosystem	• Subscriber numbers • Churn • Number of apps in ecosystem
Platform, technology and data	• Investment in product design including R&D • Number of notifiable privacy incidents • Employee completion of security training
Social and environmental	• Global community contributions • Commitment of suppliers to code of conduct • Total carbon emissions (scope 1, 2 and 3) Carbon neutral certification through purchase of carbon offsets

(Xero, 2023)

Summary


Analysis and interpretation of financial and non-financial information
Accounting ratios
Performance ratios
• Gross profit margin
• Operating profit
Gearing ratio
Efficiency ratios
• Asset turnover
• Non-current asset turnover
• Inventory turnover
• Trade receivables collection period
• Trade payables payment
Link between performance and efficiency – ROCE
Considerations for interpretation
Non-financial performance
Customer-related
Employee-related
Sustainability-related
Other measures – eg cyber-security, innovation, operational

Further question practice

1 Knowledge Diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	For what reason do we analyse financial and non-financial information? (Topic 1)
2.	What do we need to do with accounting ratios to make them useful? (Topic 2)
3.	How do you calculate gross profit margin and operating profit margin? For what reasons could gross profit margin have increased compared to the previous year? (Topic 2)
4.	How do you calculate return on capital employed (ROCE)? What other two ratios can be multiplied together to calculate ROCE? (Topic 2)
5.	Why do companies disclose non-financial performance measure? (Topic 3). Can you give examples of some non-financial performance measures relating to customers and employees? (Topic 3).

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Nardos Ltd	Nardos Ltd is a longer question on analysis and interpretation than you would expect to see in your exam, however it covers all areas of the content from this chapter and therefore is a good test of the knowledge you have learned.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam-style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Avebury plc	Avebury plc is a question asking for explanations of accounting treatment including an issue of convertible redeemable preference shares. There is a further requirement asking you to discuss how this issue to fund a new property will affect ROCE.
Bisaro Ltd	Bisaro Ltd is a single entity financial statements question with a further requirement to calculate and discuss the trade receivable days given that customers are offered 30 days credit.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

Technical reference

1 References

BMW Group (2023) *BMW Group Report 2023* [Online]. Available from: https://www.bmwgroup.com/content/dam/grpw/websites/bmwgroup_com/ir/downloads/en/2024/ bericht/BMW-Group-Report-2023-en.pdf [Accessed 08/05/24].

Xero Ltd (2023) *Annual Report 2022* [Online]. Available from: https://blog.xero.com/tag/xero-financial-results/ [Accessed 08/05/24].

Self-test questions

Answer the following questions.

1 Bangor Ltd

Bangor Ltd issued 100,000 5% CU1 redeemable preference shares during the year. The shares are redeemable in ten year's time.

Requirement

Explain the effect of the issue of the redeemable preference shares on Bangor Ltd's return on capital employed (ROCE), gearing and operating profit margin.

2 Brandol Ltd

The following extracts are from the statement of profit or loss of Brandol Ltd, a leading manufacturer of electronic components.

Statement of profit or loss (extract)

	CU
Revenue	*58,000,000*
Cost of sales	*(32,000,000)*
Gross profit	*26,000,000*
Distribution costs	*(8,000,000)*
Administration expenses	*(4,000,000)*
Operating profit	*14,000,000*

The following information is relevant:

(1) *Due to a reduction in demand for one of its older components, the RX processor, Brandol Ltd offered a discount on the component to its largest customers during the year. Despite seeing a small improvement in the number of sales of the product during the year, Brandol Ltd has conducted an impairment review on the specialised robotic machinery used to produce the RX processor and determined that it had suffered an impairment loss of CU900,000. All costs relating to manufacturing machinery is charged against cost of sales. No impairment losses were recorded in the prior year.*

(2) *In the prior year, Brandol Ltd began a research and development project and incurred CU1,500,000 in research costs, far more than in previous years. At the start of the year, Brandol Ltd determined that the project had met the criteria in IAS 38 to be capitalised as development costs and therefore all further costs incurred would be capitalised. Brandol Ltd incurred a further CU1,600,000 in development costs relating to this project in the current year. The development is expected to continue into the next year.*

(3) *Last year, Brandol Ltd had a gross profit margin of 58% and an operating profit margin of 34%.*

Requirement

Calculate Brandol Ltd's gross profit margin and operating profit margin for the current year and explain why these amounts have changed compared to the prior year, as far as the information permits.

3 *Nardos Ltd*

Nardos Ltd is a supplier of cloud-based software solutions for businesses. Nardos Ltd operates on a subscription-based model, where customers pay a recurring fee to access the company's products. During the year, Nardos Ltd released a major software update which suffered several bugs and performance issues and caused customer dissatisfaction. The update issues led to unexpected increases in IT support ticket volume and Nardos Ltd's customer support team struggled to maintain prompt response times leading to further frustration among customers.

Extracts from Nardos Ltd financial statements for the year ended 30 April 20X3 are shown below.

Statement of profit or loss and other comprehensive income (extracts)

	CU
Revenue	24,000,000
Gross profit	17,024,000
Operating profit	4,700,000
Profit for the	2,900,000

Statement of financial position (extract)

	CU
Assets	
Current assets	
Cash and cash equivalents	1,700,000
Equity and liabilities	
Equity	42,500,000
Non-current liabilities	
Borrowings	12,250,000

Nardos Ltd reports the following non-financial key performance indicators in its annual report:

	Current year	***Prior year***
Average monthly churn (percentage of customers who cancel their subscriptions each month)	***3%***	***1%***
Net promotor score (measure of customer loyalty and satisfaction)	*25 (good compared to companies in same industry)*	*40 (excellent compared to companies in same industry)*

During the year:

- *Nardos Ltd's properties were revalued up by CU700,000 on 1 February 20X3 and this revaluation was incorporated into the company's financial statements. Depreciation is charged at a rate of 4% pa.*
- *Nardos Ltd's latest software product, which had been developed by a third party supplier at a cost to Nardos Ltd of CU600,000 and capitalised as an intangible asset, became available for use during the final week the year. The cost of purchase was borrowed from a bank and is included in the figures for non-current borrowings.*

Requirements

3.1 *Calculate the following ratios for Nardos Ltd:*

- *Return on capital employed (ROCE)*
- *Gearing, calculated as the ratio of debt to equity*

3.2 *Explain how the events described in the scenario may have affected Nardos Ltd's ROCE in comparison to the prior year.*

3.3 *After the year end, Nardos Ltd entered into a contract for the right to use a data centre for a four year period. The contract is a lease in accordance with IFRS 16 Leases. Lease payments of CU150,000 pa are payable in arrears for each year of the contract. The managing director of Nardos Ltd, who is not an accountant, believes the lease will have no effect on the gearing ratio of Nardos Ltd as lease rentals will be charged to profit or loss as they are paid.*

Requirement

Explain whether the managing director is correct in their assumption that the lease will have no effect on the gearing ratio of Nardos Ltd.

3.4 *The trainee accountant at Nardos Ltd wants to understand more about the non-financial performance indicators reported by Nardos Ltd.*

Requirement

Using the information in the scenario, explain to the trainee accountant why the reported non-financial performance indicators are useful to Nardos Ltd and reasons for why the figures have changed since the prior year.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

The only possible correct reason is 2. Farfalle Ltd moved its manufacturing centre to a different location where the rent and employment costs were less than in the prior year. This is because rent and employment costs are operating costs, so reducing these will improve operating profit and operating profit margin.

Reclassifying costs from distribution costs to cost of sales will make no difference to operating profit, though it would impact on gross profit. Finance costs do not impact operating profit, so would not affect operating profit margin. Revaluing a property will result in a revaluation surplus recorded through other comprehensive income, which will not affect operating profit. The increased depreciation associated with a revaluation will increase operating costs, but this would cause the operating profit margin to fall, not improve.

Answer to Interactive question 2

Inventory days is calculated as inventories/cost of sales × 365 days and represents the average number of days inventories are held before being sold. Generally it is better to have a lower inventory days figure.

The operations manager is correct that a slowdown in trading would probably affect inventory levels because the level of purchases would take a while to adjust to the lower levels of sales, leading to a build-up of inventory. However, although seasonal fluctuations in sales orders would affect inventory days, it would not affect it from year to year, so the operations manager is not correct in this explanation.

Answer to Interactive question 3

(1) *Change in the level of bad debt/collection problems*

(2) *Change in nature of customer base (new customer is big but is a slow payer)*

(3) *Change in settlement terms*

Remember: the year-end receivables may not be representative of the average over the year.

Answer to Interactive question 4

Return on capital employed (ROCE)	
(Operating profit ÷ Capital employed) × 100 = (340 ÷ (1,800 + 1,600) = 10%, or *Where: capital employed = equity + non-current liabilities, or* *capital employed = total assets – current liabilities*	*= (340 ÷ (4,200 – 800)) × 100 = 10%*
Gross profit margin	
(Gross profit ÷ Revenue) × 100	*= (2,000 ÷ 6,000) × 100 = 33.33%*
Operating profit margin	
(Operating profit ÷ Revenue) × 100	*= (340 ÷ 6,000) × 100 = 5.7%*

Asset turnover	
Revenue ÷ Capital employed	*= (6,000 ÷ (1,800 + 1,600)) = 1.8 times*
Non-current asset turnover	
Revenue ÷ Non-current assets	*= (6,000 ÷ 2,600) = 2.3 times*
Inventory turnover	
Cost of sales ÷ Inventories	*= (4,000 ÷ 600) = 6.66 times*
Inventory days	
(Inventories ÷ cost of sales) × 365 *(to convert from inventory turnover to inventory days: 365 ÷ inventory turnover = inventory days)*	*600/4,000 × 365 = 55 days* *365/6.66 = 55 days*
Trade receivables collection period	
(Trade receivables ÷ Revenue) × 365	*= (900 ÷ 6,000) × 365 = 55 days*
Trade payables payment period	
(Trade payables ÷ Cost of sales) × 365	*= (750 ÷ 4,000) × 365 = 68 days*
Gearing	
(Debt ÷ Equity) × 100	*= (1,600 ÷ 1,800) × 100 = 89%*

Answer to Interactive question 5

ROCE is calculated as operating profit/capital employed. Capital employed is equity plus non-current liabilities . A large revaluation surplus will increase equity and therefore capital employed, making ROCE decrease.

Operating profit margin is operating profit/revenue. As the carrying amount of the property is larger, the depreciation charge will increase, making operating profit lower and the operating profit margin decrease.

Non-current asset turnover is calculated as revenue/non-current assets. As the property has been revalued upwards the non-current assets have increased which will decrease the non-current asset turnover.

Answers to Self-test questions

1 *Bangor Ltd*

Redeemable preference shares are recorded as a liability as the company has an obligation to buy the shares back. The dividends payable are therefore recognised as a finance cost in accordance with IAS 32, Financial Instruments: Presentation. Therefore issuing redeemable preference shares will increase Bangor Ltd's non-current liabilities.

ROCE is calculated as operating profit/capital employed. Capital employed is equity + non-current liabilities. As Bangor Ltd's non-current liabilities have increased, capital employed will increase and therefore ROCE will decrease. There is no effect on operating profit (as finance costs are deducted after operating profit).

Gearing is calculated as debt/equity. As debt has increased, the gearing ratio will also increase indicating that the company's risk has increased as the dividends must be paid and the shares bought back.

Operating profit margin is calculated as operating profit/revenue. As operating profit does not include finance costs, there will be no effect on operating profit margin.

2 *Brandol Ltd*

$$\text{Gross profit margin} = \frac{\text{Gross profit}}{\text{Revenue}} \times 100\%$$

= 26,000,000/58,000,000 × 100% = 45%

$$\text{Operating profit margin} = \frac{\text{Operating profit}}{\text{Revenue}} \times 100\%$$

= 14,000,000/58,000,000 × 100% = 24%

Brandol Ltd's gross profit margin has declined by 13 percentage points compared to the prior year. This reduction is partly attributable to the impairment loss incurred on the machine used to produce the RX processor. The impairment loss increased costs of sales and therefore reduced gross profit compared to last year. In addition, the RX processor was sold at a discounted price compared to the prior year. Although this discount resulted in a slight increase in sales of the processor to major customers, the gross profit made on each product sold was less than in the prior year, which therefore contributed to the reduced gross profit margin.

Brandol Ltd's operating profit margin has decreased by 10 percentage points compared to the previous year. The decrease in the operating profit margin can be attributed in part to the decline in gross profit margin as explained above. However, this decline has been offset by the treatment of the costs associated with research and development. In the prior year, as the criteria for capitalisation in IAS 38 had not yet been met, CU1,500,000 of costs were expensed, which would have decreased the operating profit margin in the prior year. However, in the current year, the capitalisation criteria were met and so the costs incurred of CU1,600,000 were capitalised as an intangible asset, and not charged to profit or loss.

3 *Nardos Ltd*

3.1 *Ratios using figures from the financial statement extracts*

	Nardos Ltd
Return on capital employed	

	Nardos Ltd
(Operating profit ÷ Capital employed) × 100 Where capital employed = equity + non-current liabilities	((4,700) ÷ (42,250 + 12,250)) × 100 = 9%
Gearing	
(Debt ÷ Equity) × 100	(12,250/42,500) × 100 = 29%

3.2 ***ROCE***

The revaluation will have had a twofold effect on ROCE. It will increase capital employed (= equity + non-current liabilities) by the CU700,000 revaluation surplus and reduce operating profit by additional depreciation of CU28,000 (700,000 × 4%). Overall this will reduce ROCE.

The new software intangible asset purchase was financed by a bank loan which will increase capital employed and reduce ROCE. As the product was not purchased until the last week of the year, it will not have generated any related profits. One weeks' worth of amortisation will have been charged, which will reduce operating profit, but only to a minor extent. Overall, the new software purchase will have reduced ROCE.

The issues with the software update and subsequent issues with support ticket volumes caused customer dissatisfaction. The increased churn rate compared to prior year indicates that, on average, more customers cancelled their subscriptions in the current year compared to the prior year. This may have led to decreases in revenue and operating profit, which would also reduce ROCE. More information about how the churn rate affected profits would be required to assess whether this is the case.

3.3 *The managing director is wrong in their assertion that the lease will not affect the gearing ratio. IFRS 16 requires a lessee to recognise lease liability measured at the amount of the present value of the future lease payments and a corresponding right-of-use asset at commencement of the lease. The lease liability is subsequently measured at amortised cost, with interest expense charged to profit or loss. The lease liability increases the liabilities of Nardos Ltd and therefore increases the gearing ratio, meaning the company is now more risky as the lease payments have to be made.*

3.4 *The average monthly churn shows the average percentage of customers who cancel their subscriptions each month. As Nardos Ltd is a subscription-based company, its revenues are generated primarily from customer monthly subscriptions. If customers cancel their subscriptions, Nardos Ltd's revenue and profits will decrease, therefore Nardos Ltd should aim for as low a churn rate as possible. If the churn rate has increased, it means that Nardos Ltd is losing customers faster than it can acquire new customers.*

The net promotor score (NPS) is a metric for measuring customer loyalty and satisfaction. If customers are highly satisfied and loyal to the Nardos Ltd brand, then are likely to keep their subscription. However, if they are dissatisfied, they may cancel their subscription, affecting Nardos Ltd's revenue and profits.

The average monthly churn rate has increased from 1% to 3% in the current year. This means more customers cancelled their subscription with Nardos Ltd in the current year as compared to last year. The NPS has decreased from an 'excellent' measure to a 'good' measure when compared to other companies in the same industry, showing that customers on average were less satisfied and less likely to recommend Nardos Ltd in the current year compared to the prior year. This is likely due to the issues with the software update and the resulting problems with customer service when problems were reported, both which resulted in dissatisfaction and frustration for customers.

Tutorial Note

This question has been included here for tutorial purposes and is much longer than a question you can expect to see on analysis and interpretation in your exam.

Chapter 12
Group accounts: basic principles

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 Context for group accounts

2 The single entity concept

3 Control and ownership

4 IFRS 3, Business Combinations

5 Measuring the consideration transferred

6 Recognising and measuring the fair value of assets acquired and liabilities assumed

7 Goodwill

8 Measurement of non-controlling interests

9 IFRS 10, Consolidated Financial Statements

10 IFRS 12, Disclosure of Interests in Other Entities

11 IAS 27, Separate Financial Statements Summary

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Identify the effects of transactions in accordance with the IFRS *Conceptual Framework for Financial Reporting*
- Explain and demonstrate the concepts and principles surrounding the consolidation of financial statements
- Identify and describe the circumstances in which an entity is required to prepare and present consolidated financial statements
- Identify from financial and other data any subsidiary, associate or joint venture of an entity according to the international financial reporting framework
- Explain the application of IFRS Accounting Standards to specified group scenarios

Syllabus links

Group accounts is a key part of the *Financial Accounting and Reporting* syllabus with a syllabus weighting of 20–25%. The syllabus covers:

- consolidated statement of financial position (Chapter 13)
- consolidated statements of financial performance (Chapter 14)
- associates and joint ventures (Chapter 15)
- disposals (Chapter 16)
- consolidated statement of cash flows (Chapter 17)

More complex issues are covered at the Advanced Stage including control gained in stages, disposals of associates, partial disposals of subsidiaries and overseas subsidiaries, and the analysis and interpretation of group financial statements.

Examination context

Each exam will feature a question requiring the preparation of a consolidated statement of financial position or a consolidated statement of profit or loss, using proformas. Some exams may also include questions requiring a consolidated statement of cash flows and extracts from consolidated financial statements.

In the examination, students may be required to:

- Explain and demonstrate the concepts and principles surrounding the consolidation of financial statements.
- Prepare the consolidated statement of financial position or statement of profit or loss, using proformas, including the results of the parent entity and one or more subsidiaries from single entity financial statements.
- Prepare the consolidated statement of cash flows from consolidated financial statements.
- Prepare extracts from consolidated financial statements (including from the consolidated statement of cash flows) and/or explain the required financial reporting treatment for group transactions.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1 & 2	**Context for group accounts and the single entity concept** In very simple terms, a group is a collection of entities, where one, the parent, controls the activities of the others, its subsidiaries. A group is required to produce 'consolidated' financial statements which present the position and results of the group as if it was a single entity rather than a collection of individual companies. This reflects the economic substance of the situation.	**Approach** The aim of this chapter is to set down the broad principles which are applied when preparing group financial statements. Work through these first two topics carefully to gain an understanding of the principles on which group accounts are based. **Stop and think** From the shareholder's point of view, what do you think are the benefits of consolidated financial statements?	The preparation of consolidated financial statements makes up 30% of the syllabus. Every exam will include a question testing either the preparation of a consolidated statement of financial position or a consolidated statement of profit or loss.	A
3	**Control and ownership** Group accounts reflect both **control** and **ownership**. A parent entity does not need to own 100% of a subsidiary's shares in order to control it.	**Approach** This section explores the concept of control vs ownership and how those are reflected in the group accounts. Read through the material and have a go at Interactive questions 1 and 2 to see how the concepts are	An exam question could ask you to describe and apply the concept of control or explain the distinction between control and ownership. You could be asked whether an investment meets the definition of a	**IQ1 Control & ownership 1** and **IQ2 Control & ownership 2** In IQ1 and IQ2, you will prepare the consolidated SOFP. In IQ1, the parent has acquired the subsidiary on the reporting date. IQ2 follows on

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		applied. Make sure you work carefully through the solutions so you understand how the consolidated statements of financial position have been put together. **Stop and think** Do you think there may be situations in which it is difficult to determine whether one entity controls another?	subsidiary.	with the first year of trading as a group.
4	**IFRS 3, Business Combinations** There are several accounting standards which cover consolidated financial statements. In topics 4 to 8 we consider the first of these: IFRS 3, *Business Combinations*. When a parent first gains control over another entity (so it becomes a subsidiary) we say a **business combination** has taken place. IFRS 3 applies the **acquisition method** to account for a business combination,	**Approach** Topic 4 introduces IFRS 3 and outlines the five key steps of the acquisition method. Topics 5 to 8 flesh out those steps. Work slowly through the material in Topic 4, make sure you pay attention to the definitions given and to the five steps involved in acquisition accounting. **Stop and think** Why is the acquisition date important? Does it matter if we don't quite get the date right?	IFRS 3 is a crucial standard as it provides the underlying principles of consolidation that you will need to apply in your exam eg, in a consolidation question, you will almost always be required to apply the acquisition method.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	which includes calculating goodwill.			
5	**Measuring the consideration transferred** To apply the acquisition method, we need to know how much has been paid to acquire a subsidiary. IFRS 3 requires the consideration paid to be measured at fair value. IFRS 3 is explicit about how to measure the fair value of deferred consideration and contingent consideration.	**Approach** This topic, as with topics 6 to 8, is very important and highly examinable. Work carefully through the material, paying close attention to the worked examples, and make sure to attempt Interactive question 3. You must know how to treat deferred consideration and contingent consideration, both on acquisition and in the years following acquisition. **Stop and think** Why might an acquiring company offer contingent consideration to the acquiree?	Determining the amount of the consideration transferred is a key part of the acquisition method. Deferred consideration or contingent consideration could feature in the preparation of consolidated accounts question or in a question where you are asked to explain the accounting treatment required.	**IQ3 Contingent consideration** This question allows you to practice how to account for contingent consideration on acquisition and in the following two years.
6	**Recognising and measuring the fair value of identifiable assets acquired and liabilities assumed at the date of acquisition** IFRS 3 requires the **identifiable** assets acquired and liabilities assumed by the	**Approach** This topic, as with topics 5 - 8, is very important. There is a lot of information in this topic, so work through it carefully. You will get the chance to apply the knowledge gained here in the	Recognising and measuring the identifiable assets acquired and liabilities assumed is a key part of the acquisition method. You could also be asked in an explain question whether certain assets or liabilities	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	acquirer to be recognised at their **fair values** at the acquisition date. The inclusion of 'identifiable' in that description means that on acquisition, some assets and liabilities that were not recognised in the subsidiary's individual financial statements are now recognised. IFRS 3 contains specific requirements around this.	next topic in Interactive question 5. **Stop and think** Why do you think some assets and liabilities can be recognised on acquisition when they were not recognised before?	should be recognised on acquisition.	
7	**Goodwill** Measuring and recognising goodwill is the final part of the acquisition method. You will see goodwill recognised as an intangible asset in the consolidated financial statements of many groups you know. It can be a large amount, so must be calculated accurately and tested for impairment at least annually.	**Approach** This is an extremely important topic, so work carefully through it, including all worked examples and questions. The knowledge that you have gained in topics 5 and 6 is pulled together in this topic as the consideration transferred and the fair value of the identifiable assets acquired and liabilities assumed are used in the goodwill calculation.	Calculating goodwill and/or explaining the goodwill calculation is a key exam topic and is examined frequently in the preparation of consolidated accounts question. **Stop and think** What does goodwill represent?	**IQ4 Goodwill** This question tests the basic calculation of goodwill. **IQ5 Measuring fair value** This question is a good test of all the concepts covered in topics 5, 6 and 7.
8	**Measurement of non-controlling interests** As we saw in Topic 3, a parent	**Approach** IFRS 3 allows two ways of measuring the non-controlling interests, which is	Most consolidation questions in your exam will feature non-controlling	**IQ6 Subsequent measurement of NCI** This question requires the

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	does not need to own 100% of the equity of an entity in order to control it. In this topic, we consider how non-controlling interests are reflected in the group accounts.	the focus of this topic. Read carefully through the material and worked examples which explain the two methods and show how NCI is recorded initially in group accounts. Then try Interactive question 6. **Stop and think** What difference do you see in the group accounts if a group has elected to measure NCI at fair value as opposed to the proportionate method?	interests, therefore this topic is highly examinable.	preparation of a consolidated statement of financial position a year after the acquisition has taken place so you can see how NCI would subsequently be recorded in the group accounts.
9-11	These topics summarise the content of three more IFRS Accounting Standards relating to consolidated financial statements: IFRS 10, *Consolidated Financial Statements* IFRS 12, *Disclosure of Interests in Other Entities* IAS 27, *Separate Financial Statements*	These topics are brief but provide key information about consolidated financial statements, so make sure you take the time to work through them. Much of topic 9 (on IFRS 10) has already been covered in earlier topics, so read through this to ensure you have grasped the principles.	A question may include a scenario that requires you to apply the principles in these standards eg, how to account for an investment in a subsidiary in the parent's separate financial statements.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

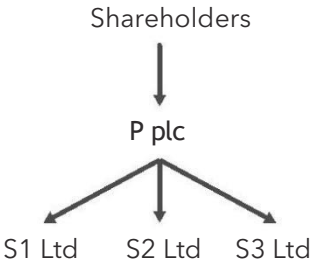
1 Context for group accounts

Section overview

- A group includes a parent and one or more subsidiaries.
- A subsidiary is an entity controlled by the parent.
- Forming a group is a means of organising a business.
- Group accounts 'consolidate' the results of the individual companies.

1.1 What is a group?

In simple terms a group is created where one company, the **parent (P)** buys shares in another company, the **subsidiary (S),** such that the parent company **controls** the subsidiary. A group may include one or many subsidiaries.



The shareholders (owners) of P plc may be individuals and/or institutions such as pension funds.

1.2 What is a subsidiary?

IFRS 10, *Consolidated Financial Statements* provides the following definitions:

Definitions

Subsidiary: An entity that is controlled by another entity.

Parent: An entity that controls one or more entities.

Control: An investor **controls** an investee when the investor is exposed to, or has rights to, variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Power: Existing rights that give the current ability to direct the relevant activities of the subsidiary.

Relevant activities: Those that significantly affect the investee's returns.

1.3 Why form a group?

A business may operate in **several different markets** with different characteristics. These different markets will present different issues for management to address in terms of operations and finance and so on.

It would be possible for different activities to be carried out within a **single limited company**, where **separate divisions** could be established for each activity. The owners would then receive one set of accounts for that company, reflecting all its activities.

Alternatively, each activity could be carried out within a **separate company** (the subsidiaries), each of which is controlled by the parent.

There are a number of reasons why the business might be structured in this way:

- **Accountability of each group of managers can be made more precise**, as they can be identified more easily with the activities of the subsidiary which employs them.
- **Financing may be made easier**, as lenders can see audited financial statements for the individual company for which they are providing finance.
- The assets of one subsidiary can be **pledged as security for its borrowings**, leaving the assets of other subsidiaries unpledged.
- **Disposal of a business** may be made easier.

1.4 Why prepare group accounts?

This is best illustrated by the following context example.

Context example: Why prepare group accounts?

P Ltd (the parent) does not trade on its own account. Its only major asset is the ownership of all the shares in S Ltd (the subsidiary) and its only income is dividends from S Ltd.

Statements of profit or loss for the last 12 months (ignoring tax):

	P Ltd	S Ltd
	CUm	CUm
Revenue	–	100
Cost of sales	–	(85)
Gross profit	–	15
Other costs	(1)	(40)
Operating loss	(1)	(25)
Finance income (dividends received)	11	–
Profit/(loss) for the year	10	(25)

Statement of changes in equity (extract) for the last 12 months:

	Retained earnings	
	P Ltd	S Ltd
	CUm	CUm
Brought forward	1	45
Dividends	(6)	(11)
Total comprehensive income for the year	10	(25)
Carried forward	5	9

Without the requirement to the prepare group accounts (which put together ie, 'consolidate', the activities of the parent and subsidiaries), the owners would only legally be entitled to receive the financial statements of the parent company as an individual company.

In this case, they could well think that things were going well, because the dividend income for the period covers the expenses of P Ltd and provides for a CU6 million dividend. They would not be aware that:

- The CU11 million dividend income all came from profits earned by S Ltd in previous years.
- The trading activity controlled by P Ltd's management is currently loss-making.

As will be demonstrated later in this chapter, the effect of consolidation is to produce a fair picture of P Ltd and S Ltd taken together, which is that on revenue of CU100 million (S Ltd only), there is a loss for the year of CU26 million (S Ltd's net loss of CU25 million plus P Ltd's other costs of CU1 million).

1.5 Accounting principles

The key issue underlying group accounts is therefore the need to reflect the **economic substance** of the relationship between companies where one (a parent) has control over another (a subsidiary), which together comprise a group.

Producing consolidated accounts that present the group as though it were a **single economic entity** reflects this economic substance.

Note: The terms 'group accounts', 'consolidated accounts', 'group financial statements' and ' consolidated financial statements' can be thought of as meaning the same thing and are used interchangeably in the Bangladesh.

1.6 Composition of group accounts

Group accounts comprise:

- Consolidated statement of financial position (CSOFP)
- Consolidated statement of profit or loss (CSPL)
- Consolidated statement of profit or loss and other comprehensive income (CSOCI)
- Consolidated statement of changes in equity (CSOCE)
- Consolidated statement of cash flows
- Notes to the accounts and comparative figures

Notes

1. The consolidated statement of financial position is presented **in addition to** the parent's own individual statement of financial position.
2. The consolidated statement of profit or loss is usually presented **instead of** the parent's own individual statement of profit or loss.
3. The parent's own statement of financial position shows its **investment in subsidiaries** as a **non- current asset investment (usually at cost).**
4. The parent's own individual statement of profit or loss shows the **dividend income** received and receivable from subsidiaries.

1.7 Types of investment

A parent may hold other investments apart from subsidiaries. These can be summarised as follows:

Investment	Criterion	Treatment in group accounts
Subsidiary	Control	Consolidation
Associate (Chapter 15)	Significant influence	Equity method
Joint venture (Chapter 15)	Joint control	Equity method
Financial asset investment	Asset held for accretion of wealth	As for single company accounts per IFRS 9

This chapter and Chapters 13–17 deal with the underlying principles and techniques involved in the preparation of group accounts.

2 The single entity concept



Section overview

- Group accounts are prepared on the basis that the parent and subsidiaries are a single entity.
- This reflects the economic substance of the group arrangement.
- The investment in a subsidiary's shares shown in the parent's own statement of financial position is replaced in the consolidated statement of financial position by the assets and liabilities of the subsidiary.
- The dividend income from the subsidiary recognised in the parent's own statement of profit or loss is replaced in the consolidated statement of profit or loss by the subsidiary's revenues and costs.

2.1 The effect of consolidation

Group accounts consolidate the results and net assets of group members to present the group to the parent's shareholders as a **single economic entity**. This reflects the **economic substance** and contrasts with the **legal form**, where each company is a **separate legal person**.

The effect of consolidation can be illustrated by comparing buying an unincorporated business from its existing proprietor with buying a controlling interest in a company from its existing shareholders.

2.2 Buying an unincorporated business

When a company invests in an unincorporated business, it pays cash to the proprietor and in exchange acquires legal title to all the assets and all the liabilities (ie, the net assets) of the business.



Worked example: Buying an unincorporated business

The statements of financial position of Panther Ltd and Seal, a sole trader, at 31 December 20X1 are as follows:

	Panther Ltd	Seal
	CU	CU
Cash	10,000	–
Sundry other assets	13,000	6,000
	23,000	6,000
Share capital/Capital	8,000	4,000
Retained earnings	12,000	
Equity	20,000	4,000
Liabilities	3,000	2,000
	23,000	6,000

Immediately after the above financial statements are prepared, on 31 December 20X1 Panther Ltd buys the net assets and business of Seal Ltd for CU4,000 in cash.

In 20X2 Panther Ltd itself made sales of CU6,000 with costs of CU4,500. Panther Ltd received cash of CU3,000 for the sales, and the remaining CU3,000 is outstanding at the year end. Costs were incurred on credit and have not yet been settled.

Panther Ltd also carried on Seal's trade which made sales of CU3,000, of which CU2,000 was received in cash and the other CU1,000 remains outstanding. Seal incurred costs of CU1,000 which have not yet been paid.

Requirement

Prepare the statement of profit or loss of Panther Ltd for the year ended 31 December 20X2 and the statement of financial position as at that date, reflecting the above information.

Solution

Panther Ltd – Statement of profit or loss for the year ended 31 December 20X2

	CU
Revenue (6,000 + 3,000)	9,000
Costs (4,500 + 1,000)	(5,500)
Profit	3,500

Statements of financial position as at 31 December

	20X1	20X2
	CU	CU
Cash ((20X2:P (10,000 – 4,000 + 3,000) = 9,000) + S = 2,000)	6,000	11,000
Sundry other assets ((20X2:P (13,000 + 3,000) = 16,000) + S = (6,000 + 1,000) = 7,000)	19,000	23,000
	25,000	34,000
Share capital (P only)	8,000	8,000
Retained earnings (20X1: P only)	12,000	15,500

((20X2:P (12,000 + 1,500 = 13,500) + S post-acquisition profit 2,000))		
Equity	20,000	23,500
Liabilities		
((20X2:P (3,000 + 4,500) = 7,500) + S = (2,000 + 1,000 = 3,000)	5,000	10,500
Total equity and liabilities	25,000	34,000

Notes

1 Seal's net assets at the date of acquisition are incorporated into Panther Ltd's accounts and Panther Ltd's cash is reduced by the cost of the acquisition.

2 All Seal's trading in 20X2 (and the increase in cash as a result) is recorded in Panther Ltd's accounts.

2.3 Buying a company

When a company (the acquirer) invests in the shares of another company (the acquiree) the legal position is very different. Companies have their own legal identity separate from that of their owners. The acquirer therefore pays cash or transfers other assets to the acquiree's shareholders to buy their shares. It does not acquire legal title to the net assets of the acquiree; this remains with the acquiree.

Worked example: Buying a company

Draft statements of financial position of Panther Ltd and Seal Ltd at 31 December 20X1 are as follows:

	Panther Ltd	Seal Ltd
	CU	CU
Cash	10,000	–
Sundry other assets	13,000	6,000
	23,000	6,000
Share capital	8,000	1,000
Retained earnings	12,000	3,000
Equity	20,000	4,000
Liabilities	3,000	2,000
	23,000	6,000

Immediately after the above financial statements are prepared, Panther Ltd buys the net assets and business of Seal Ltd on 31 December 20X1 for CU4,000 in cash.

In 20X2 Panther Ltd itself made sales of CU6,000 with costs of CU4,500. Panther Ltd received cash of CU3,000 for the sales, and the remaining CU3,000 is outstanding at the year end. Costs were incurred on credit and have not yet been settled.

Seal Ltd made sales of CU3,000, of which CU2,000 was received in cash and the other CU1,000 remains outstanding. Seal Ltd incurred costs of CU1,000 which have not yet been paid.

Requirements

1 Prepare the statements of financial position as at 31 December 20X1 and 20X2 for Panther Ltd, Seal Ltd and the Panther Ltd group, reflecting the above information.

2 Prepare the statements of profit or loss for the year ended 31 December 20X2 for Panther Ltd, Seal Ltd and the Panther Ltd group, reflecting the above information.

Solution

1

	31 December 20X1			31 December 20X2		
	Panther Ltd	**Seal Ltd**	**Consolidated**	**Panther Ltd**	**Seal Ltd**	**Consolidated**
	CU	**CU**	**CU**	**CU**	**CU**	**CU**
Investment in Seal Ltd	4,000	–	–	4,000	–	–
Cash	6,000	–	6,000	9,000	2,000	11,000
Sundry other assets	13,000	6,000	19,000	16,000	7,000	23,000
Total assets	23,000	6,000	25,000	29,000	9,000	34,000
Share capital	8,000	1,000	8,000	8,000	1,000	8,000
Retained earnings	12,000	3,000	12,000	13,500	5,000	15,500
Equity	20,000	4,000	20,000	21,500	6,000	23,500
Liabilities	3,000	2,000	5,000	7,500	3,000	10,500
Total equity and liabilities	23,000	6,000	25,000	29,000	9,000	34,000

2 **Statements of profit or loss for the year ended 31 December 20X2**

	Panther Ltd	**Seal Ltd**	**Consolidated**
	CU	**CU**	**CU**
Revenue	6,000	3,000	9,000
Costs	(4,500)	(1,000)	(5,500)
Profit	1,500	2,000	3,500

Notes

1 The investment in the shares of Seal Ltd in Panther Ltd's accounts **has been replaced by the underlying net assets of Seal Ltd**. The net assets of Seal Ltd at the date of acquisition (represented by its share capital and retained earnings at that date) are **cancelled out** against the investment in Panther Ltd's accounts. (Note that the situation where the net assets of a subsidiary at acquisition do not equal the cost of investment is covered in Topic 7 below and in further detail in Chapter 13.)

2 As the net assets of Seal Ltd increase post-acquisition (an increase attributable to Panther Ltd's **control** of Seal Ltd) this increase has been reflected in net assets and retained earnings.

3 The profits of Seal Ltd are **combined** with those of Panther Ltd in the consolidated accounts from the date of acquisition, as post-acquisition profits of the subsidiary are earned under the parent's **control**. This is also reflected in the consolidated statement of

financial position, where group retained earnings include Seal Ltd's **post-acquisition retained earnings**.

4 **Consolidated** statements of financial position and statements of profit or loss have been produced.

5 These are the same as those produced when Seal Ltd was unincorporated. This is because Panther Ltd and Seal Ltd have been treated, not as two separate legal entities, but as a **single entity**.

6 The two companies can be viewed as a **single entity** because Panther Ltd (the parent) **controls** Seal Ltd, its subsidiary. Together the companies form a **group**.

2.4 Summary

So far we have looked at the following key points:

- Group = parent (P) + subsidiary(ies) (S)
- Subsidiary(ies) = undertaking(s) under P's control
- The objective of group accounts is to present a true and fair view of the group to P's shareholders
- Process of consolidation:
  - The investment in S shown in P's own statement of financial position is replaced in the consolidated statement of financial position (CSOFP) by the line-by-line addition of S's net assets to P's to show the group's resources.
  - Dividend income in P's own statement of profit or loss is replaced in the consolidated statement of profit or loss (CSPL) by the line-by-line addition of S's revenue and costs to P's to show the group's performance.
  - The investment in S in P's statement of financial position is cancelled out against S's equity (share capital, retained earnings and other reserves) at acquisition.

3 Control and ownership

Section overview

- Group accounts reflect both control and ownership.
- Ownership of more than 50% of the ordinary voting shares in a subsidiary normally gives control to the parent.
- The net assets and results not owned by the parent are reflected in the non-controlling interests.

3.1 Control

Usually a holding of **over 50%** of the **ordinary voting shares** in S will give P **control** of S.

As we saw in section 1, control means **the ability to govern financial and operating policies of S** with a view to gaining economic benefits from its activities. This is an extension of the basic concept of control, introduced in Chapter 1 in the context of the definition of assets.

IFRS 10, *Consolidated Financial Statements* defines control as consisting of three elements:

- power

- exposure to variable returns
- an investor's ability to use power to affect its amount of variable returns

In an **individual company**, the assets are under the **direct control** of the company. In **a group**, the subsidiary's assets are under **indirect control** through the parent's control of the subsidiary.

IFRS 10 states that an investor controls an investee if, and only if, it has all of the following:

- power over the investee;
- exposure, or rights, to variable returns from its involvement with the investee; and
- the ability to use its power over the investee to affect the amount of the investor's returns.

Power is defined as **existing rights that give the current ability to direct the relevant activities of the investee.** There is no requirement for that power to have been exercised.

Relevant activities include:

- selling and purchasing goods or services
- managing financial assets
- determining a funding structure or obtaining funding

Variable returns have the potential to change as a result of the investee's performance. Examples are dividends, potential losses from loan guarantees given on behalf of the investee, residual interests on liquidation.

In some cases, assessing **power** is straightforward, for example where power is obtained directly and solely from having the majority of voting rights or potential voting rights, and as a result the ability to direct relevant activities.

In other cases, the assessment of power is more complex. IFRS 10 gives the following examples of **rights**, other than voting rights or potential voting rights which can give an investor power:

- rights to appoint, reassign or remove key management personnel who can direct the relevant activities;
- rights to appoint or remove another entity that directs the relevant activities;
- rights to direct the investee to enter into, or veto changes to, transactions for the benefit of the investor; and
- other rights, such as those specified in a management contract.

Convertible loan stock and other potential rights should also be considered when assessing whether one entity has power over another.

Note: In the *Financial Accounting and Reporting* exam, you should assume that an entity controls another entity if it holds more than 50% of the voting rights in that other entity, unless you are provided with information to the contrary.



Professional skills focus: Concluding, recommending and communicating

It is not always clear cut as to whether an investment is a subsidiary. As well as being able to apply the accounting requirements as to whether or not control exists, it is important that you can explain your reasoning clearly (in a manner suitable to the recipient), and then form a conclusion on the correct accounting treatment to follow.

3.2 Ownership

Equity, as defined in Chapter 1, is the **residual amount** found by deducting all of the entity's liabilities from all of the entity's assets. It is also described as the **ownership interest**.

In an individual company's accounts, there is only one ownership interest ie, that of the shareholders in that individual company, represented by the capital and reserves (which equal net assets).

In a group, it is possible for the parent to have control of a subsidiary **without owning 100% of it**.

That part of S's net assets and results included in the consolidation which is not owned by P is owned by the **non-controlling interests** (NCI).



Context example: Ownership

P Ltd owns 75% of the ordinary voting shares of S Ltd.

In this case, P Ltd **controls** 100% of S Ltd as it owns more than 50% of the ordinary voting shares, and so has power over S Ltd. It is also exposed to variable returns in the form of dividends and through its power can affect the amount of those returns.

However, P Ltd only **owns** 75%. The **NCI owns the remaining 25%.**

In group accounts, the ownership interest of both P's shareholders and the NCI needs to be reflected, and the part of the group net assets in which P's shareholders do not have the ownership interest needs to be distinguished from that in which they do.

As both P's shareholders and the NCI own equity (in (P + S) and S, respectively), the sum of their respective ownership interests is described as **equity** in the consolidated statement of financial position.

3.3 Reflecting control and ownership in group accounts

Group accounts reflect both **control** and **ownership**.

Consolidated statement of financial position (CSOFP)

	CU
Assets (P + S (100%) – intra-group items)	X
Equity attributable to owners of P	
Share capital (P only)	X
Retained earnings (P + (P's share of S's post-acquisition retained earnings))	X
– Other components of equity (P + (P's share of S's post-acquisition movements in other components of equity, eg Revaluation surplus)	X
Equity attributable to owners of P	X
Non-controlling interests (NCI's share of S's net assets at reporting date)	X
Total equity	X
Liabilities (P + S (100%) – intra-group items)	X
	X

The parent consolidates 100% of the assets and liabilities of the subsidiary, reflecting the **control** it has over the subsidiary.

Ownership is shown in the equity section. The parent owns a controlling share of the subsidiary's equity (net assets), the remainder is owned by other shareholders, the NCI.

Consolidated statement of profit or loss (CSPL)

	CU
Revenue (P + S (100%) – intra-group items)	X
Costs (P + S (100%) – intra-group items)	(X)
Profit for the year (PFY)	
Profit attributable to:	
- Owners of P (balancing figure)	X
- Non-controlling interests (NCI's share of S's PFY)	X
	X

The parent consolidates 100% of the income and expenses of the subsidiary, reflecting the **control** it has over the subsidiary.

Ownership of the subsidiary is reflected by showing how much of the consolidated profit is attributable to:

- the shareholders of the parent (all of the parent's profit plus the parent's share of the subsidiary's profit)
- the non-controlling interests (the non-controlling interests' share of the subsidiary's profit)

3.4 Equity

There are various components to the equity section of the CSOFP:

- Share capital – Parent only
- Retained earnings – **Parent's retained earnings plus Parent's share of Subsidiary's post-acquisition retained earnings**, as these retained earnings are generated under Parent's control.
- Other components of equity (eg revaluation surplus) – **Parent's other components of equity plus Parent's share of Subsidiary's post-acquisition movements in other components of equity**, as these movements are generated under the Parent's control.

The subsidiary's share capital and its retained earnings and other components of equity at acquisition (often referred to as 'pre-acquisition reserves'), are cancelled against the parent's cost of investment in the subsidiary.

The same basic calculation is used for each reserve separately (eg, revaluation surplus, retained earnings).

Note: The term 'reserves' is used through this Workbook and the related Question Bank to refer to the retained earnings and other reserves of the subsidiary. You may see or hear the term 'other components of equity' used instead of 'other reserves'. The terms can be used interchangeably.

The following interactive question brings together the points we have made so far.

Interactive question 1: Control and ownership 1

The statements of financial position of two companies at 31 December 20X7 are as follows:

	Austin Ltd	Reed Ltd
	CU	CU
Non-current assets		
Property, plant and equipment	80,000	8,000
Investments: Shares in Reed Ltd	12,000	-
	92,000	8,000
Current assets	58,000	13,000
Total assets	150,000	21,000
Equity		
Called up share capital	100,000	10,000
Retained earnings	30,000	5,000
Total equity	130,000	15,000
Liabilities	20,000	6,000
Total equity and liabilities	150,000	21,000

Austin Ltd acquired 80% of Reed Ltd on 31 December 20X7.

Requirement

Prepare the consolidated statement of financial position of Austin Ltd as at 31 December 20X7. Fill in the proforma below.

Austin Ltd – Consolidated statement of financial position as at 31 December 20X7

	CU
Non-current assets	
Property, plant and equipment	
Current assets	
Total assets	
Equity attributable to owners of the parent	
Called up share capital	
Retained earnings	
Non-controlling interests	
Total equity Liabilities	
Total equity and liabilities	

See **Answer** at the end of this chapter.

Interactive question 2: Control and ownership 2

Continuing from the facts in Interactive question 1, in the year ended 31 December 20X8 the two companies traded as follows.

	Austin Ltd	Reed Ltd
	CU	CU
Revenue	20,000	5,000
Costs	(15,000)	(3,000)
Profit	5,000	2,000

The statements of financial position as at 31 December 20X8 are as follows.

	CU	CU
Non-current assets		
Property, plant and equipment	82,000	9,000
Investments: Shares in Reed Ltd	12,000	
	94,000	9,000
Current assets	81,000	20,000
Total assets	175,000	29,000
Equity		
Called up share capital	100,000	10,000
Retained earnings	35,000	7,000
Total equity	135,000	17,000
Liabilities	40,000	12,000
Total equity and liabilities	175,000	29,000

Requirement

Prepare the consolidated statement of profit or loss of Austin Ltd for the year ended 31 December 20X8 and the consolidated statement of financial position at that date.

Fill in the proforma below.

Austin Ltd – Consolidated statement of profit or loss for the year ended 31 December 20X8

	CU
Revenue	
Costs	
Profit for the year	
Profit attributable to:	
- Owners of Austin Ltd (ß)	
- Non-controlling interests	

Consolidated statement of financial position as at 31 December 20X8

	CU
Non-current assets	
Property, plant and equipment	
Current assets	
Total assets	
Equity attributable to owners of parent	
Called up share capital (Austin Ltd only)	
Retained earnings	
Non-controlling interest	
Total equity	
Liabilities	
Total equity and liabilities	

See **Answer** at the end of this chapter.

Finally, let us look at how the movement during the year would be reflected in the consolidated statement of changes in equity (CSCE). The consolidated statement of changes in equity is dealt with in Chapter 14. Here we will just look at the group retained earnings and non-controlling interests columns.

The retained earnings column shows group retained earnings and the non-controlling interests column shows the non-controlling share of the subsidiary's total comprehensive income (which will usually be net profit).

For Austin and Reed, these columns would be as follows:

	Retained earnings	Non-controlling interests
	CU	CU
At 1 January 20X8/(15,000 × 20%)	30,000	3,000
Total comprehensive income for the year (5,000 +		
(2,000 × 80%))/(2,000 × 20%)	6,600	400
At 31 December 20X8	36,000	3,400

You can see that the carried forward totals correspond to the totals in the consolidated statement of financial position at 31 December 20X8.

Note that this is the first year of consolidation, so the opening retained earnings are simply the retained earnings of the parent. For subsequent years the opening retained earnings will include the parent's share of the subsidiary's post-acquisition retained earnings.

Now that we have looked at the mechanics of consolidation it is time to look in more detail at the requirements of the relevant standards, most importantly IFRS 3, *Business Combinations*.

4 IFRS 3, Business Combinations

Section overview

- All business combinations should be accounted for using the acquisition method.
- The acquirer should be identified for all business combinations.

4.1 Objective

The objective of IFRS 3 is to set out **the accounting and disclosure requirements** for a **business combination**. In practice business combinations can be structured in all sorts of different ways, usually for reasons which are peculiar to the parties to the combination and/or to suit the legal and tax environments in which they operate.

In an area of such potential complexity, IFRS 3 applies the concept of substance over form: it looks beyond the legal form of the transaction to the underlying substance. This can be seen in the definitions below.

Definitions

Business combination: A transaction or other event in which an **acquirer** obtains control of one or more **businesses**.

Business: An integrated set of activities and assets capable of being conducted and managed for the purpose of:

- providing goods or services to customers;
- generating investment income (such as dividends or interest); or
- generating other income from ordinary activities.

A business generally consists of inputs and processes applied to those inputs that have the ability to create outputs (although outputs are not required for qualification as a business).

All business combinations result in one entity, the acquirer, obtaining **control** of one or more other businesses. We will look at the issue of control in section 5.

The type of business combination with which you need to be familiar is **the acquisition of one company by another resulting in a parent-subsidiary relationship**.

Note: If assets alone are purchased, such as a fleet of motor vehicles, this is not a business combination and such a purchase will be accounted for in accordance with the relevant IFRS Accounting Standard eg, IAS 16, *Property, Plant and Equipment* not IFRS 3.

4.2 Scope

IFRS 3 applies to any transaction that meets the definition of a business combination.

4.3 Acquisition method of accounting

All business combinations should be accounted for by applying the **acquisition method**. This involves five key steps:

Step 1 **Identify the acquirer**.

Step 2 Determine the **acquisition date**.

Step 3 Measure the **consideration** transferred.

Step 4 Recognise and measure the fair value of the identifiable assets acquired and the liabilities assumed by the acquirer at the date of acquisition, as well as any **non-controlling interests** in the acquiree.

Step 5 Recognise and measure **goodwill** (or a gain from a bargain purchase). We will look at these steps in more detail in the rest of this chapter.

4.4 Identifying the acquirer

IFRS 3 states that **the acquirer should be identified for all business combinations**.



Definitions

Acquiree: The business or businesses that the **acquirer** obtains control of in a **business combination**. **Acquirer:** The entity that obtains control of the **acquiree**.

In practical terms the simplest way in which control can be achieved is for the acquirer (P) to gain **more than half of the voting rights** in the acquiree (S) ie, rights relating to votes of the shareholders in general meeting. These rights are normally attached to the ordinary (voting) shares.

In most business combinations it should be relatively straightforward to identify that a business combination has taken place. Where this is not the case the Application Guidance in IFRS 3 provides a number of examples of ways in which a business combination could be structured as follows:

- One or more businesses become subsidiaries of an acquirer or the net assets of one or more businesses are legally merged into the acquirer.
- One combining entity transfers its net assets to another combining entity.
- All the combining entities transfer their net assets to a newly formed entity.
- A group of former owners of one of the combining entities obtains control of the combined entity.

4.5 Determining the acquisition date



Definition

Acquisition date: The date on which the acquirer obtains control of the acquiree.

4.6 General rule

The date on which the acquirer obtains control of the acquiree is normally the **closing date** of the transaction. This is the date on which the acquirer legally:

- transfers the consideration;
- acquires the assets; and
- assumes the liabilities of the acquiree.

5 Measuring the consideration transferred

Section overview

- The consideration transferred comprises the fair values, at the acquisition date, of:
  - assets transferred by the acquirer;
  - the liabilities incurred by the acquirer to former owners of the acquiree; and
  - equity instruments issued by the acquirer.
- The amount of the consideration may not be fixed at the acquisition date; some may be contingent on future events. Contingent consideration should be valued at its fair value at the acquisition date.
- Quoted equity investments provided as consideration should be measured at their market price.
- Deferred consideration should also be included at fair value.
- Acquisition-related costs should be expensed in the period in which they are incurred.

5.1 General rule

The cost of the business combination is the total of the **fair values of the consideration transferred**.

5.2 Fair value of consideration

IFRS 3 requires that consideration given should be measured at **fair value** at the **acquisition date**. The definition of fair value is the same as that provided in previous chapters; it is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Note: Future losses or other costs expected to be incurred as a result of the combination should not be included as part of the cost of the combination.

5.3 Deferred consideration

Part of the consideration for an acquisition may not pass to the acquiree's shareholders at the acquisition date but be deferred until a later date.

Deferred consideration should be measured at its **fair value at the acquisition date**. The fair value depends on the form of the deferred consideration.

Deferred consideration is in the form of equity shares:	Deferred consideration is payable in cash:
• Fair value should be measured at the acquisition date market price.	• Fair value is measured as the **present value** of the amount payable, measured by applying an appropriate discount rate to the amount of the deferred consideration.
• The deferred amount should be recognised as part of equity, under a separate heading such as 'shares to be	• The deferred amount is recognised as a current or non-current liability depending on when payment is due.

Notes

1 The market price of shares at the date the consideration is recognised is regarded as the present value of all the future benefits arising from those shares, so no adjustment should subsequently be made for any change in the market price over the period until any deferred consideration in the form of equity shares is issued.

2 As with other present value remeasurements, the increase in a liability for deferred consideration over the period until it is issued should be recognised in profit or loss as a finance cost.



Worked example: Deferred consideration

The acquisition date for Winter plc's purchase of the whole of the share capital in Summer Ltd was 1 July 20X5. The consideration comprised 1,000,000 shares in Winter plc to be issued on 1 July 20X5, CU10 million in cash payable on 1 July 20X5, 200,000 shares in Winter plc to be issued on 1 January 20X6 and CU5 million in cash payable on 1 July 20X6.

The market price of one Winter plc share was 450p on 1 July 20X5, 475p on 1 January 20X6 and 480p on 1 July 20X6. A discount rate of 7% was appropriate.

Requirement

What is the total consideration for this acquisition?

Solution

	CUm
1,000,000 shares issued on 1 July 20X5 at 450p	4.50
200,000 shares to be issued on 1 January 20X6 at 450p	0.90
Cash payable on 1 July 20X5	10.00
Cash payable on 1 July 20X6 – CU5m/1.07	4.67
	20.07

5.4 Contingent consideration



Definition

Contingent consideration: An obligation of the acquirer to transfer additional assets or equity interests to the former owners of the acquiree if specified future events occur or conditions are met.

The acquiree's shareholders may have a different view from the acquirer as to the value of the acquiree, for example:

- The acquiree may be the subject of a legal action which the acquiree's shareholders believe will be settled at no cost but is believed by the acquirer to be likely to result in an expensive settlement.
- The two parties may have different views about the likely future profitability of the acquiree's business.

In such cases it is often agreed that additional consideration may become due, depending on how, for example, the legal action is settled or how much profit is earned. Such consideration is 'contingent' on those future events/conditions.

Contingent consideration agreements result in the acquirer being under a legal obligation at the acquisition date to transfer additional consideration, should the future turn out in specified ways. IFRS 3 therefore requires contingent consideration to be recognised as part of the consideration transferred and measured at its **fair value at the acquisition date**.

It may turn out that the amount of the contingent consideration actually transferred is different from the original estimate of fair value. In terms of the examples given above, the legal action may be settled at no cost to the acquiree and the acquiree's profits may be higher than the acquirer expected.

IFRS 3 treats such subsequent adjustments to the **quantity** of the contingent consideration in ways familiar from IAS 10, *Events after the Reporting Period*:

- If (and this will be very rare) the adjustments result from additional information becoming available about conditions at the acquisition date, they should be related back to the acquisition date, provided the adjustments are made within the measurement period (however, adjustments made within the measurement period are outside of the *Financial Accounting and Reporting* syllabus).
- If (and this will be common) the adjustments result from events occurring after the acquisition date, they are treated as changes in accounting estimates; they should be accounted for prospectively and the effect usually recognised in profit or loss. This will be the treatment required for the additional consideration due after the legal action was settled/the earnings being higher than expected.

Measurement of the contingent consideration should be reassessed at fair value each year and the difference taken to profit or loss unless the contingent consideration is in shares. If the contingent consideration is in shares (ie, classified as equity) then it should not be remeasured but its subsequent settlement should instead be recognised as part of equity.



Worked example: Contingent consideration

On 1 January 20X7 Arran Ltd acquired 100% of the shares of Bute Ltd when the fair value of the identifiable assets acquired and liabilities assumed by Arran Ltd was CU25 million, which was equal to their carrying amounts at the date of acquisition. The consideration was 4 million shares in Arran Ltd issued at 1 January 20X7 when their market value was CU6 per share and a cash payment of CU6 million on 1 January 20X9 if the cumulative profits of Bute Ltd exceeded a certain amount by that date. At 1 January 20X7 the probability of Bute Ltd hitting that earnings target was such that the fair value of the possible cash payment was CU2 million.

At 31 December 20X7 the probability that Bute Ltd would exceed the required profit level had risen and the fair value of the contingent consideration was judged to be CU4 million.

At 31 December 20X8 it was clear that Bute Ltd had exceeded the profit target and the whole amount would be payable.

Requirement

Calculate the amounts to be recognised in the consolidated statement of financial position and in the consolidated statement of profit or loss for the two years ended 31 December 20X8.

Solution

The contingent consideration should be recognised at the acquisition date. It should then be remeasured at fair value each year end until ultimate settlement of the amount. Changes in fair value should be recognised in profit or loss.

Consolidated statement of financial position at 31 December 20X7

	CU
Non-current assets – goodwill	
Consideration transferred	
– 4 million shares × CU6	24,000,000
– contingent at fair value	2,000,000
	26,000,000
Fair value of assets acquired and liabilities assumed Goodwill	(25,000,000)
	1,000,000
Non-current liabilities – contingent consideration	
	4,000,000

Consolidated statement of profit or loss for year ended 31 December 20X7

	CU
Additional contingent	2,000,000

Consolidated statement of financial position at 31 December 20X8

	CU
Non-current assets – goodwill (unchanged)	1,000,000
Current liabilities – contingent consideration	6,000,000

Consolidated statement of profit or loss for year ended 31 December 20X8

	CU
Additional contingent consideration	2,000,000



Interactive question 3: Contingent consideration

Autumn plc acquired 100% of Spring Ltd on 1 January 20X5 when the fair value of the identifiable assets acquired and liabilities assumed by Autumn plc was CU20 million. The consideration was:

- Eight million shares in Autumn plc issued on 1 January 20X5 when the market price of Autumn plc's shares was 350p.
- A further payment of cash on 31 December 20X6:
  - CU700,000 if Spring Ltd's profits for the year then ended were no less than CU2 million; or
  - CU1,750,000 if Spring Ltd's profits for the year then ended were no less than CU3 million.

At 1 January 20X5 the fair value of the contingent consideration was CU100,000.

At 31 December 20X5 the fair value of the contingent consideration was CU1.2 million.

At 31 December 20X6 Spring Ltd's 20X6 profits per draft financial statements were CU3.5 million. Goodwill has not been impaired.

Requirements

3.1 Calculate the amounts to be recognised in the consolidated statement of financial position and in the consolidated statement of profit or loss for the year ended 31 December 20X5.

Consolidated statement of financial position at 31 December 20X5

	CU
Non-current assets – goodwill	
Consideration transferred	
- 8 million shares × CU3.50	
- contingent consideration at fair value at acquisition date	
Fair value of identifiable assets acquired and liabilities assumed	
Goodwill	
Current liabilities – contingent consideration at fair value at period end	

Consolidated statement of profit or loss for year ended 31 December 20X5

	CU
Additional cost of contingent	

3.2 Calculate the amounts to be recognised in the consolidated statement of financial position and in the consolidated statement of profit or loss for the year ended 31 December 20X6.

Consolidated statement of financial position at 31 December 20X6

	CU
Non-current assets – goodwill	

Consolidated statement of profit or loss for year ended 31 December 20X6

	CU
Additional cost of contingent	

See **Answer** at the end of this chapter.

5.5 Acquisition-related costs

Acquisition-related costs such as professional and other fees relating specifically to the individual transaction eg, accountants' fees and legal costs are **required to be recognised as expenses in the period in which they are incurred**.

Exception: **The costs of arranging financial liabilities (eg, loans) and issuing equity are deducted from the liability/ equity**.

6 Recognising and measuring the fair value of assets acquired and liabilities assumed

Section overview

- The identifiable assets acquired and liabilities assumed by the acquirer should be recognised at their fair values at the date of acquisition.
- Where certain criteria are met, the acquiree's assets and liabilities should be recognised separately.
- Provisions for future reorganisation plans and future losses should not be recognised as liabilities at the acquisition date.
- Contingent liabilities which can be measured reliably and for which there is a present obligation as a result of a past event should be recognised as liabilities at the acquisition date.
- An intangible asset should only be recognised if it is separable or arises from contractual or other legal rights and can be measured reliably.
- IFRS 3 provides guidance on the measurement at fair value of specific assets and liabilities.
- Any non-controlling interests in the acquiree are recognised separately.

6.1 Basic principle

IFRS 3 requires that the **acquiree's identifiable assets and liabilities should be recognised at fair value at the date of acquisition**.

What constitutes the acquiree's identifiable assets and liabilities is important as the difference between the consideration transferred in the business combination plus the value of any non-controlling interests and the acquiree's identifiable assets and liabilities represents **goodwill**. The higher the total value of identifiable assets acquired and liabilities assumed, the lower the total value of goodwill and vice versa.

Note: An exception to the basic principle is if non-current assets of the acquiree are classified as held for sale in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*.

These are recognised at **fair value less costs to sell**. This is not covered further in *Financial Accounting and Reporting*.

6.2 The recognition principle

IFRS 3 requires that an acquiree's **identifiable** assets and liabilities are separately recognised in a business combination where:

- they meet the definition of an asset or liability in the *Conceptual Framework for Financial Reporting*; and
- they are acquired as part of the business combination rather than a separate transaction. An asset or liability is **identifiable** if it:
- is separable (ie, can be sold or transferred); or
- it arises from contractual or legal rights, regardless of whether those rights are transferable.

Recognised goodwill is an example of an asset that is not separable, since it cannot be transferred to another party. Therefore, goodwill in an acquiree's separate statement of financial position is not recognised in a business combination.

An internet domain name is an example of an asset arising from a contractual right; such an asset is recognised (at fair value) on a business acquisition.

6.3 Recognition of liabilities

The recognition principle means that only items that meet the definition of a liability at the acquisition date are recognised in a business combination. This means that the future plans or expectations of the acquirer are not reflected in recognised net assets. It effectively **prohibits** any account being taken at that time of two factors which may have depressed the price the acquirer is prepared to pay for the acquiree:

Reorganisation plans devised by the acquirer which will only be put into effect once control over the acquiree is gained	Acquirers often plan to create value by changing the cost structure of the acquiree so that the post-acquisition cost base is less than the sum of the acquirer's and acquiree's existing cost bases. The acquirer will evaluate the one-off costs of making these changes when deciding what lower price to offer for the acquiree, but as these costs are **neither a liability nor a contingent liability** of the acquiree before the date control is gained, **they cannot be set up as provisions at the time of acquisition**.
Future operating losses to be incurred as a result of the business combination (this covers future losses to be incurred by the acquirer as well as by the acquiree)	An acquirer will often target a loss-making business, in the expectation that after reorganisation and with new management it will become profitable. But it often takes some time for the benefits of such changes to emerge, during which time further trading losses will be incurred. The reorganisation process may also cause short-term losses within the acquirer. The total of such losses will depress the price to be offered by the acquirer. But no account can be taken of them, because **future losses relate to future, not past, events**.

Note: Contrast reorganisation plans of the acquirer with contractual obligations put in place by the acquiree (not the acquirer) before the acquisition date, which are conditional on the acquiree being acquired. (Such contractual obligations are sometimes put together on a large scale by the acquiree's management, precisely to deter acquirers. In these cases, they are often described as 'poison pill' defences.) Before the acquisition date **these are present obligations** arising from past events, but outflows of resources are **not probable**, therefore they will be dealt with as **contingent liabilities** by the acquiree up to the moment when a business combination becomes probable. At that point they meet the recognition criteria for a liability and must be recognised as one of the acquiree's **liabilities**.

6.4 Recognition of intangible assets

The recognition principle explained above means that intangible assets that have not been recognised in the separate financial statements of the acquiree may be recognised in a business combination.

This is because:

- IAS 38 specifically prohibits the recognition of certain intangibles such as brands or customer lists whereas IFRS 3 does not.
- IAS 38 includes more stringent recognition criteria than IFRS 3, particularly in respect of internally generated intangible assets.

The Illustrative Examples which accompany IFRS 3 list the following examples of intangible assets which could be recognised on a business combination because they meet the definition of an asset and are either separable or arise form contractual or legal rights:

Separable assets:

- customer lists
- non-contractual customer relationships
- unpatented technology
- databases

Customer lists are often leased (ie, used for a period without ownership being gained) for mailing purposes by entities wanting to try to acquire new customers. **Customer relationships** are details of customers together with their past buying profiles which can be sold, on the basis that even though these customers have no outstanding commitments to make purchases, the probability is that a number of them will place future orders. A value can then be put on this probability.

Assets arising from contractual or other legal rights:

- trademarks
- internet domain names
- newspaper mastheads
- non-competition agreements
- unfulfilled contacts with customers
- copyrights over plays
- books, music, videos, etc
- leases
- licences to broadcast television and/or radio programmes
- licences to fish in certain waters
- licences to provide taxi services
- patented technology
- computer software

The definition also covers **research and development projects** which are in process at the acquisition date. These will often not be recognised in the acquiree's statement of financial position.

6.5 Recognition of contingent liabilities

IFRS 3 requires an acquirer **to recognise an acquiree's contingent liabilities at the acquisition date where:**

(a) the contingent liability is a present obligation arising from a past event rather than a possible obligation; and

(b) its fair value **can be measured reliably**.

This is in spite of the fact that **they will not have been recognised in the statement of financial position of the acquiree** because an outflow of economic resources was not considered to be probable (under IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*).

Once recognised, contingent liabilities should be carried **at the higher of the amount under IAS 37** (which will be nil until they become liabilities) **and their value at the acquisition date, less any subsequent amortisation**.

Notes

1 If these cannot be measured reliably, their value, whatever it is, will be **subsumed within goodwill** or gain on bargain purchase on acquisition. But **full disclosure** must still be made.

2 **Even if recognised**, the normal IAS 37 **disclosures** re contingent liabilities should be made.



Professional skills focus: Structuring problems and solutions

Some items which are not usually recognised in financial statements may be recognised on acquisition – such as contingent liabilities or internally generated intangible assets. The skill here is to recognise the accounting standard that applies in the scenario. If it is an acquisition, then IFRS 3 applies – and it therefore may be possible to recognise a contingent liability that was only disclosed in the subsidiary's individual accounts.

6.6 Consequences of recognition of identifiable assets acquired and liabilities assumed at fair value

The consequences of the recognition of the fair value of the identifiable assets acquired and liabilities assumed by the acquirer at the acquisition date are that:

- The acquirer's consolidated statement of profit or loss should include the acquiree's profits and losses **from the same date**.
- The fair values of the assets acquired and liabilities assumed on acquisition form the basis of all the **subsequent accounting** in the consolidated financial statements, even where fair values are not incorporated into the acquiree's single entity financial statements. For example, depreciation should be based on the fair values of property, plant and equipment which may not be the same as the carrying amount in the acquiree's statement of financial position.

7 Goodwill



Section overview

- Goodwill is calculated as the excess of the fair value of the consideration transferred plus any non- controlling interests over the fair value of the identifiable assets acquired and liabilities assumed.
- Non-controlling interests can be measured at fair value or at the proportionate share of the fair value of the identifiable assets acquired and liabilities assumed by the acquirer at the acquisition date.
- Goodwill acquired in a business combination should be recognised as an intangible asset in the consolidated statement of financial position.
- Goodwill should be tested for impairment at least annually.
- If a bargain purchase arises, the measurement of the assets acquired and liabilities assumed should be reviewed.
- If the bargain purchase remains, the gain should be recognised in profit or loss in the accounting period in which the acquisition is made.

7.1 Calculation

When consolidation is carried out, the investment in the parent's statement of financial position is **cancelled** against the fair value of the identifiable assets acquired and liabilities assumed by the acquirer at acquisition.

Context example: Cancellation

Using the facts from Interactive question 1 *Control and Ownership 1*, we had the following information:

	CU
Consideration transferred to acquire an 80% investment in Reed Ltd (in Austin Ltd's statement of financial position)	12,000
Non-controlling interests (15,000 × 20%)	3,000
Fair value of identifiable assets acquired and liabilities assumed by Austin Ltd at acquisition	15,000

If you compare the consideration transferred (CU12,000) plus the amount of the non-controlling interest with the fair value of the assets acquired and liabilities assumed, you can see that this cancels exactly. Austin Ltd has paid an amount which is equal to its share of the fair value of assets and liabilities of Reed Ltd at acquisition.

In practice this is not likely to be the case. The parent company will often pay **more** for the subsidiary than the fair value of its assets and liabilities, recognising that the subsidiary has attributes that are not reflected in its statement of financial position. The extra amount paid by the parent is **goodwill**.

7.2 Goodwill at acquisition

In accordance with IFRS 3 any excess of the consideration transferred plus the value of any non-controlling interest over the fair value of the identifiable assets acquired and liabilities assumed should be:

- described as **goodwill**; and
- **recognised as an asset** (as it meets the recognition criteria).

Definition

Goodwill: An asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised.

Note: Any goodwill carried in the acquiree's statement of financial position becomes subsumed in the goodwill arising on acquisition because:

- it is **excluded** from identifiable assets (see section 6.4 above);
- this reduces the fair value of the assets acquired and liabilities assumed at acquisition; and
- it must therefore increase the goodwill arising on consolidation.

Initial accounting for goodwill is the process of identifying and determining the fair values of:

- the identifiable assets acquired, and liabilities assumed by the acquirer;
- the consideration transferred by the acquirer ie, the assets given, liabilities assumed and equity instruments issued; and
- any non-controlling interest at acquisition.

Note: IFRS 3 allows the option to measure the non-controlling interest at acquisition at either the NCI's proportionate share of the fair value of identifiable assets acquired and liabilities assumed by the acquirer, or at **fair value**. We will be looking at the issue of the **non-controlling interest measured at fair value** in the next section.



Interactive question 4: Goodwill

P plc pays CU10,000 to buy 75% of the share capital of S Ltd. The statement of financial position of S Ltd at the date of acquisition shows the following:

	CU
Assets	16,000
Share capital	1,000
Retained earnings	11,000
Equity	12,000
Liabilities	4,000
Equity and liabilities	16,000

The fair values of the identifiable assets acquired and liabilities assumed by P plc were equal to their carrying amounts at the date of acquisition.

Requirement

Calculate the goodwill arising on P plc's acquisition of S Ltd. Assume that the non-controlling interest at acquisition is measured at the NCI's proportionate share of the identifiable assets acquired and liabilities assumed.

Fill in the proforma below.

Note: For the purposes of calculating goodwill, the fair value of the assets acquired less liabilities assumed at acquisition may be stated as being equal to the carrying amount of the 'net assets' of the acquiree at the date of acquisition. Net assets are calculated as share capital plus retained earnings (and other reserves, if any) at the acquisition date. An adjustment may be needed to take account of the fair value of assets and liabilities at the date of acquisition.

	CU
Consideration transferred	
Plus non-controlling interests at acquisition (25% of FV of identifiable net assets of S Ltd)	
Less fair value of identifiable assets acquired and liabilities assumed at acquisition	
Goodwill	

See **Answer** at the end of this chapter.



Interactive question 5: Measuring fair value

Kelly plc acquired 75% of Eclipse plc on 1 July 20X7. The consideration comprised:

- five million 25p ordinary voting shares of Kelly plc (market value 60p) to be issued on 1 July 20X7 (issue costs of CU10,000 were paid to a merchant bank);
- CU1 million cash payable on 1 July 20X7; and
- a further 1 million 25p ordinary voting shares of Kelly plc to be issued on 1 July 20X8.

The carrying amount of net assets as shown in the statement of financial position of Eclipse plc at 1 July 20X7 was CU3,628,000. The fair value of the identifiable assets acquired and liabilities assumed by Kelly plc were equal to the carrying amount of Eclipse Ltd's net assets, with the exception of a contingent liability which is disclosed in the financial statements of Eclipse plc with a potential amount of CU2 million. The fair value of this contingent liability at 1 July 20X7 has been reliably estimated at CU200,000. The non-controlling interests are measured at their proportionate share of the fair value of the identifiable assets acquired and liabilities assumed by Kelly plc at the date of acquisition.

Requirement

Show the entries in Kelly plc's accounting records to record the investment in Eclipse plc, and calculate goodwill acquired in the business combination.

Fill in the proforma below.

Recording investment in Eclipse plc

	CU	CU
Shares to be issued 1 July 20X7		
DR		
CR		
CR		
CR		
Cash		
DR		
CR		
Shares to be issued 1 July 20X8		
DR		
CR		

Goodwill on consolidation of Eclipse plc

	CU	CU
Consideration transferred		
- Shares		
- Cash		
Shares to be issued		
Non-controlling interests at acquisition		
Fair value identifiable assets acquired and liabilities assumed		
- Net assets of Eclipse plc		
Less: Contingent liability		
Goodwill		

See **Answer** at the end of this chapter.

7.3 Summary

Goodwill arising from a business combination is calculated as follows:

	CU	CU
Fair value of consideration transferred		X
Non-controlling interests at acquisition		X
Less:		
- Fair value of tangible assets	X	
- Fair value of intangible assets	X	
- Fair value of assets	X	
- Fair value of liabilities	(X)	
- Fair value of contingent liabilities	(X)	
- Fair value of identifiable assets acquired and liabilities assumed		(X)
- Goodwill/(Gain on a bargain purchase)		X/(X)

7.4 Goodwill subsequent to acquisition

After initial recognition, goodwill should be:

- carried in the statement of financial position at **cost less accumulated impairment losses**; and
- **tested for impairment** at least annually in accordance with IAS 36, *Impairment of Assets*.

If goodwill has suffered an impairment, **the loss will be recognised in the consolidated statement of profit or loss**. **Retained earnings** in the consolidated statement of financial position will also be **reduced**.

If the NCI has been measured at **fair value** (see section 8) then part of the impairment loss will be **allocated to the NCI**, based on the NCI percentage shareholding.

Note: Retained earnings will be reduced by the group share of total impairments recognised to date, not just the fall in value which relates to the current year.

This is because goodwill is a **consolidation adjustment** ie, it only affects the group accounts. The single entity accounts which are used as the basis of the consolidated statement of financial position will not reflect any impairments in goodwill arising on consolidation.

7.5 Gain on a bargain purchase

In certain circumstances the parent entity may pay **less** to acquire a subsidiary than represented by its share of the fair value of the assets acquired and liabilities assumed.

These circumstances might include the following:

- The subsidiary has a poor reputation or is loss-making.
- It suffers from inherent weaknesses not reflected in its assets and liabilities.
- The parent company has negotiated a good deal.

A gain on a bargain purchase arises if the fair value of the identifiable assets acquired and liabilities assumed by the acquirer **exceeds** the total of the consideration transferred and the value of any non- controlling interests ie, there is 'negative goodwill'.

IFRS 3 is based on the assumption that this usually arises because of **errors in the measurement of the acquiree's net assets** and/or the consideration transferred. The acquirer should first assess whether it has correctly identified all of the assets acquired and all of the liabilities assumed, and shall recognise any assets or liabilities identified as part of that review. The acquirer should then review the procedures for the measurement of the following amounts at the acquisition date:

- the fair value of the identifiable assets acquired and liabilities assumed;
- any non-controlling interest; and
- the consideration transferred.

If the gain still remains once these reassessments have been made, then it is attributable to **a bargain purchase** ie, the acquirer has managed to get away with paying less than the full value for the acquiree. This gain should be **recognised in profit or loss** in the same accounting period as the acquisition is made.



Professional skills focus: Assimilating and using information

Bargain purchases are unusual in questions that ask you to prepare consolidated financial statements. If your goodwill calculation indicates a bargain purchase, you are advised to review the information you have included in your calculation. Ensure that you have:

- Included all consideration (cash, shares, deferred and contingent)
- Added any non-controlling interests at acquisition
- Identified the fair value of all identifiable assets acquired and liabilities assumed
- Cast (added) down the calculation correctly

7.6 Subsequent adjustments

While every effort should be made to complete the initial measurement of goodwill by the end of the accounting period in which the business combination takes place, **it may be that in some cases only provisional values can be established by that time**. In such cases:

- **Provisional values** should initially be used in the calculation of goodwill.
- **Adjustments can be made** to the fair values of the assets acquired and liabilities assumed and/or the consideration transferred made **within one year of the acquisition** date, known as the measurement period, to take account of new information about conditions that existed at the acquisition date. Such adjustments should be **backdated** to the acquisition date. Changes in these amounts may therefore lead to a **restatement of the provisional values for goodwill or the gain on bargain purchase on acquisition**.
- **Comparative figures** for the previous period (the one in which the combination took place) **should be restated** as if these adjustments had been made as part of the initial accounting. As a result, depreciation charges in the previous period in respect of PPE may have to be restated.

Notes

1 The measurement period can **only be used to reassess fair values** to take account of new information about conditions that existed at the acquisition date. It **cannot** be used to **backdate the recognition of acquired assets and liabilities** which did not meet the recognition criteria at the acquisition date but do so during this period, because this would involve taking account of events **after** the acquisition date. As an example, major pollution damage resulting from an accident taking place within the one-year period may result in

new types of liabilities being identified, types which were unknown at the acquisition date. No such liabilities should be recognised at the acquisition date as they were not known at that time.

2 The measurement period is a **maximum** of one year. It ends before one year if the acquirer receives the necessary information before that year expires.

Fair value adjustments made after the end of the measurement period are to be treated as follows:

- In limited circumstances, they are **backdated** to the acquisition date with restatement of goodwill or gain on bargain purchase on acquisition and all comparative figures. These circumstances are if they arise as a result of an error, as defined by IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*. But **such errors will be very rare**.
- In **all other circumstances**, such adjustments are to be treated as **changes in accounting estimates**, as defined in IAS 8. There is **no backdating** to the acquisition date and **no restatement** of comparative figures. These adjustments are recognised as **income or expenses in the accounting period in which they arise**. So if a trade receivable which had a fair value of nil at the acquisition date (ie, it had been recognised as an expense in profit or loss) is recovered in full two years afterwards, **it is treated as income, not as a reduction in goodwill**.

8 Measurement of non-controlling interests



Section overview

- IFRS 3 allows two methods of measuring the non-controlling interest (NCI) at the acquisition date:
  - measuring the NCI share of the fair value of the identifiable assets acquired and liabilities assumed (proportionate basis); and
  - measuring the NCI at its fair value (the fair value method).
- The fair value method results in the NCI's share of goodwill being recognised.

8.1 Measurement of non-controlling interests at acquisition date

- The traditional method of measuring the NCI at the acquisition date is to measure it at the NCI's share of the fair value of the acquiree's identifiable assets acquired and liabilities assumed, known as the **proportionate basis** throughout the *Financial Accounting and Reporting* materials.

  This method results in goodwill being in effect the difference between the cost of the acquirer's investment and its share of the fair value of the identifiable assets acquired and liabilities assumed at the date of acquisition. The rationale is that the market transaction which is the business combination has only provided evidence of the amount of the parent entity's goodwill; there has been no market transaction to provide evidence of the amount of goodwill attributable to the NCI. Hence only the acquirer's share of the goodwill is recognised.
- The alternative approach works on the basis that the goodwill attributable to the NCI can be calculated from the estimate of the fair value of the NCI itself. It is an approach which is consistent with the rest of IFRS 3 which requires the consideration transferred, the assets acquired and the liabilities assumed all to be measured at fair value.

The fair value method usually results in a higher amount for the NCI; the difference between this and the amount as traditionally measured is added to the goodwill acquired in the business combination and is the goodwill attributable to the NCI at the acquisition date.

Note: The choice of method is available for each business combination separately. The choice in respect of one combination is **not binding** for subsequent combinations.

Worked example: Measurement of NCI 1

The consideration transferred by National plc when it acquired 800,000 of the 1,000,000 CU1 equity shares of Locale Ltd was CU25 million. At the acquisition date Locale Ltd's retained earnings were CU20 million and the fair value of the 200,000 equity shares in Locale Ltd not acquired was CU5 million. The fair value of the identifiable assets acquired and liabilities assumed by National plc were equal to their carrying amounts at the date of acquisition.

Requirements

Calculate the goodwill acquired in the business combination on the basis that the NCI in Locale Ltd is measured using:

(a) proportionate basis

(b) fair value

Solution

	NCI on proportionate basis	NCI at fair value
	CU	CU
Consideration transferred	25,000,000	25,000,000
NCI – 20% × CU21m/fair value	4,200,000	5,000,000
	29,200,000	30,000,000
Fair value of identifiable assets acquired and liabilities assumed (CU1m + CU20m)	(21,000,000)	(21,000,000)
Goodwill acquired in business combination	8,200,000	9,000,000

The only difference between the results of the two methods at the acquisition date is that the NCI and goodwill are higher by CU0.8 million, the amount by which the fair value of the NCI exceeds its share of the identifiable assets acquired and liabilities assumed at the date of acquisition.

Note: There is always likely to be a difference between the fair values per share of an equity holding which provides control over another entity and a holding which does not, because buyers are prepared to pay a higher price per share if they end up gaining control of the other entity. This higher price is sometimes referred to as the 'control premium'. In the above example:

- The controlling interests are valued at CU31.25 per share (25,000/800).
- The NCI is valued at CU25.00 per share (5,000/200).

8.2 Subsequent measurement of NCI in statement of financial position

If the NCI was measured at the acquisition date at fair value, then the carrying amount at the end of each subsequent period should take that fair value into account.

Consolidation working – Non-controlling interests

	CU
Fair value of NCI at acquisition date	X
Share of post-acquisition retained earnings (NCI% × post-acquisition retained earnings)	X
	X

Where NCI has been measured at fair value and there is an impairment of goodwill, part of that impairment will be charged to the NCI at the end of the reporting period, based on the NCI %.

For instance, if the goodwill in the worked example in section 8.1 above was impaired by CU1,000, the impairment would be reflected in the consolidated statement of financial position as follows:

Proportionate basis

	CU	CU
DR Group retained earnings	1,000	
CR Goodwill		1,000

Fair value basis

	CU	CU
DR Group retained earnings (1,000 × 80%)	800	
DR Non-controlling interests (1,000 × 20%)	200	
CR Goodwill		1,000

Where the proportionate method of calculating goodwill and NCI has been used students should assume that any impairment given relates to the proportion of goodwill recognised and no adjustment to the figure will be necessary.

Worked example: Measurement of NCI 2

Continuing with the immediately preceding worked example, Locale Ltd's retained earnings three years later were CU23 million.

Requirements

Calculate the carrying amount of the non-controlling interest three years later on the basis that at acquisition it was measured using:

(a) proportionate basis

(b) fair value

Solution

Consolidation working – Fair value of identifiable assets acquired and liabilities assumed – Locale Ltd

	At period end	At acquisition	Post-acquisition
	CU	CU	CU
Share capital	1,000,000	1,000,000	–
Retained earnings	23,000,000	20,000,000	3,000,000
	24,000,000	21,000,000	3,000,000

Note that the fair values of the identifiable assets acquired and liabilities assumed by National plc are equal to the carrying amounts of the net assets of Locale Ltd at the date of acquisition, and therefore no fair value adjustments are required.

Consolidation working – Non-controlling interest

	NCI on Proportionate basis	NCI at fair value
	CU	CU
NCI at acquisition date		
- At share of fair value of identifiable assets acquired and liabilities assumed (20% × 21,000,000)	4,200,000	
- At fair value		5,000,000
Share of post-acquisition retained earnings (20% × 3,000,000)	600,000	600,000
	4,800,000	5,600,000



Interactive question 6: Subsequent measurement of NCI

On 1 January 20X8 Foot plc acquired 75,000 equity shares in Belt Ltd for CU750,000. Belt Ltd's issued equity share capital was 100,000 CU1 shares at 1 January 20X8. The fair value of the identifiable assets acquired and liabilities assumed by Foot plc were equal to their carrying amount of CU600,000 at the date of acquisition. On the same date the fair value of the equity shares in Belt Ltd not acquired by Foot plc was estimated at CU175,000.

On 31 December 20X8 the summarised statements of financial position of the two entities were as follows:

	Foot plc CU	Belt Ltd CU
ASSETS		
Non-current assets		
Property, plant and equipment	150,000	500,000
Investments	750,000	-
	900,000	500,000
Current assets	1,700,000	680,000
Total assets	2,600,000	1,180,000
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital (CU1 shares)	500,000	100,000
Retained earnings	1,500,000	880,000
	2,000,000	980,000
Current liabilities	600,000	200,000
Total equity and liabilities	2,600,000	1,180,000

Requirements

Prepare the consolidated statement of financial position of Foot plc and its subsidiary Belt Ltd as at 31 December 20X8 on the basis that at acquisition the non-controlling interest was measured using:

(a) proportionate basis

(b) fair value

See **Answer** at the end of this chapter.

9 IFRS 10, *Consolidated Financial Statements*



Section overview

- With limited exceptions, all parent entities must present consolidated financial statements.
- Consolidated financial statements must include the parent and all the entities under its control.
- For the purposes of your *Financial Accounting and Reporting* exam, the investment in the subsidiary is carried at cost in the parent's statement of financial position.

9.1 Scope

IFRS 10 is to be applied **in the preparation of the consolidated financial statements** (CFS) of the group.



Definitions

A group: A parent and all its subsidiaries.

Consolidated financial statements: The financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity.

Non-controlling interest: The equity in a subsidiary not attributable, directly or indirectly, to a parent.

9.2 Background

IFRS 10 bases its consolidation model on **control**, but it seeks to define control in a way which can be applied to all investees. IFRS 10 gives a more detailed definition of control and seeks in that way to reduce the opportunities for reporting entities to avoid consolidation.

The IFRS 10 definition of control was explained in section 3.1.

9.3 Presentation of CFS

With one exception, a **parent must present CFS**.

A parent need not prepare CFS if, and only if, **all** of the following hold:

- the parent is itself **a wholly-owned subsidiary** or it is a partially owned subsidiary of another entity and its other owners, including those not otherwise entitled to vote, have

been informed about, and do not object to, the parent not presenting consolidated financial statements;

- its securities are **neither publicly traded nor in the process of being issued to the public**; and
- IFRS Accounting Standards-compliant CFS are prepared by the **immediate or ultimate parent company**.

9.4 Scope of CFS

The CFS **must include the parent and all subsidiaries**, both foreign and domestic, other than:

- those held for sale in accordance with IFRS 5; and
- those held under such long-term restrictions that control cannot be operated.

IFRS 10 is clear that a subsidiary should not be excluded from consolidation simply because it is loss making or its business activities are dissimilar to those of the group as a whole.



Professional skills focus: Applying judgement

You may be faced with a question in which a company wishes to exclude an investee from consolidation. You need to apply judgement and professional scepticism to consider whether there are any ethical issues arising eg, why would a company wish to exclude a subsidiary from consolidation? Is it trying to hide something (often an attempt to raise 'off balance sheet' finance) or to improve results?

9.5 Consolidation procedures

The following consolidation procedures are necessary to present the group as a single economic entity. These were explained in earlier sections of this chapter ie:

- **eliminating** the **carrying amount of the parent's investment** against its share of the acquisition date **equity in its subsidiaries**, with **goodwill** being the resultant figure; and
- **calculating the non-controlling interest** and presenting it as a separate figure:
  - in the statement of financial position, within total equity but separately from the parent shareholders' equity; and
  - in the statement of profit or loss.

In addition, **intra-group balances, transactions, profits and losses should be eliminated in full** (ie, not just the parent's share).

Note: Under IFRS 10 total comprehensive income is attributed to the parent and the non-controlling interests even if this results in the non-controlling interests having a deficit balance. This is consistent with the idea that the non-controlling interests are part of the equity of the group. If there are non- controlling interests in cumulative preference shares which are classified as equity, the
non-controlling interests must be allocated their share of the relevant dividends even if they have not been declared.

There are additional requirements:

- Where the parent and subsidiary have **different reporting dates**, that difference should be **no more than three months** (remember that, because it has control, the parent can dictate a reporting date to the subsidiary) **and adjustments must be made for major transactions between the two dates**. An example of such an adjustment would be if the subsidiary with cash appearing in its statement of financial position at an earlier date lent it to the parent

so that the same cash was in the parent's statement of financial position at the later date. An adjustment must be made to eliminate this double-counting.

- **Uniform accounting policies must be applied** to all companies in preparing the CFS. If they are not adopted in the subsidiaries' own financial statements, then **adjustments should be made as part of the consolidation**. It might be the case that certain group companies take advantage of the alternative accounting treatments allowed in some areas by IFRS Accounting Standards, but these should be made uniform on consolidation.

Changes in the composition of the group are accounted for as follows:

- **Acquisitions are accounted for under IFRS 3**, by bringing into the consolidated statement of profit or loss the new subsidiary's income and expenses from the date of acquisition.
- In the case of disposals, the **income and expenses to the date of disposal** (ie, the date control is lost) **are included in the CFS**, as is the difference between the **proceeds of sale** and the **carrying amount in the consolidated statement of financial position** at that date (which will be the parent's share of the subsidiary's net assets at the date of disposal plus any remaining goodwill relating to that subsidiary – this is dealt with in Chapter 16).



Professional skills focus: Assimilating and using information

Preparing consolidated financial statements requires assimilating and using a lot of information – both in your exam and in real life. Therefore, being able to apply consolidation procedures to help you to assimilate and use information efficiently is a key skill to develop in this topic.

10 IFRS 12, *Disclosure of Interests in Other Entities*



Section overview

IFRS 12 sets out the required disclosures for group accounting.

10.1 Overview

IFRS 12, *Disclosure of Interests in Other Entities* requires comprehensive disclosures about a reporting entity's interests in other entities. The information required by IFRS 12 is intended to help users to evaluate the nature of, and risks associated with, a reporting entity's interest in other entities and the effects of those interests on its financial position, financial performance and cash flows. It replaces the disclosure requirements of all other standards relating to group accounting. The standard requires disclosure of:

- the significant judgements and assumptions made in determining the nature of an interest in another entity or arrangement, and in determining the type of joint arrangement in which an interest is held; and
- information about interests in subsidiaries, associates, joint arrangements and structured entities that are not controlled by an investor.

10.2 Interests in subsidiaries

The following disclosures are required in respect of subsidiaries:

- the interest that non-controlling interests have in the group's activities and cash flows, including the name of relevant subsidiaries, their principal place of business and the interest and voting rights of the non-controlling interests;

- the nature and extent of significant restrictions on an investor's ability to use group assets and liabilities;
- the nature of the risks associated with an entity's interests in consolidated structured entities; and
- the consequences of changes in ownership interest in subsidiaries (possible loss of control).

IFRS 12 also requires specific disclosures in respect of associates and joint arrangements. These are explained in Chapter 15.

11 IAS 27, *Separate Financial Statements*



Section overview

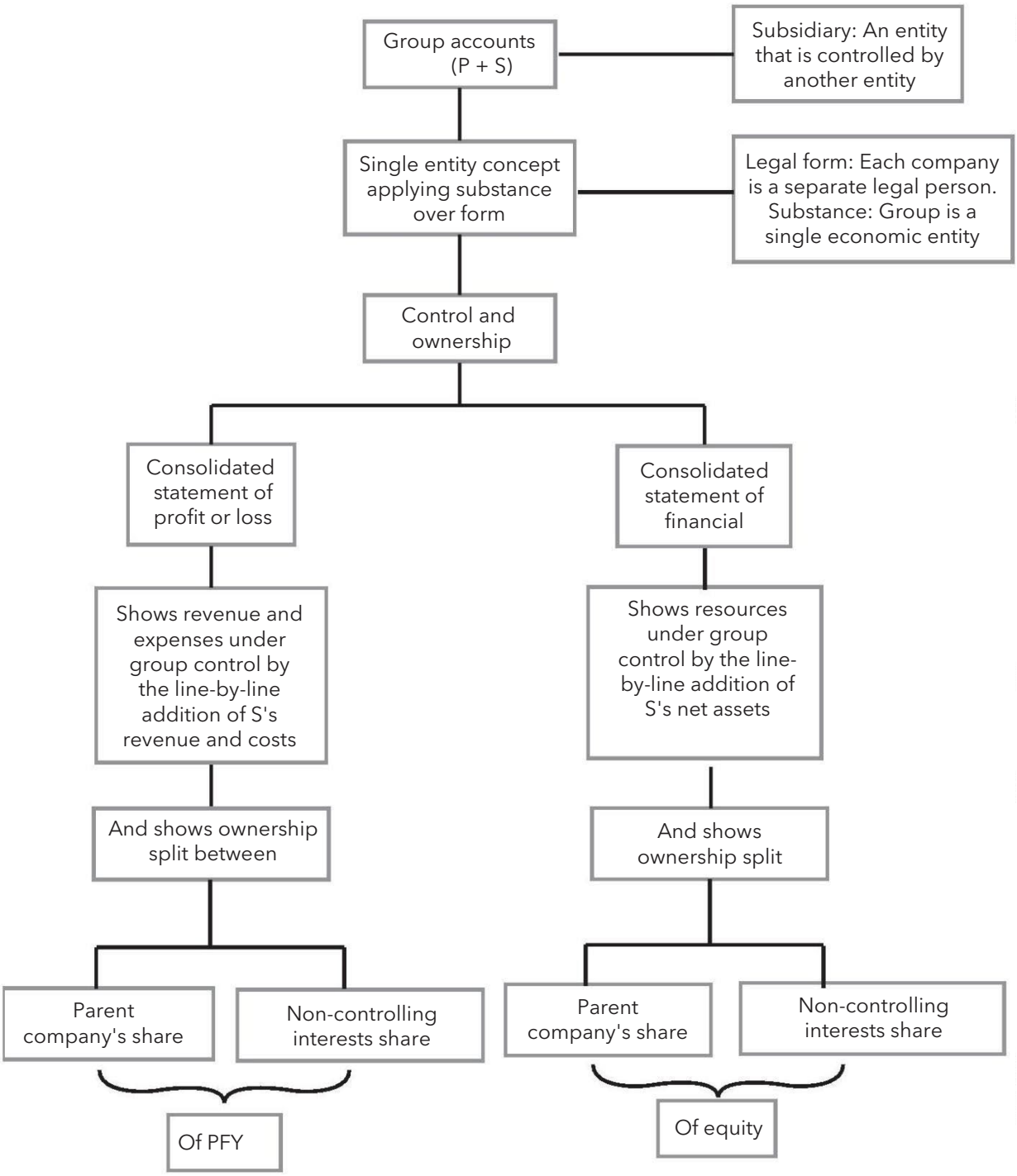
IAS 27 specifies the requirements for a parent's separate financial statements.

IAS 27, *Separate Financial Statements* specifies the accounting and disclosure requirements for the separate financial statements of the parent or the investor, in which the relevant investments will be accounted for either at cost or in accordance with IFRS 9 or using equity accounting in line with IAS 28.

The exception to this is investments held for sale which will be accounted for in accordance with IFRS 5, *Non-current Assets Held For Sale and Discontinued Operations*.

In its separate financial statements, an entity will recognise dividends from other entities, rather than recognising a share of their profits. An entity recognises a dividend from a subsidiary, joint venture or associate when its right to receive the dividend is established.

Summary


Group accounts (P + S)
Subsidiary: An entity that is controlled by another entity
Single entity concept applying substance over form
Legal form: Each company is a separate legal person. Substance: Group is a single economic entity
Control and ownership
Consolidated statement of profit or loss
Consolidated statement of financial
Shows revenue and expenses under group control by the line-by-line addition of S's revenue and costs
Shows resources under group control by the line-by-line addition of S's net assets
And shows ownership split between
And shows ownership split
Parent company's share
Non-controlling interests share
Parent company's share
Non-controlling interests share
Of PFY
Of equity

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Why does a group present consolidated financial statements? (Topic 1 and 2)
2.	Can you define control? Can you explain the three elements of control? (Topic 3)
3.	Can you explain the acquisition method? (Topic 4)
4.	Can you explain how to measure contingent consideration and deferred consideration? (Topic 5)
5.	Can you explain how the identifiable assets acquired and liabilities assumed by the acquirer should be measured and recognised on acquisition? Can you explain the exceptions in IFRS 3 to the usual recognition requirements? (Topic 6)
6.	Can you explain how to calculate goodwill? (Topic 7)
7.	Can you explain the effect of measuring NCI at fair value and on a proportionate basis? (Topic 8)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Sansom plc	This question tests a calculation that is crucial to group accounting – goodwill – in two different subsidiaries. It is a great question to help you build up confidence in calculating goodwill and includes a twist: how to account for an impairment loss on goodwill.
Castor plc	This question again tests the important calculation of goodwill, but this time with a twist in the consideration paid to acquire the subsidiary.
Crawford	This question is excellent as it tests a lot of the knowledge learned in this chapter, including principles underlying group accounting in part 1, whether you can explain key concepts in part 2 and the preparation of consolidated financial statements in part 3.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted the self-test questions, you can continue your studies by moving onto the next chapter. In later chapters, we will recommend questions from the Question Bank for you to attempt.

Technical reference

The following sets out the examinability of the standards covered in this chapter.

IFRS All paragraphs but excluding paragraphs 24–30, 41–44, 54–55, 57 and 67. Appendix B is excluded except for B5–B11, B31–B34 and B64–B67 and the illustrative examples are also excluded.

The paragraphs listed below are the key references you should be familiar with.

1 IFRS 3, *Business Combinations*

Basics

- Definitions: control, acquirer, acquiree, acquisition date, goodwill – **IFRS 3 (App A)**
- Acquisition method: acquirer, cost of combination, allocation over identifiable assets, liabilities and contingent liabilities – **IFRS 3 (5)**

Acquisition date

- Date on which control passes – **IFRS 3 (8–9) Consideration transferred**
- Measured at fair value of assets given, liabilities assumed and equity instruments issued – **IFRS 3 (37–38)**
- Subsequent adjustment to cost:
  - Subsequent adjustments within measurement period affect goodwill – **IFRS 3 (45–50)**
  - If after initial accounting complete, then in current period

Recognition and measurement of identifiable net assets acquired

- Identifiable assets – exist at acquisition date and:
  - May or may not have been recognised in the acquiree's own financial statements – **IFRS 3 (10– 14)**
- Identifiable contingent liabilities – exist at acquisition date and:
  - Reliably measurable – **IFRS 3 (23)**
  - Normal IAS 37 disclosures – **IFRS 3 (B64)**
  - Subsequently carried at higher of IAS 37 value and value at acquisition date – **IFRS 3 (56)**

Goodwill

- Non-current asset – **IFRS 3 (32)**
- No amortisation but subject to annual impairment reviews – **IAS 36 (10)**

Gain on bargain purchase

- Reassess identification and measurement of the net assets acquired and measurement of consideration transferred – **IFRS 3 (36)**
- Any remaining amount recognised in profit or loss in period the acquisition is made – **IFRS 3 (34) Initial accounting**
- At acquisition date or within 12 months thereof – **IFRS 3 (45)**
- Subsequently: errors accounted for retrospectively, everything else prospectively – **IFRS 3 (50)**

Disclosures

- Business combinations effected in the accounting period or after its finish but before financial statements authorised for issue (in the latter case, by way of note)
- Gains, losses, errors and other adjustments which relate to combinations effected in the current or previous periods
- Changes in the carrying amount of goodwill during the period – **IFRS 3 (B64–B67)**

2 IFRS 10, *Consolidated Financial Statements*

Scope

- An entity that is a parent shall present consolidated financial statements, unless:
  - Wholly or partially-owned subsidiary and all other owners do not object to no CFS
  - Debt or equity instruments not publicly traded
  - Not in the process of filing financial statements with any regulatory body for the purpose of making a public offering
  - Ultimate or intermediate parent publishes consolidated financial statements compliant with IFRS Accounting Standards – **IFRS 10 (4)**

Control

- An investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee – **IFRS 10 (6)**
- An investor has power over an investee when the investor has existing rights that give it the current ability to direct the relevant activities ie, the activities that significantly affect the investee's returns – **IFRS 10 (10)**

Accounting requirements

- A parent shall present consolidated financial statements using uniform accounting policies for like transactions and other events in similar circumstances – **IFRS 10 (19)**
- Non-controlling interests to be presented in the consolidated statement of financial position within equity, but separately from owners' equity – **IFRS 10 (22)**

Appendix A

Definitions: control, group, non-controlling interest, parent, power, relevant activities, subsidiary.

3 IAS 27, *Separate Financial Statements*

Definitions: as per IFRS 10 – **IAS 27 (5)**

Parent's separate financial statements

- Investments in subsidiaries, joint ventures and associates should be accounted for either at cost or in accordance with IFRS 9 (IAS 39), unless they are classified as held for sale – **IAS 27 (10)**
- A dividend from a subsidiary, joint venture or associate shall be recognised when the right to receive the dividend is established – **IAS 27 (12)**

Disclosure

- When a parent elects not to prepare consolidated financial statements, it shall disclose:
  - details of the entity and a statement that the exemption from consolidation has been used;

- a list of significant investments in subsidiaries, joint ventures and associates; and
- a description of the method used to account for these investments – **IAS 27 (16)**

4 IFRS 12, *Disclosure of Interests in Other Entities*

- Deals with disclosure requirements for an entity that has an interest in subsidiaries, joint ventures or associates – **IFRS 12 (5)**
- An entity shall disclose information about significant judgements and assumptions it has made in determining that it has control, joint control or significant influence – **IFRS 12 (7)**
- An entity shall disclose information regarding:
  - its interests in subsidiaries; and – **IFRS 12 (10)**
  - the interests that non-controlling interests have in the group's activities and cash flows – **IFRS 12 (11)**

Self-test questions

Answer the following questions.

1 Vaynor plc

Vaynor plc acquired 100,000 ordinary voting shares in Weeton Ltd and 40,000 ordinary voting shares in Yarlet Ltd some years ago.

Extracts from the statements of financial position of the three companies as on 30 September 20X7 were as follows.

	Vaynor plc	Weeton Ltd	Yarlet Ltd
	CU	CU	CU
Ordinary shares of CU1 each	500,000	100,000	50,000
Retained earnings	90,000	40,000	70,000

At acquisition Weeton Ltd had retained losses of CU10,000 and Yarlet Ltd had retained earnings of CU30,000.

Requirement

What were the consolidated retained earnings of Vaynor plc on 30 September 20X7?

2 Wolf plc

Wolf plc acquired 80,000 CU1 ordinary voting shares in Fox plc on 1 April 20X5 at a cost of CU77,000. Fox plc's retained earnings at that date were CU50,000 and its issued ordinary share capital was CU100,000. The fair value of the assets acquired and liabilities assumed by Wolf plc were equal to their carrying amounts at the date of acquisition. Non-controlling interests are measured at fair value of CU32,000.

Requirement

What is the amount of the gain on a bargain purchase arising on the acquisition?

3 Ling plc

Ling plc purchased 80% of the ordinary voting shares of Moy Ltd on 1 June 20X0 for CU5,400,000. The summarised statement of financial position of Moy Ltd on this date showed the following.

	CU
Ordinary share capital	1,000,000
Share premium account	500,000
Revaluation surplus	400,000
Retained earnings	2,700,000
	4,600,000

At the acquisition date, the fair values of the identifiable assets acquired and liabilities assumed by Ling plc were equal to the carrying amounts of net assets, with the following exceptions:

- Moy Ltd had an intangible asset (a brand), which had a fair value of CU150,000 in excess of its carrying amount; and
- Moy Ltd's statement of financial position included goodwill of CU500,000 which had arisen on the acquisition of a sole trader. Ling plc has chosen to use the proportionate basis to measure the non-controlling interest arising on the acquisition of Moy Ltd.

Requirement

In accordance with IFRS 3, *Business Combinations* what is the amount of goodwill acquired in the business combination?

4 Sansom plc

Sansom plc has two subsidiaries, Mabbutt Ltd and Waddle Ltd. It purchased 10,000 CU1 shares in Mabbutt Ltd on 1 January 20X1 for CU35,000 when the retained earnings of Mabbutt Ltd stood at CU21,000 and the fair value of the NCI was CU13,000. It purchased 15,000 CU1 shares in Waddle Ltd for CU20,000 on 31 December 20X1 when the retained earnings of Waddle Ltd stood at CU16,000 and the fair value of the NCI was CU10,000.

The fair values of the identifiable assets acquired and liabilities assumed by Sansom plc were equal to their carrying amounts at the date of acquisition.

Non-controlling interests at the acquisition date are to be measured at their fair value. The issued share capital of the two subsidiaries is as follows.

Mabbutt Ltd	CU15,000
Waddle Ltd	CU20,000

By the end of 20X4 goodwill impairment losses totalled CU4,400.

Requirement

What is the carrying amount of goodwill in the consolidated statement of financial position at 31 December 20X4?

5 Teal plc

Teal plc has purchased all the share capital of Juniper Ltd during the year.

Which of the following items should Teal plc take into account when calculating the fair value of identifiable assets acquired and liabilities assumed in accordance with IFRS 3, *Business Combinations*?

A A possible loss dependent on the outcome of a legal case which has not been provided for in Juniper Ltd's accounts. The acquisition date fair value of the loss can be estimated reliably.

B A provision required to cover the costs of reorganising Juniper Ltd's departments to fit in with Teal plc's structure.

C A warranty provision in Juniper Ltd's accounts to cover the costs of commitments made to customers.

6 Wilsons plc

Wilsons plc purchased 70% of Watneys Ltd for CU20,000 on 30 June 20X2. The fair value of the non- controlling interests at that date was CU7,000. The statements of financial position of Watneys Ltd are as follows.

	30 September	
	20X2	20X1
	CU	CU
Ordinary share capital	1,000	1,000
Share premium	2,000	2,000
Retained earnings	21,000	12,000
	24,000	15,000

Profits accrue evenly over the year. Wilsons plc uses fair value wherever possible as a preferred method of accounting. The fair value of the identifiable assets acquired and liabilities assumed by Wilsons plc were equal to their carrying amounts at the date of acquisition.

Requirement

What is the goodwill acquired in the business combination?

7 Leeds Ltd

Leeds Ltd acquired 100% of the issued share capital of Cardiff Ltd for CU12 million in cash. In arriving at the purchase price Leeds Ltd had taken into account future costs for reorganising Cardiff Ltd of CU1 million and Cardiff Ltd's anticipated future trading losses of CU2 million. The fair value of the identifiable assets acquired and liabilities assumed by Leeds Ltd before taking into account these matters was CU7 million.

Requirement

In accordance with IFRS 3, *Business Combinations*, what is the amount of goodwill acquired in the business combination?

8 Castor plc

Castor plc acquires 75% of the ordinary voting share capital of Pollux Ltd on 1 December 20X1. The consideration transferred is CU1 million in cash and 300,000 CU1 ordinary shares of Castor plc. The market value of each of Castor plc's shares on 1 December 20X1 is 300 pence. On 1 December 20X1 the fair values of the identifiable assets acquired and liabilities assumed by Castor plc were equal to the carrying amounts of the net assets of Pollux Ltd of CU1 million. Castor plc intends to measure the non-controlling interest in Pollux Ltd at its fair value on 1 December 20X1 of CU280,000.

Requirement

In accordance with IFRS 3, *Business Combinations* what is the amount of goodwill acquired in the business combination to be dealt with in Castor plc's consolidated accounts?

9 Acquisition of a subsidiary

In accordance with IFRS 3, *Business Combinations* the timetable for the acquisition of a subsidiary will usually include the following four dates.

What will be the effective date for accounting for the business combination?

A The date on which consideration passes
B The date on which an offer becomes or is declared unconditional
C The date from which the acquiring company has the right to share in the profits of the acquired business under the agreement
D The date on which control passes

10 Salt Ltd

Salt Ltd has a share capital of CU10,000 split into 2,000 A ordinary shares of CU1 each and 8,000 B ordinary shares of CU1 each. Each A ordinary share has ten votes and each B ordinary share has one vote. Both classes of shares have the same rights to dividends and on liquidation. Tahini plc owns 1,500 A ordinary shares in Sam Ltd. Dill plc owns 5,000 B ordinary shares in Salt Ltd.

All three companies conduct similar activities and there is no special relationship between the companies other than that already stated. The shareholdings in Salt Ltd are held as long-term investments and are the only shareholdings of Tahini plc and Dill plc.

Requirement

In accordance with IFRS 10, *Consolidated Financial Statements* which company(/ies) should prepare consolidated financial statements?

11 Andress Ltd

The statement of profit or loss and statement of financial position for the year 20X0 for Andress Ltd and Bacall Ltd are given below.

Statements of profit or loss for the year ended 31 December 20X0

	Andress Ltd CU	Bacall Ltd CU
Revenue	10,000	7,000
Cost of sales	(6,000)	(2,000)
Gross profit	4,000	5,000
Expenses and tax	(3,000)	(2,000)
Profit	1,000	3,000

Statements of financial position as at 31 December 20X0

	Andress Ltd CU	Bacall Ltd CU
ASSETS		
Non-current assets		
Property, plant and equipment	25,300	9,000
Investments (3,200 shares in Bacall Ltd at cost)	3,200	-
	28,500	9,000
Current assets	22,500	7,000
Total assets	51,000	16,000
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital	10,000	4,000
Share premium account	4,000	–
Retained earnings	2,000	7,000
Total equity	16,000	11,000
Non-current liabilities	10,000	2,000
Current liabilities	25,000	3,000
Total equity and liabilities	51,000	16,000

Andress Ltd has owned 80% of Bacall Ltd since incorporation.

Requirement

Prepare, for Andress Ltd, the consolidated statement of profit or loss for the year ended 31 December 20X0 and the consolidated statement of financial position at that date.

12 Crawford Ltd

The statements of financial position and statements of profit or loss for Crawford Ltd and Dietrich Ltd are given as follows.

Statements of financial position as at 30 June 20X0

	Crawford Ltd CU	Dietrich Ltd CU
ASSETS		
Non-current assets		
Property, plant and equipment	27,000	12,500
Investments (2,000 CU1 shares in Dietrich Ltd at cost)	2,000	
	29,000	12,500
Current assets	25,000	12,000
Total assets	54,000	24,500
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital	20,000	3,000
Share premium account	6,000	–
Retained earnings	9,000	14,000
Total equity	35,000	17,000
Non-current liabilities	12,000	–
Current liabilities	7,000	7,500
Total equity and liabilities	54,000	24,500

Crawford Ltd acquired its shares in Dietrich Ltd five years ago when Dietrich's retained earnings were nil. At the start of the current year retained earnings were CU2,000 and CU4,000 respectively.

Statement of profit or loss for the year ended 30 June 20X0

	Crawford Ltd CU	Dietrich Ltd CU
Revenue	24,000	30,000
Cost of sales	(9,000)	(11,000)
Gross profit	15,000	19,000
Distribution costs	(2,300)	(1,300)
Administrative expenses	(1,500)	(2,700)
Operating profit	11,200	15,000

Finance cost	(1,200)	
Profit before tax	10,000	15,000
Income tax expense	(3,000)	(5,000)
Profit for the year	7,000	10,000

Requirements

12.1 Briefly explain the objectives of producing group accounts.

12.2 Briefly explain the following words/phrases.

(a) single entity concept

(b) control

(c) equity

12.3 Prepare, for Crawford Ltd, the consolidated statement of profit or loss and the consolidated statement of changes in equity (retained earnings and the non-controlling interests columns only) for the year ended 30 June 20X0 and the consolidated statement of financial position as at that date.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Austin Ltd – Consolidated statement of financial position as at 31 December 20X7

	CU
Non-current assets	
Property, plant and equipment (80,000 + 8,000)	88,000
Current assets (58,000 + 13,000)	71,000
Total assets	159,000
Equity attributable to owners of the parent	
Called up share capital (Austin Ltd only)	100,000
Retained earnings	30,000
	130,000
Non-controlling interests (20% × Reed Ltd's net assets 15,000)	3,000
Total equity	133,000
Liabilities (20,000 + 6,000)	26,000
Total equity and liabilities	159,000

Notes

1 Austin Ltd controls the assets and liabilities of Reed Ltd. The CSOFP reflects this.

2 The equity section of the CSOFP reflects ownership (80% by Austin Ltd and 20% by the non- controlling interest).

3 Austin Ltd's investment is cancelled against the net assets (ie, assets less liabilities) of Reed Ltd at acquisition (12,000 – (80% × (10,000 + 5,000))).

4 The remaining net assets are owned by the non-controlling interest.

5 Retained earnings are Austin Ltd's only, because Reed Ltd has not, as yet, earned anything under Austin Ltd's control. All of Reed Ltd's retained earnings are pre-acquisition.

Answer to Interactive question 2

Austin Ltd – Consolidated statement of profit or loss for the year ended 31 December 20X8

CU	
Revenue (20,000 + 5,000)	25,000
Costs (15,000 + 3,000)	(18,000)
Profit for the year	7,000
Profit attributable to:	
- Owners of Austin Ltd (ß)	6,600
- Non-controlling interests (20% × 2,000)	400
	7,000

Consolidated statement of financial position as at 31 December 20X8

	CU
Non-current assets	
Property, plant and equipment (82,000 + 9,000)	91,000
Current assets (81,000 + 20,000)	101,000
Total assets	192,000
Equity attributable to owners of parent	
Called up share capital (Austin Ltd only)	100,000
Retained earnings (35,000 + (80% × (7,000 – 5,000))	36,600
	136,600
Non-controlling interest (20% × Reed Ltd's net assets 17,000)	3,400
Total equity	140,000
Liabilities (40,000 + 12,000)	52,000
Total equity and liabilities	192,000

Notes

1. The consolidated statement of profit or loss down to 'Profit for the year' reflects **control**.
2. To reflect **ownership**, this profit is then **allocated** between the non-controlling interest (in Reed Ltd) and the owners of Austin Ltd (Austin Ltd's profit plus that part of Reed Ltd's profit (80%) owned by Austin Ltd).
3. The assets and liabilities in the consolidated statement of financial position represent **control**.
4. The equity part of the CSOFP represents **ownership**. This time the retained earnings are Austin Ltd's plus that part of Reed Ltd's (80%) that has arisen since acquisition ie, **post-acquisition earnings**. The non-controlling interests own their share of Reed Ltd's equity at the end of the reporting period.

Answer to Interactive question 3

3.1 **Consolidated statement of financial position at 31 December 20X5**

Non-current assets – goodwill	CU
Consideration transferred	
- 8 million shares × CU3.50	28,000,000
- contingent consideration at fair value at acquisition date	
Fair value of identifiable assets acquired and liabilities assumed	(20,000,000)
Goodwill	8,100,000
Current liabilities – contingent consideration at fair value at period end	1,200,000

Consolidated statement of profit or loss for year ended 31 December 20X5

	CU
Additional cost of contingent consideration (1,200,000 – 100,000)	1,100,000

3.2 **Consolidated statement of financial position at 31 December 20X6**

	CU
Non-current assets – goodwill	8,100,000

Consolidated statement of profit or loss for year ended 31 December 20X6

	CU
Additional cost of contingent consideration (CU1.75m paid – CU1.2m)	550,000

Note that the contingent consideration of CU1.75 million was settled in cash on 31 December 20X6, so there is no liability to be recognised at the end of 20X6.

Answer to Interactive question 4

	CU
Consideration transferred	10,000
Plus non-controlling interests at acquisition (25% of FV of identifiable net assets of S Ltd)	3,000
Less fair value of identifiable assets acquired and liabilities assumed at acquisition	(12,000)
Goodwill	1,000

Answer to Interactive question 5

Recording investment in Eclipse plc

		CU	CU
Shares to be issued 1 July 20X7			
DR	Investment in Eclipse plc (5m × 60p)	3,000,000	
CR	Cash (issue costs)		10,000
CR	Share capital (5m × 25p)		1,250,000
CR	Share premium (3,000 – 1,250 – 10 issue costs)		1,740,000
Cash			
DR	Investment in Eclipse plc	1,000,000	
CR	Cash		1,000,000
Shares to be issued 1 July 20X8			
DR	Investment in Eclipse plc (1m × 60p)	600,000	
CR	Shares not yet issued (heading under equity)		600,000

Goodwill on consolidation of Eclipse plc

	CU	CU
Consideration transferred		
– Shares	3,000,000	
– Cash	1,000,000	
Shares to be issued	600,000	4,600,000
Non-controlling interests at acquisition (3,428 × 25%)		857,000
Fair value identifiable assets acquired and liabilities assumed		5,457,000
– Net assets of Eclipse plc	3,628,000	
Less: Contingent liability	(200,000)	
		(3,428,000)
Goodwill		2,029,000

Answer to Interactive question 6

Foot plc – Consolidated statement of financial position as at 31 December 20X8
Measurement of NCI at acquisition

	Proportionate basis	Fair value
	CU	CU
ASSETS		
Non-current assets		
Property, plant and equipment (150,000 + 500,000)	650,000	650,000
Intangible assets (W3)	300,000	325,000
	950,000	975,000
Current assets (1,700,000 + 680,000)	2,380,000	2,380,000
Total assets	3,330,000	3,355,000

	Proportionate basis	Fair value
	CU	CU
EQUITY AND LIABILITIES		
Attributable to owners of Foot plc		
– Ordinary share capital (CU1 shares)	500,000	500,000
– Retained earnings (W5),	1,785,000	1,785,000
	2,285,000	2,285,000
Non-controlling interest (W4)	245,000	270,000
	2,530,000	2,555,000
Current liabilities (600,000 + 200,000)	800,000	800,000
Total equity and liabilities	3,330,000	3,355,000

WORKINGS

(1) **Group structure**

Foot plc



Belt Ltd

(2) **Belt Ltd – fair value of identifiable assets acquired and liabilities assumed**

	At period end CU	Acquisition date CU	Post-acquisition CU
Share capital	100,000	100,000	–
Retained earnings	880,000	500,000	380,000
	980,000	600,000	380,000

(3) **Goodwill**

Measurement of NCI at acquisition

	Proportionate basis	Fair value
	CU	CU
Consideration transferred	750,000	750,000
NCI at the acquisition date – 25% × 600,000/at fair value	150,000	175,000
	900,000	925,000
Less fair value of identifiable assets acquired and liabilities assumed (= net assets)	600,000	(600,000)
	300,000	325,000

(4) **Non-controlling interest**

Measurement of NCI at acquisition

	Proportionate basis	Fair value
	CU	CU
NCI at acquisition – 25% × 600,000 (W2)/fair value	150,000	175,000
Share of post-acquisition profits – 25% × 380,000 (W2)	95,000	95,000
	245,000	270,00

(5) **Retained earnings**

	CU
Foot plc	1,500,000
Belt Ltd (75% × 380,000 (W2))	285,000
	1,785,000

Answers to Self-test questions

1 Vaynor plc

	CU
Vaynor plc	90,000
Weeton Ltd ((40,000 + 10,000) × 100%)	50,000
Yarlet Ltd ((70,000 – 30,000) × 80%)	32,000
Consolidated retained earnings	172,000

2 Wolf plc

	CU
Consideration transferred	77,000
Non-controlling interests at acquisition at fair value	32,000
	109,000
Fair value of identifiable assets acquired and liabilities assumed (100,000 + 50,000)	(150,000)
Gain on a bargain purchase	41,000

3 Ling plc

CU	
Fair value of consideration transferred	5,400,000
Non-controlling interests (4,250 × 20%)	850,000
Less fair value of identifiable assets acquired and liabilities assumed (4,600 + 150 FV adj – 500 goodwill)	(4,250,000)
Goodwill	2,000,000

4 Sansom plc

Goodwill shown in the statement of financial position will be CU7,600.

	CU	CU
Mabbutt Ltd		
Consideration transferred		35,000
Fair value of non-controlling interests at acquisition		13,000
Less fair value of identifiable assets acquired and liabilities assumed		
- Share capital	15,000	
- Retained earnings	21,000	
		(36,000)
Goodwill		12,000
Impairment to date		(4,400)
Balance c/f		7,600

Waddle Ltd

Consideration transferred		20,000
Fair value of non-controlling interests at acquisition		10,000
Less fair value of identifiable assets acquired and liabilities assumed		
- Share capital	20,000	
- Retained earnings	16,000	
		(36,000)
		(6,000)*

* Recognised as a gain in consolidated profit or loss in the year in which the acquisition was made.

5 Teal plc

The correct answers are:

A A possible loss dependent on the outcome of a legal case which has not been provided for in Juniper Ltd's accounts. The acquisition date fair value of the loss can be estimated reliably.

C A warranty provision in Juniper Ltd's accounts to cover the costs of commitments made to customers.

Contingent liabilities should be recognised even though not provided for in the acquiree's accounts and the warranty provision should be recognised as it arises from past events.

Reorganisation plans are only put into effect once control is gained. No liability or contingent liability therefore exists at the time of acquisition.

6 Wilsons plc

	CU	CU
Consideration transferred		20,000
Fair value of non-controlling interests at acquisition		7,000
		27,000
Less: Fair value of identifiable assets acquired and liabilities assumed		
Share capital	1,000	
Share premium	2,000	
Retained earnings		
- 1 October 20X1	12,000	
- Nine months (9/12 × 21,000 – 12,000)	6,750	
		(21,750)
Goodwill		5,250

7 Leeds Ltd

	CUm
Fair value of consideration	12
Less fair value of identifiable assets acquired and liabilities assumed	(7)
Goodwill acquired	5

The acquirer's reorganisation plans and the acquiree's or acquirer's future operating losses do not meet the recognition criteria for liabilities as the related liabilities did not exist at the acquisition date.

8 Castor plc

	CU
Fair value of consideration	
– Cash	1,000,000
– Shares at fair value (300,000 × 3)	900,000
Non-controlling interests at FV	280,000
Less fair value of identifiable assets acquired and liabilities assumed	(1,000,000)
Goodwill acquired	1,180,000

9 Acquisition of a subsidiary

The correct answer is:

D The date on which control passes

A business combination is accounted for from the acquisition date, which is the date on which control in the acquiree is obtained (IFRS 3: para. 8).

10 Salt Ltd

Tahini plc has control of Salt Ltd and so should prepare consolidated financial statements.
Total number of votes:

	Votes
A shares 2,000 × 10 =	20,000
B shares 8,000 × 1 =	8,000
	28,000

Tahini plc controls 54% (15,000 / 28,000) of the votes

Note: We have to assume that 54% gives Tahini plc control ie, power, rights to variable returns and the ability to affect the level of returns.

11 Andress Ltd

Consolidated statement of profit or loss for the year ended 31 December 20X0

	CU
Revenue (10,000 + 7,000)	17,000
Cost of sales (6,000 + 2,000)	(8,000)
Gross profit	9,000
Expenses and tax (3,000 + 2,000)	(5,000)
Profit	4,000
Profit attributable to	
- Owners of Andress Ltd (ß)	3,4000
- Non-controlling interests (20% × 3,000)	600
	4,000

Consolidated statement of financial position as at 31 December 20X0

	CU
ASSETS	
Non-current assets	
Property, plant and equipment (25,300 + 9,000)	34,300
Current assets (22,500 + 7,000)	29,500
Total assets	63,800
EQUITY AND LIABILITIES	
Equity attributable to owners of the parent	
Ordinary share capital	10,000
Share premium account	4,000
Retained earnings (2,000 + (80% × 7,000))	7,600
	21,600
Non-controlling interests (20% × 11,000)	2,200
Total equity	23,800
Non-current liabilities (10,000 + 2,000)	12,000
Current liabilities (25,000 + 3,000)	28,000
Total equity and liabilities	63,800

Note: Andress has owned the shares in Bacall since incorporation and the shares were acquired at nominal value (3,200 shares for CU3,200). There is therefore no difference between the value of the consideration transferred by Andress and the value of the assets it acquired, so no goodwill was acquired.

12 Crawford Ltd

12.1 The objectives of producing group accounts

Group accounts aim to reflect substance ie, if one company controls another, they effectively operate as a single economic entity.

Therefore, the parent, or controlling company, should provide information about the economic activities of the group by preparing consolidated accounts. These will show the economic resources controlled by the group, the obligations of the group and the results achieved with those resources. The overall aim is to present the results and financial position of the group as if they were those of a single entity.

12.2 (a) The single entity concept focuses on the existence of the group as an economic unit (as discussed above). This contrasts with legal form where each group company is actually a separate legal person.

(b) Control is defined as:

- power; and
- exposure, or rights to variable returns from involvement with the investee; and
- ability to use power to affect the level of variable returns.

In an individual company the assets are under the direct control of that company. However, where a company becomes a subsidiary, the assets are under indirect control of the parent via its control of the subsidiary.

Control can be achieved in a number of ways, the most obvious being a holding of over 50% of the ordinary ie, vote-carrying, shares.

(c) Equity is defined in the *Conceptual Framework for Financial Reporting* as the residual interest in the assets of an entity after deducting all of its liabilities. In an individual company those net assets are owned by one ownership interest: the company's shareholders. However, in consolidated accounts the consolidated net assets will include 100% of the subsidiary even though some of those net assets may not be owned by the group. Therefore, the equity interest may be split between:

- the parent company's shareholders
- the non-controlling shareholders in the subsidiary

12.3 **Consolidated statement of financial position as at 30 June 20X0**

	CU
ASSETS	
Non-current assets	
Property, plant and equipment (27,000 + 12,500)	39,500
Current assets (25,000 + 12,000)	37,000
Total assets	76,500
EQUITY AND LIABILITIES	
Equity attributable to owners of the parent	
Ordinary share capital	20,000
Share premium account	6,000
Retained earnings (9,000 + (2/3 × 14,000 – nil))	18,333
	44,333
Non-controlling interests (1/3 × 17,000)	5,667
Total equity	50,000
Non-current liabilities	12,000
Current liabilities (7,000 + 7,500)	14,500
Total equity and liabilities	76,500

Consolidated statement of profit or loss for the year ended 30 June 20X0

Revenue (24,000 + 30,000)	54,000
Cost of sales (9,000 + 11,000)	(20,000)
Gross profit	34,000
Distribution costs (2,300 + 1,300)	(3,600)
Administrative expenses (1,500 + 2,700)	(4,200)
Operating profit	26,200
Finance cost	(1,200)

Profit before tax	25,000
Income tax (3,000 + 5,000)	(8,000)
Profit for the year	17,000
Profit attributable to:	
- Owners of Crawford Ltd (ß)	13,667
- Non-controlling interests (1/3 × 10,000)	3,333
	17,000

Consolidated statement of changes in equity for the year ended 30 June 20X0 (extracts)
Attributable to owners of Crawford Ltd

	Retained earnings	Non-controlling interests
	CU	CU
Balance brought forward (2,000 + (2/3 × 4,000)) (1/3 × (3,000 + 4,000))	4,666	2,334
Total comprehensive income for the period	13,667	3,333
Balance carried forward	18,333	5,667

Note: No goodwill arises on the acquisition of Dietrich Ltd as the shares were acquired at net asset value ie, their nominal value when retained earnings were CUnil.

Chapter 13
Consolidated statement of financial position

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 Consolidated statement of financial position workings

2 Acquisitions made part-way through the reporting period

3 Intra-group balances

4 Unrealised intra-group profit

5 Fair value adjustments

6 Other consolidation adjustments

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Identify the effects of transactions in accordance with the IFRS *Conceptual Framework for Financial Reporting*
- Explain and demonstrate the concepts and principles surrounding the consolidation of financial statements
- Calculate from financial and other data the amounts to be included in an entity's consolidated financial statements in respect of its new, continuing and discontinued interests in subsidiaries, associates and joint ventures (excluding partial disposals of subsidiaries and disposals of associates or joint ventures) according to the international financial reporting framework
- Prepare and present the consolidated financial statements, or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards
- Explain the application of IFRS Accounting Standards to specific group scenarios

Syllabus links

This chapter looks in detail at the preparation of the consolidated statement of financial position and is fundamental to the *Financial Accounting and Reporting* syllabus. It builds on the principles introduced in Chapter 12 and applies them to more complex situations. A detailed knowledge and understanding of this topic will also be assumed at the Advanced Level.

Examination context

In the examination, students may be required to:

- Prepare a consolidated statement of financial position, using proformas, including the results of the parent entity and one or more subsidiaries from individual financial statements including adjustments for the following:
  - acquisition, or disposal, of a subsidiary or acquisition of an associate, including mid-year acquisitions (associate or subsidiary) or disposals (subsidiary)
  - goodwill
  - intra-group items
  - unrealised profits
  - fair value adjustments
  - other consolidation adjustments
- Prepare extracts from the consolidated statement of financial position, including adjustments for the transactions listed above.
- Explain the process of preparing a consolidated statement of financial position in the context of the single entity concept, substance over form and the distinction between control and ownership.
- Explain the two methods of measuring the non-controlling interests at acquisition and prepare financial information by the two methods.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Consolidated statement of financial position workings** In this chapter, we look in more detail at the consolidated statement of financial position introduced in Chapter 12. Topic 1 introduces the key workings required to prepare a consolidated statement of financial position.	**Approach** You have seen some of the standard workings for the consolidated statement of financial position in Chapter 12. Here in topic 1, we bring all these workings together, and then show how they are applied through Interactive Question 1. Work carefully through the question and make sure you properly debrief the solution to understand the techniques involved. **Stop and think** Why is information about the assets and liabilities of the subsidiary of more use to the shareholders than the cost of the investment in it?	One question in the exam will require the preparation of either a consolidated statement of financial position or a consolidated statement of profit or loss. Topic 1 introduces the workings you should use to prepare your answer.	**IQ1 Consolidated statement of financial position workings** This question demonstrates how the workings introduced in Topic 1 are applied to a scenario.
2	**Acquisition part-way through the reporting period** So far, we have assumed all acquisitions are made on the first day of a reporting period. This is not the norm in real life! In Topic 2 we consider the effect that the timing of an	**Approach** Read the short section, then apply the principles to Interactive Question 2. Give yourself plenty of time to work through the solution to make sure you have grasped how an acquisition during the accounting period affects the	In an exam question, the acquisition of a subsidiary could be at any point in the reporting period. You need to pay careful attention to the acquisition date in order to calculate net assets at acquisition appropriately.	**IQ2 Acquisition part-way through the reporting period** This question shows how the timing of an acquisition affects the standard consolidation workings.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	acquisition has on the standard workings given in Topic 1.	consolidation workings. **Stop and think** Would the goodwill balance calculated in Interactive question 2 be higher or lower if the acquisition had taken place on the first day of the reporting period? Why?		
3 & 4	**Intra-group balances** and **Unrealised intra-group profit** Group companies are likely to trade with each other – indeed this may be one of the reasons for acquiring a subsidiary in the first place. But on consolidation, the group is treated as a single entity, and a single entity cannot trade with itself. These topics deal with the adjustments we need to make to remove the effects of intra-group trading and intra-group transfers of non-current assets from group accounts.	**Approach** Read carefully through each of these topics, work through the worked examples and attempt each of the Interactive questions as you go. In topic 3, the process for cancelling intra-group balances is important – the balances must agree, or be made to agree, before they can be cancelled. The worked example shows how to do this. In topic 4, the correct elimination of unrealised profit requires you to determine which company made the sale. Pay close attention as to why this is the case in the worked examples. **Stop and think** Why is the profit on intra-group trading 'unrealised'? Why does it matter which	The consolidation question will always feature one or more consolidation adjustments, including those required for intra-group balances and unrealised profits. These adjustments may also feature in questions requiring discussion of principles.	**IQ3 Unrealised profits** This question works through the technique for eliminating unrealised intra-group profits. **IQ4 Non-current asset transfers** This question shows how unrealised profit on the transfer of non-current assets must be adjusted for.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		company made the sale in an intra-group transaction?		
5	**Fair value adjustments** The acquisition method requires the identifiable assets acquired and liabilities assumed on acquisition of a subsidiary to be measured at their fair value at the acquisition date. If, at acquisition, the fair values of the identifiable assets acquired and liabilities assumed by the acquirer are different to the carrying amounts of the net assets of the acquiree at the date of acquisition, fair value adjustments are required on consolidation. This topic shows how we deal with these adjustments in the consolidated statement of financial position and their impact on the key consolidation workings, such as goodwill.	**Approach** Read carefully through the topic before you and attempt Interactive question 5. Carefully review the solution to Interactive question 5 before having a go at Interactive question 6. **Stop and think** If the fair value of the assets acquired and liabilities assumed by the acquirer are higher than the carrying amount of the net assets of the acquiree at the date of acquisition, will this have any effect on group profit?	In your exam, the consolidation question will always feature one or more consolidation adjustments, including fair value adjustments. These adjustments may also feature in questions requiring discussion of principles.	**IQ5 Fair value adjustments** This question shows the impact of a fair value adjustment relating to a non-depreciable asset (land) on the goodwill calculation. **IQ6 Fair value adjustments** This question shows the impact of fair value adjustments on the group accounts when the adjustment relates to a depreciable asset.
6	**Other consolidation adjustments** There are other issues that must be considered on consolidation: how do we deal with reserves of the subsidiary, other	**Approach** Read through this short section and try Interactive question 7. **Stop and think** What would be the result if we didn't adjust for the	In your exam, the consolidation question will always feature one or more consolidation adjustments. These could include dealing with other reserves or	**IQ7 Accounting policy alignments** This question shows how a consolidation adjustment can be used to align a subsidiary's

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	than retained earnings? Does it matter if the subsidiary has a different accounting policy to the parent? These questions are addressed in this topic.	different accounting policies in Interactive question 7?	differing accounting policies. These adjustments may also feature in questions requiring discussion of principles.	accounting policy with that of the group.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Consolidated statement of financial position workings

Section overview

There are a number of standard workings which should be used when answering consolidation questions.

1.1 Question technique

As questions increase in complexity, a formal approach to workings is needed. Review the standard workings below, then attempt Interactive question 1, which puts these into practice.

Note: You should use the proportionate basis for measuring the NCI at the acquisition date unless a question specifies the fair value basis.

Step 1 Establish **group structure**

P Ltd
↓ 80%
S Ltd

Step 2 Set out the **fair value of the identifiable assets acquired and liabilities assumed by P Ltd** (this may be equal to the carrying amount of the net assets of S Ltd at the date of acquisition if no fair value adjustments are required. Remember net assets = total equity; therefore, the calculation uses share capital and retained earnings/other reserves at acquisition, as adjusted for fair value movements).

	At year-end	At acquisition	Post-acquisition
	CU	CU	CU
Share capital	X	X	X
Retained earnings	X	X	X
Fair value adjustments	X	X	X
	X	X	X

Step 3 Calculate **goodwill**

		CU
Consideration transferred		X
Plus non-controlling interests at acquisition		X
		X
Less fair value of identifiable assets acquired and liabilities assumed:		
– Share capital	(X)	
– Retained earnings/other reserves	(X)	
– Fair value adjustments	(X)	
		(X)
Goodwill at acquisition		X
Impairment to date		(X)
Goodwill c/f		X

The double entry to consolidate the subsidiary will be:

		CU	CU
DR	Net assets (share capital + retained earnings/other reserves of subsidiary)	X	
DR	Goodwill	X	
CR	Investment in subsidiary (parent)		X
CR	Non-controlling interests		X

Step 4 Calculate **non-controlling interests** (NCI) at year-end

	CU
At acquisition (NCI% × fair value of identifiable assets acquired and liabilities assumed at acquisition (W2) or NCI at fair value)	X
Share of post-acquisition profits and other reserves (NCI% × post-acquisition (W2))	X
	X

Step 5 Calculate **retained earnings**

	CU
P Ltd (100%)	X
S Ltd (share of post-acquisition retained earnings (W2))	X
Fair value adjustments	X/(X)
Goodwill impairment to date (W3)	(X)
Group retained earnings	X

Note: You should use the proportionate basis for measuring the NCI at the acquisition date unless a question specifies the fair value basis.



Interactive question 1: Consolidated statement of financial position workings

The following are the summarised statements of financial position of a group of companies as at 31 December 20X1.

	Raven Ltd	Viv Ltd	Nome Ltd
	CU	CU	CU
Non-current assets			
Property, plant and equipment	100,000	40,000	10,000
Investments			
– Shares in Viv Ltd (75%)	25,000		
– Shares in Nome Ltd (2/3)	10,000		
Current assets	45,000	40,000	25,000
	180,000	80,000	35,000

	Raven Ltd	Viv Ltd	Nome Ltd
	CU	CU	CU
Equity			
Share capital (CU1 ordinary)	50,000	20,000	10,000
Retained earnings	100,000	40,000	15,000
Total equity	150,000	60,000	25,000
Liabilities	30,000	20,000	10,000
	180,000	80,000	35,000

Raven Ltd acquired its shares in Viv Ltd and Nome Ltd during the year, when their retained earnings were CU4,000 and CU1,000 respectively. The fair value of identifiable assets acquired and liabilities assumed by Raven Ltd were equal to their carrying amounts at the date of acquisition. At the end of 20X1 the goodwill impairment review revealed a loss of CU3,000 in relation to the goodwill of Viv Ltd.

Requirement

Prepare the consolidated statement of financial position of Raven Ltd at 31 December 20X1.

Raven Ltd: Consolidated statement of financial position as at 31 December 20X1

	CU
Non-current assets	
Property, plant and equipment	
Intangible assets (W3)	
Current assets	
Equity attributable to owners of the parent	
Called up share capital	
Retained earnings (W5)	
Non-controlling interests (W4)	
Total equity	
Liabilities	

WORKINGS

(1) **Group structure**

(2) **Fair value of identifiable assets acquired and liabilities assumed**

	Year-end	Acquisition	Post-acquisition
	CU	CU	CU
Viv Ltd			
- Share capital			
- Retained earnings			
Nome Ltd			
- Share capital			
- Retained earnings			

(3) **Goodwill**

	Viv Ltd	Nome Ltd	Total
	CU	CU	CU
Consideration transferred			
Non-controlling interests at acquisition			
- Viv Ltd			
- Nome Ltd			
Fair value of identifiable assets acquired and liabilities assumed at acquisition (= net assets)			
Goodwill			
Impairment to date			

(4) **Non-controlling interests**

	CU	CU
Viv Ltd		
- Share of fair value of net assets at acquisition		
- Share of post-acquisition		
Nome Ltd		
- Share of net assets at acquisition		
- Share of post-acquisition		

(5) **Retained earnings**

	CU
Raven Ltd	
Viv Ltd – Share of post-acquisition retained earnings Nome Ltd – Share of post-acquisition retained earnings Goodwill impairment to date (W3)	

See **Answer** at the end of this chapter.

2 Acquisitions made part-way through the reporting period

Section overview

- If a subsidiary is acquired part-way through the reporting period, its net assets at acquisition will need to be calculated.
- Unless told otherwise assume profits of the subsidiary accrue evenly over time.

2.1 Calculation

A parent entity is unlikely to acquire a subsidiary at the start or end of a year. If the subsidiary is acquired part-way through a reporting period (also known as 'mid-year'), it is necessary to calculate reserves, including retained earnings, at the date of acquisition.

This is necessary in order to:

- calculate the fair value of assets acquired and liabilities assumed at acquisition (which is required as part of the goodwill calculation); and
- calculate consolidated reserves eg, retained earnings.

Note: It is usually assumed that a subsidiary's profits **accrue evenly over time**.

Interactive question 2: Acquisition made part-way through the reporting period

P plc acquired 80% of S Ltd on 31 May 20X2 for CU20,000. S Ltd's retained earnings had stood at CU15,000 on 1 January 20X2. The fair value of the identifiable assets acquired and liabilities assumed by P plc were equal to their carrying amounts at the date of acquisition.

S Ltd's equity at 31 December 20X2 was as follows.

	CU
Share capital	1,000
Retained earnings	15,600
Equity	16,600

Requirements

2.1 Prepare the standard working for the fair value of identifiable assets acquired and liabilities assumed.

2.2 Prepare the standard working for goodwill on consolidation.

2.3 Calculate S Ltd's retained earnings which will be included in the consolidated retained earnings.

See **Answer** at the end of this chapter.

Professional skills focus: Structuring problems and solutions

It is important to pay attention to the date of acquisition. As we have seen, if a subsidiary is acquired part-way into a reporting period, this will affect the net assets at acquisition, the goodwill calculation and the calculation of group retained earnings.

3 Intra-group balances

Section overview

- Group accounts reflect transactions with third parties only.
- The effects of transactions between group members should be cancelled on consolidation.
- This is an application of the single entity concept.

3.1 The single entity concept

The objective of group accounts is to present the group **as a single entity**. As a single entity cannot trade with itself, the effects of **transactions between group members** need to be **eliminated**. These transactions could be between the parent company and a subsidiary or between two subsidiaries.

A single entity cannot owe money or other assets to itself, so any balances owed between group companies must be eliminated on consolidation.

Intra-group balances result from, for example:

- one group company's loans, debentures or redeemable preference shares held by another group company; or
- intra-group trading.

3.2 Loans, debentures and redeemable preference shares

A group company can provide a loan to another group company, or can provide finance to another group company, by holding its issued debentures or redeemable preference shares. These situations will give rise to an asset in one group company and a liability in another. On consolidation, we therefore need to **credit the asset balance** held by one company and **debit the liability balance** held by the other company in order to **remove the intra-group balances.**

Loans, debentures and redeemable preference shares attract interest and therefore result in a finance cost to one group company and finance income in the other (which has nil net effect on retained earnings). If that interest is unpaid at year-end, there will be an intra-group receivable and payable in respect of interest, which also needs to be eliminated on consolidation by cancelling the debit and credit balances against each other.

3.3 Intra-group trading

Outstanding amounts in respect of intra-group trading are usually recorded in the statement of financial position in current accounts (= receivable or payable account for a fellow group company).

Step 1 Check that current accounts **agree** before cancelling. They may not agree if goods or cash are in transit at the year-end.

Step 2 Make the intra-group balances agree by **adjusting for items in transit** in the **receiving company's accounts**. This is normally done by pushing forward the transaction into the recipient's accounts.

Step 3 **Cancel** the intra-group balances.

Context example: Intra-group trading

Extracts from the statement of financial position of Impala Ltd and its subsidiary Springbok Ltd at 31 March 20X4 are as follows.

	Impala Ltd	Springbok Ltd
	CU	CU
Receivable from Springbok Ltd	25,000	–
Payable to Impala Ltd	–	(20,000)

Springbok Ltd sent an electronic payment CU5,000 to Impala Ltd on 31 March 20X4, which Impala Ltd did not receive until 1 April 20X4.

Step 1 **Check that current accounts agree before cancelling**.

At present, the receivable in Impala's accounts is CU5,000 higher than the payable in Springbok's accounts because Springbok has recorded the payment made at year-end, but Impala has not recorded the receipt until the following accounting period, therefore the current accounts do not agree.

Step 2 **Make the intra-group balances agree by adjusting for items in transit in the receiving company's accounts**.

Assume that Impala Ltd had received the cash from Springbok Ltd:

	Impala Ltd	Springbok Ltd
	CU	CU
Receivable from Springbok Ltd (25 – 5)	20,000	–
Cash and cash equivalents	5,000	–
Payable to Impala Ltd	–	(20,000)

Step 3 **Cancel the intra-group balances.**

The receivable and payable of CU20,000 can now be cancelled against each other, leaving just the CU5,000 cash balance in the consolidated statement of financial position.

	CU
Cash and cash equivalents	5,000

4 Unrealised intra-group profit

Section overview

- The consolidated statement of financial position should show assets at their cost to the group.
- Any profit arising on intra-group transactions should be eliminated from the group accounts until it is realised eg, by a sale outside the group.

4.1 Introduction

One of the implications of the application of the single entity concept is that group accounts should only reflect profits generated from transactions which have been undertaken with **third parties** ie, entities outside the group.

Intra-group activities may give rise to profits that are **unrealised** as far as the group as a whole is concerned. These profits can result from:

- **intra-group trading** when goods still held in inventory of buying company; and
- **intra-group transfers of non-current assets**.

Unrealised profits must be eliminated from the statement of financial position on consolidation to prevent the overstatement of group profits.

4.2 Inventories

As we have seen above, any receivable/payable balances outstanding between group companies, resulting from trading transactions, should be cancelled on consolidation. If these transactions have been undertaken at cost to the selling company no further problem arises.

However, each company in a group is a separate trading entity and may sell goods to another group member at a profit. **If these goods remain in inventories** at the end of the reporting period this profit is **unrealised** from the group's point of view.

In the consolidated statement of financial position, applying the **single entity concept**, inventories should be measured at the lower of cost and net realisable value **to the group**. Where goods transferred at a profit are still held in inventory at the year-end, the unrealised profit should be **eliminated on consolidation**. This is achieved by creating a **provision for unrealised profit (PURP).**

The way in which this adjustment is made depends on whether the company making the sale is the parent or a subsidiary.

4.2.1 Parent sells goods to a subsidiary

The required treatment is best illustrated by an example.

Context example: Intra-group profit (P →S)

Ant Ltd, a parent company, sells goods which cost CU1,600 to Bee Ltd for CU2,000. Ant Ltd owns 75% of the shares in Bee Ltd. Bee Ltd still hold the goods in inventories at the year-end.

In the single entity accounts of Ant Ltd the profit of CU400 should be recognised. In the single entity accounts of Bee Ltd the inventory should be measured at CU2,000.

If we simply add together the figures for retained earnings and inventory as recorded in the individual statements of financial position of Ant Ltd and Bee Ltd, the resulting figures for consolidated retained earnings and consolidated inventory will each be overstated by CU400.

A consolidation adjustment is therefore necessary as follows:

		CU	CU
DR	Seller's (Ant Ltd's) retained earnings (ie, adjust in **retained earnings**	400	
CR	Inventories in consolidated statement of financial position		400

Note: In this example, as the **parent** was the seller the unrealised profit is **all 'owned' by the shareholders of Ant Ltd**. None is attributable to the **non-controlling interests**.

4.2.2 Subsidiary sells goods to parent or to another subsidiary

Where the subsidiary is the selling company the profit on the transfer will have been recorded in the subsidiary's books.



Context example: Intra-group profit (S →P or S)

Using the worked example above, if we now assume that Bee Ltd sold the goods to Ant Ltd the adjustment would be as follows:

		CU	CU
DR	Seller's (Bee Ltd's) retained earnings (ie, adjust in **net assets** working 2)	400	
CR	Inventories in consolidated statement of financial position		400

Notes

1 The **net assets of the subsidiary making the sale at the end of the reporting period** will be reduced by the amount of the unrealised profit. Any **subsequent calculations** based on this adjusted net assets figure will therefore be affected as follows:

- The **group share** of the post-acquisition retained earnings of the subsidiary should be reduced ie, the group will bear its share of the adjustment.
- The non-controlling interest will be based on these revised net assets ie, the non-controlling interest will bear its share of the adjustment.

2 Inventories in the consolidated statement of financial position should be reduced by the **full amount** of the unrealised profit **irrespective of whether the parent or a subsidiary is the selling company**. Non-controlling interest is only affected when the subsidiary is the seller.

3 If Bee Ltd had sold the goods to another subsidiary, rather than to the parent, the adjustment should be the same.



Interactive question 3: Unrealised profits

P Ltd owns 80% of S Ltd, which it acquired when the retained earnings of S Ltd were CU20,000. The fair value of the assets acquired and liabilities assumed by P Ltd were equal to their carrying amounts at acquisition. No goodwill was recognised on acquisition. Statements of financial position at the end of the current accounting period are as follows.

	P Ltd CU	S Ltd CU
Assets	170,000	115,000
Share capital	30,000	10,000
Retained earnings	100,000	65,000
Equity	130,000	75,000
Liabilities	40,000	40,000
	170,000	115,000

During the current accounting period S Ltd sold goods to P Ltd for CU18,000, which gave S Ltd a profit of CU6,000. At the end of the reporting period half of these goods were included in P Ltd's inventories.

Requirement

Prepare the journal entry to eliminate the unrealised profit and show how the adjustment to eliminate unrealised profits should appear in the consolidation workings for P Ltd.

See **Answer** at the end of this chapter.

4.3 Non-current asset transfers

As well as trading with each other, group companies may wish to transfer non-current assets (NCA), most commonly property, plant and equipment (PPE).

If the asset is transferred at a price different from its carrying amount immediately before the transfer, two issues arise:

- The selling company will have recorded **a profit or loss on sale**. This profit is unrealised (unless the asset is subsequently sold to a third-party) and must therefore be eliminated.
- The purchasing company will have **recorded the asset at the amount paid** to acquire it and will use that amount as the basis for calculating **depreciation**.

On consolidation, the **single entity concept** applies. The consolidated statement of financial position should show non-current assets at their **cost to the group**, and any **depreciation charged** should be based on **that cost**. In other words, the group accounts should reflect the non-current asset **as if the transfer had not been made**.

The adjustment in the consolidated statement of financial position should be calculated as follows:

	CU
Carrying amount of NCA at year-end in the transferee's financial statements	X
Less carrying amount of NCA at year-end if transfer had not been made	(X)
Unrealised profit	X

The adjustment for unrealised profit should then be made as:

	CU	CU
DR Selling company retained earnings	X	
CR NCA carrying amount in consolidated statement of financial		X

This treatment is consistent with that of inventories.

4.3.1 Parent sells non-current asset to subsidiary

As with inventories, the impact of the adjustment will depend on whether the parent company /or the subsidiary makes the sale.



Interactive question 4: Non-current asset transfers

P Ltd owns 80% of S Ltd. P Ltd transferred to S Ltd a non-current asset at a value of CU15,000 on 1 January 20X7. The original cost to P Ltd was CU20,000 and the accumulated depreciation at the date of transfer was CU8,000. The asset had, and still has, a total useful life of five years.

Requirement

Calculate the consolidated statement of financial position adjustment at 31 December 20X7. Fill in the proforma below.
Following the transfer, the asset will be measured in the accounts of S at:

	CU
Cost to S Ltd	
Less depreciation	

Had the transfer not been made, the asset would stand in the accounts of P (the transferor) at:

	CU
Cost	
Less: Accumulated depreciation at date of 'transfer'	
Charge for current year	

Overall adjustment in CSOFP

	CU	CU
DR Seller's (P Ltd's) retained earnings*		
CR Non-current assets		

(* ie adjust in **retained earnings** working)

Note: In this question, as the **parent** is the selling company, **none of the adjustment is attributed to the non-controlling interests**.

See **Answer** at the end of this chapter.

4.3.2 Subsidiary sells non-current asset to parent

Again, a consolidation adjustment should be made to reflect the situation that would have existed if the transfer had not been made.

The amount of the adjustment should be calculated as before (see above). The adjustment is then made as follows:

	CU	CU
DR Seller's (S Ltd) retained earnings (adjust in net assets working)		
CR NCA carrying amount in consolidated statement of financial		X

Notes

1 As the subsidiary is the seller the **adjustment to retained earnings should be made in the net assets working**.

2 Any **subsequent calculations** based on this net asset's figure will therefore be affected as follows:

- The **group share** of the post-acquisition retained earnings of the subsidiary will be reduced ie, as for sale of inventories.
- The **non-controlling interest** will be based on these revised net assets ie, as for sale of inventories.

5 Fair value adjustments



Section overview

- In calculating the goodwill acquired in a business combination, the identifiable assets acquired and liabilities assumed by the acquirer are measured at their fair value.
- A consolidation adjustment will be required for any difference between the fair values and the carrying amount of the net assets of the acquiree at the date of acquisition.

5.1 Calculation of goodwill

Where a subsidiary has not reflected fair values in its single entity financial statements, adjustments will need to be made as part of the consolidation process. Goodwill should be calculated by comparing the consideration transferred and the non-controlling interests in the subsidiary with the fair value of the assets acquired and the liabilities assumed by the acquirer at the date of acquisition. The **fair values** may be different to the carrying amount of the net assets of the acquiree in its single entity financial statements.

5.2 Reflecting fair values

The **identifiable assets acquired and liabilities assumed** by the acquirer should be brought into the consolidated financial statements at their **fair value**. Normally these fair values are **not reflected** in the **single entity financial statements**. Therefore, the difference between fair values and carrying amounts should be treated as a **consolidation adjustment** made only for the purposes of the consolidated financial statements.

Fair value is defined as follows by IFRS 13, *Fair Value Measurement*: The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Notes

1 If the carrying amount of the net assets of the acquiree are equal to the fair value of the assets acquired and liabilities assumed by the acquirer, no adjustment to the acquiree's net assets is needed.

2 **Goodwill** in the subsidiary's individual statement of financial position is **not** part of the **identifiable** assets acquired and liabilities assumed. If the subsidiary's own statement of financial position at acquisition includes goodwill, this **should not be consolidated**. When calculating the movement in the subsidiary's net assets, the subsidiary's retained earnings

at acquisition and at the end of the reporting period should be reduced by the amount of the goodwill.

Adjustments should be made at acquisition and the impact of the fair value adjustments may also have to be carried forward in subsequent periods:

- In the consolidated statement of financial position changes will often be necessary to the acquiree's carrying amounts for non-current assets and the accumulated depreciation/ amortisation.
- In the consolidated statement of profit or loss such changes will affect the current period's depreciation/amortisation charges.

Other adjustments may have to be made, depending on the circumstances. An adjustment will always be necessary for any contingent liabilities recognised at the acquisition date, to the extent they are only disclosed by way of note in the acquiree's financial statements.



Interactive question 5: Fair value adjustments

P Ltd acquires 60% of S Ltd on 31 December 20X4 for CU80,000. The statement of financial position of S Ltd at this date is as follows.

	CU
Freehold land	20,000
Goodwill arising on the acquisition of a sole trader	5,000
Other non-current assets	130,000
	155,000
Share capital	20,000
Retained earnings	85,000
Equity	105,000
Liabilities	50,000
	155,000

The fair value of assets acquired and liabilities assumed by P Ltd is equal to the carrying amount of the net assets of S Ltd, with the exception of freehold land, which has a fair value of CU30,000 at the date of acquisition.

Requirement

Calculate the goodwill acquired in the business combination with S Ltd. See **Answer** at the end of this chapter.



Interactive question 6: Fair value adjustments

Carrick Ltd acquired 60% of Ayr Ltd for CU8 million on 1 July 20X2 when Ayr Ltd's statement of financial position showed net assets of CU5 million. The fair value of the identifiable assets acquired and liabilities assumed by Carrick Ltd were equal to the carrying amount of Ayr Ltd's net assets, with the exception of property, plant and equipment. The property, plant and equipment had a fair value of CU1 million higher than its carrying amount and a remaining useful life of 10 years, which was not reflected in Ayr Ltd's accounting records. Ayr Ltd's financial statements at the date of acquisition also disclose a contingent liability for a claim for

damages against it. The fair value of the claim was estimated at CU100,000, which was its fair value until 30 June 20X5 when it was re-estimated at CU80,000. At 30 June 20X5 Ayr Ltd's statement of financial position shows net assets of CU10 million.

Requirements

6.1 Calculate Carrick Ltd's share of Ayr Ltd's post-acquisition movements in equity as at 30 June 20X5.

6.2 Calculate the goodwill arising on the acquisition of Ayr Ltd.

6.3 Calculate the adjustment to be made to Ayr Ltd's depreciation charge for inclusion in the consolidated statement of profit or loss for the year-ended 30 June 20X5.

See **Answer** at the end of this chapter.



Professional skills focus: Assimilating and using information

In a consolidation question you will be faced with a lot of information. You need to evaluate the relevance of each piece of information and then use it appropriately. For example, if you are asked to prepare a consolidated statement of financial position, and you are told that the fair value of a subsidiary's property is higher than its carrying amount at acquisition, would you know the relevance of that information and how to use it? Would you know what other information you would need to determine the appropriate consolidation adjustments?

6 Other consolidation adjustments



Section overview

- If a subsidiary has reserves other than retained earnings, the group share of the post-acquisition reserves should be consolidated.
- The balances of the subsidiary should be adjusted to reflect the accounting policies of the parent company before consolidation.

6.1 Other reserves in a subsidiary

A subsidiary may have other reserves apart from retained earnings in its statement of financial position eg, a revaluation surplus. If this is the case, such reserves should be treated in exactly the same way as retained earnings.

- **Other reserves at acquisition** form part of the **net assets at acquisition**
- The **group share of any post-acquisition** movement in other reserves should be **recognised** in the consolidated statement of financial position.

Notes

1 A **separate working** should be used for **each reserve**; do not mix retained earnings with other reserves as the other reserves may include amounts which are not distributable by way of dividend.

2 If a subsidiary is **loss-making or has any other negative reserves** the group should consolidate its share of the **post-acquisition losses/ negative reserves**.

6.2 Accounting policy alignments

On consolidation **uniform accounting policies should be applied for all amounts**. This is another consequence of the **single entity concept**.

If the parent company and subsidiary have different accounting policies the balances in **the subsidiary's financial statements** should be adjusted **to reflect the accounting policies of the parent company**.

Note: These adjustments are made in the **net assets working**.



Interactive question 7: Accounting policy alignments

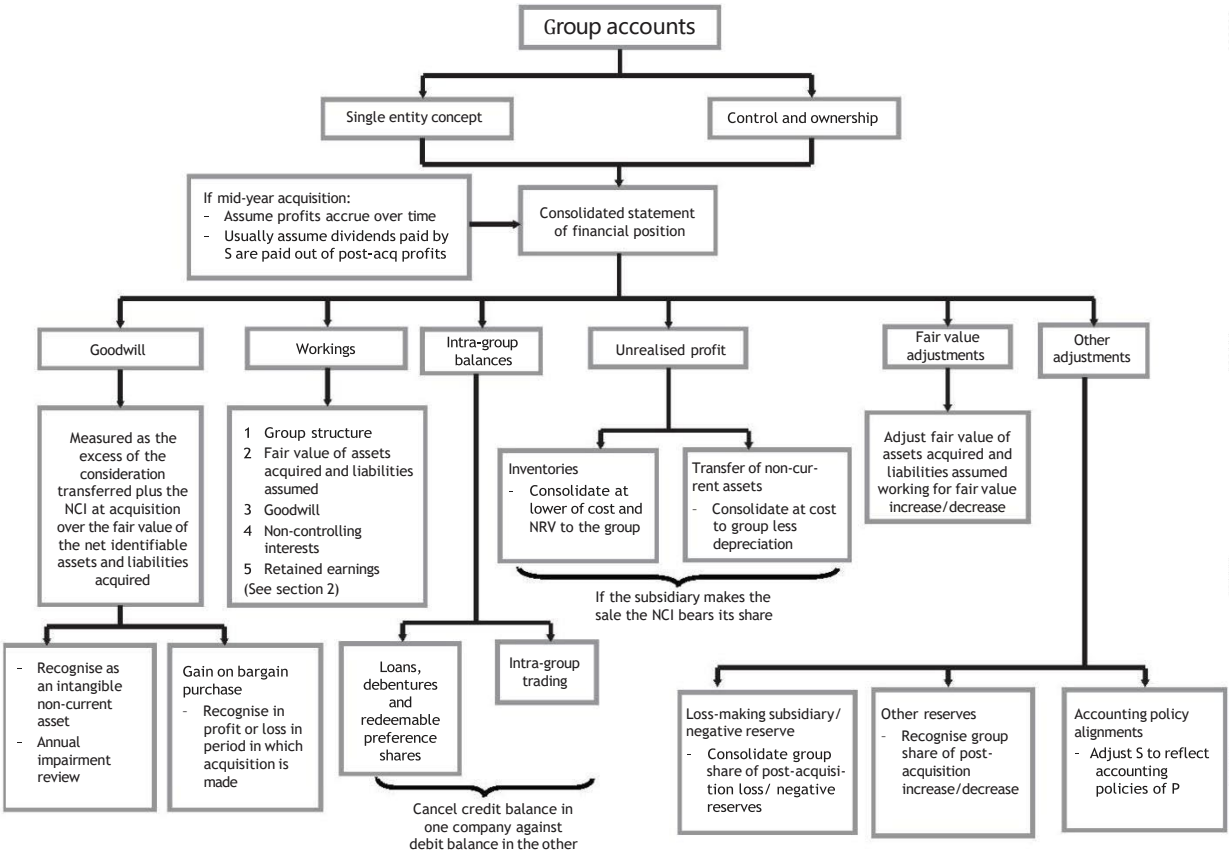
Westie Ltd has been 85% owned by Mastiff Ltd for some years. On 1 January 20X4 Westie Ltd acquired an investment property for CU2,000,000 and elected to apply the cost model, depreciating over 50 years. Therefore, the carrying amount at 31 December 20X4 was CU1,960,000. Group policy is to use the fair value model, and the fair value of property at the year-end is CU2,150,000.

Requirement

Set out the adjustment required in the preparation of the consolidated statement of financial position at 31 December 20X5.

See **Answer** at the end of this chapter.

Summary


Group accounts
Single entity concept
Control and ownership
If mid-year acquisition:
- Assume profits accrue over time
- Usually assume dividends paid by S are paid out of post-acq profits
Consolidated statement of financial position
Goodwill
Workings
Intra-group balances
Unrealised profit
Fair value adjustments
Other adjustments
Measured as the excess of the consideration transferred plus the NCI at acquisition over the fair value of the net identifiable assets and liabilities acquired
1 Group structure
2 Fair value of assets acquired and liabilities assumed
3 Goodwill
4 Non-controlling interests
5 Retained earnings
(See section 2)
Inventories
- Consolidate at lower of cost and NRV to the group
Transfer of non-current assets
- Consolidate at cost to group less depreciation
If the subsidiary makes the sale the NCI bears its share
Adjust fair value of assets acquired and liabilities assumed working for fair value increase/decrease
- Recognise as an intangible non-current asset
- Annual impairment review
Gain on bargain purchase
- Recognise in profit or loss in period in which acquisition is made
Loans, debentures and redeemable preference shares
Intra-group trading
Cancel credit balance in one company against debit balance in the other
Loss-making subsidiary/ negative reserve
- Consolidate group share of post-acquisition loss/ negative reserves
Other reserves
- Recognise group share of post-acquisition increase/decrease
Accounting policy alignments
- Adjust S to reflect accounting policies of P

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you write out the standard workings for the consolidated statement of financial position? (Topic 1)
2.	Why is the date on which a subsidiary was acquired important? What if the acquisition was not on the first day of the reporting period? (Topic 2)
3.	If group companies trade with each other and the goods remain unsold at the period end, what consolidation adjustments are likely to be needed? (Topics 3 and 4)
4.	If the fair value of the identifiable assets acquired and liabilities assumed by the acquirer is higher than the carrying amount of the net assets of the acquiree at acquisition, can you explain what consolidation adjustments would be necessary? (Topic 4)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
VW plc	This question asks you to prepare several extracts from the consolidated financial statements, so it is a great question to test whether you have understood those individual bits of consolidation, aside from preparing the full consolidated statement.
Close Ltd	Part (a) of this question requires the preparation of a full consolidated statement of financial position, with lots of consolidation adjustments thrown in. It is great for practising the different topics covered in this chapter. Part (b) requires you to explain the adjustments required in respect of intra-group trading. Being asked to explain how to account for a transaction or balance is a great way to test whether you have fully grasped the concept.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Laois plc (part 2 only)	This part of the question tests whether you can explain the two different methods of measuring non-controlling interests under IFRS 3, with reference to an acquisition given in the scenario. The scenario includes a fair value adjustment. This question is a good test of your ability to explain the principles and calculate both goodwill and non-controlling interests.
Advent plc (part 1 – issue 1 only)	This question tests many of the topics covered in this chapter and Chapter 12 – control, fair value of consideration and calculating goodwill. It is also a mid-year acquisition. This question is a good test of how much you have understood on this topic and whether you can explain and apply that knowledge.
	Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

For a comprehensive Technical reference section, covering all aspects of group accounts (except group statements of cash flows) see Chapter 12.

Self-test questions

Answer the following questions.

1 Black plc

The summarised statements of financial position of Black plc and Red plc at 31 December 20X6 were as follows.

	Black plc	Red plc
	CU	CU
Total assets	60,000,000	29,000,000
Share capital	20,000,000	10,000,000
Retained earnings	24,000,000	4,000,000
Equity	44,000,000	14,000,000
Current liabilities	16,000,000	15,000,000
Total equity and liabilities	60,000,000	29,000,000

On 1 January 20X7 Black plc bought all the share capital of Red plc for CU17,000,000 in cash. The fair values of the assets acquired and liabilities assumed at the date of acquisition were equal to their carrying amounts at the date of acquisition.

Requirement

What will be the amount of retained earnings to be included in the consolidated statement of financial position as at 1 January 20X7?

2 Milton plc

Milton plc owns all the share capital of Keynes Ltd. The following information is extracted from the individual company statements of financial position as on 31 December 20X1.

	Milton plc	Keynes Ltd
	CU	CU
Current assets	500,000	200,000
Current liabilities	220,000	90,000

Included in Milton plc's current liabilities is a balance in respect of Keynes Ltd of CU20,000. The equivalent balance within current assets of Keynes Ltd is CU22,000. The difference between those figures is accounted for by cash in transit.

Requirement

If there are no other intra-group balances, what are the amounts of current assets and current liabilities in the consolidated statement of financial position of Milton plc and its subsidiary?

3 Laker Ltd

Laker Ltd owns 80% of the ordinary shares of Hammond Ltd. The following amounts have been extracted from their draft financial statements at 31 December 20X0.

	Laker Ltd	Hammond Ltd
	CU	CU
Current liabilities		
Trade payables	5,200	7,100
Amount owed to subsidiary	500	–
Income tax	100	150
Amounts owed to trade investments	150	200
Other payables	50	70
	6,000	7,520

Hammond Ltd shows an amount receivable from Laker Ltd of CU620 and the difference is due to cash in transit.

Requirement

What is the total carrying amount of current liabilities in the consolidated statement of financial position of Laker Ltd?

4 Austen plc

Austen plc has owned 100% of Kipling Ltd and 60% of Dickens Ltd for many years. At 31 December 20X5 the trade receivables and trade payables shown in the individual company statements of financial position were as follows.

	Austen plc	Kipling Ltd	Dickens Ltd
	CU	CU	CU
Trade receivables	50,000	30,000	40,000
Trade payables	30,000	15,000	20,000
Trade payables comprise amounts owing to:			
– Austen	–	–	–
– Kipling	2,000	–	4,000
– Dickens	3,000	–	–
– Other suppliers	25,000	15,000	16,000
	30,000	15,000	20,000

The intra-group accounts agreed after taking into account the following.

(1) An invoice for CU3,000 posted by Kipling Ltd on 31 December 20X5 was not received by Austen plc until 2 January 20X6.

(2) A cheque for CU2,000 posted by Austen plc on 30 December 20X5 was not received by Dickens Ltd until 4 January 20X6.

Requirement

What amount should be shown as trade receivables in the consolidated statement of financial position of Austen plc?

5 Ho plc

The following is the draft statement of financial position information of Ho plc and Su Ltd, as on 30 September 20X2.

	Ho plc	Su Ltd
	CU	CU
Ordinary CU1 shares	2,600,000	1,000,000
Retained earnings	750,000	700,000
Trade payables	350,000	900,000
Other payables		100,000
Total assets	3,700,000	2,700,000

Ho plc acquired 60% of the share capital of Su Ltd several years ago when Su Ltd's retained earnings were CU300,000. The fair value of the identifiable assets acquired and liabilities assumed by Ho plc were equal to the carrying amount of the net assets of Su Ltd other than an estimated audit fee of
CU40,000, which has not been recognised in the financial statements of Su Ltd at 30 September 20X2.

Requirement

What should the amount of consolidated retained earnings be on 30 September 20X2?

6 Oxford Ltd

Oxford Ltd owns 100% of the issued share capital of Cambridge Ltd and sells goods to its subsidiary at a profit margin of 20%. At the year-end their statements of financial position showed inventories of:

Oxford Ltd	CU290,000
Cambridge Ltd	CU160,000

The inventory of Cambridge Ltd included CU40,000 of goods supplied by Oxford Ltd and there was inventory in transit from Oxford to Cambridge amounting to a further CU20,000.

Requirement

At what amount should inventory be carried in the consolidated statement of financial position?

7 Rugby Ltd

Rugby Ltd has a 75% subsidiary, Stafford Ltd, and is preparing its consolidated statement of financial position as on 31 December 20X6. The carrying amount of property, plant and equipment in the two companies at that date is as follows.

Rugby Ltd	CU260,000
Stafford Ltd	CU80,000

On 1 January 20X6 Stafford Ltd had transferred some equipment to Rugby Ltd for CU40,000. At the date of transfer the equipment, which had cost CU42,000, had a carrying amount of CU30,000 and a remaining useful life of five years. The group accounting policy is to depreciate equipment on a straight-line basis down to a nil residual value.

Requirement

What figure should be disclosed as the carrying amount of property, plant and equipment in the consolidated statement of financial position of Rugby Ltd as on 31 December 20X6?

8 Lynton Ltd

Lynton Ltd acquired 75% of the 200,000 CU1 ordinary shares and 50% of the 100,000 CU1 redeemable preference shares of Pinner Ltd when its retained earnings were CU24,000. The fair value of the identifiable assets acquired and liabilities assumed by Lynton Ltd were equal to their carrying amounts in the financial statements of Pinner Ltd at the date of acquisition. The retained earnings of Lynton Ltd and Pinner Ltd are now CU500,000 and CU60,000 respectively.

Requirement

What amounts for non-controlling interest and consolidated retained earnings should be included in the current consolidated statement of financial position?

9 Hill plc

Hill plc owns 60% of the ordinary share capital of Down plc and all of its 10% borrowings. The following transactions have been recorded by Down plc as at 31 December 20X3.

Half year's interest due: CU15,000 Interim dividend paid: CU50,000
Hill plc has not yet accounted for the interest receivable from Down plc.

Requirement

In preparing the consolidated statement of financial position for Hill plc and its subsidiary at 31 December 20X3, what adjustments are required in respect of intra-group dividends and debenture interest?

10 Nasty Ltd

Nasty Ltd and Horrid Ltd are wholly-owned subsidiaries of Ugly Ltd. Inventory in their individual statements of financial position at the year-end is shown as follows.

Ugly Ltd: CU30,000

Horrid Ltd: CU10,000

Nasty Ltd: CU20,000

Sales by Horrid Ltd to Nasty Ltd during the year were invoiced at CU15,000, which included a profit to Horrid Ltd of 25% on cost. Two thirds of these goods were in inventory at the year-end.

Requirement

At what amount should inventory appear in the consolidated statement of financial position?

11 Fallin Ltd

Fallin Ltd acquired 100% of the share capital of Gaydon Ltd for CU150,000 on 1 May 20X6. The fair value of the identifiable assets acquired and liabilities assumed by Fallin Ltd were equal to their carrying amounts at the date of acquisition. Equity at 30 April was as follows.

	Fallin Ltd 20X7 CU	Gaydon Ltd 20X7 CU	Gaydon Ltd 20X6 CU
Ordinary share capital	100,000	50,000	50,000
Revaluation surplus	-	25,000	15,000
Retained earnings	340,000	135,000	25,000
	440,000	210,000	90,000

An impairment review at 30 April 20X7 revealed that goodwill acquired in the business combination with Gaydon Ltd had become impaired by CU6,000 in the year.

Requirement

What should the consolidated equity of the Fallin Ltd group be on 30 April 20X7?

12 VW plc

With reference to the information below, answer the requirements with respect to the consolidated financial statements of VW plc.

Summarised statements of financial positionas at 30 September 20X7

	VW plc CU	Polo Ltd CU	Golf Ltd CU
ASSETS			
Property, plant and equipment	200,000	40,000	30,000
Investments			
– 100,000 shares in Polo Ltd	150,000	–	–
– 40,000 shares in Golf Ltd	70,000	–	–
Current assets			
Inventories	150,000	90,000	80,000
Trade receivables	250,000	40,000	20,000
Cash	50,000	20,000	10,000
	870,000	190,000	140,000

	VW plc CU	Polo Ltd CU	Golf Ltd CU
EQUITY AND LIABILITIES			
Equity			
Ordinary shares of CU1 each	500,000	100,000	50,000
Retained earnings	90,000	40,000	70,000
Total equity	590,000	140,000	120,000
Current liabilities	280,000	50,000	20,000
	870,000	190,000	140,000

Notes

1 VW plc acquired its shares in Polo Ltd on 1 October 20X5 when Polo Ltd's retained earnings were CU30,000. The fair value of the assets acquired and liabilities assumed by VW plc were equal to their carrying amounts at the date of acquisition.

2 VW plc acquired its shares in Golf Ltd on 30 September 20X6. Golf Ltd's net profit for the year- ended 30 September 20X7 was CU30,000.

3 It is the policy of the VW group to measure the non-controlling interests using the proportionate basis.

4 Included in Polo Ltd's inventory at 30 September 20X7 was CU15,000 of goods purchased from VW plc during the year. VW plc invoiced Polo Ltd at cost plus 50%.

5 During the year-ended 30 September 20X7 Polo Ltd sold goods costing CU50,000 to Golf Ltd for CU70,000. Golf Ltd still had half of these goods in inventory at 30 September 20X7.

6 The following intra-group balances are reflected in the above statement of financial position of VW plc at 30 September 20X7.

CU20,000 receivable from Polo Ltd

CU10,000 payable to Golf Ltd

Requirements

12.1 What should the amount of non-controlling interest be?

12.2 What is the total of group inventories?

12.3 What is group trade receivables?

12.4 What amount of goodwill should be included under intangible assets?

12.5 Consolidated retained earnings should be presented at what amount?

13 Dublin Ltd

The following are the summarised statements of financial position of a group of companies as at 31 December 20X9.

	Dublin Ltd CU	Shannon Ltd CU	Belfast Ltd CU
ASSETS			
Non-current assets			
Property, plant and equipment	90,000	60,000	50,000
Investments: 40,000 CU1 shares in Shannon	50,000	–	–
– 12,000 6% loan notes of Shannon	12,000		
– 30,000 CU1 shares in Belfast	45,000		
	197,000	60,000	50,000
Current assets	203,000	70,000	30,000
Total assets	400,000	130,000	80,000
EQUITY AND LIABILITIES			
Equity			
Ordinary share capital	190,000	50,000	40,000
Revaluation surplus	–	10,000	–
Retained earnings	60,000	30,000	16,000
Total equity	250,000	90,000	56,000
Non-current liabilities – loan notes		20,000	
Current liabilities	150,000	20,000	24,000
Total equity and liabilities	400,000	130,000	80,000

Dublin Ltd purchased its shares and loan notes in Shannon Ltd five years ago when there were retained earnings of CU20,000 and a balance on its revaluation surplus of CU10,000.

Belfast Ltd had retained earnings of CU16,000 when Dublin Ltd acquired its shares on 1 January 20X9. The fair value of assets acquired and liabilities assumed were equal to their carrying amounts at the date of acquisition.

At the end of 20X9 the goodwill impairment review revealed a loss of CU300 in relation to the goodwill acquired in the business combination with Belfast Ltd.

During November 20X9, Shannon Ltd had sold goods to Belfast Ltd for CU12,000 at a mark-up on cost of 20%. Half of these goods were still held by Belfast Ltd at 31 December 20X9.

Dublin Ltd prefers to measure the non-controlling interests using the proportionate method wherever possible.

Requirement

Prepare the consolidated statement of financial position as at 31 December 20X9 of Dublin Ltd and its subsidiaries.

14 Close Ltd

The summarised statements of financial position of Close Ltd and Steele Ltd as at 31 December 20X9 were as follows.

		Close Ltd		Steele Ltd
	CU	CU	CU	CU
ASSETS				
Non-current assets				
Property, plant and equipment		80,000		58,200
Investments		84,000		
		164,000		58,200
Current assets				
Inventories	18,000		12,000	
Trade and other receivables	62,700		21,100	
Investments	–		2,500	
Cash and cash equivalents	10,000		3,000	
Current account – Close Ltd			3,200	
		90,700		41,800
Total assets		254,700		100,000
EQUITY AND LIABILITIES				
Equity				
Ordinary share capital (CU1 shares)		120,000		60,000
Share premium account		18,000		–
Revaluation surplus		23,000		16,000
Retained earnings		56,000		13,000
Total equity		217,000		89,000
Current liabilities				
Trade and other payables	35,000		11,000	
Current account – Steele Ltd	2,700			
		37,700		11,000
Total equity and liabilities		254,700		100,000

The following information is relevant.

(1) On 1 January 20X7 Close Ltd acquired 48,000 shares in Steele Ltd for CU84,000 cash when the retained earnings of Steele Ltd were CU8,000 and the balance on the revaluation surplus was CU16,000.

(2) The fair value of identifiable assets acquired and liabilities assumed by Close Ltd were equal to the carrying amount of Steele Ltd's net assets at the date of acquisition, except for

a contingent liability. The contingent liability was disclosed in the financial statements of Steele Ltd as a potential CU300,000, although its fair value was assessed at CU58,000. A final decision on this matter is expected to be reached within the next 12 months.

(3) The inventories of Close Ltd include CU4,000 of goods from Steele Ltd invoiced to Close Ltd at cost plus 25%.

(4) An electronic payment for CU500 from Close Ltd to Steele Ltd, sent on 31 December 20X9, was not received by Steele Ltd until 1 January 20Y0.

(5) An impairment review at 31 December 20X9 revealed that an impairment loss of CU500 in respect of goodwill on the acquisition of Steele Ltd needs to be recognised. By 1 January 20X9 this goodwill had already suffered impairments totalling CU1,700.

(6) Close Ltd chose to measure the non-controlling interests in Steele Ltd using the proportionate method.

Requirements

14.1 Prepare the consolidated statement of financial position of Close Ltd and its subsidiary Steele Ltd as at 31 December 20X9.

14.2 Explain the adjustments necessary in respect of intra-group sales when preparing the consolidated statement of financial position of the Close Ltd group.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Raven Ltd: Consolidated statement of financial position as at 31 December 20X1

	CU
Non-current assets	
Property, plant and equipment (100,000 + 40,000 + 10,000)	150,000
Intangible assets (W3)	6,667
	156,667
Current assets (45,000 + 40,000 + 25,000)	110,000
	266,667
Equity attributable to owners of the parent	
Called up share capital	50,000
Retained earnings (W5)	133,333
	183,333
Non-controlling interests (W4)	23,334
Total equity	206,667
Liabilities (30,000 + 20,000 + 10,000)	60,000
	266,667

WORKINGS

(1) **Group structure**



(2) **Fair value of identifiable assets acquired and liabilities assumed**

	Year-end	Acquisition	Post-acquisition
	CU	CU	CU
Viv Ltd			
– Share capital	20,000	20,000	
– Retained earnings	40,000	4,000	36,000
	60,000	24,000	
Nome Ltd			
– Share capital	10,000	10,000	
– Retained earnings	15,000	1,000	14,000
	25,000	11,000	

(3) **Goodwill**

	Viv Ltd	Nome Ltd	Total
	CU	CU	CU
Consideration transferred	25,000	10,000	
Non-controlling interests at acquisition			
– Viv Ltd (25% × 24,000 (W2))	6,000		
– Nome Ltd (1/3 × 11,000 (W2))		3,667	
Fair value of identifiable assets acquired and liabilities assumed at acquisition (= net assets)	(24,000)	(11,000)	
Goodwill	7,000	2,667	9,667
Impairment to date	(3,000)	–	(3,000)
	4,000	2,667	6,667

(4) **Non-controlling interests**

	CU	CU
Viv Ltd		
- Share of fair value of net assets at acquisition (25% × 24,000 (W2))	6,000	
- Share of post-acquisition (25% × 36,000 (W2))	9,000	
		15,000
Nome Ltd		
- Share of net assets at acquisition (1/3 × 11,000 (W2))	3,667	
- Share of post-acquisition (1/3 × 14,000 (W2))	4,667	
		8,334
		23,334

(5) **Retained earnings**

	CU
Raven Ltd	100,000
Viv Ltd – Share of post-acquisition retained earnings (75% × 36,000 (W2))	27,000
Nome Ltd – Share of post-acquisition retained earnings (2/3 × 14,000 (W2))	9,333
Goodwill impairment to date (W3)	(3,000)
	133,333

Answer to Interactive question 2

2.1 Calculation as follows: WORKING

Fair value of identifiable assets acquired and liabilities assumed

	Year-end	Acquisition	Post-acquisition
	CU	CU	CU
Share capital	1,000	1,000	
Retained earnings (15,000 + (5/12 × (15,600 – 15,000)))	15,600	15,250	350
	16,600	16,250	

2.2 Calculations as follows: WORKING

Goodwill

	CU
Consideration transferred	20,000
Plus non-controlling interests at acquisition (16,250 (from FVIAALA working) ×20%)	3,250
Less fair value of identifiable assets acquired and liabilities assumed (from FVIAALA working)	(16,250)
	7,000

2.3 **Profit from S Ltd included in consolidated retained earnings**

	CU
Share of post-acquisition retained earnings of S Ltd (80% × 350 (from FVIAALA working))	280

Answer to Interactive question 3

		CU	CU
DR	Seller's (S Ltd's) retained earnings (adjust in net assets working)	3,000	
CR	Inventories in CSOFP (1/2 × 6,000)		3,000

WORKINGS

(1) **Group structure**

P Ltd



S Ltd

(2) **Fair value of identifiable assets acquired and liabilities assumed**

		Year-end	Acquisition	Post-acquisition
	CU	CU	CU	CU
Share capital		10,000	10,000	
Retained earnings				
- Per question	65,000			
-Less PURP	(3,000)			
		62,000	20,000	42,000
		72,000	30,000	

(3) **Non-controlling interests**

		CU
Share of net assets at acquisition	(20% × 30,000)	6,000
Share of post-acquisition (W2)	(20% × 42,000)	8,400
		14,400

(4) **Retained earnings**

	CU
P Ltd	100,000
Share of S Ltd (80% × 42,000 (W2))	33,600
	1,33,600

Answer to Interactive question 4

Following the transfer, the asset will be measured in the accounts of S at:

	CU
Cost to S Ltd	15,000
Less depreciation (15,000/3 remaining years (8,000 is 2/5 of cost))	(5,000)
	10,000

Had the transfer not been made, the asset would stand in the accounts of P (the transferor) at:

	CU
Cost	20,000
Less: Accumulated depreciation at date of 'transfer'	(8,000)
Charge for current year (CU20,000/5)	(4,000)
	8,000

Overall adjustment in CSOFP

	CU	CU
DR Seller's (P Ltd's) retained earnings*	2,000	
CR Non-current assets		2,000

(* ie adjust in **retained earnings** working)

Note: In this question, as the **parent** is the selling company, **none of the adjustment is attributed to the non-controlling interests**.

Answer to Interactive question 5

	CU
Consideration transferred	80,000
Non-controlling interest at acquisition (40% × 110,000 (W2)	44,000
Less fair value of identifiable assets acquired and liabilities assumed at acquisition (W2)	(110,000)
Goodwill	14,000

WORKINGS

(1) **Group structure**

P Ltd

↓ 60%

S Ltd

(2) **Fair value of identifiable assets acquired and liabilities assumed**

	Year-end = Acquisition date	
	CU	CU
Share capital		20,000
Retained earnings	85,000	
Add fair value uplift (30,000 – 20,000)	10,000	
Less goodwill	(5,000)	
		90,000
		110,000

Note: In the assets section of the **consolidated statement of financial position**, the freehold land should be carried at CU30,000. The goodwill in the subsidiary's **statement of financial position** of CU5,000 should not be separately recognised as an intangible asset in the consolidated **statement of financial position**.

Answer to Interactive question 6

6.1 Carrick Ltd's share of Ayr Ltd's post-acquisition movements in equity (W1) = CU2,832,000

WORKING

Fair value of identifiable assets acquired and liabilities assumed

	Year-end	At acquisition	Post-acquisition
Ayr Ltd	**CU**	**CU**	**CU**
Net assets	10,000,000	5,000,000	5,000,000
PPE fair value uplift	1,000,000	1,000,000	–
Depreciation thereon – 3 years = 30%	(300,000)	–	(300,000)
Contingent liability	(80,000)	(100,000)	20,000
	10,620,000	5,900,000	4,720,000
Carrick Ltd's share – 60%			2,832,000

Note: If future events resulted in the contingent liability ceasing to exist (eg, because it relates to a legal claim being defended and the court settles in favour of the defendant), it should be re-measured to CUnil and the whole of the remaining CU80,000 should be released as income in profit or loss for that period. If future events result in the contingent liability crystallising into a liability (eg, because the court settles in favour of the plaintiff), no adjustment would be required to the year-end net assets because the liability would already be recognised by the subsidiary in its separate financial statements.

6.2

	CU
Consideration transferred	8,000,000
Non-controlling interests (40% × 5,900,000 (W1))	2,360,000
Fair value of identifiable assets acquired and liabilities assumed (W1)	(5,900,000)
Goodwill	4,460,000

6.3

	CU
Additional charge for year-ended 30 June 20X5 (10% × 1,000,000)	100,000

Answer to Interactive question 7

The accounting policies of Mastiff Ltd and Westie Ltd need to be consistent for the purposes of consolidation. The investment property in the accounts of Westie Ltd needs to reflect the fair value model rather than the cost model. Adjustments are required to:

- add back the depreciation charged; and
- reflect the fair value at the period end.

	CU
Carrying amount of investment property at fair value	2,150,000
Carrying amount in Westie Ltd's SOFP	1,960,000
Increase in carrying amount	190,000

The journal entry required on consolidation is as follows:

		CU	CU
DR	Investment property	190,000	
CR	Consolidated retained earnings (85%)		161,500
CR	Non-controlling interests (15%)		28,500

Under the fair value model, no depreciation is charged and the fair value of the asset is assessed at each period end date, with the gain or loss recognised in profit or loss (retained earnings). As the investment property is held by the subsidiary, the non-controlling interests are allocated their share of the change in retained earnings.

Answers to Self-test questions

1 Black plc

	CU
Retained earnings – Black plc only	24,000,000

No post-acquisition profits have yet arisen in Red plc.

2 Milton plc

	Milton	Keynes	Adjustment	Consolidated
	CU	CU	CU	CU
Current assets	500,000	200,000	–22,000 + 2,000	680,000
Current	(220,000)	(90,000)	+20,000	(290,000)

3 Laker Ltd

	CU
Laker	6,000
Hammond	7,520
Less intra-group indebtedness	(500)
Total current liabilities	13,020

4 Austen plc

	CU	CU
Austen plc		50,000
Kipling Ltd		30,000
Dickens Ltd	40,000	
Less cash in transit	(2,000)	
		38,000
		118,000
Less intra-group receivables		
Owed to Kipling Ltd (2,000 + 3,000 + 4,000)	9,000	
Owed to Dickens Ltd	3,000	
		(12,000)
Group trade receivables		106,000

5 Ho plc

	CU
Ho plc	750,000
Su Ltd – Ho plc's share of post-acquisition retained earnings (60% × (700 – 40) – 300))	216,000
Consolidated retained earnings	966,000

6 Oxford Ltd

	CU
Oxford Ltd Cambridge Ltd	290,000
In transit to Cambridge Ltd	160,000
Less PURP ((40,000 + 20,000) × 20%)	20,000
Group inventory	(12,000)
	458,000

7 Rugby Ltd

The adjustment required following the intragroup transfer is CU8,000.

	Is	Should be
	CU	CU
Cost	40,000	42,000
Accumulated depreciation	(8,000)	(18,000)
Carrying amount	32,000	24,000

Adjustment required:

		CU	CU
DR	Stafford Ltd retained earnings	8,000	
CR	Property, plant and equipment		8,000

PPE in consolidated statement of financial position = 260,000 + 80,000 – 8,000 = CU332,000

8 Lynton Ltd

	CU
Non-controlling interests	
Ordinary shares (25% × (200,000 + 60,000))	65,000
Consolidated retained earnings	
Lynton Ltd	500,000
Pinner Ltd (75% × (60,000 – 24,000))	27,000
	527,000

Note: Redeemable preference shares should be classified as liabilities.

9 Hill plc

Adjustments required:

(1) To account for the interest receivable by Hill plc

		CU	CU
DR	Current assets in Hill with interest receivable	15,000	
CR	Retained earnings of Hill		15,000

(2) To cancel intra-group balances for interest

		CU	CU
DR	Current liabilities in	15,000	
CR	Down		15,000

Note: There will be no outstanding balances for the dividends as they have been paid and would not be included as payables even if unpaid.

Summary of adjustment required:

		CU	CU
DR	Current liabilities	15,00	
CR	Retained earnings of Hill		15,000

10 Nasty Ltd

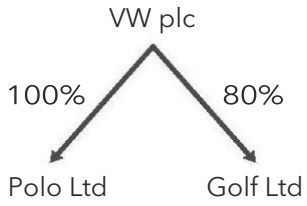
	CU
Ugly Ltd	30,000
Nasty Ltd	20,000
Horrid Ltd	10,000
Less PURP (2/3 × 15,000 × 25/125)	(2,000)
Group inventory	58,000

11 Fallin Ltd

	CU	CU
Ordinary share capital		100,000
Revaluation surplus (25 – 15)		10,000
Retained earnings		
– Fallin Ltd	340,000	
– Gaydon Ltd (135 – 25)	110,000	
– Goodwill impairment to date	(6,000)	
		444,000
Group equity		554,000

12 VW plc

12.1 Non-controlling interest = 20% × (50,000 + 70,000) = CU24,000



12.2 **Group inventories**

	CU
VW plc	150,000
Polo Ltd	90,000
Golf Ltd	80,000
	320,000
Less PURP	
- Note (4) (15,000 × $^{50}/_{150}$ in VW plc's retained earnings)	(5,000)
- Note (5) (1/2 × 70,000 – 50,000 in Polo Ltd's retained earnings)	(10,000)
Group inventories	305,000

12.3 **Group trade receivables:**

	CU
VW plc	250,000
Less intra-group receivable	(20,000)
Polo Ltd	40,000
Golf Ltd	20,000
Less intra-group receivable	(10,000)
Group trade receivables	280,000

12.4 Goodwill to be included under intangible assets = CU20,000

	CU	CU
Polo – consideration transferred		150,000
Net assets		
Share capital	100,000	
Retained earnings at acquisition	30,000	
		(130,000)
Goodwill		20,000
Golf – consideration transferred		70,000

Non-controlling interests at acquisition (90,000 (below) × 20%)		18,000
		88,000
Net assets at acquisition		
Share capital	50,000	
Retained earnings (70 – 30)	40,000	
		(90,000
		(2,000)
Gain on a bargain purchase*		

*Recognised in consolidated statement of profit or loss in period of acquisition

12.5 **Consolidated retained earnings:**

	CU
VW plc	90,000
Less PURP per above	(5,000)
	85,000
Polo Ltd ((40,000 – 10,000 PURP per above) – 30,000)	-
Golf Ltd (80% × 30,000)	24,000
Gain on bargain purchase of Golf Ltd	2,000
Consolidated retained earnings	111,000

13 Dublin Ltd

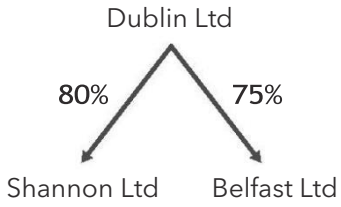
Consolidated statement of financial position as at 31 December 20X9

	CU
ASSETS	
Non-current assets	
Property, plant and equipment (90,000 + 60,000 + 50,000)	200,000
Intangible assets (W3)	2,700
	202,700
Current assets (203,000 + 70,000 + 30,000 – 1,000 (W6))	302,000
Total assets	504,700
EQUITY AND LIABILITIES	
Equity attributable to owners of the parent	
Ordinary share capital	190,000
Retained earnings (W5)	80,900
	270,900
Non-controlling interests (W4)	31,800

Total equity	302,700
Non-current liabilities (loan notes 20,000 – 12,000)	8,000
Current liabilities (150,000 + 20,000 + 24,000)	194,000
Total equity and liabilities	504,700

WORKINGS

(1) **Group structure**



(2) **Net assets**

		Acquisition date	Post-acquisition
	CU	CU	CU
Shannon Ltd			
Share capital	50,000	50,000	–
Revaluation surplus	10,000	10,000	–
Retained earnings (30,000 – 1,000 (W6))	29,000	20,000	9,000
	89,000	80,000	
Belfast Ltd			
Share capital	40,000	40,000	–
Retained earnings	16,000	16,000	–
	56,000	56,000	

(3) **Goodwill**

	Shannon Ltd	Belfast Ltd
	CU	CU
Consideration transferred	50,000	45,000
Non-controlling interests at acquisition ((80,000 × 20%/56,000 × 25%)	16,000	14,000
	66,000	59,000
Fair value of identifiable assets acquired and liabilities assumed (= net assets)		
- Shannon Ltd (W2)	(80,000)	
- Belfast Ltd (W2)	_	(56,000)

(Gain on a bargain purchase)/goodwill	(14,000)	3,000
Recognised in profit or loss (impairment) to date	14,000	(300)
	nil	2,700

(4) **Non-controlling interests at year-end**

	CU	CU
Shannon Ltd		
- NCI at acquisition (W3)	16,000	
- Share of post-acquisition reserves ((W2) 9,000 × 20%)	1,800	
		17,800
Belfast Ltd		
- NCI at acquisition (W3)	14,000	
- Share of post-acquisition reserves ((W2) nil × 25%)	-	
		14,000
		31,800

(5) **Retained earnings**

	CU
Dublin Ltd	60,000
Shannon Ltd (80% × 9,000 (W2))	7,200
Belfast Ltd (75% × nil (W2))	-
Less goodwill impairment to date (W3)	(300)
Add gain on a bargain purchase (W3)	14,000
	80,900

(6) **PURP**

CU12,000 × 20/120 × 50% = CU1,000

	CU	CU
DR Retained earnings (Shannon)	1,000	
CR Group inventory (current assets)		1,000

14 Close Ltd

14.1 Consolidated statement of financial position as at 31 December 20X9

	CU	CU
ASSETS		
Non-current assets		
Property, plant and equipment (80,000 + 58,200)		138,200
Intangible assets (W3)		61,000
		199,200
Current assets		
Inventories (18,000 + 12,000 – 800 PURP (W2))	29,200	
Trade and other receivables (62,700 + 21,100)	83,800	
Investments	2,500	
Cash and cash equivalents (10,000 + 3,000 + 500)	13,500	
		129,000
Total assets		328,200
EQUITY AND LIABILITIES		
Equity attributable to owners of the parent		
Ordinary share capital		120,000
Share premium account		18,000
Revaluation surplus		23,000
Retained earnings (W5)		57,160
		218,160
Non-controlling interests (W4)		6,040
Total equity		224,200
Current liabilities		
Acquired contingent liability		58,000
Trade and other payables (35,000 + 11,000)		46,000
Total equity and liabilities		328,200

14.2 Adjustments

When group companies have been trading with each other two separate adjustments may be required in the consolidated statement of financial position. When group companies have been trading with each other two separate adjustments may be required in the consolidated statement of financial position.

(1) **Elimination of unrealised profits**

If one company holds inventories at the year-end which have been acquired from another group company, this may include a profit element that is unrealised from a group perspective.

Here Steele Ltd has sold goods to Close Ltd at cost plus 25%. The mark-up of 25% will only become realised when the goods are sold to a third party. Therefore, if any intra-group inventory is still held at the year-end, the profit thereon should be eliminated from the consolidated accounts.

This will require an adjustment of CU800 (4,000 × 25/125) which is always made against the selling company's retained earnings ie:

	DR	CR
	CU	CU
Steele Ltd's retained earnings (W2)	800	
Consolidated inventory		800

As well as eliminating the unrealised profit, this reduces inventory back to its original cost to the group.

(2) **Eliminate intra-group balances**

As group companies are effectively treated as one entity, any intra-group balances must be eliminated on consolidation. Here, intra-group current accounts have arisen as a result of the intra-group trading and these must be cancelled out. Before this can be done the current accounts must be brought into agreement by adjusting the accounts of the 'receiving' company (here Steele Ltd) for the electronic payment in-transit ie:

	DR	CR
	CU	CU
Cash	500	
Current account		500

This will reduce the current account receivable to CU2,700, which means that it now agrees with the payable balance shown in the accounts of Close Ltd.

	DR	CR
	CU	CU
Current account in Close Ltd	2,700	
Current account in Steele Ltd		2,700

WORKINGS

(1) **Group structure**

Close Ltd

↓ 80%

Steele Ltd

(2) **Fair value of identifiable assets acquired and liabilities assumed**

	CU	Year-end CU	Acquisition date CU	Post-acquisition CU
Share capital		60,000	60,000	–
Revaluation surplus		16,000	16,000	–
Retained earnings				
– Per question	13,000			
– Less: PURP (4,000 × 25/125)	(800)			4,200
		12,200	8,000	
Contingent liability		(58,000)	(58,000)	
		30,200	26,000	

(3) **Goodwill**

	CU
Consideration transferred	84,000
Non-controlling interest at acquisition (26,000 × 20% (W2))	5,200
	89,200
	(26,000)
Less fair value of identifiable assets acquired and liabilities assumed (W2)	63,200
Impairment to date (500 + 1,700) Balance c/f	(2,200)
	61,000

(4) **Non-controlling interests at year-end**

	CU
Steele Ltd – NCI at acquisition (20% × 26,000 (W2))	5,200
Share of post-acquisition reserves (20% × 4,200 (W2))	840
	6,040

(5) **Retained earnings**

	CU
Close Ltd	56,000
Steele Ltd (80% × 4,200 (W2))	3,360
Less goodwill impairment to date (W3)	(2,200)
	57,160

Chapter 14
Consolidated statements of financial performance

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

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2 Intra-group transactions and unrealised profit

3 Consolidated statement of profit or loss workings

4 Acquisitions made part-way through a reporting period

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Answers to Self-test questions



Introduction

Learning outcomes

- Identify the effects of transactions in accordance with the IFRS *Conceptual Framework for Financial Reporting*
- Explain and demonstrate the concepts and principles surrounding the consolidation of financial statements
- Calculate from financial and other data the amounts to be included in an entity's consolidated financial statements in respect of its new, continuing and discontinued interests in subsidiaries, associates and joint ventures (excluding partial disposals of subsidiaries and disposals of associates or joint ventures) according to the international financial reporting framework
- Prepare and present the consolidated financial statements, or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards
- Explain the application of IFRS Accounting Standards to specified group scenarios

Syllabus links

This chapter looks in detail at the preparation of the consolidated statement of profit or loss and statement of changes in equity and is fundamental to the *Financial Accounting and Reporting* syllabus. It builds on the principles introduced in Chapter 12 and applies them to specific situations that have an impact on profit or loss and/or equity. A detailed knowledge and understanding of this topic and of the consolidated statement of changes in equity will also be assumed at the Advanced Stage.

Examination context

The focus of questions on this topic will normally be on consolidation adjustments such as intra- group trading and unrealised profits. An acquisition or disposal part-way through the reporting period may be incorporated, so any dates given should be read carefully.

The consolidated statement of changes in equity could be examined in conjunction with the consolidated statement of profit or loss or could appear as part of another question.

In the examination, students may be required to:

- Prepare a consolidated statement of profit or loss, using proformas, including the results of the parent entity and one or more subsidiaries from single entity financial statements including adjustments for the following:
  - acquisition, or disposal, of a subsidiary or acquisition of an associate, including an acquisition part-way through a reporting period (associate or subsidiary) or disposals (subsidiary)
  - intra-group transactions
  - unrealised profits
  - interest and management charges
- Prepare extracts from the consolidated statement of profit or loss, including adjustments for the transactions listed above.

- Explain the preparation of a consolidated statement of profit or loss in the context of the single entity concept, substance over form and the distinction between control and ownership.
- Prepare a consolidated statement of changes in equity (or extracts), including the effects of new and continuing interests in subsidiaries.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Consolidated statement of profit or loss** Topic 1 gives a brief recap of the principles underlying the consolidated statement of profit or loss, how to prepare it and why it is useful to shareholders. Note that the focus in this chapter is on the consolidated statement of profit or loss, rather than the consolidated statement of profit or loss and other comprehensive income.	**Approach** Read through the material. Pay particular attention to the how the concepts of control, single entity and ownership are applied. **Stop and think** Why is information about the profits of the subsidiary of more use to the shareholders than information about the investment income received?	One question in the exam will require the preparation of either a consolidated statement of financial position or a consolidated statement of profit or loss.	
2	**Intra-group transactions and unrealised profit** As we have already seen, group companies may trade with each other. However, when the group accounts are prepared, the effects of this trading must be	**Approach** Read carefully through the material. Notice how there are two effects of intra-group trading that we must eliminate in consolidated profit or loss: (a) the trading itself, so we must remove the sale from consolidated	In your exam, the consolidation question will always feature one or more consolidation adjustments, including those required for intra-group transactions and unrealised profits. These adjustments may also feature in	**IQ1 Unrealised profits** This question shows how the effects of intra-group trading are adjusted for on consolidation. **IQ2 Non-current asset transfers** This question

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	removed, because a single entity cannot trade with itself. In Topic 2 we consider how consolidation adjustments related to intra-group transactions and unrealised profits, including those on the transfer of non-current assets, are recorded in the consolidated statement of profit or loss.	revenue and the cost from consolidated cost of sales; and (b) any unrealised profit (which arises if any inventory from the sale remains within the group at the reporting date). Attempt Interactive question 1, giving time to fully review the solutions. Notice how there are also two adjustments to make relating to group transfers of non-current assets: to remove profit/loss on transfer and to correct the depreciation charge. Attempt Interactive question 2, giving time to fully review the solutions. **Stop and think** How does the direction of the sale or transfer impact on the adjustments made?	questions requiring discussion of principles.	considers how the effects of the transfer of non-current assets is dealt with on consolidation.
3	**Consolidated statement of profit or loss workings** There is a lot of information to assimilate and process in an exam question in order to prepare a consolidated statement of profit or loss. The proforma workings presented in this topic will help you	**Approach** Read through the proforma workings, then attempt Interactive question 3 using those workings to see how they are applied. Review the solution to ensure you understand the adjustments required. Make sure you understand in this question the difference in treatment	Topic 3 introduces the workings you should use to prepare a consolidated statement of profit or loss should it be required in the exam.	**IQ3 Consolidated statement of profit or loss workings** This question has two parts. In (a), the intra-group sales are from the parent to the subsidiary, and in (b), from the subsidiary to

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	do that efficiently.	depending on whether the parent is the seller or the subsidiary is the seller. **Stop and think** What would be the effect if the parent had two subsidiaries and the sale was subsidiary to subsidiary?		the parent.
4	**Acquisition part-way through the reporting period** The acquisition of a subsidiary doesn't always happen at the start or end of a reporting period. Where a subsidiary is acquired part-way through a reporting period, then we must only consolidate the revenue and costs of that subsidiary from the date of acquisition. Topic 4 considers how this is done.	**Approach** Read carefully through this short section. Note that, in an exam question, you should assume that revenue and expenses accrue evenly over the year, unless you are told otherwise. Try Interactive question 4. Make sure you study the solution to ensure you understand how the subsidiary's results are consolidated. **Stop and think** What would be the result if we acquired a subsidiary part-way through the reporting period but consolidated its revenues and costs for the whole reporting period? Which concept would this go against?	In an exam question, the acquisition of a subsidiary could be at any point in the reporting period. You need to pay careful attention to the acquisition date in order to calculate net assets at acquisition appropriately.	**IQ4 Acquisition part-way through the reporting period** In this question, the subsidiary is acquired three months into the reporting period.
5	**Other adjustments** There are other adjustments that must be considered in the preparation of a consolidated statement of profit or loss, including	**Approach** Read carefully through this short section, noting particularly how intra-group dividends are dealt with.	In your exam, the consolidation question will always feature one or more consolidation adjustments. These could include dealing with intra-	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	intra-group dividends. This topic considers these adjustments.		group dividends. These adjustments may also feature in questions requiring discussion of principles.	
6	**Consolidated statement of changes in equity** This topic considers the consolidated statement of changes in equity. The consolidated statement of changes in equity is the link between the consolidated statement of profit or loss and the consolidated statement of financial position. It shows the movement in the equity section of the consolidated statement of financial position, which means it also includes a column for the non-controlling interests.	**Approach** Read through the material, paying particular attention to the worked example, before attempting Interactive questions 5 and 6.	In the exam, you may be asked to prepare a consolidated statement of changes in equity (or extracts therefrom) including the effects of new and continuing interests in subsidiaries.	**IQ5 Consolidated statement of changes in equity** This question follows on from the worked example – make sure you have covered that first. **IQ6 Acquisition part-way through the reporting period** This question works through the effects on the consolidated statement of changes in equity of the acquisition of a subsidiary part-way through the reporting period.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Consolidated statement of profit or loss

Section overview

The approach to preparing the consolidated statement of profit or loss is consistent with the approach taken for the consolidated statement of financial position.

1.1 Context

The consolidated statement of profit or loss provides the owners of the group with important information over and above that which is available in the parent's own statement of profit or loss. The parent's separate statement of profit or loss will show the investment income (dividends) received from the subsidiary. In the consolidated statement of profit or loss, this is replaced with the profits controlled by the parent company.

1.2 Basic principles

In Chapter 12 we introduced the basic principles and mechanics involved in the consolidation of the statement of profit or loss as follows:

Consolidated statement of profit or loss

	Non-controlling interests (NCI% × S's PFY (after adjusting for intra-group items)) CU
Revenue (P + S (100%) – intra-group items)	X
Costs (P + S (100%) – intra-group items)	(X)
Profit for the year (PFY)	X
Profit for the year attributable to:	X
Owners of P (balancing figure)	X

The consolidated statement of profit or loss is prepared on a basis consistent with the consolidated statement of financial position. Therefore:

The consolidated statement of profit or loss shows income generated from the net assets under the parent company's control.	In the consolidated statement of profit or loss, dividend income from the subsidiary is replaced with the subsidiary's income and expenses on a line- by-line basis as far as profit for the year (PFY).
The single entity concept is applied.	The effects of transactions between group members are eliminated on consolidation.
The ownership of profits is shared between the owners of the parent and any non-controlling interests.	Profit for the year is split between the profit attributable to the parent's shareholders (balancing figure) and the profit attributable to the non- controlling interests (calculated as the NCI's share of S's PFY after consolidation adjustments).

In sections 2–6 of this chapter we will consider various consolidation adjustments. We have already seen many of the issues raised in the context of the consolidated statement of financial position. In this chapter we will look at how the adjustments are made from the point of view of the consolidated statement of profit or loss.

Professional skills focus: Concluding, recommending and communicating

An exam question may expect you to use the underlying concepts of single entity, ownership and control to explain why a consolidated statement of profit or loss is prepared the way it is, or why certain adjustments are required on consolidation. This is not only a test of knowledge, but also of your ability to communicate these concepts in a way that is understandable, using language that is appropriate for your audience.

2 Intra-group transactions and unrealised profit

Section overview

- The amount of intra-group sales should be deducted as a consolidation adjustment from consolidated revenue and cost of sales.
- A provision for unrealised profit should be set against the selling company's profit.
- Profits or losses on non-current asset transfers should be eliminated against the selling company's profit.
- A depreciation adjustment may be required so that depreciation is based on the cost of the asset to the group.

2.1 Intra-group trading

When one company in a group sells goods to another group member an identical amount is added to the revenue of the selling company and to the cost of sales of the purchasing company. Yet as far as group as a single entity is concerned, **no sale has taken place**, as a single entity cannot trade with itself.

The consolidated figures for sales revenue and cost of sales should represent **sales to**, and **purchases from third parties**. An adjustment is therefore necessary to reduce the sales revenue and cost of sales figures by the amount of intra-group sales made during the year.

This adjustment is made as follows:

Step 1 Add across P and S revenue and P and S cost of sales.

Step 2 Adjust revenue and cost of sales to eliminate intra-group sales. The journal entry to record this adjustment is:

DR Revenue	CUX	
CR Cost of sales		CUX

Note: This adjustment has **no effect on profit** and hence will have **no effect on the non-controlling interests** share of profit.

The intra-group trading could be between a parent and a subsidiary or between two subsidiaries. The same adjustment is required regardless of which group company was the seller.

2.2 Unrealised profits on trading

If any items were sold at a profit by one group company to another and remain in inventories at the period end (ie, have **not been sold on outside the group** by the end of the reporting period), their carrying amount must be adjusted to the **lower of cost and NRV to the group** (as for CSFP), again applying the **single entity concept**.

Steps to set up the provision for unrealised profit (PURP) are:

Step 1 In respect of the goods sold between group companies, calculate the amount of the inventory remaining at the end of the reporting period.

Step 2 **Calculate the intra-group profit included within that inventory.**

Step 3 Make a provision against the inventories to eliminate the intra-group profit and in turn reduce the carrying amount of inventory to its cost to the group. The journal entry required to make this adjustment is:

DR Cost of sales	CUX	
CR Inventory		CUX

Notes

1 In practical terms the provision is set up **by increasing cost of sales by the amount of the unrealised profit**. (If closing inventory is reduced, cost of sales is increased.)

2 This provision should always be set against the selling company's profit. As a result, where the seller is a **subsidiary that is not wholly owned**, the provision reduces the profit for the year for **NCI calculations**.

3 Any profit earned on goods that have been sold on to a third party is realised as far as the group is concerned, so no adjustment is necessary.

Interactive question 1: Unrealised profits

Whales Ltd owns 75% of Porpoise Ltd. The gross profit for each company for the year-ended 31 March 20X7 is calculated as follows:

	Whales Ltd	Porpoise Ltd
	CU	CU
Revenue	120,000	70,000
Cost of sales	(80,000)	(50,000)
Gross profit	40,000	20,000

During the year Porpoise Ltd made sales to Whales Ltd amounting to CU30,000. CU15,000 of the goods were in inventories at the year-end. Profit made on the year-end inventories items amounted to CU2,000.

Requirement

Calculate group revenue, cost of sales and gross profit.

Fill in the proforma below.

	Whales Ltd	Porpoise Ltd	Adjustments	Consol
	CU	CU	CU	CU
Revenue				
Cost of sales				
- per question				
PURP				
Gross profit				

See **Answer** at the end of this chapter.

2.3 Non-current asset transfers

We have so far looked at the transfer of goods between group entities, however group entities may also transfer non-current assets. The principles covered above regarding returning the transferred asset to its cost to the group and eliminating any unrealised profit on the transaction can also be applied to the transfer of non-current assets. There is an additional consideration regarding the depreciation that is subsequently charged on the transferred asset. The consolidated statement of profit or loss should include depreciation of non-current assets based on **cost to the group.**

If the transfer takes place in the current period, the adjustments required are as follows:

- Eliminate the **profit or loss on transfer.**
- The **profit or loss** is eliminated against the **seller**. This affects the **non-controlling interests where S was the seller** (ownership).
- Adjust **depreciation** to ensure depreciation is based on the cost of the non-current assets to the group.
- **Depreciation** is also adjusted against the **seller** even though it is the purchaser who recorded it. This is because the depreciation adjustment reflects the realisation of the profit over time ie, over the asset's life (ownership).

Note: If the transfer took place in a prior period, a consolidation adjustment is required in the current period to correct depreciation to what it would have been had the transfer not taken place.

Context example: Non-current asset transfers

(Based on Interactive question 4 in Chapter 13)

P Ltd owns 80% of S Ltd. P Ltd transferred to S Ltd a non-current asset (NCA) at a value of CU15,000 on 1 January 20X7. The original cost to P Ltd was CU20,000 and the accumulated depreciation at the date of transfer was CU8,000. The asset has a total useful life of five years, which is unchanged following the transfer.

At 31 December 20X7 the adjustment in the consolidated statement of financial position (CSFP) was calculated by comparing:

	CU

Carrying amount of NCA with transfer (15,000 × 2/3)	10,000
Carrying amount of NCA had no transfer taken place ((20,000 – 8,000) × 2/3)	(8,000)
	2,000

Adjustment made in CSFP was:

	CU	CU
DR Seller's retained earnings	2,000	
CR Non-current assets		2,000

In the consolidated statement of profit or loss **(CSPL)** for the year:

Step **Eliminate the profit (or loss) on transfer at 1 January 20X7 since it is unrealised**

	CU	CU
DR Seller's profit or loss for year (heading where profit credited) (15,000 – 12,000)	3,000	
CR NCA carrying amount in CSFP		3,000

Note: For the non-current asset note to the consolidated statement of financial position, the credit to non-current asset carrying amounts should be split into a debit of CU5,000 to the non-current asset cost account and a credit of CU8,000 to the non-current asset accumulated depreciation account.

Step 2 **Increase/ (decrease) the depreciation charge, so that it is calculated on the asset's cost to the group. In this case, decrease the charge by**

	CU
Depreciation without transfer ((20,000 – 8,000)/3)	4,000
Depreciation with transfer (15,000/3)	(5,000)
Decrease depreciation charge	(1,000)

	CU	CU
DR NCA carrying amount in CSFP	1,000	
CR Selling company profit or loss for year (heading where depreciation charged)		1,000

Note: The non-current asset note to the consolidated statement of financial position should include this debit in accumulated depreciation. The overall effect is an adjustment of CU2,000 in both the consolidated statement of profit or loss and consolidated statement of financial position.

Interactive question 2: Non-current asset transfers

P Ltd owns 80% of S Ltd. P Ltd transferred a non-current asset to S Ltd on 1 January 20X7 for CU15,000. The asset originally cost P Ltd CU12,000 and depreciation to the date of transfer was CU4,800. The profit on transfer has been credited to depreciation expense. The asset has

a useful life of five years, which is unchanged. Total depreciation for 20X7 was CU35,000 for P Ltd and CU25,000 for S Ltd.

Requirement

Show the adjustments required for the above transaction in the consolidated statement of profit or loss for the year-ended 31 December 20X7.

Fill in the proforma below.

	P Ltd	S Ltd	Adjustment	Consolidated
	CU	CU	CU	CU
Depreciation				
NCA PURP				
Depreciation adjustment				

See **Answer** at the end of this chapter.

3 Consolidated statement of profit or loss workings

Section overview

The key workings for the preparation of the consolidated statement of profit or loss is the consolidation schedule.

3.1 Proforma workings

As questions increase in complexity, a formal pattern of workings is needed.

Step 1 Establish group structure:

P

↓ 80%

S

Step 2 Prepare consolidation schedule:

	P	S	Adj'mnts	Consol.
	CU	CU	CU	CU
Revenue	X	X	(X)	X
Cost of sales:				
- Per question	(X)	(X)	X	
- PURP (seller's accounts)	(X)	or (X)		(X)

Expenses:			
- per question	(X)	(X)	
- Goodwill impairment (if any)*	(X)	(X)	(X)
Tax – per question	(X)	(X)	(X)
Profit		Y	

*If the non-controlling interests are measured at fair value, then the NCI's share of the goodwill impairment loss will be allocated to the NCI.

May need workings for:

- unrealised profit (PURP)
- goodwill impairment

Step 3 Calculate non-controlling interests (NCI):

		CU
S PFY × NCI%	NCI% × Y =	X

Professional skills focus: Assimilating and using information

Preparing a consolidated financial statement, whether it is the consolidated statement of profit or loss or the consolidated statement of financial position, requires the assimilation of a lot of information to get to the right answer. Using standard consolidation workings like these given here allows you to assimilate and use that information efficiently in an exam situation.

Interactive question 3: Consolidated statement of profit or loss workings

Pathfinder Ltd owns 75% of Sultan Ltd. Statements of profit or loss for the two companies for the year-ending 30 September 20X7 are as follows.

	Pathfinder Ltd	Sultan Ltd
	CU	CU
Revenue	100,000	50,000
Cost of sales	(60,000)	(30,000)
Gross profit	40,000	20,000
Expenses	(20,000)	(10,000)
Finance income from Sultan Ltd	1,500	
Profit before tax	21,500	10,000
Income tax expense	(6,000)	(3,000)
Profit for the year	15,500	7,000

During the year one group company sold goods to the other for CU20,000 at a gross profit margin of 40%. Half of the goods remained in inventories at the year-end.

Requirements

3.1 Prepare extracts from Pathfinder Ltd's consolidated statement of profit or loss for the year-ended 30 September 20X7 showing revenue, cost of sales, gross profit and non-controlling interests, assuming that the intra-group sales have been made by Pathfinder Ltd to Sultan Ltd.

3.2 Prepare Pathfinder Ltd's consolidated statement of profit or loss for the year-ended 30 September 20X7, assuming that the intra-group sales have been made by Sultan Ltd to Pathfinder Ltd.

See **Answer** at the end of this chapter.

4 Acquisitions made part-way through a reporting period



Section overview

- The results of the subsidiary should be consolidated from the date of acquisition.
- The profit or loss amounts of the subsidiary should be time apportioned.

4.1 Method of apportionment

When we looked at the statement of financial position, we saw that consolidated retained earnings included only the **post-acquisition profits** of the subsidiary. This principle also applies to the consolidated statement of profit or loss. If the subsidiary is **acquired part-way through the reporting period**, the statement of profit or loss of the subsidiary should be split into **pre-acquisition** and **post- acquisition portions**. Only the **post-acquisition** figures should be included in the consolidated statement of profit or loss.

The pre-acquisition profits are part of retained earnings, which forms part of the fair value of identifiable assets acquired and liabilities assumed at acquisition, and are therefore included in the goodwill calculation.

Notes

1 Assume revenue and expenses accrue evenly over the year unless it is indicated otherwise – therefore time-apportion results of the subsidiary from the date of acquisition.

2 Time-apportion totals for revenue, cost of sales, expenses and tax first, then deduct post-acquisition intra-group items.

Interactive question 4: Acquisition part-way through the reporting period

P Ltd acquired 75% of S Ltd on 1 April 20X7. Extracts from the companies' statements of profit or loss for the year-ended 31 December 20X7 are as follows.

	P Ltd	S Ltd
	CU	CU
Revenue	100,000	75,000
Cost of sales	(70,000)	(60,000)
Gross profit	30,000	15,000

Since acquisition P Ltd has made sales to S Ltd of CU15,000. None of these goods remain in inventories at the year-end.

Requirement

Calculate revenue, cost of sales and gross profit for the group for the year-ending 31 December 20X7.

P Ltd Consolidated statement of profit or loss for the year-ended 31 December 20X7

	P Ltd	9/ 12 S Ltd	Adjustments	Consolidated
	CU	CU	CU	CU
Revenue				
Cost of sales				
Gross profit				

See **Answer** at the end of this chapter.

Professional skills focus: Structuring problems and solutions

It is important to pay attention to the date on which a subsidiary was acquired. As you can see from the question above, the date has a big effect on the consolidated financial statements, as only the results earned by the subsidiary after it became a member of the group are consolidated.

5 Other adjustments

Section overview

- The effect of all other intra-group transactions should be cancelled on consolidation.

5.1 Dividends

The parent company holds shares in the subsidiary and will therefore be entitled to any dividends paid by that subsidiary. The payment and receipt of intra-group dividends should be eliminated on consolidation. Adjusting for intra-group dividends is made a bit more complicated by the fact that:

- dividends received are shown as finance (income in the separate statement of profit or loss of the parent; but
- dividends paid are shown in the statement of changes in equity.

Nevertheless, the single entity concept must be applied to dividends paid by the subsidiary by:

- cancelling P's dividend income from S in P's statement of profit or loss against S's dividends paid in S's statement of changes in equity; and
- leaving the uncancelled amount of S's dividends to be shown as the dividends paid to the non- controlling interests in the consolidated statement of changes in equity.

5.2 Redeemable preference shares

Redeemable preference shares (and some irredeemable preference shares) are treated as a **financial liability** (under IAS 32, *Financial Instruments: Presentation*) rather than as part of equity.
Consequently, distributions to shareholders are classed as **finance costs** rather than as dividends.

On consolidation: **finance income received/ receivable** in the parent's accounts is **cancelled** against the amount **paid/ payable** in the subsidiary's accounts, leaving only the portion paid/payable to third parties as a finance cost.

5.3 Interest and management charges

Interest or management charges paid/payable in the statement of profit or loss of the subsidiary (expense) **should be cancelled** against the **interest or management charges received/ receivable** in the statement of profit or loss of the parent company (income).

5.4 Fair value adjustments on acquisition

Where a non-current asset is adjusted to fair value on acquisition, or an intangible asset is recognised for the first time, the consolidated statement of profit or loss is adjusted to:

- Include the excess depreciation on the fair value adjustment.
- Include amortisation of the intangible asset.

6 Consolidated statement of changes in equity



Section overview

- The consolidated statement of changes in equity (CSCE) shows the change in group equity reconciling the position at the start of the year with the position at the end of the year.
- There are separate analysis columns for each component of equity (each type of share capital and reserves) in respect of the parent's equity holders.
- Changes in the non-controlling interests are presented in a single column.

6.1 Structure of CSCE

The CSCE is the **link** between the consolidated statement of profit or loss, or consolidated statement of profit or loss and other comprehensive income, and the figures for equity presented in the consolidated statement of financial position, in that it shows the movement between retained earnings and reserves brought forward at the start of the year and those carried forward at the end of the year. The CSCE deals with transactions with shareholders (including the NCI) in their capacity as shareholders.

In the consolidated statement of changes in equity:

- There are **separate analysis columns** for the parent's share capital and the group share of each of the reserves (eg, retained earnings, revaluation surplus etc), together with a total column.
  - An entry will always be required for total comprehensive income for the year, which is the profit for the year plus any items of other comprehensive income.
  - There may be an entry for dividends paid/payable.
  - There will sometimes be entries for issues of share capital and revaluations of non-current assets . Revaluation gains or losses will be shown as part of total comprehensive income.
- There is a single column relating to the **non-controlling interests in subsidiaries**.
  - There will be an entry for the NCI's share of S's total comprehensive income for the year.
  - There may be an entry for the NCI's share of dividends paid/payable.
  - There will sometimes be entries for the revaluations of S's non-current assets.
  - In practice there will sometimes be entries for issues of share capital by S, but these fall outside the syllabus.
  - Transfers between reserves in S should never be shown, because they contra out against each other in this single column.
  - If a subsidiary is acquired during the year there will be an entry for NCI added on the acquisition of a subsidiary.



Worked example: CSCE

The following are extracts from the financial statements for the year-ended 30 June 20X8 of Willow plc and Rowan Ltd.

	Willow plc CU	Rowan Ltd CU
Operating profit	196,000	95,000
Dividends from Rowan Ltd	24,000	-
Profit before tax	220,000	95,000
Income tax expense	(70,000)	(30,000)
Profit for the year	150,000	65,000
Dividends paid	20,000	30,000
Share capital (CU1 shares)	200,000	50,000

Willow plc purchased 40,000 shares in Rowan Ltd some years ago. Willow plc's retained earnings at 1 July 20X7 were CU270,000.

Requirement

Prepare the consolidated statement of profit or loss and the consolidated statement of changes in equity for Willow plc for the year-ended 30 June 20X8, as far as the information permits. You should assume that Rowan Ltd had no retained earnings at 1 July 20X7. NCI is measured on the proportionate basis.

Solution

Consolidated statement of profit or loss for the year-ended 30 June 20X8

	CU
Operating profit (196 + 95)	291,000
Income tax expense (70 + 30)	(100,000)
Profit for the year	191,000
Profit attributable to:	
- Owners of Willow plc (balancing figure)	178,000
- Non-controlling interests (20% × 65)	13,000
	191,000

Note: The amount attributable to the owners of Willow plc can be separately calculated, omitting the intra-group dividend (as Willow plc's shareholders are given their share of Rowan Ltd's profits, they cannot also be given their share of a dividend paid out of those profits): 100% of (150,000 – 24,000) + 80% of CU65,000 = CU178,000.

Consolidated statement of changes in equity for the year-ended 30 June 20X8

	Attributable to owners of Willow plc				
	Share capital CU	Retained earnings CU	Total CU	Non-controlling interest CU	Total CU
Balance at 1 July 20X7 (W)	200,000	270,000	470,000	10,000	480,000
Total comprehensive income for the year	–	178,000	178,000	13,000	191,000
Dividends (W)		(20,000)	(20,000)	(6,000)	(26,000)
Balance at 30 June 20X8	200,000	428,000	628,000	17,000	645,000

WORKING

Non-controlling interests

Opening NCI balance at 1 July 20X7*	20% × 50,000 = CU10,000
NCI share of Rowan Ltd's dividend	20% × 30,000 = CU6,000

*The NCI is measured on the proportionate basis ie, as the NCI's share of the subsidiary's net assets at acquisition. Here net assets = share capital, as Rowan Ltd has no retained earnings at the acquisition date.

6.2 Transfers to reserves

Some companies **transfer amounts between different reserves,** such as the transfer of excess depreciation from the revaluation surplus to retained earnings following revaluation of a non-current asset. Such transfers are made in the analysis columns in the CSCE. They do not impact the NCI.

In the analysis columns in the CSCE:

Group transfers between reserves	=	P's transfers between reserves	+	P% of S's transfers between reserves

This **reflects** the treatment of reserves attributable to the owners of P in the **consolidated statement of financial position** ie, they include P's reserves and P's share of S's post-acquisition reserves.

6.3 Retained earnings brought forward

To calculate each of the group reserves brought forward, simply do a working, as you would for the consolidated statement of financial position, **but at the start of the year**. Therefore each group opening reserve will be:

Group reserve b/f	=	P's reserve b/f	+	P% of S's post-acquisition reserve b/f	±	Goodwill amortisation (to start of year) and any other adjustments to opening position

Note: The NCI amount brought forward will be the **NCI share of S's equity** (ie, NCI's share of S's capital and reserves) brought forward or **fair value of NCI** plus NCI share of the subsidiary's post- acquisition reserves.



Interactive question 5: Consolidated statement of changes in equity

Continuing the facts from the **Worked example: CSCE** above, you should now assume that Rowan Ltd's retained earnings at 1 July 20X7 were CU120,000.

You have also now ascertained that when Willow plc purchased its 40,000 shares in Rowan Ltd, Rowan Ltd's retained earnings stood at CU70,000. The fair value of the identifiable assets acquired and liabilities assumed were equal to their carrying amounts at the date of acquisition. NCI was measured at its fair value of CU25,000 at the date of acquisition.

Three years ago, a goodwill impairment loss of CU10,000 was recognised in Willow plc's consolidated financial statements.

Requirement

Prepare the consolidated statement of changes in equity for Willow plc for the year-ended 30 June 20X8 taking account of the additional information.

See **Answer** at the end of this chapter.

6.4 Acquisition part-way through the reporting period

When a subsidiary is acquired part-way through a reporting period:

- The new NCI, as a result of the acquisition, is brought in as a single line in the CSCE. The amount is the same as that included in the goodwill calculation (ie, it is measured either using the proportionate method or at fair value).

- The NCI's share of the new subsidiary's profits and other comprehensive income for the year is the amount allocated to it in the CSPLOCI, which is based on the time-apportioned results of the subsidiary.



Interactive question 6: Acquisition part-way through the reporting period

Joseph plc acquired an 80% interest in Mary plc on 1 October 20X8. The following figures relate to the year-ended 31 March 20X9.

	Joseph plc	Mary plc
	CU	CU
Statement of profit or loss		
Revenue	800,000	550,000
Costs	(400,000)	(350,000)
Profit before tax	400,000	200,000
Income tax expense	(140,000)	(50,000)
Profit for the year	260,000	150,000

Statements of changes in equity (extracts)	**Retained earnings**	
	CU	CU
Brought forward	400,000	300,000
Total comprehensive income for the year	260,000	150,000
Carried forward	660,000	450,000

Additional information

	CU	CU
Share capital	500,000	100,000

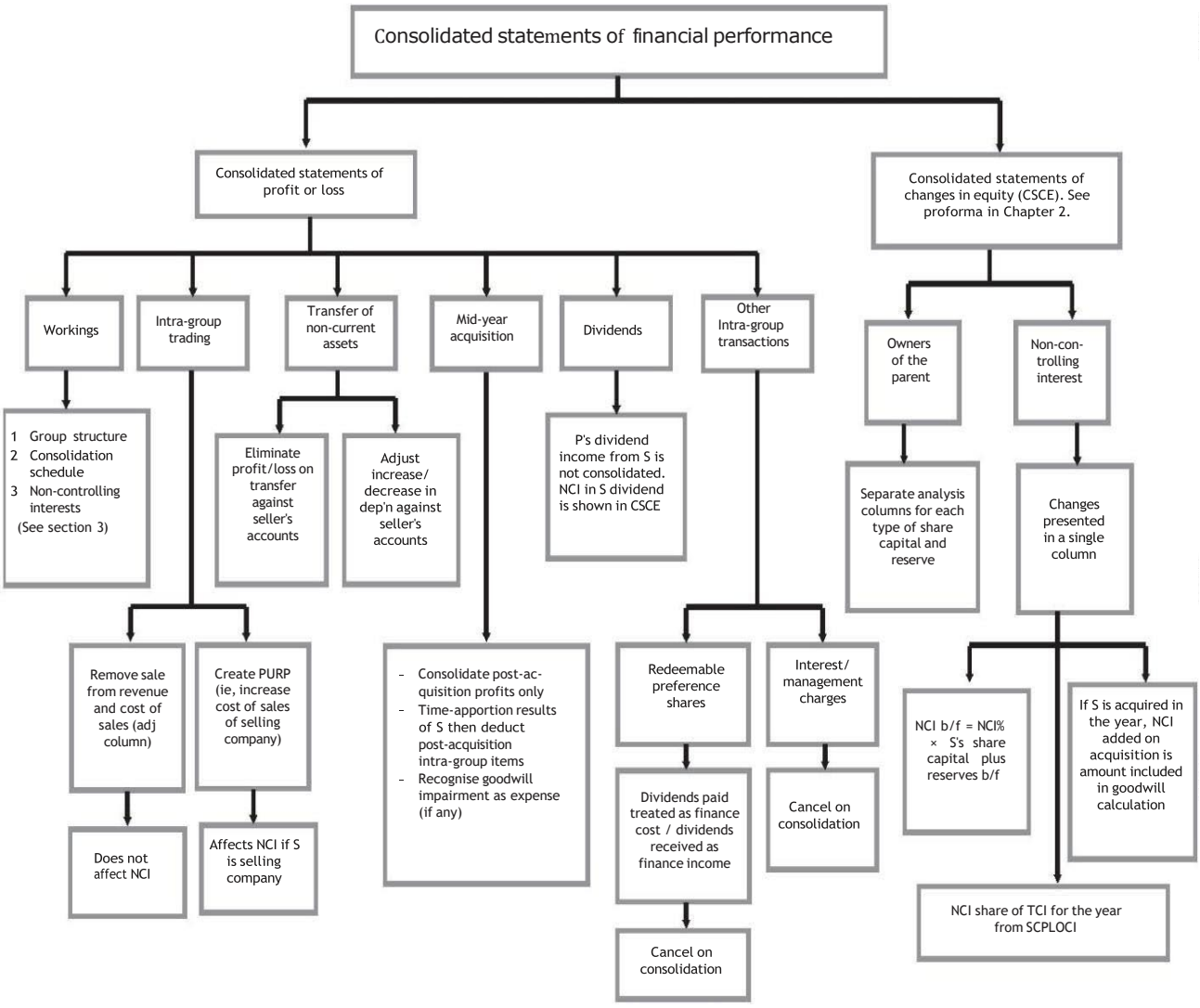
NCI is measured on the proportionate basis.

Requirement

Prepare the consolidated statement of profit or loss and the consolidated statement of changes in equity for the Joseph plc group for the year-ended 31 March 20X9.

See **Answer** at the end of this chapter.

Summary


Consolidated statements of financial performance
Consolidated statements of profit or loss
Consolidated statements of changes in equity (CSCE). See proforma in Chapter 2.
Workings
Intra-group trading
Transfer of non-current assets
Mid-year acquisition
Dividends
Other Intra-group transactions
Owners of the parent
Non-con-trolling interest
1 Group structure
2 Consolidation schedule
3 Non-controlling interests
(See section 3)
Eliminate profit/loss on transfer against seller's accounts
Adjust increase/ decrease in dep'n against seller's accounts
P's dividend income from S is not consolidated. NCI in S dividend is shown in CSCE
Separate analysis columns for each type of share capital and reserve
Changes presented in a single column
Remove sale from revenue and cost of sales (adj column)
Create PURP (ie, increase cost of sales of selling company)
- Consolidate post-ac-quisition profits only
- Time-apportion results of S then deduct post-acquisition intra-group items
- Recognise goodwill impairment as expense (if any)
Redeemable preference shares
Interest/ management charges
NCI b/f = NCI% × S's share capital plus reserves b/f
If S is acquired in the year, NCI added on acquisition is amount included in goodwill calculation
Does not affect NCI
Affects NCI if S is selling company
Dividends paid treated as finance cost / dividends received as finance income
Cancel on consolidation
Cancel on consolidation
NCI share of TCI for the year from SCPLOCI

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	How are the concepts of control and ownership reflected in the consolidated statement of profit or loss? (Topic 1)
2.	How is unrealised profit on the transfer of assets adjusted for in the consolidated statement of profit or loss? (Topic 2)
3.	Can you write out the standard workings for the consolidated statement of profit or loss? (Topic 3)
4.	What is the effect on the consolidated statement of profit or loss of an acquisition of a new subsidiary part-way through the accounting period? (Topic 4)
5.	How should dividends received (on ordinary shares) from a subsidiary be dealt with in the consolidated statement of profit or loss? And in the consolidated statement of changes in equity? (Topics 5 and 6)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
High plc	This question covers most of the topics in this chapter. Part (a) asks you to prepare a consolidated statement of profit or loss and includes several examinable consolidation adjustments. Part (b) requires you to explain the consolidation adjustments you have made, which is a good test of whether you have understood the underlying concepts involved in consolidation.
Ethos plc	Part (a) of this question requires the preparation of a full consolidated statement of profit or loss and a consolidated statement of changes in equity, with an acquisition part-way through the accounting period. Part (b) requires you to explain why only some of the newly-acquired subsidiary's profits are consolidated, which is a great test of your understanding, as well as your explanation skills. This question is great for practising some of the different topics covered in this chapter.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Oak	This question is a good test of some financial reporting issues (such as impairment of non-current assets) and consolidation. Part (a) requires you to re-calculate consolidated profit after adjusting for the issues in the scenario. Part (b) then requires you to put together a consolidated statement of changes in equity. Remember that the consolidated statement of changes in equity just shows the movements in the equity section of the consolidated statement of financial position, with the addition of a column for non- controlling interests. You may find some of these adjustments are a bit difficult, so ensure you review the suggested solution in detail.
Cristianos plc (Part you to 2(b) only)	The focus of this question is intra-group trading. Part (b) first asks prepare an extract from the consolidated statement of profit or loss, with some group trading having taken place in the year, then secondly asks you to explain the IFRS Accounting Standards treatment of the intra-group trading, referring to the qualitative characteristic of faithful representation. This is an excellent way to test whether you fully understand the principles you have applied in preparing the extract and a great question to link back to the underlying principles in the *Conceptual Framework for Financial Reporting*.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

For a comprehensive Technical reference section, covering all aspects of group accounts (except group statements of cash flows) see Chapter 10.

Self-test questions

Answer the following questions.

1 Barley Ltd

Barley Ltd has owned 100% of the issued share capital of Oats Ltd for many years. Barley Ltd sells goods to Oats Ltd at cost plus 20%. The following information is available for the year.

	Revenue
	CU
Barley Ltd	460,000
Oats Ltd	120,000

During the year Barley Ltd sold goods to Oats Ltd for CU60,000, of which CU18,000 were still held in inventory by Oats Ltd at the year-end.

Requirement

At what amount should total revenue appear in the consolidated statement of profit or loss?

2 Ufton plc

Ufton plc is the sole subsidiary of Walcot plc. The cost of sales figures for 20X1 for Walcot plc and Ufton plc were CU11 million and CU10 million respectively. During 20X1 Walcot plc sold goods which had cost CU2 million to Ufton plc for CU3 million. Ufton plc has not yet sold any of these goods.

Requirement

What should the consolidated cost of sales figure be for 20X1?

3 Hop Ltd

For the year-ended 30 April 20X6 Hop Ltd and its 90% subsidiary Skip Ltd had the following trading accounts.

	Hop Ltd	Skip Ltd
	CU	CU
Revenue	100,000	46,000
Cost of sales	(70,000)	(34,500)
Gross profit	30,000	11,500

Notes

1. In each company all sales were made at the same percentage mark-up.
2. Goods purchased by Skip Ltd at a cost of CU9,000 were sold to Hop Ltd. This transaction is reflected in the above trading accounts.
3. Hop Ltd had sold two-thirds of these purchases at the year-end.
4. There had been no trading between Skip Ltd and Hop Ltd in previous years.

Requirements

3.1 What should the consolidated revenue be for the year?

3.2 What should the consolidated gross profit be for the year?

4 Shaw Ltd

Shaw Ltd owns 75% of the ordinary share capital and 40% of the CU125,000 of 8% debt of Wilde Ltd. The following details are extracted from the accounts of Wilde Ltd:

	CU
Income tax expense	24,000
Profit for the year	70,000

Shaw Ltd has profit for the year of CU80,000 in its own accounts and has no paid or proposed dividends.

Neither company has yet accounted finance income or finance costs.

Requirement

What should the total consolidated profit before tax be for the year?

5 Suton Ltd

The statement of changes in equity of Suton Ltd shows the following in respect of retained earnings:

	CU
Balance brought forward	21,000
Total comprehensive income for the year	10,000
Interim dividend paid	(7,000)
Balance carried forward	24,000

80% of the share capital of Suton Ltd had been acquired by Teigh plc some years ago when Suton Ltd's retained earnings amounted to CU5,000.

Requirements

5.1 How much of Suton Ltd's retained earnings should be included in closing consolidated retained earnings?

5.2 How much of Suton Ltd's profit for the period should be included in the consolidated profit for the financial year attributable to the owners of Teigh plc?

5.3 If the non-controlling interests in Suton Ltd amounted to CU5,200 at the start of the year, how much should it be at the end of the year?

6 Cherry plc

Cherry plc owns 75% of Plum plc and 60% of Peach plc. For the year-ended 31 December 20X1 Plum plc reported a net profit of CU118,000 and Peach plc reported a net profit of CU56,000. During 20X1 Plum plc sold goods to Peach plc for CU36,000 at cost plus 50%. At the year-end these goods are still held by Peach plc.

Requirement

In the consolidated statement of profit or loss for the year-ended 31 December 20X1 what is the profit attributable to the non-controlling interests?

7 Chicken plc

Chicken plc owns 80% of Egg plc. Egg plc sells goods to Chicken plc at cost plus 50%. The total sales invoiced to Chicken plc by Egg plc in the year-ended 31 December 20X1 were CU900,000 and, of these sales, goods which had been invoiced at CU60,000 were held in inventory by Chicken plc at 31 December 20X1.

Requirement

What should the reduction in aggregate group gross profit be?

8 Marlowe Ltd

Marlowe Ltd owns 60% of the ordinary share capital and 25% of the CU200,000 5% loan stock of Southey Ltd. Neither company has yet accounted for finance costs or finance income.

The following details are extracted from the accounting records of Southey Ltd:

	CU
Profit	CU100,000
Dividend paid	CU40,000

Requirement

What amount should be presented for the profit attributable to the non-controlling interests in the consolidated statement of profit or loss of Marlowe Ltd?

9 Help Ltd

Several years ago Help Ltd acquired 75% of the ordinary share capital of Sharp Ltd. The statement of profit or loss of Sharp Ltd for the year-ended 28 February 20X7 showed profit for the year of CU4,000. During the year Help Ltd sold goods to Sharp Ltd at a mark-up on cost of 50%. 75% of these goods had been sold to third parties by the year-end.

Requirement

Calculate the profit allocated to the non-controlling interests for inclusion in the consolidated statement of profit or loss of Help Ltd for the year-ended 28 February 20X7.

10 Dusty plc

Set out below are the summarised statements of profit or loss of Dusty plc and its 80% subsidiary Tumble Ltd.

	Dusty plc CU	Tumble Ltd CU
Operating profit	89,000	45,000
Dividend from Tumble Ltd	16,000	
Profit before tax	105,000	45,000
Income tax expense	(42,000)	(15,000)
Profit for the year	63,000	30,000

Requirement

What is the profit for the year attributable to the owners of Dusty plc to be presented in the consolidated statement of profit or loss?

11 High plc

High plc acquired its 80% interest in the ordinary shares and 25% interest in the redeemable preference shares of Tension plc for CU9,000 and CU1,000 respectively on 1 April 20X3 when Tension plc's retained earnings were CU4,000. There were no other reserves at that date. The preference shares carry no votes. The fair value of the identifiable assets acquired and liabilities assumed by High plc were equal to their carrying amounts at the date of acquisition.

The following are the draft statements of profit or loss of High plc and Tension plc for the year-ended 31 March 20X9.

		High plc		Tension plc
	CU	CU	CU	CU
Revenue		274,500		181,250
Dividends from Tension plc:				
– Ordinary		4,800		–
– Preference		150		–
Bank deposit interest		250		100
		279,700		181,350
Less:				
– Cost of sales	126,480		86,520	
– Distribution costs	67,315		42,885	
– Administrative costs	25,555		17,295	
Preference dividend paid			600	
		(219,350)		(147,300)
		60,350		34,050
Income tax expense		(29,000)		(15,100)
Profit for the year		31,350		18,950

The following information is also available.

(1) The inventory of High plc at 31 March 20X9 includes goods purchased from Tension plc at a profit to that company of CU700. Total intra-group sales for the year amounted to CU37,500.

(2) On 1 April 20X8 High plc sold plant with a carrying amount of CU7,000 to Tension plc for CU10,000. The profit on sale has been taken to cost of sales. Depreciation has been provided by Tension plc at 10% pa on the cost of CU10,000.

(3) Included in Tension plc's administrative costs is an amount for CU3,500 in respect of management charges invoiced and included in revenue by High plc.

(4) Tension plc's issued share capital comprises 10,000 50p ordinary shares and 4,000 CU1 15% redeemable preference shares.

(5) Four years ago, a goodwill impairment loss was recognised in High plc's consolidated financial statements leaving goodwill in the consolidated statement of financial position at CU1,200. A further CU180 impairment loss needs to be recognised in the current year.

(6) Retained earnings at 1 April 20X8 were CU576,000 for High plc and CU72,600 for Tension plc.

(7) Non-controlling interests are measured on the proportionate basis.

Requirements

11.1 Prepare the consolidated statement of profit or loss for the year-ended 31 March 20X9.

11.2 For each adjustment you have made in the consolidation schedule explain why you have made it (include in your answer the journal adjustment and the impact on consolidated profit).

12 Ethos plc

The following draft statements of profit or loss and extracts from the statements of changes in equity were prepared for the year-ended 31 March 20X9.

Statements of profit or loss	Ethos plc	Pathos Ltd
	CU	CU
Revenue	303,600	217,700
Cost of sales	(143,800)	(102,200)
Gross profit	159,800	115,500
Operating costs	(71,200)	(51,300)
Operating profit	88,600	64,200
Finance income	2,800	1,200
Profit before tax	91,400	65,400
Income tax expense	(46,200)	(32,600)
Profit for the year	45,200	32,800

Statements of changes in equity (extracts)

	Ethos plc		Pathos Ltd	
	Other components of equity	Retained earnings	Other components of equity	Retained earnings
	CU	CU	CU	CU
Balance brought forward	-	79,300	-	38,650
Total comprehensive income for the year	-	45,200	-	32,800
Transfer between reserves	15,000	(15,000)	5,000	(5,000)
Dividends paid on ordinary shares		(30,000)		
Balance carried forward	15,000	79,500	5,000	66,450

On 30 November 20X8 Ethos plc acquired 75% of the issued ordinary capital of Pathos Ltd for CU130,000. Pathos Ltd has in issue 100,000 CU1 ordinary shares. Ethos plc has 500,000 CU1 ordinary shares in issue.

Ethos plc measures non-controlling interests at fair value. The fair value of the non-controlling interests in Pathos Ltd at the date of acquisition was CU42,000.

Profits of both companies accrue evenly over the year.

Requirements

12.1 Prepare the consolidated statement of profit or loss and consolidated statement of changes in equity for the year-ended 31 March 20X9.

12.2 Explain why only four months of Pathos Ltd's profit or loss should be included in the consolidated statement of profit or loss.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

	Whales Ltd	Porpoise Ltd	Adjustments	Consol
	CU	CU	CU	CU
Revenue	120,000	70,000	(30,000)	160,000
Cost of sales				
– per question	(80,000)	(50,000)	30,000	
– PURP	–	(2,000)		(102,000)
Gross profit	40,000	18,000		58,000

Notes

1 The intra-group sale is eliminated in the **adjustments column**. It has no effect on the overall profit.

2 The unrealised profit is eliminated by increasing the cost of sales of the selling company. Where the selling company is the subsidiary this will reduce the profit figure on which the calculation of non-controlling interests is subsequently based.

Answer to Interactive question 2

	P Ltd	S Ltd	Adjustment	Consolidated
	CU	CU	CU	CU
Depreciation (per question)	(35,000)	(25,000)		
NCA PURP (15,000 – (12,000 – 4,800))	(7,800)			
Depreciation adjustment ((15,000/3) – ((12,000 – 4,800*)/3))	2,600			(65,200)

* 4,800 is 2/5 of cost

Answer to Interactive question 3

3.1 **Consolidated statement of profit or loss (extracts) for the year-ended 30 September 20X7**

	CU
Revenue (W2)	130,000
Cost of sales (W2)	(74,000)
Gross profit	56,000
Non-controlling interests (W3)	1,750

WORKINGS

(1) **Group structure**



(2) **Consolidation schedule**

	Pathfinder Ltd	Sultan Ltd	Adjustments	Consol.
	CU	CU	CU	CU
Revenue	100,000	50,000	(20,000)	130,000
Cost of sales				
– per question	(60,000)	(30,000)	20,000	
– PURP (W4)	(4,000)			(74,000)
Expenses		(10,000)		
Income tax		(3,000)		
Profit		7,000		

(3) **Non-controlling interests**

	CU
Sultan Ltd (25% × 7,000 (W2))	1,750

(4) **PURP**

	%	CU		
Selling price	100	20,000		
Cost	(60)	(12,000)		
Gross profit	40	8,000	× ½=	4,000

3.2 **Consolidated statement of profit or loss for the year-ended 30 September 20X7**

	CU
Revenue (W2)	130,000
Cost of sales (W2)	(74,000)
Gross profit	56,000
Expenses (W2)	(30,000)
Profit before tax	26,000
Income tax expense (W2)	(9,000)
Profit for the year	17,000

Profit attributable to:	
- Owners of Pathfinder Ltd (β)	16,250
- Non-controlling interests (W3)	750
	17,000

WORKINGS

(1) **Group structure**

As in part (3.1)

(2) **Consolidation schedule**

	Pathfinder Ltd	Sultan Ltd	Adjustments	Consolidated
	CU	CU	CU	CU
Revenue	100,000	50,000	(20,000)	130,000
Cost of sales				
– per question	(60,000)	(30,000)	20,000	
– PURP (W4)		(4,000)		(74,000)
Expenses	(20,000)	(10,000)		(30,000)
Income tax	(6,000)	(3,000)		(9,000)
Profit		3,000		

(3) **Non-controlling interests**

	CU
Sultan Ltd (25% × 3,000 (W2))	750

(4) **PURP**

As in part (3.1)

Answer to Interactive question 4

P Ltd Consolidated statement of profit or loss for the year-ended 31 December 20X7

		9/ 12		
	P Ltd	S Ltd	Adjustments	Consolidated
	CU	CU	CU	CU
Revenue	100,000	56,250	(15,000)	141,250
Cost of sales	(70,000)	(45,000)	15,000	(100,000)
Gross profit	30,000	11,250		41,250

Answer to Interactive question 5

Consolidated statement of changes in equity for the year-ended 30 June 20X8

Attributable to owners of Willow plc

	Share capital	Retained earnings	Total	Non-controlling interests	Total
	CU	CU	CU	CU	CU
Brought forward (W)	200,000	302,000	502,000	33,000	535,000
Total comprehensive income for the year		178,000	178,000	13,000	191,000
Dividends		(20,000)	(20,000)	(6,000)	(26,000)
Carried forward	200,000	460,000	660,000	40,000	700,000

WORKINGS

(1) **Group retained earnings b/f**

	CU
Willow plc	270,000
Rowan Ltd (80% × (120,000 – 70,000))	40,000
Goodwill impairment to date (10,000 × 80%)	(8,000)
	302,000

(2) **NCI b/ f**

	CU
Fair value at acquisition	25,000
Share of post-acquisition retained earnings ((120,000 – 70,000) × 20%)	10,000
Goodwill impairment (10,000 × 20%)	(2,000)
	33,000

Answer to Interactive question 6

Consolidated statement of profit or loss for the year-ended 31 March 20X9

	CU
Revenue (Joseph + half Mary)	1,075,000
Costs (Joseph + half Mary)	(575,000)
Profit before tax	500,000
Income tax (Joseph + half Mary)	(165,000)
Profit for the year	335,000
Profit attributable to:	
- Owners of Joseph plc (β)	320,000
- Non-controlling interests (W1)	15,000
	335,000

Consolidated statement of changes in equity for the year-ended 31 March 20X9

Attributable to owners of Joseph plc

	Share capital	Retained earnings	Total	Non-controlling interests	Total
	CU	CU	CU	CU	CU
Brought forward	500,000	400,000	900,000	-	900,000
Total comprehensive income for the year	-	320,000	320,000	15,000	335,000
Added on acquisition of subsidiary (W2)				95,000	95,000
Carried forward	500,000	720,000	1,220,000	110,000	1,330,000

WORKINGS

(1) **Non-controlling interests in profit for the year**

	CU
20% of (150,000 × 50%)	15,000

(2) **Non-controlling interests added on acquisition**

	CU	CU
Share capital	100,000	
Retained earnings b/f	300,000	
Profit for first half of current year (150,000 × 50%)	75,000	
20% of	475,000	95,000

Answers to Self-test questions

1 Barley Ltd

Revenue = 460,000 + 120,000 – 60,000 = CU520,000

2 Ufton plc

CU19 million

	Walcot plc CUm	Ufton plc CUm	Adj CUm	Consol CUm
Cost of sales	(11)	(10)	3	(19)
PURP	(1)			

3 Hop Ltd

3.1 CU134,000

	CU
Hop Ltd	100,000
Skip Ltd	46,000
Less intra-group sales (9,000 × 46/34.5)	(12,000)
	134,000

3.2 CU40,500

	CU
Hop Ltd	30,000
Skip Ltd	11,500
Less PURP ((12,000 – 9,000) × 1/3)	(1,000)
	40,500

4 Shaw Ltd

CU168,000

	Shaw Ltd CU	Wilde Ltd CU	Adj CU	Cons CU
Finance income (40% × 10,000*)	4,000		(4,000)	–
Finance costs		(10,000)	4,000	(6,000)
PBT	80,000	94,000		174,000
				168,000

*125,000 × 8%

5 Suton Ltd

5.1 Share of Suton's post-acquisition retained earnings = (24,000 – 5,000) × 80%
= 19,000 × 80% = CU15,200

5.2 Profit for the year =10,000 × 80% = CU8,000

5.3 NCI c/f will be CU5,800

	CU
B/f	5,200
Share of TCI for year (10,000 × 20%)	2,000
Less share of dividends (7,000 × 20%)	(1,400)
C/f	5,800

6 Cherry plc

CU48,900

	CU
Share of Plum plc profit (25% × 118,000)	29,500
Share of Peach plc profit (40% × 56,000)	22,400
Less share of PURP (25% × 36,000 × 50/150)	(3,000)
	48,900

7 Chicken plc

CU20,000

	%	CU
Sales price	150	60,000
Cost	(100)	(40,000)
Gross profit	50	20,000

8 Marlowe Ltd

CU36,000

	CU
Profit before finance cost	100,000
Finance cost (200,000 × 5%)	(10,000)
	90,000
	× 40% = 36,000

9 Help Ltd

CU1,000

	CU
Share of profit for the year (25% ×	1,000

Note: As the inventory was sold by Help Ltd, the PURP adjustment would be against Help Ltd's profits and would have no impact on the NCI.

10 Dusty plc

CU71,000

	CU
Operating profit – Dusty plc	89,000
Less income tax expense	(42,000)
	47,000
Group share of Tumble Ltd (80% × 30,000)	24,000
	71,000

11 High plc

11.1 Consolidated statement of profit or loss for the year-ended 31 March 20X9

	CU
Revenue (W2)	414,750
Cost of sales (W2)	(178,900)
Gross profit	235,850
Distribution costs (W2)	(110,200)
Administration expenses (W2)	(39,530)
Operating profit	86,120
Finance cost (W2)	(450)
Finance income (W2)	350
Profit before tax	86,020
Income tax expense (W2)	(44,100)
Profit for the year	41,920
Attributable to:	
- Owners of High plc (β)	38,270
- Non-controlling interests (W3)	3,650
	41,920

11.2 Adjustments in consolidation schedule

(1) Intra-group sales of inventory

As the consolidated accounts treat High plc and Tension plc as one entity, the total intra-group trading needs to be eliminated on consolidation. The total of CU37,500 will be in both Tension plc's revenue and High plc's cost of sales. The adjustment required is

	DR CU	CR CU
Revenue	37,500	
Cost of sales		37,500

This has no impact on net consolidated profit.

For the same reason, it is also necessary to eliminate the unrealised profit on the inventory held by High plc at the year-end. This adjustment will also reduce inventory to original cost to the group.

The adjustment is

	DR CU	CR CU
Cost of sales of Tension plc	700	
Inventory in the consolidated statement of financial position		700

This will reduce consolidated profit.

(2) Intra-group sale of plant

For the same reasons as given for inventory above, it is necessary to eliminate the unrealised profit and reduce the plant to its original cost.

The adjustment is

	DR CU	CR CU
Cost of sales of High plc	3,000	
Cost of plant in the consolidated statement of financial position		3,000

This will have a one-off impact on consolidated profit this year.

In current and future years (until the plant has been fully depreciated by Tension plc) it will also be necessary to adjust the depreciation charge by 10% of the PURP, to reflect the gradual realisation of the above profit through the annual depreciation charge. This will require the following.

	DR CU	CR CU
Accumulated depreciation in the consolidated statement of financial position	300	
Cost of sales of High plc		300

Therefore, the net impact is to reduce current year consolidated profit by CU2,700.

(3) Management charges

As with intra-group trading, this charge must be contra'd out on consolidation to reflect the single entity concept.

The adjustment required is

	DR	CR
	CU	CU
Revenue of High plc	3,500	
Administrative costs of Tension plc		3,500

This has no impact on consolidated profit.

(4) **Impairment of goodwill**

Goodwill only exists in the consolidated accounts and therefore the individual statements of profit or loss include no impairment of goodwill. The impairment charge for the year is dealt with as follows.

	DR	CR
	CU	CU
Administration costs	180	
Goodwill in the consolidated statement of financial position		180

(5) **Redeemable preference shares**

These are in substance liabilities and the net 'dividend' payable outside the group should be included as part of the consolidated finance cost.

Effectively the 'dividends' paid by Tension plc are contra'd against the dividends received by High plc and the adjustment required is

	DR	CR
	CU	CU
Dividends received	150	
Dividends paid (25% × CU600)		150

This leaves CU450 payable to third parties.

WORKINGS

(1) **Group structure**

High plc



80% ords (25% prefs)

Tension plc

(2) **Consolidation schedule**

	High plc	Tension plc	Adj	Consol
	CU	CU	CU	CU
Revenue	274,500	181,250	(37,500)	414,750
			(3,500)	
Cost of sales				
– Per question	(126,480)	(86,520)	37,500	
Inventory PURP		(700)		
– NCA PURP	(3,000)			
– Depreciation (10% × 3,000)	300			(178,900)
Distribution costs	(67,315)	(42,885)		(110,200)
Admin expenses				
– Per question	(25,555)	(17,295)	3,500	
– Impairment of goodwill	(180)			(39,530)
Preference dividends received	150		(150)	
Preference dividends paid		(600)	150	(450)
Finance income – interest	250	100		350
Income tax	(29,000)	(15,100)		(44,100)
Profit for the year		18,250		

(3) **Non-controlling interests**

20% × CU18,250 = CU3,650

(4) **Goodwill**

	CU
Consideration transferred	9,000
Non-controlling interest at acquisition (9,000 × 20%)	1,800
Less fair value of identifiable assets acquired and liabilities assumed at acquisition	
– Ordinary shares	(5,000)
Retained earnings	(4,000)
On acquisition	1,800
Carrying amount at last impairment	(1,200)
Impairment loss previously recognized	600

12 Ethos plc

12.1 Consolidated statement of profit or loss for the year-ended 31 March 20X9

	CU
Revenue (W2)	376,167
Cost of sales (W2)	(177,867)
Gross profit	198,300
Operating costs (W2)	(88,300)
Operating profit	110,000
Finance income (W2)	3,200
Profit before tax	113,200
Income tax expense (W2)	(57,067)
Profit for the year	56,133
Profit attributable to	
- Owners of Ethos plc (b)	53,400
- Non-controlling interests (W3)	2,733
	56,133

Consolidated statement of changes in equity for the year-ended 31 March 20X9

	Attributable to owners of Ethos plc					
	Ordinary share capital	Other components of equity	Retained earnings	Total	Non-controlling interests	Total
	CU	CU	CU	CU	CU	CU
Balance brought forward	500,000	–	79,300	579,300	–	579,300
Total compr've income for the year	–	–	53,400	53,400	2,733	56,133
Transfer between reserves (W4)	–	16,250	(16,250)	–	–	–
Added on acquisition of subsidiary	–	–	–	–	42,000	42,000
Dividend paid on ordinary shares			(30,000)	(30,000)		(30,000)
Balance carried forward	500,000	16,250	86,450	602,700	44,733	647,433

12.2 Time apportionment

The results of a subsidiary are included in the consolidated financial statements only from the date control is achieved.

Ethos plc acquired 75% of the issued ordinary capital of Pathos Ltd on 30 November 20X8. This is the date on which control passed and hence the date from which the results of Pathos Ltd should be reflected in the consolidated statement of profit or loss.

Therefore, only profits earned by Pathos Ltd in the four months since that date are post-acquisition profits.

The remaining previous eight months profit from 1 April 20X8 to 30 November 20X8 are all pre-acquisition profits and should be included in the calculation of goodwill on consolidation.

WORKINGS

(1) **Group structure**

Ethos plc

↓ 75% (acq 30 November 20X8 ∴ 4/12 in)

Pathos Ltd

(2) **Consolidation schedule**

		4/ 12		
	Ethos plc	**Pathos Ltd**	**Adj**	**Consol**
	CU	**CU**	**CU**	**CU**
Revenue	303,600	72,567	–	376,167
Cost of sales	(143,800)	(34,067)	–	(177,867)
Op costs	(71,200)	(17,100)		(88,300)
Finance income	2,800	400		3,200
Income tax	(46,200)	(10,867)		(57,067)
Profit for the year		10,933		

(3) **Non-controlling interests in profit for the year**

	CU
25% × 10,933 (W2)	2,733

(4) **Transfers between components of equity**

	CU
Ethos plc	15,000
Pathos Ltd (75% × 5,000 × 4/12)	1,250
	16,250

Notes

1 The NCI in Pathos Ltd's reserve transfer does not appear because the two entries are cancelled out in the single NCI column.

2 Alternative calculation for profit for the year of Pathos Ltd (W2)

	CU
PFY per question 32,800 × 4/12	10,933

Chapter 15
Associates and joint ventures

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 Investments in associates

2 Equity method: consolidated statement of financial position

3 Equity method: consolidated statement of profit or loss and other comprehensive income

4 Associate's losses

5 Transactions between a group and its associate

6 IFRS 11, Joint Arrangements

7 Joint ventures

8 IFRS 12, Disclosure of Interests in Other Entities

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Identify from financial and other data any subsidiary, associate or joint venture of an entity according to the international financial reporting framework
- Calculate from financial and other data the amounts to be included in an entity's consolidated financial statements in respect of its new, continuing and discontinued interests in subsidiaries, associates and joint ventures (excluding partial disposals of subsidiaries and disposals of associates or joint ventures) according to the international financial reporting framework
- Prepare and present the consolidated financial statements, or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards
- Explain the application of IFRS Accounting Standards to specified group scenarios

Syllabus links

More complex aspects of group financial statements will be examined at the Advanced stage. It is therefore important that you have a sound understanding of the accounting treatment of associates and joint ventures to carry forward.

Examination context

Associates and joint ventures may be examined in the context of the preparation of a consolidated statement of financial position or statement of profit or loss, within a group structure which includes at least one subsidiary. A written element of such a question could focus on an explanation of equity accounting by reference to the underlying principles. Alternatively, a 'mixed topic' question could require the preparation of extracts from the consolidated financial statements containing an associate or joint venture.

In the examination, students could be required to:

- Explain the equity method and the principles behind it.
- Incorporate the results of an associate in the consolidated financial statements using the equity method.
- Incorporate the results of a joint venture in the consolidated financial statements using the equity method.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Investments in associates** In the previous chapters, we have seen that consolidated financial statements need to be prepared when one entity obtains **control** of another entity. In this topic, we will look at investments in associates in which an investor gains a non-controlling stake in an investee, which allows it to **influence, rather than control**, the key decisions made by the investee.	**Approach** Read through the material, paying particular attention to the definition of significant influence. The principles of accounting for associates using the equity method are introduced in this topic and then expanded upon and applied in topics 2 and 3. **Stop and think** How do you think a simple trade investment differs from an investment in an associate?	In the exam, you may be required to: determine whether an investment is an associate by applying the concept of significant influence; and explain the equity method and the principles underlying it.	
2 & 3	**Equity method: consolidated statement of financial position** and **Equity method: consolidated statement of profit or loss and other comprehensive income** The **equity method** is the accounting treatment required for investments in associates in the group accounts. These topics will consider in more	**Approach** Review the material carefully, paying particular attention to the worked examples and attempting Interactive questions 1 and 2. Make sure you understand the difference between the equity method and the consolidation technique used for subsidiaries. **Stop and think**	In the exam, you may be required to account for an associate in the consolidated financial statements using the equity method.	**IQ1 Equity method (CSFP)** This question requires the preparation of the group statement of financial position, including a subsidiary and an associate. **IQ2 Equity method (CSPL)** This question requires the preparation of the group statement of profit or loss, including a

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	detail the calculations and adjustments required under the equity method.	Is it more helpful to the users of the financial statement for the group to show its share of the associate's profit or loss rather than simply including dividends received from the associate? Why?		subsidiary and an associate.
4	**Associate's losses** An associate may not always generate a profit. In this short topic, we explore how to account for an associate's losses.	**Approach** This is a very short section. Ensure you understand how the theory is applied in the worked example.	In the exam, watch out for the associate having generated a loss rather than a profit.	
5	**Transactions between a group and its associate** An associate is **not** part of the group. As such, trading transactions between the associate and the group are **not cancelled** in the group accounts, however, adjustments are required to eliminate the investor's share of **unrealised profits** on those trading transactions. To avoid double counting, any dividends received from an associate should be deducted from the investment in associate balance	**Approach** Work through the material carefully and attempt Interactive questions 3 and 4. Make sure that you appreciate that the treatment of unrealised profits will depend on whether the associate or the parent is the selling company. **Stop and think** Why are the adjustments for unrealised profits different under equity accounting than for transactions with subsidiaries?	In the exam, there will always be a question that requires you to prepare a full consolidated financial statement or extracts from it. This question may include transactions between an associate and the parent company.	**IQ3 Unrealised profits (P to A)** In this question, you are required to adjust for unrealised profit when the parent sells to the associate. **IQ4 Unrealised profits (A to P)** In this question, you are required to adjust for unrealised profit when the associate sells to the parent.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	in the group statement of financial position. The dividends received are not shown as income in the consolidated statement of profit or loss.			
6	**IFRS 11, *Joint Arrangements*** Another way in which a company can invest in another entity is through a joint arrangement. In a joint arrangement, the investor shares **joint control** of the investment with another investor. A joint arrangement can be in the form of a joint venture or joint operation. Only joint ventures are examinable in *Financial Accounting and Reporting*.	**Approach** Read through this short section which provides a brief overview of joint arrangements. **Stop and think** Why might an investor enter into a joint arrangement with another investor?	In the exam, you may be required to apply your knowledge to determine the type of investment – eg, subsidiary, associate or joint venture.	
7	**Joint ventures** A joint venture is accounted for in the group accounts using the **equity method**, applied in the same way as for associates.	**Approach** Work through the material carefully. Notice how the accounting is the same as we have covered in Topics 1 to 5 for associates. Make sure you attempt Interactive question 5 and allow time to fully review the solution.	In the exam, you may be required to account for a joint venture in the consolidated financial statements.	**IQ5 Joint venture** This question includes a joint venture and requires you to equity account for it in the group statement of financial position.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
8	**IFRS 12, *Disclosure of Interests in Other Entities*** We met IFRS 12 briefly in Chapter 12. Here we look at the disclosures required relating to associates and joint ventures.	**Approach** Read quickly through this short section.	You are not expected to produce a disclosure note relating to interests in other entities. This topic is most likely to be examined as part of a comparison to UK GAAP – see the next topic.	
9	**UK GAAP comparison** There are some important differences in the accounting for associates and joint ventures under UK GAAP compared to IFRS Accounting Standards.	**Approach** Read quickly through this short section, paying attention to the main differences.	An exam question could ask you to describe the main differences in accounting for associates and joint ventures under UK GAAP.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Investments in associates

Section overview

- An associate is an entity over which the investor has significant influence.
- There are a range of circumstances that evidence significant influence, however it can be presumed where the investor holds 20% to 50% of the voting rights.
- An associate is not part of the group.
- An investment in an associate should be accounted for in the consolidated financial statements using the equity method of accounting.

1.1 Introduction

In the previous chapters, we have seen that where a parent entity controls another entity it is said to have a subsidiary. The results of the parent and subsidiary are consolidated in the group accounts and presented as if it were a single entity.

However, investments can take a number of different forms. An investing entity may obtain a sufficient shareholding in another entity such that it has **significant influence** over it, without achieving control. This type of investment is referred to as an **associate** and is dealt with by IAS 28, *Investments in Associates and Joint Ventures*.

In the first part of this chapter, we will look at how to account for an associate.

1.2 Scope and definitions

IAS 28, *Investments in Associates and Joint Ventures* should be applied by any entity that has significant influence over an investee.

Definitions

Associate: An entity over which the investor has significant influence.

Significant influence: The power to participate in financial and operating policy decisions of the investee but is not control or joint control over those policies.

Notes

1 **A holding of 20% or more of the voting power** in an investee (but less than the 51% which would usually create a parent/subsidiary relationship) **is presumed to provide** the investor with **significant influence**, while a holding of less than 20% is presumed not to do so. Both of these presumptions are rebuttable on the facts of the case.

2 It is possible for an investee to be the **associate of one investor** and **the subsidiary of another**, because one investor can have significant influence when another has control. A holder of more than 75% can do most things in a company, such as passing a special resolution, without paying much attention to the other shareholders, in which case an investor holding 20% is unlikely to have significant influence. It is always necessary to have regard to the facts of the case.

3 **Significant influence is evidenced in a number of ways**. It is presumed in the case of a 20%–50% shareholding, but IAS 28 also states that significant influence can be shown by one or more of the following:

- representation on the board of directors;
- participation in policy making decisions, including decisions about dividends;
- material transactions between the investor and investee;
- interchange of managerial personnel; and/or
- provision of essential technical information.

4 **Significant influence may be lost** in the same circumstances as a parent may lose control over a subsidiary.

5 In the *Financial Accounting and Reporting* exam, you should assume that a holding of **20% to 50%** of the **ordinary share capital** constitutes **significant influence**, unless there are facts given which clearly indicate otherwise.



Professional skills focus: Concluding, recommending and communicating

An exam question may require you to determine the accounting treatment for the different investments made by an investor – is each investment a subsidiary, associate, joint venture or simple trade investment? This will test your ability not only to apply the accounting requirements from several IFRS Accounting Standards, but also your ability to communicate your reasoning and to come to a conclusion on the appropriate treatment.

1.3 Equity method

IAS 28 requires that associates are accounted for using the **equity method**. Under the equity method:

- **Statement of financial position** – the investment in the associate is presented within non-current assets in the consolidated statement of financial position. It is **initially recognised at cost** and the carrying amount is then increased or decreased **by the investor's share in the post-acquisition change in the associate's net assets (retained profits less dividends) and any impairment losses**.
- **Statement of profit or loss and other comprehensive income** – the investor's share of post-acquisition profits/losses and OCI of the associate should be recognised as separate line items in the investor's consolidated statement of profit or loss and OCI.

The rationale for using the equity method is that it provides more useful information than would be provided by simply including the dividends received from the associate. Dividends received may bear little relation to the actual performance of the associate – after all, the distribution of dividends is discretionary. Instead, the equity method reflects the fact that the investor has **significant influence** over the associate, and therefore has an interest in the associate's performance.

Note: IAS 28 includes some limited situations in which the entity does not have to apply the equity method. These include the situation in which an entity is exempt from preparing consolidated financial statements under IFRS 10, or if the investor is a venture capital organisation. If the entity is a venture capital organisation, it can instead elect (on an investment by investment basis) to measure its investment in the associate at fair value through profit or loss in accordance with IFRS 9.



Professional skills focus: Concluding, recommending and communicating

The proforma consolidated financial statements available in the spreadsheet response area in your exam DO NOT include line items for the investment in associates and share of profits of

associates. If you are asked to prepare consolidated financial statements which include an associate, you will need to add additional line items to the proformas.

1.4 Loss of significant influence

Once significant influence is lost, the investee is no longer an associate and any remaining investment is a simple trade investment accounted for in accordance with IFRS 9. Any dividends received after significant influence is lost will be recognised in the investor's statement of profit or loss.

1.5 Equity method vs consolidation of a subsidiary

Some of the mechanics of consolidation are also applied to equity accounting. So:

- **Unrealised profits and losses on transactions between the investor and the associate should be eliminated** to the extent of the investor's share. Unrealised losses may indicate impairment of the transferred asset.
- There are provisions as to **reporting dates**, adjustments for material transactions when the dates do not coincide and **uniform accounting policies** which are the same as those for subsidiaries.
- Recognition of a share of an associate's losses should only result in the investor's interest being written down below nil (so as to become a liability) **if the investor has incurred obligations on behalf of the associate**. If the associate returns to profit, the investor's share of profits is recognised only after the share of profits equals the unrecognised share of losses.

The differences are that:

- **There is no cancellation of the investment** against the share of the associate's assets and liabilities at the date of acquisition. This is because there is no line-by-line addition to items in the statement of financial position of the investor's share of the associate's assets and liabilities. Such addition is appropriate under conditions of control, but not under those of significant influence.
- Instead, the investor's interest in the associate is shown in the statement of financial position, **as a single line** within non-current assets.
- **No separate goodwill is recognised** in respect of an associate; any goodwill is subsumed within the investment in associate, initially measured at cost.
- The **whole of the investor's interest in the associate is subjected to an impairment review** if there is an indicator of impairment.
- The **investor's interest in the associate's profit for the year less any impairment loss arising in the year** is recognised in its consolidated statement of profit or loss.

1.6 Investor's separate financial statements

Under IAS 27, the investment in the associate is carried **in the parent's separate statement of financial position** either:

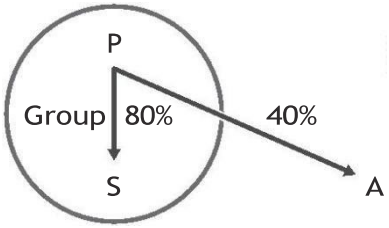
- at cost;
- in accordance with IFRS 9 (see Chapter 9); or
- using the equity method as described in IAS 28.

If the investment is carried at cost, the only income included in the investor's individual statement of profit or loss is the amount of dividends received from the associate.

Note: You should assume that an investment is carried at cost in the separate financial statements unless it is clearly stated otherwise.

1.7 Relationship with the group

An associate is **not part of the group** as a group comprises the parent and its subsidiaries only. In terms of the *Financial Accounting and Reporting* syllabus, the group investment in the associate is always held by the parent company, not a subsidiary:



1.8 Treatment in consolidated financial statements: accounting principles

An investment in an **associate** should be accounted for in the consolidated financial statements using the **equity method** of accounting. This method reflects the **substance** of the relationship between the entities rather than their **legal form**. The **group's share** of the associate's **profits, assets and liabilities** should be included in the consolidated financial statements rather than the cost of the investment and dividend income received.

2 Equity method: consolidated statement of financial position

Section overview

- The investment in the associate should be shown as a single line entry within non-current assets in the consolidated statement of financial position.
- If the carrying amount of the investment has suffered an impairment it should be written down to its recoverable amount.

2.1 Basic principle

An associate should be accounted for in the consolidated financial statements as follows:

- The interest in the associate should be presented as a **single line** described as **'Investments in Associates'** within non-current assets.
- It should initially be recognised at **cost** and is subsequently adjusted in each period for the **group's share of the post-acquisition change in net assets** (post-acquisition profits and other comprehensive income (as adjusted for consolidation purposes) less any dividends paid by the associate to the investor and less any impairment losses incurred.
- The **group's share of the associate's post-acquisition retained earnings and other reserves** (as adjusted for consolidation purposes) should be included in consolidated retained earnings (as for a subsidiary).

Note: The assets and liabilities of the associate are **not** included on a line-by-line basis.

2.2 Calculation of carrying amount of investment in associate

The investment in the associate should be calculated as follows:

	CU
Original cost (in P's accounts)	X
Share of post-acquisition change in net assets (after consolidation adjustments)	X
	X
Less: Dividends paid from associate to parent	(X)
Less: Impairment losses to date	(X)
Carrying amount	X

Note: If the investor has provided any **long-term loans** to the associate which are not expected to be repaid in the foreseeable future these should be **included as part of the investment in the associate**.

2.3 Initial cost of investment

The investment in the associate is initially recognised at **cost** (see section 2.1). This represents the **investor's share of the fair value of the net assets acquired plus goodwill arising on acquisition**. This goodwill is **not separately calculated or presented,** but instead **is included as part of the carrying amount of the investment**.

If, on the initial investment, the fair value of the net assets of the associate exceeds their carrying amount, the original cost of the investment will effectively have included a fair value uplift. In this case, additional depreciation on the fair value uplift is required:

(a) the additional charge for the year is deducted from the share of the associate's profit or loss recognised in the consolidated statement of profit or loss; and

(b) the cumulative additional depreciation is deducted from the carrying amount of the investment in associate in the consolidated statement of financial position.

2.4 Impairment losses

Impairment tests are performed in relation to the **investment as a whole**. If the investment has suffered an impairment it should be written down to its recoverable amount (see section 2.2).



Worked example: Investment in associate

P Ltd acquired 30% of the ordinary share capital of A Ltd on 1 January 20X8 for CU275,000. At that date A Ltd had retained earnings of CU468,000. The fair value of its net assets was the same as the carrying amount apart from a building which had a fair value of CU725,000 and a carrying amount of CU500,000. The building had a remaining useful life of 30 years at 1 January 20X8. No fair value adjustment has been made in the books of A Ltd.

At 31 December 20X9 A Ltd had retained earnings of CU521,000. This was substantially below expectations and P Ltd intends to recognise an impairment loss of CU50,000 against the value of its investment in A Ltd.

Requirement

Calculate the carrying amount of the 'investment in associate' for inclusion in the financial statements of P Ltd at 31 December 20X9?

Solution

	CU
Cost of investment	275,000
Share of post-acquisition increase in net assets ((521,000 – 468,000) × 30%)	15,900
Share of additional depreciation on FV uplift (((725,000 – 500,000) × 2/30) × 30%)	(4,500)
Impairment loss	(50,000)
Investment in associate	236,400

2.5 Application of the equity method in the consolidated statement of financial position

To prepare the consolidated financial statements, any subsidiary(ies) needs to be consolidated using the approach covered in Chapters 12–14, and the associate needs to be accounted for using the equity method. The standard consolidation workings are then adapted for the equity method as follows:

Working 1: Group structure	• Include the associate in the group structure diagram.
Working 5: Consolidated retained earnings (reserves)	• Include the group share of the associate's post-acquisition retained earnings. • Include any impairment losses to date.
Working 6: Investment in associate	• Cost of investment • plus share of post-acquisition change in net assets • less any impairment losses to date

The **calculation of the carrying amount of the investment in the associate** will usually be **Working 6**.

Interactive question 1: Equity method (CSFP)

P Ltd owns 80% of S Ltd and 40% of A Ltd. Statements of financial position of the three companies at 31 December 20X8 are as follows.

	P	S	A
	CU	CU	CU
Investment: shares in S	800,000	–	–
Investment: shares in A	600,000	–	–
Sundry assets	6,600,000	5,800,000	5,400,000
	8,000,000	5,800,000	5,400,000
Share capital – CU1 ordinary shares	1,000,000	400,000	800,000
Retained earnings	4,000,000	3,400,000	3,600,000
Equity	5,000,000	3,800,000	4,400,000
Liabilities	3,000,000	2,000,000	1,000,000
	8,000,000	5,800,000	5,400,000

P acquired its shares in S when S's retained earnings were CU520,000. The fair value of the identifiable assets acquired and liabilities assumed by P were equal to their carrying amounts at the date of acquisition. P measures non-controlling interests on the proportionate basis.

P acquired its shares in A when A's retained earnings were CU400,000. The fair value of the assets and liabilities of A were equal to their carrying amounts at the date of acquisition.

In 20X7 an impairment loss of CU20,000 was recognised in relation to the investment in A.

Requirement

Prepare the consolidated statement of financial position at 31 December 20X8.

P Ltd: Consolidated statement of financial position as at 31 December 20X8

	CU
Goodwill	
Investments in associates	
Sundry assets	
Equity attributable to owners of the parent	
Share capital	
Retained earnings	
Non-controlling interests	
Total equity	
Liabilities	

WORKINGS

(1) **Group structure**

(2) **Fair value of identifiable assets acquired and liabilities assumed**

	Year-end	Acquisition	Post-acquisition
	CU	CU	CU
Share capital			
Retained earnings			

(3) **Goodwill**

S Ltd	**CU**
Consideration transferred	
Non-controlling interests at acquisition	
Fair value of identifiable assets acquired and liabilities assumed (W2)	
Goodwill	

(4) **Non-controlling interests**

	CU
At acquisition	
Share of post-acquisition	

(5) **Retained earnings**

	CU
P Ltd	
S Ltd	
A Ltd	
Impairment losses to date	

(6) **Investment in associate**

	CU
Original cost	
Share of post-acquisition retained earnings	
Impairment losses to date	

See **Answer** at the end of this chapter.

3 Equity method: consolidated statement of profit or loss and other comprehensive income

Section overview

- Share of profit of associates should be presented as a single line entry in the consolidated statement of profit or loss.
- Share of other comprehensive income of associates should be presented as a single line entry in other comprehensive income.

3.1 Basic principle

The associate should be accounted for as follows:

- The **group's share of the associate's profit for the year** should be recognised in the consolidated statement of profit or loss as a **single line entry**.
- This should be disclosed **immediately before the group profit before tax** as **'Share of profit of associates'**.
- If the associate is acquired **mid-year** its results should be **time-apportioned**.
- The group's share of the associate's other comprehensive income (OCI) is reported as a separate line item in the OCI part of the statement of profit or loss and OCI.

Notes

1 It may seem odd to include an after-tax amount in arriving at the profit before tax, but this is in line with the Implementation Guidance to IAS 1, *Presentation of Financial Statements*.

2 The revenues and expenses of the associate should not be consolidated on a line-by-line basis.

3.2 Impairment review

Where an impairment review in the current period has resulted in an impairment loss to be **charged to profit or loss**, the loss should be **deducted from the parent's share of the profit for the year** of the associate (or added to the parent's share of the associate's loss for the year).

3.3 Fair value adjustment

Where the fair value of the assets and liabilities of the associate at acquisition exceeded their carrying amount, the original cost of the investment will effectively have included a fair value uplift. If the fair value of any of the associate's property, plant and equipment is subject to a fair value uplift, additional depreciation on the group share of the fair value uplift will be deducted from the group share of the associate's profit for the year in the consolidated statement of profit or loss.

3.4 Application of the equity method in the consolidated statement of profit or loss

An **additional working** will be required to calculate the parent's share of the associate's profit for the year.

Note: The consolidation schedule (Working 2) will only include the parent and any subsidiaries as the associate is **not** consolidated.



Interactive question 2: Equity method (CSPL)

P Ltd has owned 80% of S Ltd and 40% of A Ltd for several years. Statements of profit or loss for the year-ended 31 December 20X8 are as follows.

	P Ltd	S Ltd	A Ltd
	CU	CU	CU
Revenue	14,000	12,000	10,000
Cost of sales	(9,000)	(4,000)	(3,000)
Gross profit	5,000	8,000	7,000
Administrative expenses	(2,000)	(6,000)	(3,000)
Operating profit	3,000	2,000	4,000
Investment income (not intra-group)	1,000		400
Profit before tax	4,000	2,000	4,400
Income tax expense	(1,000)	(1,200)	(2,000)
Profit for the year	3,000	800	2,400

An impairment loss of CU120 is to be recognised in 20X8 in relation to the investment in A Ltd.

Requirement

Prepare the consolidated statement of profit or loss for the year-ended 31 December 20X8.

P Ltd: Consolidated statement of profit or loss for the year-ending 31 December 20X8

	CU
Revenue (W2)	
Cost of sales (W2)	
Gross profit	
Administrative expenses (W2)	
Operating profit	
Finance income (W2)	
Share of profit of associates (W4)	
Profit before tax	
Income tax expense (W2)	
Profit for the year	
Profit attributable to:	
- Owners of P Ltd (balancing figure)	
- Non-controlling interest (W3)	

WORKINGS

(1) **Group structure**

(2) **Consolidation schedule**

	P Ltd	S Ltd	Adjustments	Consolidated
	CU	CU	CU	CU
Revenue				
Cost of sales				
Admin expenses				
Investment income				
Tax				

(3) **Non-controlling interest**

	CU
S Ltd	

(4) **Share of profits of associate**

	CU
A Ltd	

See **Answer** at the end of this chapter.

4 Associate's losses

Section overview

- Losses recognised in respect of the associate should be limited to the carrying amount of the associate.

4.1 Accounting treatment

Where an associate makes a loss the following treatment should be adopted:

Consolidated statement of financial position	The group's share of the loss should be recognised as a reduction in the carrying amount of the investment in associate, to a minimum of zero.
Consolidated statement of profit or loss	The group share of the associate's loss for the year should be recognised.

Note: Once the carrying amount of the investment in the associate has been **reduced to zero, no further losses should be recognised by the group**. The investor is only required to make a provision for any additional losses incurred by the associate to the extent that the investor has a legal or constructive obligation to make good these amounts. When the associate returns to profit, the investor's share of that profit is not realised until it equals the amount of unrecognised losses.

Context example: Associate's losses

At 31 December 20X6, the carrying amount of P Ltd's 40% interest in A Ltd is CU600,000. In the year-ended 31 December 20X7 A Ltd makes a loss for the year of CU2,000,000.
The associate should be recognised in the consolidated financial statements at 31 December 20X7 as follows:

	Consolidated statement of profit or loss	Consolidated statement of financial position
	CU	CU
P's share of the associate's loss 40% × CU2,000,000 = CU800,000	(600,000)	Nil

Note: The loss recognised should be limited to the carrying amount of the investment ie, CU600,000. The carrying amount of the investment in the associate cannot fall below zero.

5 Transactions between a group and its associate

Section overview

- Transactions between the group and its associates should not be cancelled on consolidation.
- An adjustment is required for any unrealised profit.

5.1 Basic principle

As discussed previously, an associate is **not** part of the group. This means that while the single entity concept applies to the parent and subsidiaries it does not apply to any associates. One of the consequences of this is that transactions between a group member and an associate should **not** be cancelled on consolidation.

5.2 Trading transactions

Trading transactions should **not be cancelled on consolidation**.

Consolidated statement of profit or loss	**No adjustment should be made** to revenue or cost of sales for transactions between the group and the associate.
Consolidated statement of financial position	**Receivables and payables balances** due from/to the associate in the individual statement of financial position of the parent or its subsidiaries should be carried across into the consolidated statement of financial position.

Note: In the consolidated statement of financial position balances relating to loans and trading balances between the group and the associate should be shown separately.

5.3 Unrealised profits

While transactions between the group and the associate are not cancelled on consolidation, any **unrealised profit on these transactions should be eliminated**. In this respect the principle applied is similar to that applied to a subsidiary.

The key difference is that only the **investor's share** of the unrealised profit should be eliminated, because only this share of the associate's net assets and profit for the year is brought into the consolidated financial statements.

Notes

1 Unrealised profit could also arise on transactions between a subsidiary and an associate, but the *Financial Accounting and Reporting* exam will only test unrealised profit arising from transactions between the parent and an associate.

2 Only transactions that give rise to unrealised profits are covered in *Financial Accounting and Reporting*. Transactions that give rise to losses are an indicator that the asset being transferred may be impaired.



Context example: Unrealised profits

P Ltd has a 25% holding in A Ltd. A Ltd sells goods to P Ltd for CU100,000, applying a mark-up of 30%. All of the goods remain in inventory at the year-end.

A Ltd made a profit on the sale of CU23,076 on the sale (CU100,000 × 30/130). 75% of this profit relates to interests held by other investors, therefore only CU5,769 (CU23,076 × 25%) of the unrealised profit (that part which belongs to the group) should be eliminated.

The adjustment is made in the **accounts of the seller**. The way that the adjustment is made depends on whether the selling company is the investor or the associate.

Notes

1 Unrealised profit will only arise if the goods transferred **are still held by the investor or associate**. If the goods have been sold to a **third party**, there is **no unrealised profit**.

2 Unrealised profit adjustments apply to the **transfer of non-current assets** as well as the transfer of goods.

5.3.1 Investor (parent) sells goods to the associate

Consolidated statement of financial position:

- Reduce Parent's **retained earnings by its share of the unrealised profit**.
- Reduce the **carrying amount of the investment in Associate** by **Parent's share of the unrealised profit**.

Note: The carrying amount of the investment in associate is adjusted rather than inventory as the inventory of the associate is **not consolidated**.

Consolidated statement of profit or loss:

- Increase Parent's cost of sales **by its share of the unrealised profit**.

Note: This adjustment **reduces group profit by its share of the unrealised profit.**

Interactive question 3: Unrealised profits (P → A)

P Ltd owns 35% of A Ltd. During the current financial year P Ltd sold goods to A Ltd for CU300,000 on which its gross margin was 40%. A Ltd held CU50,000 of these goods in its inventories at the year-end.

Requirement

Show the journal entries necessary to adjust for the PURP in P Ltd's consolidated statement of financial position and describe the adjustment necessary to P Ltd's consolidated statement of profit or loss.

Fill in the proforma below.

Consolidated statement of financial position journal

	CU	CU
DR		
CR		

See **Answer** at the end of this chapter.

5.3.2 Associate sells goods to the investor (parent) Consolidated statement of financial position

- **Reduce Parent's share of Associate's retained earnings** by its **share of the unrealised profit**.
- **Reduce Parent's inventory** on consolidation by its **share of the unrealised profit**.

Note: The effect on retained earnings is dealt with by **deducting the group share of the unrealised profit from the group retained earnings** and from **group inventory.**

Consolidated statement of profit or loss

- **Reduce Parent's share of Associate's profit for the year** by its **share of the unrealised profit**.

Interactive question 4: Unrealised profits (A → P)

Assume the same facts as in Interactive Question 3 except that A Ltd is the seller and P Ltd holds the CU50,000 goods in inventory.

Requirements

4.1 Show the journal entries to adjust for the PURP in P Ltd's consolidated statement of financial position.

4.2 If A Ltd has a profit for the year of CU75,000, calculate the group's share of the associate's profit for the year for inclusion in the consolidated statement of profit or loss.

See **Answer** at the end of this chapter.

Professional skills focus: Assimilating and using information

The **details** of a group question scenario in your exam are very important. Intra-group trading with an associate is not eliminated, but intra-group trading with a subsidiary is eliminated. Read the question carefully to make sure you identify which entities are doing the trading and therefore what adjustments you must make.

Professional skills focus: Assimilating and using information

The direction of any sale between a parent and an associate is important when adjusting for unrealised profits. Read the question carefully to understand whether it is a downstream (parent to associate) sale or an upstream (associate to parent) sale and prepare the adjusting journal entry accordingly.

5.4 Dividends

Dividend income from the associate should **not be recorded in the consolidated statement of profit or loss**. This is because, under the equity method, the group's share of the associate's profit for the year and increase in retained earnings has already been recognised. Dividends are paid out of retained earnings, therefore if the dividend income was also recognised, the same profits would be **recognised twice**.

In the statement of financial position, the investment in the associate will be recognised as the cost of the investment plus the group share of the post-acquisition profits of the associate, less any dividends received.

Context example: Investment in associate and dividends

On 1 January 20X4 P acquired 30% of the share capital of A for CU75,000. During the year to 31 December 20X4 A made a profit for the year of CU30,000 and paid dividends totalling CU12,000.

The carrying amount of the investment in associate will be calculated as:

	CU
Cost of investment	75,000
Group share of post-acquisition profit for the year (30,000 × 30%)	9,000
Less dividend received (12,000 × 30%)	(3,600)
	80,400

Or:

	CU
Cost of investment	75,000
Group share of post-acquisition retained earnings ((30,000 – 12,000) × 30%)	5,400
	80,400

CHAPTER 15

6 IFRS 11, *Joint Arrangements*

Section overview

- IFRS 11 classifies joint arrangements as either **joint operations** or **joint ventures**.
- There must be a **contractual arrangement** for a joint arrangement to exist.

6.1 What is a joint arrangement?

Definitions

Joint arrangement: An arrangement in which two or more parties have joint control.

Joint control: The contractually agreed sharing of control over an arrangement, which exists only when the decisions about the relevant activities require the unanimous consent of the parties sharing control.

The key characteristics of a joint arrangement are:

- a contractual agreement
- unanimous consent of the parties sharing control to make decisions about relevant activities

Definition

Party to a joint arrangement: An entity that participates in a joint arrangement, regardless of whether that entity has control of the arrangement.

6.2 Context

Entities often operate together as strategic alliances to overcome commercial barriers or share risks. These alliances are often contractually structured as joint arrangements. The objective of a joint arrangement may be to carry out a one-off project, to focus on one area of operations or to develop new products jointly for a new market.

There are many factors critical to the success of joint arrangements, the most important being the relationship between the parties. It is essential that all contractual terms and arrangements are agreed in advance including the process for resolving disputes.

The different joint arrangement structures available provide challenges for financial reporting. The unique risks of joint arrangements need to be readily apparent to users of financial statements, since their financial and operational risks may be substantially different from those of other members of the reporting group.

6.3 Types of joint arrangement

IFRS 11, *Joint Arrangements* identifies two types of joint arrangement:

- joint operations
- joint ventures

Only joint ventures are included in the *Financial Accounting and Reporting* syllabus.

7 Joint ventures

Section overview

- Joint ventures are separate legal entities, so they must prepare their own financial statements.
- Equity accounting should be applied in the consolidated financial statements of the joint venturer to reflect the share of profits and share of post-acquisition net assets of the joint venture.
- The equity method of accounting is the same as that used for accounting for associates in accordance with IAS 28, *Investments in Associates and J oint Ventures*.

7.1 What is a joint venture?

This is a joint arrangement whereby the parties that have joint control have **rights to the net assets** of the arrangement.

Joint ventures are always set up as a **separate legal entity.**

This separate entity may be:

- a company
- a partnership

As a separate legal entity, the joint venture can enter into contracts and raise finance in its own name. It will maintain its own accounting records and prepare its own financial statements. The joint venture will own its own assets, incur its own liabilities, incur its own expenses and earn its own income.

Normally, each joint venturer will be entitled to a pre-determined share of the profits made by the joint venture.

An investor may be a party to a joint arrangement but may not have joint control. If the investor has significant influence, it should account for the investment as an associate, in accordance with IAS 28. If it does not have significant influence it should account for it as a financial asset in accordance with IFRS 9.

Worked example: Joint venturers and investors

An entity is established to build a sports stadium for a customer. Once the stadium is built, the entity will be wound up.

Eight contractors invest in the equity of the entity. Contractors 1 to 5 own 14% each and contractors 6 to 8 own 10% each. There is a contractual arrangement whereby all relevant decisions are taken unanimously by contractors 1, 2, 3 and 8.

Requirement

Do these arrangements give rise to a joint venture? If so, who are the venturers and who are the investors?

Solution

The contractual agreement provides for joint control. All of the contractors are parties to the joint arrangement, however the parties to the contractual agreement are only Contractors 1, 2, 3 and 8. Between them they own 52% ((3 × 14%) + 10%) of the entity and the contractual agreement requires that any decisions require all of their agreement, so resulting in

unanimous consent. Contractors 1, 2, 3 and 8 therefore have joint control over the entity. The joint arrangement is a separate legal entity and therefore it is a joint venture in which Contractors 1, 2, 3 and 8 are joint venturers.

The other contractors are not involved in the contractual arrangement and therefore are parties to the joint venture but not joint venturers.



Professional skills focus: Applying judgement

It is not always straightforward to determine the accounting for an investment, as this example indicates. Contractual arrangements between entities can be extremely complex. An accountant must use their professional judgement to apply the requirements of the accounting standards to the particular scenario they are facing.

A contractual arrangement will usually be in writing either as a formal document or in the form of minutes from a meeting. It will normally cover the purpose of the joint venture, its expected duration, any financial reporting requirements, appointments to the managing committee, voting rights, capital contributions, procedures for running the day to day operations and how expenses and income are to be shared.

7.2 Accounting for joint ventures

IFRS 11 requires each venturer in a joint venture to recognise in its **consolidated financial statements** its share of the venture using the **equity method of accounting**.

7.3 Investor's separate financial statements

In the investor's separate financial statements the investment in the joint venture should be carried:

- at cost;
- in accordance with IFRS 9; or
- using the equity method as in IAS 28.

If the investment is carried at cost, the only income included in the investor's individual statement of profit or loss is the amount of dividends received from the joint venture.

7.4 Equity method of accounting

You have used the equity method of accounting when accounting for associates under IAS 28. Under the equity method:

- The investment in the joint venture is initially recorded at cost.
- There are adjustments each period for the venturer's share of the post-acquisition reserves of the joint venture, less any impairment losses. Profits are added to the investment and losses deducted.
- In the venturer's consolidated **statement of financial position** the investment in the joint venture is shown as a single line figure as part of non-current assets.
- In the venturer's consolidated **statement of profit or loss** there is a single line for the share of the joint venture's profit for the year.
- The group share of the joint venture's other comprehensive income will be included in the other comprehensive income section of the consolidated statement of profit or loss and other comprehensive income.

Worked example: Joint venture

P controls a number of subsidiaries and therefore prepares consolidated financial statements.

P is also a joint venturer in JV, a joint venture in which P owns 25%. P acquired its share of JV at a cost of CU1 million on the creation of JV. At that time JV had net assets of CU4 million.

A summarised draft statement of financial position of the P Group (P and its subsidiaries, but not its interest in JV), and JV is as follows:

	P Group	JV
	CUm	CUm
Non-current assets		
Property, plant and equipment	60	20
Intangible assets	30	8
Investment in JV	1	0
Current assets		
Inventories	50	16
Other	80	24
Current liabilities	(90)	(36)
	131	32

Equity

The equity in P Group plus JV can be calculated as:

	CUm
P Group	131
JV post-acquisition ((32 – 4) × 25%)	7
	138

Requirement

Using the equity method, prepare the P Group consolidated statement of financial position including JV.

Solution

	CUm
Non-current assets	
Property, plant and equipment	60
- Intangible assets	30
- Investment in JV (cost CU1m plus 25% × increase net assets (CU32m – CU4m))	8
	98
Current assets	
Inventories	50
Other	80
	228

Equity and liabilities	
Equity	138
Current liabilities	90
	228

7.5 Transactions between a venturer and the joint venture

An adjustment is required for any **unrealised profit** on a transaction between a venturer and its joint venture. The treatment is consistent with that covered above for associates.

7.5.1 Venturer to joint venture

If a venturer sells goods or a non-current asset to the joint venture at a profit and the goods or non- current asset are still held by the joint venture at the year-end:

- investment in joint venture is reduced by the share of unrealised profit; and
- group profit is reduced (by increasing cost of sales for a transfer of goods or reducing other income/increasing expenses for a transfer of assets) to remove the unrealised profit. Retained earnings of the venturer is in turn reduced by its share of the unrealised profit.

Note: As for associates above, if the transaction gives rise to a loss, it may be an indicator that the asset being transferred is impaired.

7.5.2 Joint venture to venturer

If the joint venture sells goods or a non-current asset to the venturer at a profit and these are still held by the venture at the year-end:

- inventories or carrying amount of non-current asset is reduced by the share of unrealised profit;
- investment in joint venture is reduced by the share of unrealised profit; and
- share of joint venture profit for the year is reduced by the share of unrealised profit.

7.6 Receivables and payables

If there are receivables or payables outstanding between a joint venture and the venturer the outstanding balances between the venturer and the joint venture should **not** be eliminated.



Interactive question 5: Joint venture

Bodmas plc acquired 30% of the equity capital of a joint venture, Matrix Ltd, in 20X2 when the retained earnings of Matrix Ltd were CU120 million. It is currently preparing its financial statements for the year-ending 31 December 20X5.

The summary statements of financial position for Bodmas plc and Matrix Ltd at 31 December 20X5 were as follows.

	Bodmas plc	Matrix Ltd
	CUm	CUm
Property, plant and equipment	820	320
Investment in Matrix Ltd	100	–
Current assets	240	160

Loan to Matrix	60	___
	1,220	480
Share capital (CU1 shares)	780	100
Retained earnings	440	320
Loan from Bodmas plc	___	60
	1,220	480

Requirement

Prepare the summarised consolidated statement of financial position of Bodmas plc at 31 December 20X5 using the equity method in accordance with IAS 28, *Investments in Associates and Joint Ventures*.

Consolidated statement of financial position as at 31 December 20X5

	CUm
Non-current assets	
Property, plant and equipment	
Investment in JV	
Current assets	
Loan	
Other	
Total assets	
Equity	
Share capital	
Retained earnings	
Total equity	

See **Answer** at the end of this chapter.

8 IFRS 12, *Disclosure of Interests in Other Entities*

Section overview

IFRS 12 sets out the disclosure requirements for associates and joint ventures.

8.1 Significant judgements and assumptions

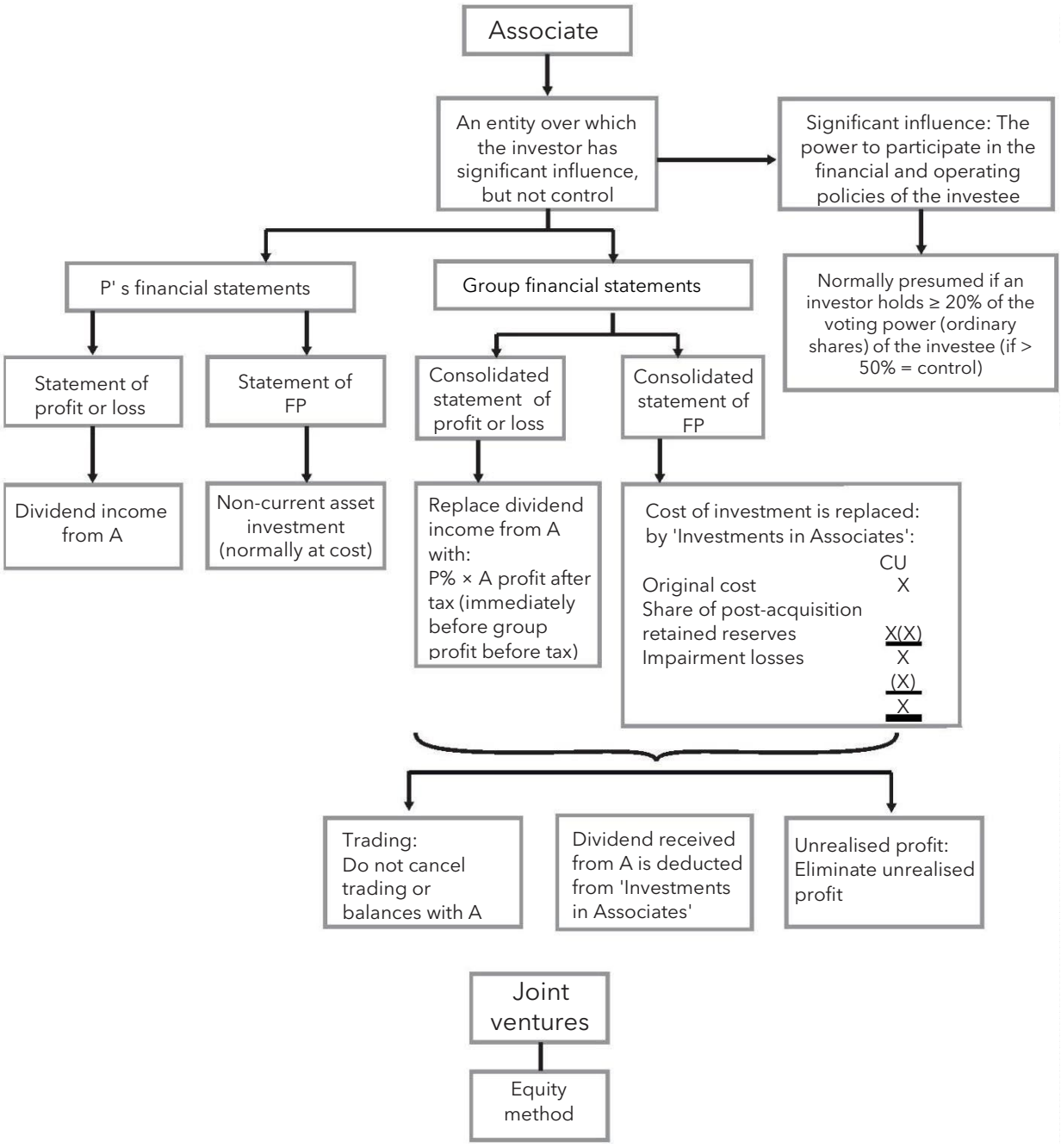
IFRS 12 requires that an entity discloses information regarding significant judgements and assumptions about how an investee is classified (and changes to those judgements and assumptions). The focus is on how the entity has concluded that it has control, joint control or significant influence over an investee and how it determined what the nature of the joint arrangement was. For example, disclosures might discuss why or how an entity does not control another entity even though it holds more than half of the voting rights of the other entity, or how and why it does control another entity even though it holds less than half of the voting rights of the other entity.

8.2 Disclosures

The following disclosures are required in respect of associates and joint arrangements:

- Nature, extent and financial effects of an entity's interests in associates or joint arrangements, including name of the investee, principal place of business, the investor's interest in the investee, method of accounting for the investee and restrictions on the investee's ability to transfer funds to the investor.
- Risks associated with an interest in an associate or joint venture.
- Summarised financial information for material investees, with more detail required for joint ventures than for associates.

Summary


Associate
An entity over which the investor has significant influence, but not control
Significant influence: The power to participate in the financial and operating policies of the investee
Normally presumed if an investor holds ≥ 20% of the voting power (ordinary shares) of the investee (if > 50% = control)
P' s financial statements
Group financial statements
Statement of profit or loss
Statement of FP
Consolidated statement of profit or loss
Consolidated statement of FP
Dividend income from A
Non-current asset investment (normally at cost)
Replace dividend income from A with:
P% × A profit after tax (immediately before group profit before tax)
Cost of investment is replaced: by 'Investments in Associates':
CU
Original cost X
Share of post-acquisition retained reserves X(X)
Impairment losses X
(X)
X
Trading:
Do not cancel trading or balances with A
Dividend received from A is deducted from 'Investments in Associates'
Unrealised profit:
Eliminate unrealised profit
Joint ventures
Equity method

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you define significant influence? (Topic 1)
2.	Can you explain how the equity method is applied in the consolidated statement of financial position? (Topic 2)
3.	Can you explain how the equity method is applied in the consolidated statement of profit or loss? (Topic 3)
4.	How does the equity method differ from the consolidation of a subsidiary? (Topics 2 and 3)
5.	If an associate trades with a parent entity selling goods at a profit, and some of the goods remain in inventory at the reporting date, how should this be dealt with in the group accounts? Does it matter which entity made the sale? (Topic 5)
6.	How should a joint venture be accounted for in the consolidated financial statements? (Topic 7)
7.	What are the main differences between the accounting for associates and joint ventures under IFRS Accounting Standards and UK GAAP? (Topic 9)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Corfu plc	This question is a good test of your skills in preparing a consolidated statement of profit or loss, including the standard workings, with the addition of a joint venture.
Water	This question is also great practice at the mechanics of consolidation, but this time on the consolidated statement of financial position. You need to work out what type of investment each company is - subsidiary or associate - before accounting for them. Parts (b) and (c) are a good test of whether you have really understood the different accounting treatments required for subsidiaries and associates and whether you can explain control and significant influence.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Norland (part 1 only)	This question requires you to prepare extracts from the consolidated statement of financial position for goodwill, non-controlling interests and the investment in associate. The difficult areas in this question are that the consideration paid for the subsidiary is not just cash and the fact that non-controlling interest is measured using the fair value method, which you may not have seen in many questions so far.
Corbiere plc (part 3 only)	This 10-mark question is a good test of knowledge for this chapter. The question requires you to explain how to account for an investment, a fair value adjustment relating to property and some dividends.
Barbadine Ltd (part 1, issue 1 only)	This question tests whether you can explain how to account for an associate which is loss-making during the year. It is a good test of whether you can explain the equity method, with the extra complication of the loss for the year.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

Note: The following sets out the examinability of the standards covered in this chapter.

IAS 28 – All paragraphs are examinable.

IFRS 11 – Only joint ventures are examinable in full. Only knowledge of the existence of other joint arrangements is required.

The paragraphs listed below are the key references you should be familiar with.

1 IAS 28, *Investments in Associates and Joint Ventures*

Definitions

- The investor has joint control or significant influence over an investee – **IAS 28 (2)**
- Significant influence is the power to participate in financial and operating policy decisions of the investee, but is not control or joint control of those policies.
- A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement – **IAS 28 (3)**
- Presumptions with regard to less than 20%, 20% or more for an associate – **IAS 28 (6)**
- Can be an associate, even if the subsidiary of another investor
- No significant influence if 'associate' in legal reorganisation and so on – **IAS 28 (9)**

Equity method

- In statement of financial position: joint venture or associate presented as non-current asset = cost plus share of post-acquisition retained profit or loss and OCI – **IAS 28 (10)**
- In statement of profit or loss: share of joint venture or associate's post-tax profits less any impairment loss – **IAS 28 (10)**
- In other comprehensive income: share of changes to investee's other comprehensive income – **IAS 28 (10)**
- Use cost/in accordance with IFRS 9/equity accounting to account in investor's separate financial statements – **IAS 28 (44)**
- An entity which is exempt from preparing CFS under the exemptions in IFRS 10 need not apply the equity method – **IAS 28 (17)**
- Investment or portion of investment which is held for sale should be accounted for under IFRS 5 – **IAS 28 (20)**

2 IFRS 11, *Joint Arrangements*

- A joint arrangement is an arrangement in which two or more parties have joint control and are bound by a contractual arrangement – **IFRS 11 (5)**
- A joint venture gives venturers joint control and rights to the net assets of the arrangement – **IFRS 11 (16)**
- A joint venturer's interest in a joint venture is recognised as an investment and accounted for using the equity method in accordance with IAS 28 – **IFRS 11 (24)**
- A party that participates in a joint venture but has neither joint control nor significant influence should account for its interest in accordance with IFRS 9 – **IFRS 11 (25)**
- In its separate financial statements a joint venture shall account for its interest in a joint venture at cost or in accordance with IFRS 9 – **IFRS 11 (26)**

Self-test questions

Answer the following questions.

1 Durie plc

Durie plc has many subsidiary companies. On 1 January 20X6 Durie plc bought 30% of the share capital of Edberg Ltd for CU6,660. The retained earnings of Edberg Ltd at that date were CU13,000 and the fair value of its assets less liabilities was CU20,000. The excess of fair value over carrying amount related to a plot of land which was still owned at 31 December 20X9; its fair value was unchanged at that date. The fair value was not reflected in the accounts of Edberg Ltd.

The summarised draft statement of financial position of Edberg Ltd on 31 December 20X9 includes the following.

	CU
Share capital – CU1 ordinary shares	5,000
Retained earnings	17,000
Total equity	22,000

By the end of 20X9 the investment in Edberg Ltd had been impaired by CU264.

Requirement

At what amount should the investment in Edberg Ltd be shown using the equity method on 31 December 20X9?

2 Pik plc and Wik Ltd

Extracts from the statements of profit or loss of Pik plc and its subsidiaries and Wik Ltd, its associate, for the year-ended 31 March 20X6 are as follows.

	Pik plc (inc subsidiaries) CU	Wik Ltd CU
Gross profit	2,900,000	1,600,000
Administrative expenses	(750,000)	(170,000)
Distribution costs	(140,000)	(190,000)
Dividends from Wik Ltd	20,000	
Profit before tax	2,030,000	1,240,000
Income tax expense	(810,000)	(440,000)
Profit for the year	1,220,000	800,000

Pik plc acquired 25% of the ordinary shares in Wik Ltd on 1 April 20X3 when the retained earnings of Wik Ltd were CU80,000.

Requirement

At what amount should the profit before tax be shown in the consolidated statement of profit or loss of Pik plc for the year-ended 31 March 20X6?

3 Albert Ltd

Albert Ltd owns many subsidiaries and 25% of Victoria Ltd. In the year-ended 31 December 20X5 Albert Ltd sold goods to Victoria for CU400,000, earning a gross profit of 20%. Victoria Ltd held CU120,000 of them in its inventories at the year-end.

Requirement

By what amount should Albert Ltd's cost of sales be increased when preparing its consolidated statement of profit or loss?

4 Austen plc

Austen plc has owned 100% of Kipling Ltd and 30% of Dickens Ltd, an associate, for many years. At 31 December 20X5 the trade receivables and trade payables shown in the individual company statements of financial position were as follows.

	Austen plc	Kipling Ltd	Dickens Ltd
	CU	CU	CU
Trade receivables	50,000	30,000	40,000
Trade payables	30,000	15,000	20,000
Trade payables included amounts owing to:			
– Austen plc	–	–	–
– Kipling Ltd	2,000	–	4,000
– Dickens Ltd	7,000	–	–
– Other suppliers	21,000	15,000	16,000
	30,000	15,000	20,000

The inter-company accounts agreed after taking into account the following.

(1) A sales invoice for CU3,000 posted by Kipling Ltd on 31 December 20X5 was not received by Austen plc until 2 January 20X6.

(2) A cheque for CU6,000 posted by Austen plc on 30 December 20X5 was not received by Dickens Ltd until 4 January 20X6.

Requirement

What amount should be shown as trade receivables in the consolidated statement of financial position of Austen plc?

5 P plc

P plc and its subsidiaries (S1 and S2) and associate (A) have the following inter-company balances at the year-end.

	P	S1	S2	A
	CU	CU	CU	CU
P with A	50,000 CR			50,000 DR
S2 with A			75,000 DR	
S1 with A		80,000 CR		80,000 DR

Any differences related to cash in transit and where this is the case adjustments are to be made in the books of the receiving company.

Requirement

After making the necessary adjustments to reflect the above, what amounts due to or from associates should be recognised in the consolidated statement of financial position at the year-end?

6 Helen plc

Helen plc, a company with several subsidiaries, acquired 35% of Troy Ltd on 1 January 20X6 for CU90,000. At that date Troy Ltd had share capital of CU70,000 and retained earnings of CU96,000. It also owns a plot of land which had a fair value of CU60,000 compared to a carrying amount of CU42,000; this fair value has not been incorporated into the accounting records of Troy Ltd and the fair value is unchanged at 31 December 20X9. Since the investment was made, Troy Ltd has reported profit for the year of CU118,000 including CU110,000 made in the current year. The investment in Troy Ltd has become impaired by CU2,560 during the current year.

Requirement

What is the share of profit of associate to be included in the consolidated statement of profit or loss for the year-ended 31 December 20X9 in respect of Troy Ltd?

7 Alba Ltd and Eire Ltd

On 1 January 20X0 Alba Ltd purchased 30% of Eire Ltd for CU55,000. At this date the retained earnings of Eire Ltd stood at CU60,000 and the fair value of net assets, which was subsequently reflected in Eire Ltd's accounting records, was CU170,000. The excess of fair value over carrying amount related to a plot of land which was still owned at 31 December 20X4.

The statement of financial position of Eve Ltd on 31 December 20X4 showed the following.

	CU
Share capital	100,000
Revaluation surplus	10,000
Retained earnings	200,000
Total equity	310,000

Requirement

What is the carrying amount of the Investment in associate to be presented in Alba Ltd's consolidated statement of financial position at 31 December 20X4?

8 Drought plc

Drought plc became a venturer in a joint venture by acquiring 40% of the ordinary shares of Deluge Ltd, on 1 January 20X7 for CU250,000. At that date Deluge Ltd had retained earnings of CU210,000 and a factory building with a fair value CU60,000 in excess of its carrying amount and a remaining useful life of 20 years. No fair value adjustment has been carried out in the accounting records of Deluge Ltd. At 31 December 20X9 Deluge Ltd had retained earnings of CU420,000.

Requirement

What amount should be shown as 'investment in joint venture' in the consolidated statement of financial position of Drought plc at 31 December 20X9?

9 Haley plc

The draft statements of financial position of three companies as at 31 December 20X9 are set out below.

	Haley plc	Socrates Ltd	Aristotle Ltd
	CU	CU	CU
Property, plant and equipment	300,000	100,000	160,000
Investments at cost			
– 18,000 shares in Socrates Ltd	75,000	–	–
– 18,000 shares in Aristotle Ltd	30,000	–	–
Current assets	345,000	160,000	80,000
	750,000	260,000	240,000
Ordinary shares of CU1 each	250,000	30,000	60,000
Retained earnings	400,000	180,000	100,000
Total equity	650,000	210,000	160,000
Current liabilities	100,000	50,000	80,000
	750,000	260,000	240,000

The retained earnings of Socrates Ltd and Aristotle Ltd when the investments were acquired eight years ago were CU70,000 and CU30,000 respectively. The fair values of the identifiable assets acquired and liabilities assumed by Haley plc were equal to the carrying amount of Socrates Ltd's net assets at the date of acquisition. The fair value of the assets and liabilities of Aristotle Ltd were also equal to their carrying amounts.

Impairment reviews to date have resulted in the need for the following amounts to be written off Haley plc's investments.

	CU
Socrates Ltd	12,000
Aristotle Ltd	2,400

Requirement

Prepare the consolidated statement of financial position as at 31 December 20X9.

10 Corfu Ltd

Corfu Ltd holds 80% of the ordinary share capital of Zante Ltd (acquired on 1 February 20X9) and 30% of the ordinary share capital of Paxos Ltd. Paxos Ltd is a joint venture set up by Corfu Ltd and two other venturers on 1 July 20X8. The contractual agreement provides for joint control of Paxos Ltd. Corfu Ltd uses the equity method of accounting wherever possible.

The draft statements of profit or loss for the year-ended 30 June 20X9 are set out below.

	Corfu Ltd	Zante Ltd	Paxos Ltd
	CU	CU	CU
Revenue	12,614,000	6,160,000	8,640,000
Cost of sales and expenses	(11,318,000)	(5,524,000)	(7,614,000)
Trading profit	1,296,000	636,000	1,026,000
Dividends received from Zante Ltd	171,000		
Profit before tax	1,467,000	636,000	1,026,000
Income tax expense	(621,000)	(275,000)	(432,000)
Profit for the year	846,000	361,000	594,000

Included in the inventory of Paxos Ltd at 30 June 20X9 was CU150,000 for goods purchased from Corfu Ltd in May 20X9, which the latter company had invoiced at cost plus 25%. These were the only goods Corfu Ltd sold to Paxos Ltd but it did make sales of CU50,000 to Zante Ltd during the year.

None of these goods remained in Zante Ltd's inventory at the year-end.

Requirement

Prepare a consolidated statement of profit or loss for Corfu Ltd for the year-ended 30 June 20X9.

11 King Ltd

King Ltd acquired shares in two other companies as follows.

Company	Acquisition date	Shares acquired	Goodwill on acquisition	Retained earnings at acquisition
		%	CU	CU
Prawn Ltd	1 October 20X7	80	90,000	260,000
Madras Ltd	31 December 20X5	25	–	340,000

The fair values of the identifiable assets acquired and liabilities assumed by King Ltd were equal to the carrying amount of Prawn Ltd's net assets at the date of acquisition. The fair value of the assets and liabilities of Madras Ltd were also equal to their carrying amounts. The results and changes in retained earnings of the three companies for the year-ended 30 September 20X9 are as follows.

	King Ltd	Prawn Ltd	Madras Ltd
	CU	CU	CU
Revenue	800,000	430,000	600,000
Dividend from Prawn Ltd	40,000	–	–
Dividend from Madras Ltd	10,000	–	–
Cost of sales and expenses	(550,000)	(255,000)	(440,000)
Profit before tax	300,000	175,000	160,000
Income tax expense	(80,000)	(45,000)	(60,000)
Profit for the year	220,000	130,000	100,000

	Retained earnings		
	King Ltd	Prawn Ltd	Madras Ltd
	CU	CU	CU
Balance brought forward	600,000	320,000	540,000
Total comprehensive income for the year	220,000	130,000	100,000
Dividends paid	(110,000)	(50,000)	(40,000)
Balance carried forward	710,000	400,000	600,000

You are also given the following information.

(1) During the year King Ltd made sales of CU80,000 to Prawn Ltd at a gross profit of 25%. At the year-end Prawn Ltd still held CU36,000 of these goods in inventory.

(2) Impairment reviews at the following dates revealed the following amounts to be written off in respect of King Ltd's investment in Prawn Ltd and Madras Ltd.

	Prawn Ltd	Madras Ltd
	CU	CU
Review at		
30 September 20X8	9,000	17,000
30 September 20X9	9,000	6,000

Requirement

Prepare the consolidated statement of profit or loss and the retained earnings column in the consolidated statement of changes in equity of the King Ltd group for the year-ended 30 September 20X9.

12 Water Ltd

The draft statements of financial position of three companies as at 30 September 20X5 are as follows.

	Water Ltd	Hydrogen Ltd	Oxygen Ltd
	CU	CU	CU
Non-current assets			
Property, plant and equipment	697,210	648,010	349,400
Investments			
– 160,000 shares in Hydrogen Ltd	562,000	–	–
– 80,000 shares in Oxygen Ltd	184,000		
	1,443,210	648,010	349,400
Current assets			
Inventories	495,165	388,619	286,925
Trade receivables	415,717	320,540	251,065
Cash	101,274	95,010	80,331
Total assets	2,455,366	1,452,179	967,721

	Water Ltd	Hydrogen Ltd	Oxygen Ltd
	CU	CU	CU
Equity			
Ordinary share capital	600,000	200,000	200,000
Retained earnings	1,015,000	820,000	463,000
Total equity	1,615,000	1,020,000	663,000
Non-current liabilities	400,000	150,000	100,000
Current liabilities			
Trade payables	440,366	282,179	204,721
Total equity and liabilities	2,455,366	1,452,179	967,721

You are given the following additional information.

(1) Water Ltd purchased the shares in Hydrogen Ltd on 1 October 20X0 when the retained earnings of Hydrogen Ltd were CU500,000. The fair value of the identifiable assets acquired and liabilities assumed by Water Ltd were equal to their carrying amounts at the date of acquisition.

(2) The non-controlling interests in Hydrogen Ltd should be measured using the proportionate method.

(3) The shares in Oxygen Ltd were acquired on 1 October 20X2 when its retained earnings were CU242,000.

(4) Included in the inventory figure for Water Ltd is inventory valued at CU20,000 which had been purchased from Hydrogen Ltd at cost plus 25%.

(5) Included in the trade payables figure of Water Ltd is CU18,000 payable to Oxygen Ltd, the amount receivable being recorded in the trade receivables figure of Oxygen Ltd.

(6) Impairment reviews to date have revealed a total of CU1,000 to be written off goodwill in respect of Hydrogen Ltd and CU2,000 off in respect of Water Ltd's investment in Oxygen Ltd.

Requirements

12.1 Prepare the consolidated statement of financial position for Water Ltd as at 30 September 20X5.

12.2 Identify the required accounting treatment for different levels of investment in undertakings for consolidated accounts purposes, explaining why these are appropriate.

12.3 Set out a brief explanation in note form of how subsidiaries and associates are accounted for in the consolidated statement of financial position.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

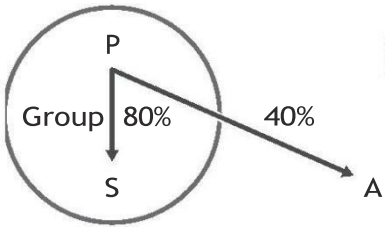
Answer to Interactive question 1

P Ltd: Consolidated statement of financial position as at 31 December 20X8

	CU
Goodwill (W3)	64,000
Investments in associates (W6)	1,860,000
Sundry assets (6,600,000 + 5,800,000)	12,400,000
	14,324,000
Equity attributable to owners of the parent	
Share capital	1,000,000
Retained earnings (W5)	7,564,000
	8,564,000
Non-controlling interests (W4)	760,000
Total equity	9,324,000
Liabilities (3,000,000 + 2,000,000)	5,000,000
	14,324,000

WORKINGS

(1) **Group structure**



(2) **Fair value of identifiable assets acquired and liabilities assumed**

	Year-end	Acquisition	Post-acquisition
	CU	CU	CU
Share capital	400,000	400,000	
Retained earnings	3,400,000	520,000	2,880,000
	3,800,000	920,000	

(3) **Goodwill**

S Ltd	**CU**
Consideration	800,000
Non-controlling interests at acquisition (20% × 920,000 (W2))	184,000
Fair value of identifiable assets acquired and liabilities assumed (W2)	(920,000)
Goodwill	64,000

(4) **Non-controlling interests**

	CU
At acquisition (20% × 920,000 (W2))	184,000
Share of post-acquisition (20% × 2,880,000 (W2))	576,000
	760,000

(5) **Retained earnings**

	CU
P Ltd	4,000,000
S Ltd (80% × 2,880,000 (W2))	2,304,000
A Ltd (40% × (3,600,000 – 400,000))	1,280,000
Impairment losses to date	(20,000)
	7,564,000

(6) **Investment in associate**

	CU
Original cost	600,000
Share of post-acquisition retained earnings (40% × (3,600,000 – 400,000))	1,280,000
	1,880,000
Impairment losses to date	(20,000)
	1,860,000

Answer to Interactive question 2

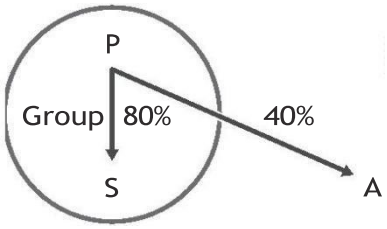
P Ltd: Consolidated statement of profit or loss for the year-ending 31 December 20X8

	CU
Revenue (W2)	26,000
Cost of sales (W2)	(13,000)
Gross profit	13,000
Administrative expenses (W2)	(8000)

Operating profit	5,000
Finance income (W2)	1,000
Share of profit of associates (W4)	840
Profit before tax	6,840
Income tax expense (W2)	(2,200)
Profit for the year	4,640
Profit attributable to:	
- Owners of P Ltd (balancing figure)	4,480
- Non-controlling interest (W3)	160
	4,640

WORKINGS

(1) **Group structure**



(2) **Consolidation schedule**

	P Ltd	S Ltd	Adjustments	Consolidated
	CU	CU	CU	CU
Revenue	14,000	12,000		26,000
Cost of sales	(9,000)	(4,000)		(13,000)
Admin expenses	(2,000)	(6,000)		(8,000)
Investment income	1,000			1,000
Tax	(1,000)	(1,200)		(2,200)
		800		

(3) **Non-controlling interest**

	CU
S Ltd (20% × 800	160

(4) **Share of profits of associate**

	CU
A Ltd (40% × 2,400) – 120)	840

Answer to Interactive question 3

Consolidated statement of financial position journal

		CU	CU
DR	P's retained earnings (35% × (50,000 ×	7,000	
CR	Investment in A		7,000

Adjustment required in the consolidated statement of profit or loss

In the consolidation schedule, increase P's cost of sales by CU7,000. This reduces P's profit by CU7,000, hence the unrealised profit made by P has been removed.

Answer to Interactive question 4

4.1 **Journal entries to adjust for PURP**

		CU	CU
DR	Group retained earnings (35% × (50,000 × 40%))	7,000	
CR	Group inventories		7,000

4.2 **Share of profit of associate for inclusion in the consolidated statement of profit or loss**

	CU
Associate's PFY	75,000
Group share × 35%	26,250
Less: PURP	(7,000)
	19,250

Answer to Interactive question 5

Consolidated statement of financial position as at 31 December 20X5

	CUm
Non-current assets	
Property, plant and equipment	820
Investment in JV (100 + (320 – 120) × 30%))	160
	980
Current assets	
Loan	60
Other	240
	300
Total assets	1,280
Equity	
Share capital	780
Retained earnings (440 + ((320 – 120) × 30%))	500
Total equity	1,280

Answers to Self-test questions

1 Durie plc

CU7,596

	CU
Cost of investment in Edberg Ltd	6,660
Share of post-acquisition change in net assets (calculated as 30% × change in retained earnings (17,000 – 13,000))	1,200
	7,860
Impairment losses to date	(264)
	7,596

Tutorial Note

If:

(1) the amount of the fair value adjustment is the same at the end of the reporting period and the date the investment is made; and

(2) it has not been reflected in the associate's accounting records,

then it can be omitted from the calculation of the post-acquisition change in the associate's net assets.

2 Pik plc and Wik Ltd

CU2,210,000

	CU
Pik plc (incl subsidiaries)	
Gross profit	2,900,000
Less: Administrative expenses	(750,000)
Distribution costs	(140,000)
Share of profit of associate (25% × 800,000)	200,000
	2,210,000

3 Albert Ltd

Albert Ltd's share of the unrealised profit it recognised in respect of the goods held in inventories should be eliminated, so 25% × CU120,000 × 20% = CU6,000.

4 Austen plc

CU75,000

	CU	CU
Austen plc		50,000
Kipling Ltd	30,000	
Less Intra group (2,000 + 3,000)	(5,000)	
		25,000
		75,000

Do not cancel balances with Dickens Ltd as Dickens Ltd is an associate.

5 P plc

CU130,000 due to associates

All balances with associates are retained on consolidation.

	CU
P	50,000 CR
S1	80,000 CR
	130,000 CR

The CU75,000 DR in S2 disappears once adjustment has been made for cash in transit.

6 Helen plc

CU35,940

	CU
Share of PFY (110,000 × 35%)	38,500
Less impairment loss	(2,560)
	35,940

7 Alba Ltd and Eire Ltd

CU97,000

	CU
Cost of investment in Eire Ltd	55,000
Share of post-acquisition change in net assets (30% × (310,000 – 170,000))	42,000
	97,000

As the excess of fair value over carrying amount at the date the investment was made was subsequently reflected in Eire Ltd's accounting records, no fair value adjustment needs to be made at 31 December 20X4.

8 Drought plc

CU330,400

	CU
Cost of investment	250,000
Share of post-acquisition increase in net assets ((420,000 – 210,000) × 40%)	84,000
Share of depreciation on FVA ((60,000 × 3/20) × 40%)	(3,600)
Investment in joint venture	330,400

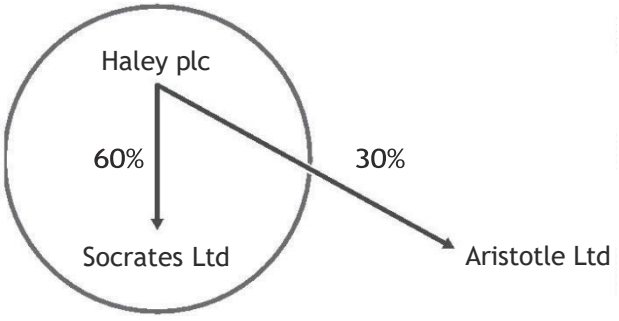
9 Haley plc

Consolidated statement of financial position as at 31 December 20X9

	CU
ASSETS	
Non-current assets	
Property, plant and equipment (300,000 + 100,000)	400,000
Intangible assets (W3)	3,000
Investments in associates (W6)	48,600
	451,600
Current assets (345,000 + 160,000)	505,000
Total assets	956,600
EQUITY AND LIABILITIES	
Equity attributable to owners of parent	
Ordinary share capital	250,000
Retained earnings (W5)	472,600
	722,600
Non-controlling interests (W4)	84,000
Total equity	806,600
Current liabilities (100,000 + 50,000)	150,000
Total equity and liabilities	956,600

WORKINGS

(1) **Group structure**



(2) **Fair value of identifiable assets acquired and liabilities assumed**

	Year-end	Acquisition	Post-acquisition
	CU	CU	CU
Share capital	30,000	30,000	–
Retained earnings	180,000	70,000	110,000
	210,000	100,000	

(3) **Goodwill**

	Socrates Ltd
	CU
Consideration transferred	75,000
Non-controlling interests at acquisition (40% × 100,000 (W2))	40,000
Fair value of identifiable assets acquired and liabilities assumed at acquisition (W2)	(100,000)
	15,000
Impairment to date	(12,000)
Balance c/f	3,000

(4) **Non-controlling interests at year-end**

	CU
At acquisition (40% × 100,000 (W2))	40,000
Share of post-acquisition reserves (40% × 110,000 (W2))	44,000
	84,000

(5) **Retained earnings**

	CU
Haley plc	400,000
Socrates Ltd (60% × 110,000 (W2))	66,000
Aristotle Ltd (30% × (100,000 – 30,000))	21,000
Less Impairment to date (12,000 + 2,400)	(14,400)
	472,600

(6) **Investment in associate**

	CU
Cost of investment in Aristotle Ltd	30,000
Share of post-acquisition retained earnings (30% × (100,000 – 30,000))	21,000
	51,000
Impairment losses to date	(2,400)
	48,600

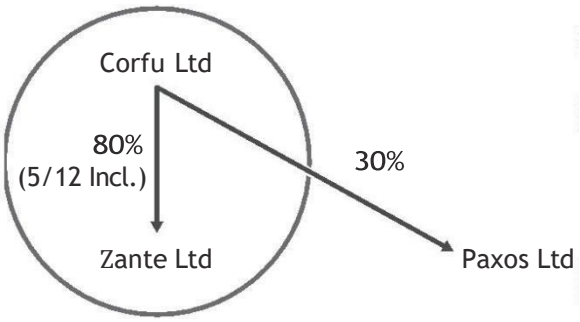
10 Corfu Ltd

Consolidated statement of profit or loss for the year-ended 30 June 20X9

	CU
Revenue (W2)	15,130,667
Cost of sales and expenses (W2)	(13,578,667)
	1,552,000
Share of profit of joint venture (W4)	178,200
Profit before tax	1,730,200
Income tax expense (W2)	(735,583)
Profit for the year	994,617
Profit attributable to	
- Owners of Corfu Ltd (balancing figure)	964,534
- Non-controlling interests (W3)	30,083
	994,617

WORKINGS

(1) **Group structure**



(2) **Consolidation schedule**

	Corfu Ltd CU	Zante Ltd 5/ 12 CU	Adjustment CU	Consolidated CU
Revenue	12,614,000	2,566,667	(50,000)	15,130,667
Cost of sales				
– Per question	(11,318,000)	(2,301,667)	50,000	
– PURP re Paxos (30% × (150,000 × 25/125))	(9,000)			
				(13,578,667)
Income tax	(621,000)	(114,583)		(735,583)
		150,417		

(3) **Non-controlling interests**

	CU
Zante Ltd (20% × 150,417 (W2))	30,083

(4) **Share of profit of joint venture**

	CU
Paxos Ltd (30% × 594,000)	178,200

11 King Ltd

Consolidated statement of profit or loss for the year-ended 30 September 20X9

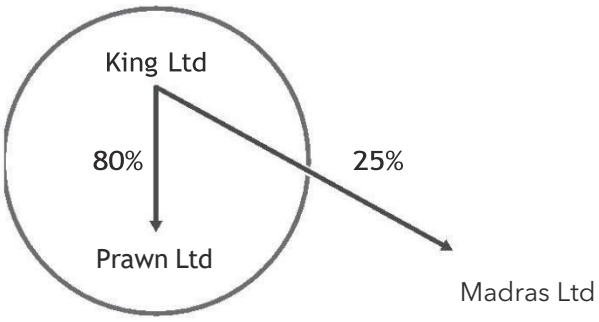
	CU
Revenue (W2)	1,150,000
Cost of sales and expenses (W2)	(743,000)
	407,000
Share of profit of associates (W5)	19,000
Profit before tax	426,000
Income tax expense (W2)	(125,000)
Profit for the year	301,000
Profit attributable to:	
- Owners of King Ltd (β)	275,000
- Non-controlling interests (W3)	26,000
	301,000

Consolidated statement of changes in equity for the year-ended 30 September 20X9 (extract)

	Retained earnings
	CU
Balance brought forward (W4)	672,000
Total comprehensive income for the year	275,000
Dividends paid on ordinary shares	(110,000)
Balance carried forward	837,000

WORKINGS

(1) **Group structure**



(2) **Consolidation**

	King Ltd	Prawn Ltd	Adjustments	Consolidated
	CU	CU	CU	CU
Revenue	800,000	430,000	(80,000)	1,150,000
C of S and expenses				
Per question	(550,000)	(255,000)	80,000	
PURP (36 × 25%)	(9,000)			
Goodwill impairment loss	(9,000)			
				(743,000)
Income tax	(80,000)	(45,000)		(125,000)
PFY		130,000		

(3) **Non-controlling interests**

	CU
Prawn Ltd (130,000 × 20%)	26,000

(4) **Retained earnings brought forward**

	CU
King Ltd	600,000
Prawn Ltd (80% × (320 – 260))	48,000
Madras Ltd (25% × (540 – 340))	50,000
Less Impairment losses to date (9 + 17)	(26,000)
	672,000

(5) **Share of profit of associates**

	CU
Madras Ltd ((25% × 100) – 6)	19,000

12 Water Ltd

12.1 Consolidated statement of financial position as at 30 September 20X5

	CU	CU
ASSETS		
Non-current assets		
Property, plant and equipment (697,210 + 648,010)		1,345,220
Intangible assets (W3)		1,000
Investment in associate (W7)		270,400
		1,616,620

Current assets		
Inventories (495,165 + 388,619 – 4,000 (W6))	879,784	
Trade and other receivables (415,717 + 320,540)	736,257	
Cash and cash equivalents (101,274 + 95,010)	196,284	
		1,812,325
Total assets		3,428,945
EQUITY AND LIABILITIES		
Equity attributable to owners of the parent		
- Ordinary share capital		600,000
- Retained earnings (W5)		1,353,200
		1,953,200
Non-controlling interests (W4)		203,200
Total equity		2,156,400
Non-current liabilities		
Borrowings (400,000 + 150,000)		550,000
Current liabilities		
Trade payables (440,366 + 282,179)		722,545
Total equity and liabilities		3,428,945

12.2 **Required accounting treatment for different levels of investment**

(1) **Control**

The investment will be treated as a subsidiary and consolidated in accordance with IFRS 10, *Consolidated Financial Statements*.

The ability to direct the decision making of the undertaking means that full consolidation is appropriate. The assets/liabilities and income/expenses under group control are shown as if they belonged to a single entity.

The non-controlling share is shown in order to indicate the proportion not owned by the group.

(2) **Significant influence**

Many investments involve the influencing of decisions rather than outright control.

Such investments are treated as associates and equity accounted on consolidation in accordance with IAS 28, *Investments in Associates and J oint Ventures*.

This level of involvement is reflected by showing the underlying value of the investment in the statement of financial position and the share of profit in the statement of profit or loss.

(3) **Simple investment**

Here the investor has no significant involvement in the investee undertaking.

Consequently only amounts paid/payable or received/receivable are reflected in the group accounts.

The cost of such investments is shown in the statement of financial position, while dividend income is reflected in the statement of profit or loss.

12.3 **Explanation of accounting methods used**

(1) **Subsidiary – Impact on statement of financial position**

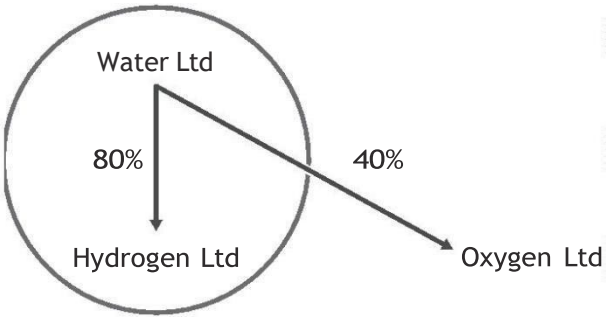
- 100% of the net assets of a subsidiary will be included on a line-by-line basis.
- Intra-group balances will be contra'd out.
- Unrealised profits on intra-group sales of inventory and property, plant and equipment will be removed.
- Goodwill is recognised if the consideration transferred plus the non-controlling interests at acquisition exceeds the fair value of the net assets acquired.
- Consolidated retained earnings will include:
  - Parent company's percentage of subsidiary's post-acquisition profits
  - Cumulative goodwill impairments to date
- The non-controlling interests will show the value of the net assets included in the consolidated statement of financial position but owned by 'outside' interests.

(2) **Associate – Impact on statement of financial position**

- The cost of the investment is increased by the share of the post-acquisition increase in the associate's net assets and decreased by any impairment losses.
- Consolidated retained earnings will include:
  - The investor company's percentage of the associate's post-acquisition profits
  - Cumulative investment impairments to date

WORKINGS

(1) **Group structure**



(2) **Fair value of identifiable assets acquired and liabilities assumed**

Hydrogen Ltd

		Year-end date	Acquisition	Post-acquisition
	CU	CU	CU	CU
Share capital		200,000	200,000	–
Retained earnings				
Per question	820,000			
Less PURP (W6)	(4,000)			
		816,000	500,000	316,000
		1,016,000	700,000	

(3) **Goodwill**

Hydrogen Ltd

	CU
Consideration transferred	562,000
Non-controlling interests at acquisition (20% × 700,000 (W2))	140,000
Fair value of identifiable assets acquired and liabilities assumed	700,000
	2,000
Impairment to date	(1,000)
Balance c/f	1,000

(4) **Non-controlling interests at year-end**

At acquisition (20% × 700,000 (W2))	140,000
Share of post-acquisition (20% × 316,000 (W2))	63,200
	203,200

(5) **Retained earnings**

	CU
Water Ltd	1,015,000
Hydrogen Ltd (80% × 316,000 (W2))	252,800
Oxygen Ltd (40% × (463,000 – 242,000))	88,400
Less Impairment losses to date (1,000 + 2,000)	(3,000)
	1,353,200

(6) **PURP**

	%	CU
Selling price	125	20,000
Cost	(100)	(16,000)
Gross profit	25	4,000

(7) **Investment in associate**

	CU
Cost of investment in Oxygen Ltd	184,000
Share of post-acquisition retained earnings (40% × (463,000 – 242,000))	88,400
	272,400
Impairment to date	(2,000)
	270,400

Chapter 16
Group accounts: disposals

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 Introduction

2 Treatment of disposal in parent company's own financial statements

3 Complete disposal of a subsidiary Summary

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Calculate from financial and other data the amounts to be included in an entity's consolidated financial statements in respect of its new, continuing and discontinued interests in subsidiaries, associates and joint ventures (excluding partial disposals of subsidiaries and disposals of associates or joint ventures) according to the international financial reporting framework
- Prepare and present the consolidated financial statements, or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards
- Explain the application of IFRS Accounting Standards to specified group scenarios

Syllabus links

This topic is introduced in *Financial Accounting and Reporting* at a basic level – only complete disposals are covered. More complex aspects are covered at the Advanced Stage.

Examination context

Preparation of consolidated financial statements represents 20–25% of the syllabus and the complete disposal of a subsidiary forms part of this. Calculation of the group profit or loss on disposal could feature in a mixed topic question or as an element of an explain question. Questions that require the preparation of consolidated financial statements may include the disposal of a subsidiary.

In the examination, students may be required to:

- Prepare consolidated financial statements, using a proforma, including the effects of a complete disposal of a subsidiary.
- Prepare extracts from the consolidated financial statements including the calculation of the group profit or loss on complete disposal of a subsidiary.
- Explain the principles behind the treatment of the complete disposal of a subsidiary.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Introduction** So far, we have considered the acquisition of subsidiaries, now we move on to	**Approach** This is a short introductory topic. You can read through it quickly.	In the exam, there will always be a question that requires you to prepare consolidated financial	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	consider disposals. When a parent disposes of a subsidiary, the disposal must be appropriately accounted for and disclosed.	**Stop and think** What kinds of strategic decisions might lead to the disposal of a subsidiary?	statements or extracts therefrom. This question may include the disposal of a subsidiary. You could also be asked to calculate the gain or loss arising on disposal of a subsidiary or explain the principles behind the accounting treatment of the disposal of a subsidiary.	
2	**Treatment of a disposal in parent company's own financial statements** When a parent disposes of a subsidiary, the underlying transaction is that the parent has sold the investment it held in the subsidiary's shares. As such, in its own individual financial statements, the parent should derecognise the investment in the subsidiary and record a profit or loss on the sale.	**Approach** Work through the short topic, noting the double entry to reflect the disposal. Remember you are looking at this from the perspective of the parent as a single entity – the group's profit/loss on disposal is covered in the next topic. **Stop and think** As well as removing the investment from its individual accounts, should the parent also remove the dividend income received from the subsidiary?	You need to understand how the disposal is treated in the parent's individual accounts, as this will affect the consolidation adjustments required in the group accounts.	
3	**Complete disposal of a subsidiary** Once a subsidiary	**Approach** This is the most important topic in	You need to be able to calculate the group profit or loss on	**IQ1 Profit/ loss on disposal** This question has

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	is disposed of, it is no longer included in the group statement of financial position. The results of the subsidiary up to the date of disposal should, however, be included in the group statement of profit or loss, and the non-controlling interests' share apportioned as it normally is. If the disposal is made part-way through the reporting period, the results of the subsidiary should be pro-rated and only the results up to the date of disposal are consolidated. The group should also recognise a profit or loss on disposal, which is arguably the trickiest part of dealing with disposals. In *Financial Accounting and Reporting*, you are only expected to deal with complete disposals which meet the IFRS 5 definition of a discontinued activity.	this chapter. Work carefully through the material, paying particular attention to how to calculate the group profit or loss on disposal. It is vital that you try the questions in this topic, allowing plenty of time to work through the solutions afterwards. In Interactive question 2, note how the effects of the disposal are recorded in the group statement of profit or loss. **Stop and think** Think about the different results in Interactive question 1 when goodwill has been impaired vs when it hasn't. What is the overall effect on retained earnings in the two different scenarios?	disposal and be able to account for or explain the implications of the disposal for the consolidated financial statements.	two parts. In (a), you need to calculate the parent's individual profit or loss on disposal and in (b), the group disposal, firstly assuming goodwill is not impaired and secondly assuming it has suffered an impairment loss. **IQ2 Complete disposal** This question pulls together all of the learning in this chapter. Make sure you have a really good go at it, before thoroughly reviewing the answer. **IQ3 NCI and disposal** This question shows the impact on the profit or loss on disposal when NCI is measured at acquisition using the two different methods permitted in IFRS 3.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Introduction

Section overview

A parent may dispose of all or some of its shares in a subsidiary.

1.1 Disposal

So far, we have been looking at the circumstances in which one entity acquires a controlling interest in another entity, giving rise to a parent-subsidiary relationship. However, the decision to dispose of a subsidiary is equally important. A company may decide to dispose of a subsidiary for a number of reasons, including:

- the need to generate cash;
- the fact that the subsidiary does not fit in with future strategic plans; and
- underperformance of the subsidiary.

When a group disposes of all or part of its interest in a subsidiary this needs to be reflected in the **parent's separate financial statements and in the group financial statements.**

The *Financial Accounting and Reporting* syllabus only examines the **complete disposal** of subsidiaries.

2 Treatment of disposal in parent company's own financial statements

Section overview

A profit or loss will be calculated by comparing the sale proceeds with the carrying amount of the investment disposed of.

2.1 Recording the disposal

In the individual financial statements of the parent company, the investment in the subsidiary will have been recorded as follows:

Statement of financial position

Non-current asset investment (at cost, in accordance with IFRS 9 or using the equity accounting method)

When the investment is sold, this should be treated as a non-current asset disposal. This will usually give rise to a **profit or loss on disposal** in the parent's individual financial statements.

The disposal will be recorded as follows:

		CU	CU
DR	Cash/receivables (proceeds)	X	
CR	Investment in S (carrying amount)		X
DR or CR	Profit or loss (loss/profit on disposal)	X	or X

3 Complete disposal of a subsidiary



Section overview

- The subsidiary that has been disposed of is not included in the consolidated statement of financial position.
- In the consolidated statement of profit or loss:
  - The results of the subsidiary should be time-apportioned and consolidated up to the date of disposal.
  - The non-controlling interest should be based on its share of the subsidiary's results up to the date of disposal.
  - The group profit or loss on disposal should be recognised.
- In the consolidated statement of changes in equity the balance relating to the non-controlling interest in the subsidiary sold should be removed.

3.1 Consolidated statement of financial position

The consolidated statement of financial position shows the financial position **at a particular point** in time (ie, the end of the reporting period). As a result, if a subsidiary has been disposed of during the year, that subsidiary **should not be reflected in the consolidated statement of financial position** at the end of the year. A consolidated statement of financial position will only need to be prepared if the parent has other subsidiaries and should be prepared as though the subsidiary disposed of **had never existed**.

3.2 Consolidated statement of profit or loss

When a subsidiary is disposed of, its resources cease to be controlled by the group at the date of disposal. Before that point, they are under the group's control and therefore the results of the subsidiary **up to the disposal date** should be included in the consolidated statement of profit or loss. So there will always be a consolidated statement of profit or loss in the year of disposal, even if the parent has no other subsidiaries. The consolidated statement of profit or loss should include:

- The subsidiary's results **up to the date of** disposal (pro-rata if the subsidiary is disposed of part- way through the accounting period);
- If there is a **non-controlling interest** in the subsidiary, **its share of the subsidiary's results up to the date of disposal**; and
- The group profit or loss arising on the disposal.

Professional skills focus: Concluding, recommending and communicating

You may be required to explain the accounting treatment, and the principles underlying that treatment, of the disposal of a subsidiary. The principles are the same as those underlying the acquisition of a subsidiary – control, ownership and the single entity concept. However, the accounting is not easy. Communicating difficult ideas clearly is a skill you will develop on your journey through the ACA qualification.

Professional skills focus: Applying judgement

As we saw in Chapter 12, determining whether control exists, and therefore whether an investment is a subsidiary, may not always be clear cut. Similarly, it may not always be straightforward to determine whether control has been lost. Because it is not straightforward, IFRS 10 contains additional guidance to help companies determine whether control exists, but still it may not be obvious. An accountant must use judgement to work out the correct accounting treatment. This is not developed further in *Financial Accounting and Reporting,* as only complete disposals are considered, but will be explored further at the Advanced level.

3.3 Group profit/ loss on disposal

The group profit or loss on disposal is the difference between the **sales proceeds and the carrying amount of the parent's total investment in the subsidiary** ie, the amounts in respect of the subsidiary which would appear in a consolidated statement of financial position if it was prepared immediately before the disposal. The parent's investment in the subsidiary is the sum of:

- **The consolidated carrying amount of the subsidiary's net assets at the date of disposal**; add
- The carrying amount of **goodwill** acquired in the business combination with the subsidiary (goodwill at acquisition less any impairments); less
- The non-controlling interests at the date of disposal.

The profit or loss on disposal is therefore calculated as:

	CU
Sales proceeds	X
Less: Carrying amount of goodwill at date of disposal	(X)
Less: Carrying amount of subsidiary's net assets at date of disposal	(X)
Add NCI in net assets at date of disposal (see Note 2 below)	X
Profit (loss) on disposal	X/(X)

Notes

1 The carrying amount of goodwill at the date of disposal is calculated as:

CHAPTER 16

	CU
Goodwill	
Consideration transferred	X
NCI at acquisition	X
Less: fair value of identifiable assets acquired and liabilities assumed at acquisition	(X)
Goodwill at acquisition	X
Less impairment losses to date	(X)
Carrying amount of goodwill	X

2 The net assets at the date of disposal is calculated as:

	CU
Net assets b/f	X
Profit/(loss) for current period to disposal date	X/(X)
Dividends paid before disposal date	(X)
Net assets at date of disposal	X

Only those dividends paid in the year and before the date of disposal should be deducted in calculating net assets at disposal.

3 The NCI in net assets in the calculation includes the carrying amount of any NCI goodwill where NCI is measured at fair value. Otherwise, it is measured as a proportion of net assets at the date of disposal.

4 In exam questions you should assume that a subsidiary which is fully disposed of is a separately reportable business segment and meets the IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* definition of a **discontinued activity** (the presentation of discontinued operations was discussed in Chapter 4). As such, the disposal should be disclosed in accordance with IFRS 5. These learning materials adopt the approach illustrated in IFRS 5 *Illustrative Guidance* Example 11. This includes a one line entry in the statement of profit or loss which incorporates both the subsidiary's results up to the date of disposal and the group profit or loss arising on disposal. You should adopt this approach in the examination.



Interactive question 1: Profit/loss on disposal

Champion plc has held a 70% investment in Hercules Ltd for many years. On 31 December it disposed of all of this investment. Further details are as follows:

	CU
Consideration transferred on acquisition	2,000
Fair value of the identifiable assets acquired and liabilities assumed by Champion plc at the date of acquisition	1,900
Sale proceeds	2,100
Hercules Ltd's net assets at the date of disposal	2,400

Champion plc elected to measure non-controlling interests using the proportionate basis.

Requirements

1.1 Calculate the profit/loss on disposal in Champion plc's individual accounts assuming that the investment is carried at cost.

Champion plc's individual accounts

	CU
Proceeds	
Cost	
Profit on disposal	

1.2 Calculate the profit/loss on disposal in the consolidated accounts, assuming that in respect of goodwill:

(1) There has been no impairment.

(2) There has been an impairment loss of CU470.

Consolidated accounts

	No impairment		Impairment loss of CU470	
	CU	CU	CU	CU
Sales proceeds				
Less carrying amount of goodwill at date of disposal:				
- Consideration transferred				
- NCI at acquisition				
- Less net assets at acquisition				
- Goodwill at acquisition				
- Less impairment to date				
Less carrying amount of net assets at date of disposal				
Add back NCI in net assets at date of disposal				
Profit (loss) on disposal				

See **Answer** at the end of this chapter.

Professional skills focus: Assimilating and using information

An important skill you will develop over the course of your studies is to filter information provided to identify critical facts. In respect of the disposal of a subsidiary, the critical fact is the date of disposal. It determines whether or not the subsidiary's net assets should be consolidated at the reporting date. It determines how much of the subsidiary's profit for that year should be consolidated and so affects the profit or loss on disposal. Make sure you pay close attention to the disposal date in an exam question.

3.4 Consolidated statement of changes in equity

There will almost always be a need for a consolidated statement of changes in equity (CSOCE) in the year of disposal (the only exception would be if the parent had no other subsidiaries and there had been no non-controlling interest in the subsidiary now disposed of). In relation to the subsidiary disposed of, the CSOCE will present the following in the non-controlling interests column:

- The non-controlling interest in the subsidiary's share capital and retained earnings brought forward ie, **the non-controlling interests amount as shown in the previous period's consolidated statement of financial position**.
- The subsidiary's total comprehensive income (to the date of disposal) attributable to the non- controlling interests. This reflects the **non-controlling interests** amount shown **in the consolidated statement of profit or loss and other comprehensive income**.
- A **deduction for the total of the above amounts**. This deduction should be made because at the end of the current period there will be no non-controlling interest in relation to the subsidiary, which has now been disposed of.

Note: There is no need to make a similar deduction to the retained earnings column in the CSOCE because the group share of the historic retained earnings of the subsidiary from acquisition to disposal remains part of group retained earnings

Worked example: Complete disposal

Blue plc bought 80% of the share capital of Black Ltd for CU950,000 on 1 October 20X1. At that date Black Ltd's retained earnings stood at CU510,000 and the fair value of the identifiable assets acquired and liabilities assumed by Blue plc were equal to their carrying amounts. Blue plc has several other subsidiaries, which are all wholly owned.

The statements of financial position at 30 September 20X8 and the summarised statements of profit or loss to that date are given below.

Statement of financial position

	Blue plc Group	Black Ltd
	CU	CU
Property, plant and equipment	2,050,000	600,000
Investment in Black Ltd	950,000	–
Current assets	2,700,000	1,300,000
	5,700,000	1,900,000

Share capital (CU1 ordinary shares)	2,000,000	300,000
Retained earnings	2,500,000	1,100,000
	4,500,000	1,400,000
Current liabilities	1,200,000	500,000
	5,700,000	1,900,000

Statement of profit or loss	**CU**	**CU**
Profit before interest and tax	1,400,000	180,000
Income tax expense	(400,000)	(50,000)
Profit for the year	1,000,000	130,000

Statement of changes in equity (extract)	**CU**	**CU**
Retained earnings at 1 October 20X7	1,500,000	970,000
Total comprehensive income for the year	1,000,000	130,000
Retained earnings at 30 September 20X8	2,500,000	1,100,000

To date, no impairment losses on goodwill have been recognised. The Blue plc group figures exclude any amounts for Black Ltd. Blue plc sold its entire holding in Black Ltd for CU2,100,000 on 30 September 20X8. No entries have been made in the accounts for this disposal.

Requirement

Prepare the consolidated statement of financial position, consolidated statement of profit or loss and consolidated statement of changes in equity extracts for retained earnings and non-controlling interest at 30 September 20X8.

You should assume that the disposal is a discontinued operation in accordance with IFRS 5, *Non- current Assets Held for Sale and Discontinued Operations*.

Solution

Blue plc Group

Consolidated statement of financial position as at 30 September 20X8

	CU
Property, plant and equipment	2,050,000
Current assets (2,700 + 2,100 disposal proceeds)	4,800,000
	6,850,000
Share capital	2,00,000
Retained earnings (W4)	3,650,000
	5,650,000
Current liabilities	1,200,000
	6,850,000

Consolidated statement of profit or loss for the year-ended 30 September 20X8

	CU
Continuing operations	
Profit before tax	1,400,000
Income tax expense	(400,000)
Profit for the year from continuing operations	1,000,000
Discontinued operations	
Profit for the year from discontinued operations (130 (W1) + 678 (W2))	808,000
Profit for the year	1,808,000
Profit attributable to:	
Owners of Blue plc (β)	1,782,000
Non-controlling interests (20% × 130)	26,000
	1,808,000

Consolidated statement of changes in equity (extract)	**Blue plc retained earnings**	**Non-controlling interests (Black Ltd)**
	CU	**CU**
Balance at 1 October 20X7 (W3 + W5)	1,868,000	254,000
Total comprehensive income for the year	1,782,000	26,000
Eliminated on disposal of subsidiary (W2)		(280,000)
Balance at 30 September 20X8 (W4)	3,650,000	-

WORKINGS

(1) **Profit of Black Ltd for year to disposal**

	CU
Profit for the year	130,000
× 12/12	130,000

(2) **Profit on disposal of Black Ltd**

	CU	CU
Sales proceeds		2,100,000
Less:		
– Carrying amount of goodwill at date of disposal		
- Consideration transferred	950,000	
- NCI at acquisition (20% × (300 + 510))	162,000	
- Less fair value of identifiable assets acquired and liabilities		

assumed at acquisition	(810,000)	
		(302,000)
Less carrying amount of net assets at date of disposal		(1,400,000)
Add back NCI in net assets at date of disposal (20% × 1,400)		280,000
Profit on disposal		678,000

(3) **Retained earnings brought forward**

	CU
Ben plc Group	1,500,000
Black Ltd (80% × (970 - 510))	368,000
	1,868,000

(4) **Retained earnings carried forward**

	CU
Blue plc Group	2,500,000
Profit on disposal (2,100 – 950 (see Note below))	1,150,000
	3,650,000

(5) **NCI b/ f**

	CU
Share capital	300,000
Retained earnings b/f	970,000
	1,270,000
× 20%	254,000

Note: The profit on disposal figure in the retained earnings carried forward balance is the profit which would appear in Blue plc's own statement of profit or loss.

This adjustment is required as Blue plc's own financial statements do not reflect the disposal. (We are told that no entries have been made in respect of this transaction.)

The profit in Blue plc's separate financial statements is CU472,000 more than that in the consolidated financial statements. The difference is equal to Blue plc's share of the profits of Black Ltd from the acquisition date to the disposal date (80% × (1,400,000 – 810,000)).

By including the parent company profit on disposal in consolidated retained earnings rather than the group profit on disposal we ensure that consolidated retained earnings includes Blue plc's share of Black Ltd's profits from acquisition to disposal. If the group profit on disposal was included, a separate adjustment would be required to add in the profits of Black Ltd attributable to Blue plc Group from acquisition to disposal date.

Interactive question 2: Complete disposal

Daring plc has a number of subsidiaries, one of which, Glory Ltd, was sold in the current year. The draft accounts for the Daring Group (being Daring plc and the subsidiaries it still owns) and Glory Ltd at 31 March 20X1 are as follows:

Statements of financial position

	Daring Group	Glory Ltd
	CUm	CUm
Intangible assets – goodwill	4,000	–
Investment in Glory Ltd at cost	3,440	–
Sundry assets	42,450	9,500
	49,890	9,500
Equity attributable to owners of parent		
– Share capital (CU1 ordinary shares)	8,000	3,000
– Retained earnings	11,000	3,500
	19,000	6,500
Non-controlling interests	12,000	
Total equity	31,000	6,500
Liabilities	10,000	3,000
Sales proceeds account	8,890	
	49,890	9,500

Statements of profit or loss

	Daring Group	Glory Ltd
	CUm	CUm
Profit before tax	12,950	3,800
Income tax expense	(5,400)	(2,150)
Profit for the year	7,550	1,650
Profit attributable to:		
– Owners of Daring plc	5,050	
– Non-controlling interests	2,500	
	7,550	

Statements of changes in equity

	Daring Group					Glory Ltd
	Attributable to owners of Daring plc					
	Share capital CUm	Retained earnings CUm	Total CUm	Non-controlling interests CUm	Total CUm	Retained earnings CUm
Balance b/f	8,000	5,950	13,950	9,500	23,450	1,850
Total comprehensive income for the year		5,050	5,050	2,500	7,550	1,650
Balance c/f	8,000	11,000	19,000	12,000	31,000	3,500

Daring plc acquired 90% of Glory Ltd when the retained earnings of Glory Ltd were CU700 million. The fair value of the identifiable assets acquired and liabilities assumed by Daring plc were equal to their carrying amounts at the date of acquisition. In an earlier accounting period an impairment loss of CU20 million was recognised in relation to the goodwill acquired in the business combination with Glory Ltd.

On 31 December 20X0 Daring plc sold all its shares in Glory Ltd for CU8,890 million. Daring plc has debited cash and credited a sales proceeds account in the statement of financial position with this amount, as it is unsure what entries are needed.

Requirement

Prepare the Daring Group consolidated statement of financial position, consolidated statement of profit or loss and consolidated statement of changes in equity for the year-ended 31 March 20X1.

You should assume that the disposal of Glory Ltd constitutes a discontinued operation in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*.

See **Answer** at the end of this chapter.

3.5 Non-controlling interests and disposals

If a subsidiary is disposed of and on acquisition some goodwill was attributed to the NCI as a result of it being measured at fair value, the calculation of the parent's profit or loss on disposal should allow for some of the carrying amount of goodwill at the disposal date being attributable to the NCI. This is automatically achieved by measuring the carrying amount of the NCI at the date of disposal per the adjusted standard consolidation working 4 provided the working measures the NCI at acquisition at fair value.

Interactive question 3: NCI and disposal

On 1 January 20X5 Foot plc acquired 75% of the equity shares in Cone Ltd for CU800,000. At that date the carrying amount of Cone Ltd's net assets was CU640,000, which was equal to the fair value of the identifiable assets acquired and liabilities assumed by Foot plc. On the same date the fair value of the non-controlling interests in Cone Ltd was estimated at CU180,000. At 31 December 20X7 the fair value and carrying amount of the net assets recognised by Cone Ltd was CU900,000 and Cone Ltd's profit for the year-ended 31 December 20X8 was CU400,000. Foot plc disposed of its interest in Cone Ltd for CU1.35 million on 30 September 20X8.

Requirements

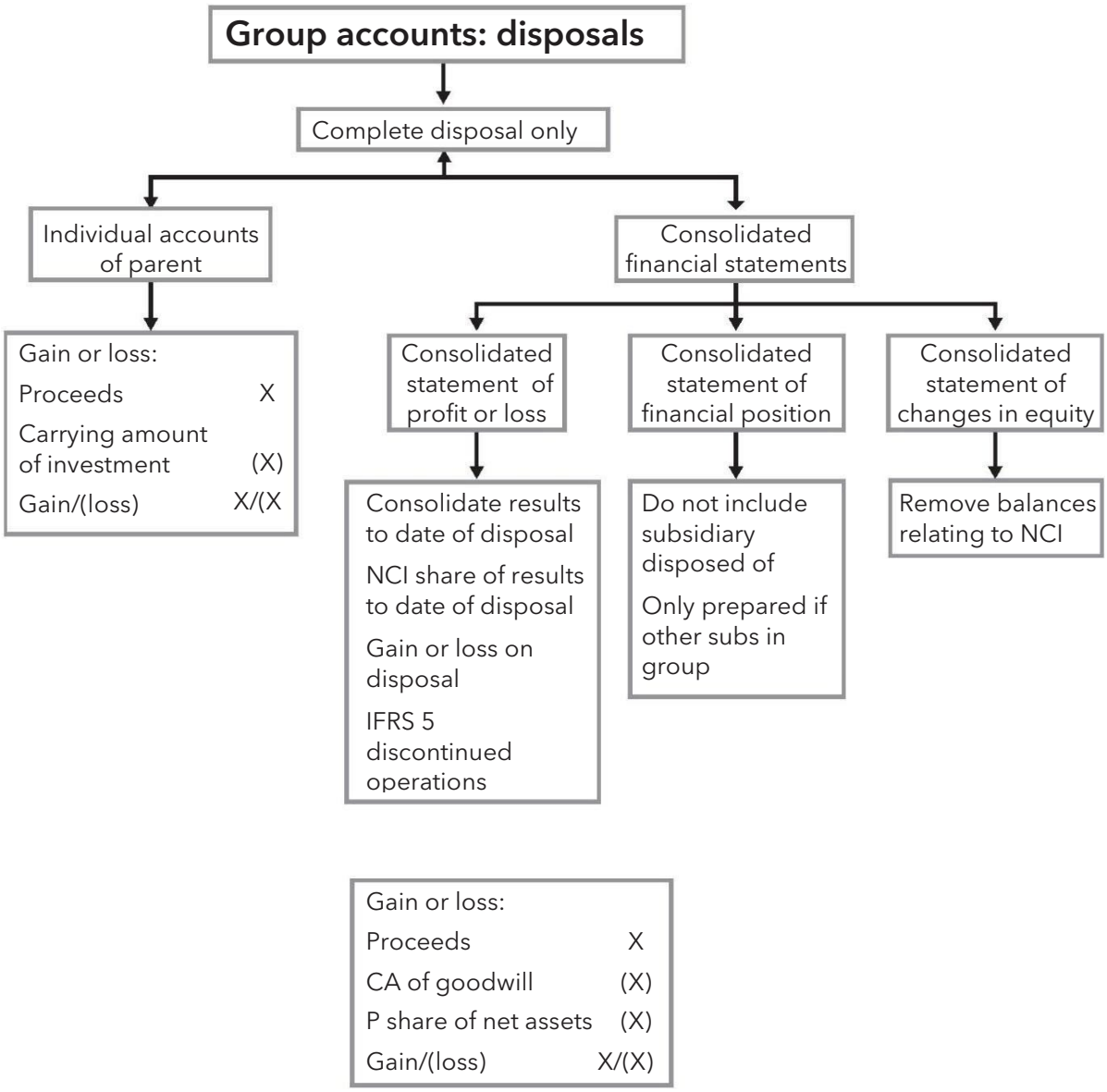
Calculate the profit or loss on disposal to be recognised in Foot plc's consolidated profit or loss for the year-ended 31 December 20X8 on the basis that at acquisition the non-controlling interests were measured at:

(a) using the proportionate method

(b) using the fair value method

See **Answer** at the end of this chapter.

Summary


Group accounts: disposals
Complete disposal only
Individual accounts of parent
Consolidated financial statements
Gain or loss:
Proceeds X
Carrying amount of investment (X)
Gain/(loss) X/(X
Consolidated statement of profit or loss
Consolidated statement of financial position
Consolidated statement of changes in equity
Consolidate results to date of disposal
NCI share of results to date of disposal
Gain or loss on disposal
IFRS 5 discontinued operations
Do not include subsidiary disposed of
Only prepared if other subs in group
Remove balances relating to NCI
Gain or loss:
Proceeds X
CA of goodwill (X)
P share of net assets (X)
Gain/(loss) X/(X)

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you explain how to calculate the profit or loss on the disposal of a subsidiary to be recorded in the parent's individual financial statement? (Topic 2)
2.	If a subsidiary has been fully disposed of before the year-end, how should it be treated in the consolidated statement of financial position? (Topic 3)
3.	If a subsidiary has been fully disposed of before the year-end, how should it be treated in the consolidated statement of profit or loss? (Topic 3)
4.	Can you explain how to calculate the group profit or loss on the complete disposal of a subsidiary for inclusion in the consolidated statement of profit or loss? (Topic 3)
5.	What effect does the initial measurement of non-controlling interests have on the calculation of group profit or loss on the complete disposal of a subsidiary? (Topic 3)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test question is particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Arbitrary	This is a great question to bring together learning from the last few chapters. The group has disposed of a subsidiary and acquired a new subsidiary part- way through the reporting period. Part (a) requires you to prepare the consolidated statement of profit or loss, including group profit or loss on disposal, as well as extracts from the consolidated statement of changes in equity. Part (b) requires you to calculate the profit in the parent's individual statement of profit or loss and, very importantly, explain why it is different from group profit on disposal. In part (c) you are asked to discuss the concepts of control and ownership in the context of this disposal – a great task to get you thinking about how to explain the application of these concepts in a clear and concise way.

Once you have completed this self-test question, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Chamba Ltd	This is a good question to round up your knowledge of group accounting, including a disposal. It focuses on the calculation of the gain or loss on full disposal of the subsidiary.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

For a comprehensive Technical reference section, covering all aspects of group accounts (except group statements of cash flows) see Chapter 10.

Self-test questions

Answer the following questions.

1 Rainbow Ltd

On 1 January 20X1 Rainbow Ltd acquired all of Zippy Ltd's 1,000 CU1 ordinary shares. The goodwill acquired in the business combination was CU10,000 of which 40% had been written off as impaired by the end of 20X2.

On 1 January 20X3 Rainbow Ltd sold all the shares for CU140,000 when Zippy Ltd's retained earnings amounted to CU112,000.

Requirement

What is the profit on disposal which should be included as part of the profit for the period from discontinued operations figure in the consolidated statement of profit or loss of Rainbow Ltd?

2 Yogi plc

Yogi plc has held an 80% investment in Bear Ltd for many years. On 31 December 20X6 it fully disposed of its investment. Details for the acquisition and disposal are as follows.

	CU
Consideration transferred on acquisition	7,380,000
Fair value of the identifiable assets acquired and liabilities assumed by Yogi plc at acquisition (equal to their carrying amounts)	9,000,000
Sale proceeds on 31 December 20X6	9,940,000

Goodwill acquired in the business combination has been fully written off after impairment reviews. The summarised statement of Bear Ltd's financial position on 31 December 20X6 showed the below:

	CU
Called up share capital	3,000,000
Retained earnings	7,350,000
Equity	10,350,000

Requirement

What is the profit/(loss) on disposal of the shares in Bear Ltd that should be included as part of the profit for the period from discontinued operations figure in the consolidated statement of profit or loss of Yogi plc for the year-ended 31 December 20X6?

3 The Gill Group

The Gill Group disposed of the following part-way through the reporting period.

Tuba Ltd (100% subsidiary) for	CU150,000
Drum Ltd (55% subsidiary) for	CU70,000

Goodwill acquired in the business combinations has been fully written off as a result of impairment reviews. The retained earnings of the companies are as follows.

	At acquisition	At disposal
Tuba Ltd	CU70,000	CU100,000
Drum Ltd	CU25,000	CU40,000

The consolidated retained earnings of the remaining Gill Group, including the profit/loss made by Gill in its separate financial statements on the disposal of the investments in the year, were CU230,000 at 31 December 20X6.

Requirement

What amount for consolidated retained earnings should be included in the consolidated statement of financial position for the Gill Group as at 31 December 20X6?

4 Arbitrary plc

Arbitrary plc holds 80% of the ordinary shares of Contrary Ltd which it purchased five years ago, on 1 July 20X0, for CU175,000. On 1 July 20X5 Arbitrary plc sold all of these shares and used the proceeds (CU212,000) to purchase 65% of the ordinary shares of Enthusiast Ltd on the same date. The share capitals of Contrary Ltd and Enthusiast Ltd have remained constant for many years at CU100,000 and
CU200,000 respectively. The net assets of Contrary Ltd and Enthusiast Ltd were as follows.

		Contrary Ltd	Enthusiast Ltd
	At acquisition	At 1 January 20X5	At 1 January 20X5
	CU	CU	CU
Net assets	187,000	150,000	280,000

In respect of both Contrary Ltd and Enthusiast Ltd, the fair value of the identifiable assets acquired and liabilities assumed by Arbitrary were equal to their carrying amounts at the dates of acquisition. Statements of profit or loss and extracts from the statements of changes in equity for all three companies for the year-ended 31 December 20X5 were as follows.

Statements of profit or loss

	Arbitrary plc	Contrary Ltd	Enthusiast Ltd
	CU	CU	CU
Revenue	1,926,500	521,600	792,400
Cost of sales	(1,207,200)	(386,200)	(405,900)
Gross profit	719,300	135,400	386,500

Distribution costs	(207,500)	(79,200)	(198,200)
Administrative expenses	(192,600)	(26,100)	(107,100)
Dividend received from Contrary Ltd	8,000		
Profit before tax	327,200	30,100	81,200
Income tax expense	(110,000)	(9,500)	(27,500)
Profit for the year	217,200	20,600	53,700

	Retained earnings		
	Arbitrary plc	**Contrary Ltd**	**Enthusiast Ltd**
	CU	**CU**	**CU**
Balance brought forward	671,300	50,000	80,000
Total comprehensive income for the year	217,200	20,600	53,700
Dividends paid on ordinary shares	(50,000)	(10,000)	
Balance carried forward	838,500	60,600	133,700

No entries have been made in Arbitrary plc's statement of profit or loss relating to the sale of Contrary Ltd.

Contrary Ltd's dividends were paid before disposal.

In an earlier accounting period, an impairment loss of CU12,700 was recognised in relation to the goodwill arising on the acquisition of Contrary Ltd.

The non-controlling interests are measured using the proportionate method in both cases.

Requirements

4.1 Prepare the consolidated statement of profit or loss and the retained earnings and non-controlling interest columns for the consolidated statement of changes in equity for Arbitrary plc for the year-ended 31 December 20X5 in so far as the information is available.

Note: You should assume that the disposal of Contrary Ltd constitutes a discontinued operation in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*.

4.2 Calculate the profit on disposal that would be shown in the individual accounts of Arbitrary plc and explain how and why this differs from group profit on disposal.

4.3 Briefly discuss the concepts of control and ownership in the context of this disposal.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 **Champion plc's individual accounts**

	CU
Proceeds	2,100
Cost	(2,000)
Profit on disposal	100

1.2 **Consolidated accounts**

	No impairment		Impairment loss of CU470	
	CU	CU	CU	CU
Sales proceeds		2,100		2,100
Less carrying amount of goodwill at date of disposal:				
– Consideration transferred	2,000		2,000	
– NCI at acquisition (1,900 × 30%)	570		570	
– Less net assets at acquisition	(1,900)		(1,900)	
– Goodwill at acquisition	670		670	
– Less impairment to date	____		(470)	
		(670)		(200)
Less carrying amount of net assets at date of disposal		(2,400)		(2,400)
Add back NCI in net assets at date of disposal (2,400 × 30%)		720		720
Profit (loss) on disposal		(250)		220

Answer to Interactive question 2

Daring Group – Consolidated statement of financial position at 31 March 20X1

	CUm
Intangible assets – goodwill	4,000
Sundry assets	42,450
	46,450
Equity attributable to owners of parent	
- Share capital (CU1 ordinary shares)	8,000
- Retained earnings (from CSOCE)	16,450
	24,450
Non-controlling interests (from CSOCE	12,000
Total equity	36,450
Liabilities	10,000
	46,450

Consolidated statement of profit or loss for the year-ended 31 March 20X1

	CUm
Continuing operations	
Profit before tax (W2)	12,950
Income tax expense (W2)	(5,400)
Profit for the year from continuing operations Discontinued operations	7,550
Profit for the year from discontinued operations (1,238 (W4) + 3,321(W5))	4,559
Profit for the year	12,109
Profit attributable to:	
- Owners of Daring plc (balancing figure)	9,485
- Non-controlling interests (2,500 other subsidiaries + 124 (W3))	2,624
	12,109

Consolidated statement of changes in equity for the year-ended 31 March 20X1

	Attributable to owners of Daring plc				
	Share capital	Retained earnings	Total	Non-controlling interests	Total
	CUm	CUm	CUm	CUm	CUm
Balance b/f (W7 and W8)	8,000	6,965	14,965	9,985	24,950
Total comprehensive income for the year	–	9,485	9,485	2,624	12,109
Eliminated on disposal of subsidiary (W5)				(609)	(609)
Balance c/f	8,000	16,450	24,450	12,000	36,450

WORKINGS

(1) **Group structure**

Daring



90% for 9/12 of year

Glory

(2) **Consolidation schedule for CSPL**

	Daring Group	Consolidated
	Cum	**CUm**
Profit before tax	12,950	12,950
Tax	(5,400)	(5,400)

(3) **Non-controlling interests in Glory Ltd for CSPL**

	CUm
1,238 (W4) × 10%	124

(4) **Profit of Glory Ltd for year to disposal**

	CUm
Profit for the year	1,650
× 9/12	1,238

(5) **Profit on disposal of Glory Ltd for CSPL**

	CUm	**CUm**
Sales proceeds		8,890
Less carrying amount of goodwill at date of disposal:		
– Consideration transferred	3,440	
– Non-controlling interest at acquisition (3,700 × 10%)	370	
– Less fair value of identifiable assets acquired and liabilities assumed at acquisition (3,000 + 700)	(3,700)	
– Goodwill at acquisition	110	
– Less impairment to date	(20)	
		(90)
Less carrying amount of net assets at disposal (W6)		(6,088)
Add back NCI in net assets at date of disposal (6,088 × 10%)		609
Profit on disposal		3,321

(6) **Net assets at disposal**

	CUm
Share capital	3,000
Retained earnings b/f	1,850
Profit for year to disposal (W4)	1,238
	6,088

(7) **Group retained earnings b/f for CSOCE**

	CUm
Daring Group	5,950
Glory Ltd (90% × (1,850 – 700))	1,035
Goodwill impairment to date	(20)
	6,965

(8) **Non-controlling interests b/ f for CSOCE**

	CUm
Glory Ltd ((3,000 + 1,850) × 10%) = 485 + other subsidiaries 9,500	9,985

Tutorial Note

In the case of Working 2, the consolidation schedule only includes the results of the parent group as those of Glory Ltd are to be treated as discontinued (see Working 4). In an examination question it is likely that you will have to deal with another subsidiary still owned at the year-end as well as the company disposed of so this working will be required.

Answer to Interactive question 3

	NCI at acquisition using proportionate method		NCI at acquisition using fair value method	
	CU	CU	CU	CU
Sales proceeds		1,350,000		1,350,000
Less				
Carrying amount of goodwill at date of disposal:				
- Consideration transferred at acquisition date	800,000		800,000	
- Non-controlling interest at acquisition date (25% × 640 and fair value)	160,000		180,000	
	960,000		980,000	

- Fair value of identifiable assets acquired and liabilities assumed at acquisition date	(640,000)		(640,000)	
Goodwill at acquisition date		(320,000)		(340,000)
Carrying amount of net assets at date of disposal (W1)				
Add back NCI at disposal date (W2)		(1,200,000)		(1,200,000)
Profit/(loss) on disposal		300,000		320,000
		130,000		130,000

WORKINGS

(1) **Net assets at date of disposal**

	CU	CU
Net assets b/f	900,000	900,000
Profit for current period to date of disposal (400 × 9/12)	300,000	300,000
	1,200,000	1,200,000

(2) **Non-controlling interests at date of disposal**

	CU	CU
(25% × 1,200 (W1)) and (180 fair value + (25% × 1,200 – 640 increase in net assets)))	300,000	320,000

Answers to Self-test questions

1 Rainbow Ltd

CU21,000

	CU	CU
Sale proceeds		140,000
Less:		
– Goodwill at acquisition	10,000	
Less impairment	(4,000)	
Carrying amount of goodwill at date of disposal		(6,000)
Net assets at disposal (1,000 + 112,000)		(113,000)
Profit on disposal		21,000

2 Yogi plc

CU1,660,000

	CU
Sales proceeds	9,940,000
Net assets at disposal	(10,350,000)
Add back NCI in net assets (10,350,000 × 20%)	2,070,000
Profit on disposal	1,660,000

3 The Gill Group

CU230,000

As the parent's separate company profit on disposal has been included within the remaining Gill Group retained earnings, no further adjustment is necessary.

4 Arbitrary plc

4.1 **Consolidated statement of profit or loss for the year-ended 31 December 20X5**

	CU
Continuing operations	
Revenue (W2)	2,322,700
Cost of sales (W2)	(1,410,150)
Gross profit	912,550

Distribution costs (W2)	(306,600)
Administrative expenses (W2)	(246,150)
Profit before tax	359,800
Income tax expense (W2)	(123,750)
Profit for the year from continuing operations	236,050

	CU
Discontinued operations	
Profit for the year from discontinued operations (10,300 (W3) + 79,060 (W4))	89,360
Profit for the year	325,410
Profit attributable to	
- Owners of Arbitrary plc (b)	313,952
- Non-controlling interest (W5)	11,458
	325,410

Consolidated statement of changes in equity for the year-ended 31 December 20X5 (extracts)

	Attributable to owners of Arbitrary plc	
	Retained earnings	Non-controlling interest
	CU	CU
Balance brought forward (W6) + (W7)	629,000	30,000
Total comprehensive income for the year	313,952	11,458
Added on acquisition of subsidiary (W8)	-	107,397
Eliminated on disposal of subsidiary (W4)	-	(30,060)
Dividend paid on ordinary shares (20% × 10,000)	(50,000)	(2000)
Balance carried forward	892,952	116,795

Non-controlling interest carried forward: proof

	CU
Enthusiast	
Net assets at 1 January 20X5	280,000
Profit for year-ended 31 December 20X5	53,700
	333,700
NIC 35%	116,795

4.2 Calculation of profit in individual accounts of Arbitrary plc

	CU
Sale proceeds	212,000
Less cost	(175,000)
Profit	37,000

The different calculations of profit on disposal reflect the different way in which the subsidiary (Contrary Ltd) is accounted for in the individual and consolidated accounts.

In the individual statement of financial position of Arbitrary plc Contrary Ltd is carried at cost of CU175,000. The profit on disposal is therefore the sale proceeds less this cost.

In the consolidated financial statements the cost of Contrary Ltd is replaced with its underlying net assets and with goodwill acquired in the business combination. The profit on disposal is therefore based on sale proceeds less the percentage of net assets being sold (here 80%) less the unimpaired goodwill which is being sold in full (as it only ever related to the 80% share of net assets acquired).

4.3 Control

Up to 1 July 20X5 Arbitrary plc owns 80% of Contrary Ltd and is therefore assumed to have power, have exposure to variable returns in the form of dividends, and be able to use the power to affect the returns. This means that Arbitrary has control over Contrary. Therefore, the consolidated statement of profit or loss should include 100% of Contrary Ltd's profits up to that date.

After 1 July 20X5 Arbitrary plc no longer controls Contrary Ltd. Its results should be excluded from the consolidated statement of profit or loss for the last six months of the year and also from the consolidated statement of financial position at the year-end.

This treatment reflects the fact that once Contrary Ltd has been sold its resources are no longer under group control.

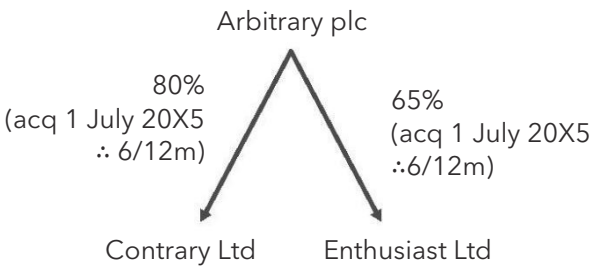
Ownership

For the first six months of the year 100% of Contrary Ltd's profits are included in the consolidated statement of profit or loss. However, 20% of its profits are owned by the non-controlling interests and this has to be deducted in arriving at the group's share of profit (CU20,600 × 6/12 × 20%).

When the disposal occurs, the group is selling its ownership interest in the net assets and the associated goodwill. Therefore, the group profit on disposal is calculated from the point of view of ownership.

WORKINGS

(1) **Group structure**



(2) **Consolidation schedule**

	Arbitrary plc	Enthusiast Ltd 6/ 12	Consol
	CU	CU	CU
Revenue	1,926,500	396,200	2,322,700
Cost of sales	(1,207,200)	(202,950)	(1,410,150)
Distribution cost	(207,500)	(99,100)	(306,600)
Admin exp	(192,600)	(53,550)	(246,150)
Tax	(110,000)	(13,750)	(123,750)
PFY		26,850	

(3) **Profit for year to disposal**

	CU
PFY of Contrary Ltd	20,600
× 6/12	10,300

(4) **Profit on disposal of Contrary Ltd**

	CU	CU
Sale proceeds		212,000
Less		
Carrying amount of goodwill at date of disposal:		
- Consideration transferred on acquisition	175,000	
- NCI at acquisition (187,000 × 20%)	37,400	
- Less fair value of identifiable assets acquired and liabilities assumed at acquisition	(187,000)	
- Goodwill at acquisition	25.400	
- Less impairment to date	(12,700)	
		(12,700)
Less		
Carrying amount of net assets at disposal:		
- Net assets at 1 January 20X5	150,000	
- Profit to 1 July 20X5 (W3)	10,300	
- Dividends paid	(10,000)	
		(150,300)
Add back NCI in net assets (150,300 × 20%)		30,060
Profit on disposal		79,060

(5) **Non-controlling interests in year**

	CU
Contrary Ltd (20% × 10,300 (W3))	2,060
Enthusiast Ltd (35% × 26,850 (W2))	9,398
	11,458

(6) **Retained earnings b/ f**

	CU
Arbitrary plc	671,300
Contrary Ltd (80% × (50,000 – (187,000 – 100,000)))	(29,600)
Goodwill impairment to 31 December 20X4	(12,700)
	629,000

(7) **Non-controlling interest b/ f**

	CU
Contrary Ltd (150,000 × 20%)	30,000

(8) **Non-controlling interests added on acquisition of subsidiary**

	CU
Enthusiast Ltd ((280,000 + 26,850 (W2)) × 35%)	107,397

Chapter 17
Group statement of cash flows

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Introduction

Learning outcomes

- Prepare and present the financial statements, including specified disclosures or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards
- Prepare and present the consolidated financial statements, or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards

Syllabus links

This chapter develops many of the ideas which were introduced in Chapter 3. As you will see, the process involved in preparing a consolidated statement of cash flows is very similar to that used in the preparation of a statement of cash flows for an individual entity.

The preparation of individual and consolidated statements of cash flows is also highly relevant at the Advanced Stage, where the emphasis will change to the analysis and interpretation of these statements.

Examination context

In the examination, students may be required to:

- Prepare a full consolidated statement of cash flows for a group of companies including subsidiaries, associates and joint ventures.
- Prepare extracts from a single entity or consolidated statement of cash flows, or prepare a revised single entity statement of cash flows.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Individual company statement of cash flows** The statement of cash flows shows the actual cash flowing into and paid out of a business during the reporting period. This information is useful to users of	**Approach** Work through the material, revisiting Chapter 3 for the format of the statement of cash flows if you are unsure. Pay particular attention to how accounting for leases affects the	Although the focus of *Financial Accounting and Reporting* is the consolidated statement of cash flows, it is expected that you are aware of the requirements of IAS 1 to prepare a single entity statement of cash	**IQ1 Lease** This question considers the effect of a lease on the lessee's statement of cash flows.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	financial statements as it helps them to understand and predict the entity's ability to generate cash and cash equivalents, as well as indicating the cash needs of the entity. You have covered the preparation of an individual company statement of cash flows in *Accounting* and considered the format of the statement in Chapter 3. In this topic, we consider the effect on the statement of cash flows of leases and revaluations of property, plant and equipment, before we move on to group issues in Topic 2.	statement of cash flows. **Stop and think** Can you remember the difference between the direct and indirect method for presenting the cash generated from operations? Is one method preferable? Why?	flows and that you can prepare the statement of cash flows, or extracts from it, under IAS 7, including the required disclosures.	
2	**Group statement of cash flows** The consolidated statement of cash flows shows the cash flows between the group and third parties. The process involved in preparing a consolidated statement of cash flows is very similar to that used in the preparation of a statement of cash flows for an individual entity, but with some additional considerations. For example, acquiring a subsidiary for cash will	**Approach** There is a lot of detail in this topic. Work carefully through each part of it, giving yourself time to have a good attempt at each question as you get to it. Interactive question 4 and Interactive question 5 are particularly important, so make sure you have a go at these and then spend time reviewing the	In the exam, you may be required to: prepare a consolidated statement of cash flows for a group of companies including subsidiaries and associates; and prepare extracts from a consolidated statement of cash flows. You could also be asked to explain what the impact of the acquisition or disposal of a subsidiary is on a group's cash flow.	**IQ2 Dividend paid to non-controlling interests** This question requires the calculation of the dividend paid to the NCI, using the T-account for NCI to help you. **IQ3 Dividends received from joint venture** You should use the T-account for investments in

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	be a cash outflow, but the parent will also acquire any cash balances held by the subsidiary, and these will need to be adjusted for.	answer. **Stop and think** What information do investors obtain from a group statement of cash flows?		joint ventures to work out dividends paid. **IQ4 Acquisition of a subsidiary** This question requires the preparation of a group statement of cash flows when a subsidiary has been acquired during the year. **IQ5 Disposal of a subsidiary** This question requires extracts from the statement of cash flows and notes when a subsidiary has been disposed of during the year.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Individual company statement of cash flows

Section overview

- The statement of cash flows of an individual entity was covered in Chapter 3 and in *Accounting*.
- Lease payments must be split between interest and capital repaid and the two elements presented separately in the statement of cash flows.
- Revaluations will affect the carrying amount of property, plant and equipment, and intangible assets and should be adjusted for when determining the cash paid to acquire assets.

1.1 Revision

Statements of cash flow for single companies were covered in *Accounting*; in *Financial Accounting and Reporting*, we look at some of the areas of greater complexity, including additional disclosure requirements and dealing with consolidated statements of cash flows.

As we saw in Chapter 3 the objective of a statement of cash flows is to provide information about the historical changes in **cash and cash equivalents** during the accounting period.

In accordance with IAS 7, *Statement of Cash Flows* cash flows are classified under the following headings:

- **cash flows from operating activities**
- **cash flows from investing activities**
- **cash flows from financing activities**

Cash generated from operations is shown as part of cash flows from operating activities. A note to the statement of cash flows is then presented showing how the cash generated from operations has been calculated using:

- the **direct method**; or
- the **indirect method**.

Refer back to Chapter 3 if you need a reminder of the proforma for a statement of cash flows and its supporting note.

Professional skills focus: Applying judgement

IAS 7 gives an entity the choice of whether the direct or indirect method is used to prepare the statement of cash flows. The direct method arguably provides more useful information for users of financial statements, but the indirect method is much easier to prepare. Accountants must use their judgement to determine which method is the most appropriate to select, given the particular circumstances of the entity.

1.2 Leases

Lease payments represent **cash outflows** which must be reflected in the statement of cash flows. As we saw in Chapter 8, however, each payment contains two elements – **the payment of interest accrued to date and a repayment of a proportion of the capital outstanding**. For the purposes of preparing the statement of cash flows these two elements must be **presented separately** as follows:

- The **repayment of the capital element of the lease** is presented as a cash outflow under **cash flows from financing activities**.
- The **payment of interest** is presented as a cash outflow within interest paid as part of **cash flows from operating activities** or as part of **cash flows from financing activities**.

Notes

1 IAS 7 permits entities the choice to classify interest paid as **either** an operating cash flow **or** a financing cash flow. In the *Financial Accounting and Reporting* exam, you should classify interest paid as an operating cash flow, unless the question specifically states otherwise.

2 The acquisition of right-of-use assets by way of a lease requires separate disclosure as a non-cash transaction. This does not result in an immediate cash outflow (other than if payments are made on or before commencement of the lease) but will lead to future cash outflows in respect of both capital repayments and interest payments.

3 The acquisition of right-of-use assets under lease arrangements should be considered when calculating the cash purchase of property, plant and equipment if right-of-use assets are presented as part of property, plant and equipment rather than being separately presented as right-of-use assets. The acquisition of right-of-use assets is a non-cash acquisition and therefore should be added to the opening carrying amount of PPE in order to find the cash purchase using the 'missing figure' approach.

1.3 Disclosure of changes in liabilities arising from financing activities

Entities should disclose, in the notes to the financial statements, changes in financing liabilities, for example, lease liabilities or loans. This information helps users of financial statements to gain a better understanding of the financial effect of these liabilities. The disclosure can be provided as a reconciliation and may include:

- changes from financing cash flows;
- changes from acquiring (or losing) control of subsidiaries;
- foreign exchange change effects on the business;
- changes in fair value; and
- any other changes which may require disclosure as a non-cash transaction.



Interactive question 1: Lease

Camel Ltd enters into a contract for the right to use an asset from 1 January 20X7. Under the terms of the lease, Camel Ltd must make three annual lease payments of CU10,000 commencing on 31 December 20X7. On the commencement date of the lease, the present value of future lease payments is CU24,870.

The interest rate implicit in the lease is 10%.

Requirement

Show the effect of the lease on the statement of cash flows. Complete the following proforma.

Statement of cash flows (extract) for the year-ended 31 December 20X7

	CU
Cash flows from operating activities	
Interest paid (W)	
Cash flows from financing activities	
Payment of lease liabilities (W)	

See **Answer** at the end of this chapter.

1.4 Property, plant and equipment – Revaluations

Any revaluation of property, plant and equipment during the period must also be taken into account when calculating cash paid for purchases of property, plant and equipment.

The T-account is as follows:

PROPERTY, PLANT AND EQUIPMENT

	CU		CU
Balance b/d	X	Disposals	X
RoU assets acquired (if presented within PPE)	X		
Revaluation surplus	X		
Additions (balancing figure)	X	Balance c/d	X
	X		X

Context example: Revaluation

A company's financial statements at 31 December 20X8 showed property, plant and equipment at cost or valuation of CU9,300,000. During the year to 31 December 20X9 it disposed of vehicles that had cost CU450,000 and revalued a freehold property upwards by CU750,000. At 31 December 20X9 the company's property, plant and equipment at cost or valuation amounted to CU11,235,000.

The T-account will be as follows:

PROPERTY, PLANT AND EQUIPMENT

	CU		CU
Balance b/d	9,300,000	Disposals	450,000
Revaluation surplus	750,000		
Additions (balancing figure)	1,635,000	Balance c/d	11,235,000
	11,685,000		11,685,000

2 Group statement of cash flows

Section overview

- The consolidated statement of cash flows shows cash flows between the group (ie, parent and subsidiaries) and third parties.
- The basis of preparation is essentially the same as for the individual statement of cash flows.
- Dividends paid to the non-controlling interests are presented separately, classified as cash flows from financing activities.
- Dividends received from associates and joint ventures are presented separately, classified as cash flows from investing activities.
- The **net** cash effect of the acquisition/disposal of a subsidiary should be presented separately and classified as cash flows from investing activities.
- Cash payments to acquire an associate or joint venture should be classified as cash flows from investing activities.

2.1 Basic principle

In principle the preparation of the group statement of cash flows is the same as that for the individual entity in that it is derived from the statement of financial position and statement of profit or loss and other comprehensive income. In this case, it is the **consolidated financial statements** that are used.

The **aim of the consolidated statement of cash flows is to show the cash flows between the group and third parties**. (This is consistent with the preparation of the consolidated statement of financial position and consolidated statement of profit or loss.) This is achieved 'automatically' as the information forming the basis of the preparation of the consolidated statement of cash flows (ie, the consolidated statement of profit or loss and consolidated statement of financial position) has already been adjusted for intra-group transactions.

A number of additional issues do need to be considered, however:

- cash paid to the non-controlling interests (dividends paid)
- cash received from associates and joint ventures (dividends received)
- acquisitions/disposals of subsidiaries (net of cash acquired/lost)
- acquisitions of associates and joint ventures

We will consider each of these in the remainder of this chapter.

Note: The method used to measure non-controlling interests does not affect cash flows. For simplicity, the examples in this chapter all have non-controlling interests measured using the proportionate basis.

Professional skills focus: Concluding, recommending and communicating

Information about a group's cash flows is one of the ways in which the users of financial statements can judge the group's past performance and develop a prediction about its future performance. The group statement of cash flows is a key way in which an accountant communicates useful information to a company's stakeholders.

2.2 Cash flows to the non-controlling interests

Non-controlling interests represent third parties, so **dividends paid to the non-controlling interests should be presented as a cash outflow**. This payment should be presented separately and classified as **'Cash flows from financing activities'**.

Note: IAS 7 (para. 34) states that dividends paid may be classified as either a financing cash flow or an operating cash flow. In the *Financial Accounting and Reporting* exam, you should classify dividends paid as a financing cash flow, unless the question specifically states otherwise.

As we saw in Chapter 3 many of the cash flows were calculated by using a T-account working. This technique also applies to the consolidated statement of cash flows. Dividends paid to the non- controlling interests may be calculated using a T-account as follows:

NON-CONTROLLING INTERESTS

	CU		CU
NCI dividend paid (balancing figure)	**X**	b/f NCI (CSFP)	X
c/f NCI (CSFP)	X	NCI (CSPL)	X
	X		X

Interactive question 2: Dividend paid to non-controlling interests

Consolidated statement of profit or loss (extract) for the year-ended 31 December 20X7

	CU
Group profit before tax	60,000
Income tax expense	(20,000)
Profit for year	40,000
Profit attributable to:	
Owners of the parent	30,000
Non-controlling interests	10,000
	40,000

Consolidated statement of financial position (extract) as at 31 December

	20X7	20X6
	CU	CU
Non-controlling interests	204,000	200,000

Requirement

Calculate the dividend paid to non-controlling interests during 20X7. Complete the T-account below.

NON-CONTROLLING INTERESTS

	CU		CU
		b/f NCI (CSFP)	
NCI dividend paid (bal figure)			
c/f NCI (CSFP)			

See **Answer** at the end of this chapter.

2.3 Associates and joint ventures

There are two issues to consider with regard to associates and joint ventures:

(a) **The group share of profit of the associate or joint venture must be deducted as an adjustment in the reconciliation of profit before tax to cash generated from operations when preparing the statement of cash flows using the indirect method**. This is because group profit before tax includes the profit for the year of the associate or joint venture, which is a non-cash amount.

Note: Recall from Chapter 3 that the direct method does not begin with profit before tax and therefore no equivalent adjustment needs to be made when preparing the statement of cash flows using the direct method.

Context example: Cash flows from operating activities

Consolidated statement of profit or loss (extract) for the year-ended 31 December 20X7

	CU
Group operating profit	273,000
Share of profit of associates	60,000
Profit before tax	333,000
Income tax expense	63,000
Profit for the year	270,000

Consolidated statement of financial position (extracts) as at 31 Dec

	20X7	20X6
	CU	CU
Inventories	867,000	694,000
Receivable	1,329,000	1,218,000

Cash generated from operations (indirect method) should be calculated and shown as follows:

	CU
Profit before tax	333,000
Adjustments for:	
Share of profit of associates	(60,000)
	273,000
Increase in trade receivables (1,329 – 1,218)	(111,000)
Increase in inventories (867 – 694)	(173,000)
Cash absorbed by operations	(11,000)

(b) **Dividends received** from an associate or joint venture are a cash inflow and must be disclosed as a **separate cash flow** classified as **'Cash flows from investing activities'**. The cash receipt can be calculated as follows:

INVESTMENTS IN ASSOCIATES

	CU		CU
b/f Inv in A (CSFP)	X	Dividend received (balancing figure)	X
Share of profit of A (CSPL)	X	c/f Inv in A (CSFP)	X
	X		X

Note: IAS 7 permits dividends received to be classified as either an operating cash flow or an investing cash flow. In the *Financial Accounting and Reporting* exam, you should classify dividends received as an investing cash flow, unless the question specifically states otherwise.

Interactive question 3: Dividends received from joint ventures

Consolidated statement of profit or loss (extract) for the year-ended 31 December 20X7

	CU
Group operating profit	100,000
Share of profit of joint venture	20,000
Profit before tax	120,000
Income tax expense	(50,000)
Profit for the year	70,000

Consolidated statement of financial position (extract) as at 31 December

	20X7	20X6
	CU	CU
Investment in joint ventures	184,000	176,00

Requirement

Calculate the dividend received from joint ventures during 20X7. Complete the T-account below.

INVESTMENT IN JOINT VENTURES

	CU		CU
b/f Inv in JV		**Dividend received** (bal figure)	
Share of profit of		c/f Inv in JV	

See **Answer** at the end of this chapter.

2.3.1 Acquisition of associates and joint ventures

Payments of cash to acquire associates and joint ventures should be classified as a cash outflow in **'Cash flows from investing activities'**.

2.4 Acquisitions and disposals of subsidiaries

If a subsidiary is acquired or disposed of during the accounting period, **the net cash effect of the purchase or sale transaction should be presented separately under 'Cash flows from investing activities'**. The net cash outflow on acquisition of a subsidiary is the cash purchase price less any cash or cash equivalents acquired. The net cash inflow on disposal of a subsidiary is the cash disposal proceeds less any cash lost as a result of the disposal.

Context example: Acquisition of a subsidiary

Warwick plc acquired 75% of Leamington Ltd by issuing 250,000 CU1 shares at an agreed value of CU2.50 and CU200,000 in cash. At the date of acquisition, the cash and cash equivalents in Leamington Ltd's statement of financial position amounted to CU30,000.

In the statement of cash flows this would be shown as follows:

Cash flows from investing activities	**CU**
Acquisition of subsidiary Leamington Ltd, net of cash acquired (200,000 – 30,000)	(170,000)

Disclosure relating to subsidiaries acquired/ disposed of

Disclosure is required in **the notes to the statement of cash flows** of the following, in aggregate, in respect of both acquisitions and disposals of subsidiaries during the period:

- **total purchase price/ disposal consideration;**
- **portion** of purchase price/disposal consideration **discharged by means of cash and cash equivalents**;
- **amount of cash and cash equivalents** in the subsidiary acquired or disposed of; and
- **amount of assets and liabilities** other than cash and cash equivalents **in the subsidiary acquired or disposed of**, summarised by major category.

Examples of these disclosures can be found in IAS 7 Appendix A.

Note: As the cash effect of the acquisition/disposal of the subsidiary is dealt with in a single line item, **care must be taken not to double count the effects of the acquisition/ disposal when looking at the movements in individual asset balances**.

Any **loss of control** of the subsidiary should be disclosed in the notes to the financial statements, as this would be significant enough to warrant disclosure under IAS 7 (para. 44).

Assets and liabilities of subsidiaries acquired/ disposed of

Each of the individual assets and liabilities of a subsidiary acquired/disposed of during the period must be accounted for when using the 'missing figure' approach to calculating cash flows:

Subsidiary acquired in the period	**Add** PPE, inventories, payables, receivables, etc of the acquired subsidiary at the date of acquisition to the opening balances when calculating the movement in these items.
Subsidiary disposed of in the period	**Subtract** PPE, inventories, payables, receivables, etc of the subsidiary at the date of disposal from the opening balances when calculating the movements in these items.

A subsidiary acquired or disposed of in the year will also affect the NCI balance in the statement of financial position. Adjustment is therefore required when calculating the **dividend paid to the non- controlling interests**. The T-account working introduced in section 2.2 above would be modified as follows:

NON-CONTROLLING INTERESTS

	CU		CU
NCI in S at disposal	**X**	b/f NCI (CSFP)	X
NCI dividend paid (balancing figure)	X	**NCI in S at acquisition**	**X**
c/f NCI (CSFP)	X	NCI (CSPL)	X
	X		X



Worked example: Calculating cash flows

Continuing from the worked example above (Acquisition of a subsidiary) you have the following additional information.

Consolidated statement of financial position (extract) of Warwick plc at 31 December

	20X7	20X6
	CU	CU
Property, plant and equipment	500,00	400,00

At the date of acquisition Leamington Ltd's statement of financial position included property, plant and equipment at a carrying amount of CU75,000.

There were no disposals of property, plant and equipment in the period. Depreciation of CU25,000 was charged to the consolidated statement of profit or loss.

Requirement

Calculate the amount to be disclosed as 'Purchase of property, plant and equipment' under 'Cash flows from investing activities'.

Solution

Normally, when preparing the statement of cash flows, a comparison of the opening and closing assets, adjusted for right-of-use assets (if presented as part of PPE), revaluations and depreciation is made to determine the cost of additions. In this case if we make the comparison there are CU125,000 of additional assets (500 + 25 – 400). However, CU75,000 of these additional assets **are as a result of the acquisition of the subsidiary**. The cash outflow due to the purchase of the subsidiary as a whole is dealt with separately as we described above, and here we are only concerned with any **other assets** purchased. Therefore the cash flows should be presented as follows:

	CU
Cash flows from investing activities	
Acquisition of subsidiary Leamington Ltd, net of cash	(170,000)
acquired Purchase of property, plant and equipment (W)	(50,000)

WORKING

	CU		CU
b/f	400,000	Depreciation	25,000
On acquisition of subsidiary	**75,000**		
Additions (balancing figure)	50,000	c/f	500,000
	525,000		525,000



Professional skills focus: Assimilating and using information

Preparing a group statement of cash flows requires pulling together and using information from various sources, particularly in the case of an acquisition or disposal of a subsidiary in the year. You must make sure you take into account the net cash flows in acquiring or disposing of the subsidiary, and the impact that subsidiary's assets and liabilities have on the workings for other cash flows, as seen above.



Interactive question 4: Acquisition of a subsidiary

On 1 October 20X8 P plc acquired 90% of S Ltd by issuing 100,000 shares at an agreed value of CU2 per share and paying CU100,000 in cash.

At that time the fair value of the identifiable assets acquired and liabilities assumed by P plc was equal to the carrying amount of the net assets of S Ltd. The carrying amount of the net assets of S Ltd at the date of acquisition was as follows:

	CU
Property, plant and equipment	190,000
Inventories	70,000
Trade receivables	30,000
Cash and cash equivalents	10,000
Trade payables	(40,000)
	260,000

The consolidated statements of financial position of P plc as at 31 December were as follows:

	20X8	20X7
	CU	CU
Non-current assets		
Property, plant and equipment	2,500,000	2,300,000
Goodwill	66,000	-
	2,566,000	2,300,000
Current assets		
Inventories	1,450,000	1,200,000
Trade receivables	1,370,000	1,100,000
Cash and cash equivalents	76,000	50,000
	2,896,000	2,350,000
	5,462,000	4,650,000
Equity attributable to owners of the parent		
Ordinary share capital (CU1 shares)	1,150,000	1,000,000
Share premium account	650,000	500,000
Retained earnings	1,791,000	1,530,000
	3,591,000	3,030,000
Non-controlling interests	31,000	
Total equity	3,622,000	3,030,000
Current liabilities		
Trade payables	1,690,000	1,520,000
Income tax payable	150,000	100,000
	1,840,000	1,620,000
	5,462,000	4,650,000

The consolidated statement of profit or loss for the year-ended 31 December 20X8 was as follows:

	CU
Revenue	10,000,000
Cost of sales	(7,500,000)
Gross profit	2,500,000
Administrative expenses	(2,080,000)
Profit before tax	420,000
Income tax expense	(150,000)
Profit for the year	270,000
Profit attributable to:	
- Owners of P plc	261,000
- Non-controlling interests	9,000
	270,000

The statement of changes in equity for the year-ended 31 December 20X8 (extract) was as follows:

	Retained earnings
	CU
Balance at 31 December 20X7	1,530,000
Total comprehensive income for the year	261,000
Balance at 31 December 20X8	1,791,000

You are also given the following information:

(1) All other subsidiaries are wholly owned. P did not acquire or dispose of any other subsidiaries in the year.

(2) Depreciation charged to the consolidated statement of profit or loss amounted to CU210,000.

(3) There were no disposals of property, plant and equipment during the year.

(4) Goodwill is not impaired.

(5) Non-controlling interests are valued on the proportionate basis.

Requirement

Prepare a consolidated statement of cash flows for P plc for the year-ended 31 December 20X8 under the indirect method in accordance with IAS 7, *Statement of Cash Flows*.

The only notes required are those reconciling profit before tax to cash generated from operations and a note showing the effect of the subsidiary acquired in the period.

See **Answer** at the end of this chapter.

Interactive question 5: Disposal of a subsidiary

Below is the consolidated statement of financial position of the Othello Group as at 30 June 20X8 and the consolidated statement of profit or loss for the year-ended on that date:

Consolidated statement of financial position as at 30 June

	20X8 CU	20X7 CU
Non-current assets		
Property, plant and equipment	4,067,000	3,950,000
Current assets		
Inventories	736,000	535,000
Receivables	605,000	417,000
Cash and cash equivalents	294,000	238,000
	1,635,000	1,190,000
	5,702,000	5,140,000
Equity attributable to owners of the parent		
Share capital	1,000,000	1,000,000
Retained earnings	3,637,000	3,118,000
	4,637,000	4,118,000
Non-controlling interests	482,000	512,000
Total equity	5,119,000	4,630,000
Current liabilities		
Trade payables	380,000	408,000
Income tax payable	203,000	102,000
	583,000	510,000
	5,702,000	5,140,000

Consolidated statement of profit or loss for the year-ended 30 June 20X8 (summarised)

	CU
Continuing operations	
Profit before tax	862,000
Income tax expense	(290,000)
Profit for the year from continuing operations	572,000
Discontinued operations	
Profit for the year from discontinued operations	50,400
Profit for the year	622,400

Profit attributable to:	
- Owners of Othello plc	519,400
- Non-controlling interests	103,000
	622,400

You are given the following information:

(1) Othello plc sold its entire interest in Desdemona Ltd on 31 March 20X8 for cash of CU400,000. Othello plc had acquired an 80% interest in Desdemona Ltd on incorporation several years ago. The net assets of Desdemona Ltd at the date of disposal were:

	CU
Property, plant and equipment	390,000
Inventories	50,000
Receivables	39,000
Cash and cash equivalents	20,000
Trade payables	(42,000)
	457,000

(2) The profit for the period from discontinued operations figure is made up as follows:

	CU
Profit before tax	20,000
Income tax expense	(4,000)
Profit on disposal	34,400
	50,400

(3) The depreciation charge for the year was CU800,000.

There were no disposals of non-current assets other than on the disposal of the subsidiary.

Requirements

With regard to the consolidated statement of cash flows for the year-ended 30 June 20X8:

5.1 Show how the disposal should be presented in the statement of cash flows.

5.2 Calculate additions to property, plant and equipment as they will be reflected in the statement of cash flows.

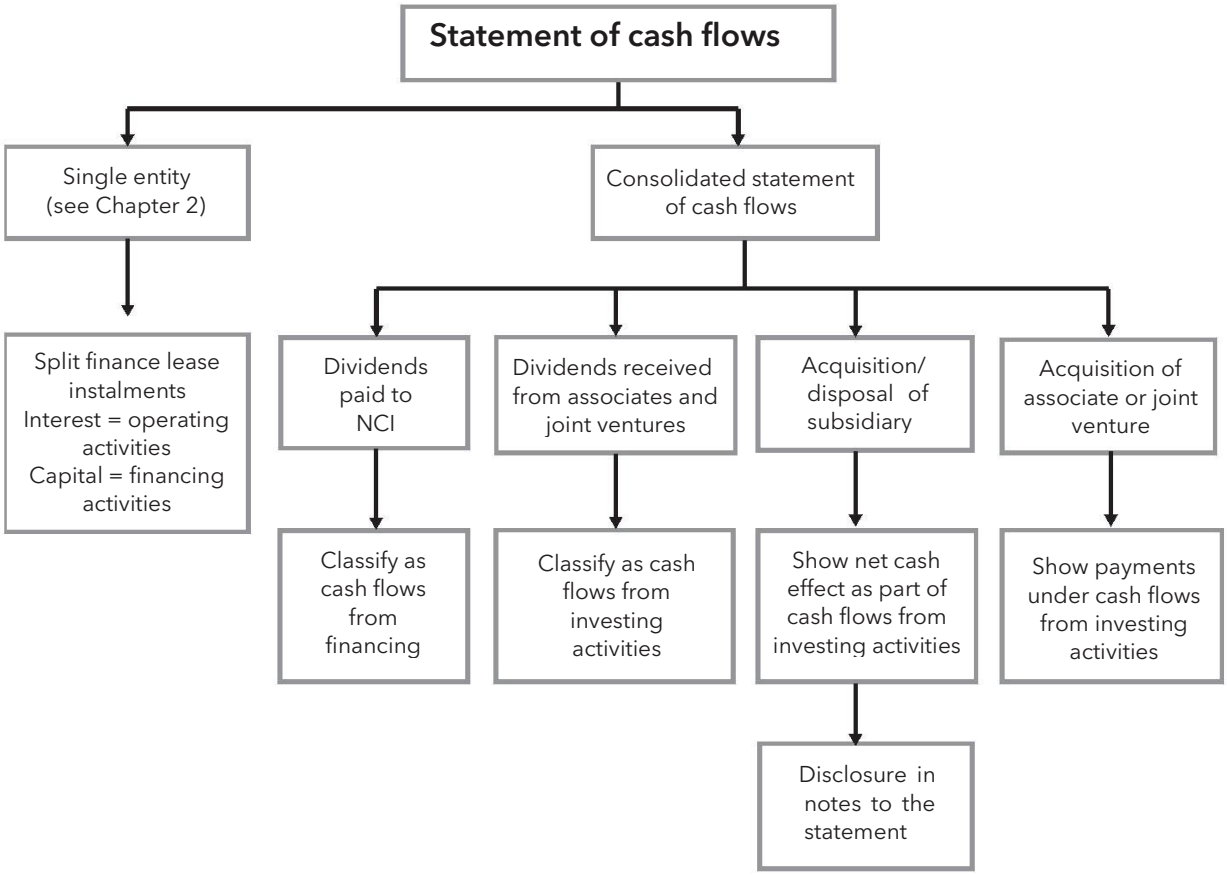
5.3 Calculate dividends paid to non-controlling interests.

5.4 Prepare the note to the statement of cash flows required for the disposal of the subsidiary.

5.5 Prepare the reconciliation of profit before tax to cash generated from operations.

See **Answer** at the end of this chapter.

Summary


Statement of cash flows
Single entity (see Chapter 2)
Consolidated statement of cash flows
Split finance lease instalments
Interest = operating activities
Capital = financing activities
Dividends paid to NCI
Dividends received from associates and joint ventures
Acquisition/ disposal of subsidiary
Acquisition of associate or joint venture
Classify as cash flows from financing
Classify as cash flows from investing activities
Show net cash effect as part of cash flows from investing activities
Show payments under cash flows from investing activities
Disclosure in notes to the statement

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1	What are three headings under which cash flows are classified in the statement of cash flows? (Topic 1)
2	How should the cash flows associated with lease payments be presented in the statement of cash flows? (Topic 1)
3	How should dividends paid to non-controlling interests be presented in the group statement of cash flows? (Topic 2)
4	What issues do you need to consider in relation to associates and joint ventures in the group statement of cash flows? (Topic 2)
5	How is the net cash effect of the purchase of a subsidiary presented in the group statement of cash flows? (Topic 5)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Cloudesdale plc	This is a good test of several aspects of the learning in this chapter and you should make sure you give it a good go. In this question, a junior accountant has prepared a group statement of cash flows but has not adjusted for a number of issues, such as the acquisition of a subsidiary.
	In this question, you are required to prepare a group statement of cash flows from the draft group financial statements of a group. This is a good test of whether you can pull a whole group statement of cash flows together.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Antibes Ltd (part 1 only)	In part (a), you must prepare extracts from the consolidated statement of cash flows, focusing on the financing activities and investing activities sections only. In part (b), you are required to describe the adjustments required in the reconciliation of profit before tax to cash from operations in respect of a joint venture and state why they are required. This is a good test of whether you understand the difference between profit and cash and how that is applied in the statement of cash flows.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

Note: All of IAS 7 is examinable with the exception of paragraphs 24–28, 38 and Appendix B. The paragraphs listed below are the key references you should be familiar with.

1 Statement of cash flows and leases

- Disclose the assets acquired via leases as a non-cash transaction – **IAS 7 (43–44)**
- Additional disclosures from changes in liabilities arising from financing activities – **IAS 7 (44A– 44E)**

2 Group statements of cash flows

- Example of a consolidated statement of cash flows – **IAS 7 Appendix A**
- Cash flows arising from acquisitions/disposals of subsidiaries and acquisitions of associates should be:
  - presented separately; and
  - classified as investing activities – **IAS 7 (39)**
- Additional information should be disclosed in respect of acquisitions and disposals – **IAS 7 (40)**

Also see **Chapter 3** Technical reference section.

Self-test questions

Answer the following questions.

1 IAS 7, Statement of Cash Flows

In accordance with IAS 7, *Statement of Cash Flows* what is the net cash flow from financing activities given the information below?

Receipts	CU	Payments	CU
Share issue	5,000	Loan repayments (including CU300 interest)	2,200
Loan	9,000	Expense of share issue	500

2 Sun plc

Sun plc provides the following information:

Consolidated statement of financial position as at 31 December

	20X8	20X7
	CU	CU
Inventories	550,000	475,000
Trade receivables	943,000	800,000
Trade payables	620,000	530,000

Consolidated statement of profit or loss for the year-ended 31 December 20X8

	CU
Profit before tax	775,00

During the year Sun plc acquired an 80% interest in the equity share capital of Shine Ltd. The fair value of the identifiable assets acquired and liabilities assumed by Sun plc were equal to their carrying amounts at the date of acquisition. Extracts from Shine Ltd's statement of financial position at acquisition were as follows:

	CU
Inventories	80,000
Trade receivables	110,000
Trade payables	70,000

Requirement

In accordance with IAS 7, *Statement of Cash Flows* what is the cash generated from operations in the consolidated statement of cash flows of Sun plc for the year-ended 31 December 20X8?

3 Spades plc

Spades plc, which has a number of subsidiaries, acquired an 80% interest in the share capital of Clubs Ltd on 1 May 20X6, when the net assets of Clubs Ltd were CU600,000. The fair value of the identifiable assets acquired and liabilities assumed by Spades plc were equal to their carrying amounts at the date of acquisition.

Extracts from the consolidated statement of financial position of Spades plc as at 30 September 20X6 are as set out below.

	20X6	20X5
	CU	CU
Non-controlling interests	750,000	720,000

Non-controlling interests in the profit for the year was CU100,000.

Requirement

What is the amount to be included in the consolidated statement of cash flows for the dividends paid to non-controlling interests according to IAS 7, *Statement of Cash Flows*?

4 Rain plc

The following extracts relate to Rain plc:

Consolidated statement of profit or loss for the year-ended 31 December 20X5

	CU
Group profit before tax	500,000
Income tax expense	(150,000)
Profit for the year	350,000
Profit attributable to:	
– Owners of Rain plc	295,000
– Non-controlling interests	55,000

Consolidated statement of financial position as at 31 December

	20X5	20X4
	CU	CU
Non-controlling interests	550,000	525,000

During the year-ended 31 December 20X5 Rain plc acquired a 75% interest in the equity shares of Puddle Ltd when the net assets of Puddle Ltd were CU400,000. The fair value of the identifiable assets acquired and liabilities assumed by Rain plc were equal to their carrying amounts at the date of acquisition.

Requirement

In accordance with IAS 7, *Statement of Cash Flows* what was the amount of dividend paid to the non- controlling interests in the year-ended 31 December 20X5?

5 Brink plc

Brink plc acquired a 75% interest in the share capital of Edge Ltd on 1 January 20X6. The fair values of the identifiable assets acquired and liabilities assumed by Brink plc were equal to their carrying amounts at the date of acquisition. The carrying amount of Edge Ltd's property, plant and equipment at that date was CU500,000.

Extracts from the consolidated statement of financial position of Brink plc as at 31 December 20X6 are as follows:

	20X6	20X5
	CU	CU
Property, plant and equipment	4,100,000	3,700,000

Depreciation charged for the year-ended 31 December 20X6 was CU970,000.

Requirement

What is the amount to be included in the consolidated statement of cash flows for purchase of property, plant and equipment in accordance with IAS 7, *Statement of Cash Flows*?

6 Brad plc

The consolidated financial statements of Brad plc show the following information:

Consolidated statement of profit or loss (extract) for the year-ended 31 December 20X7

	CU
Group operating profit	220,000
Share of profit of associates	44,000
Profit before tax	264,000
Income tax expense	(110,000)
Profit for year	154,000

Consolidated statement of financial position (extract) as at 31 December 20X7

	20X7	20X6
	CU	CU
Investments in associates	405,000	387,000

Requirement

In accordance with IAS 7, *Statement of Cash Flows* what is the dividend received from associates by the Brad group during the year-ended 31 December 20X7?

7 Romeo plc

Romeo plc had acquired 75% of Juliet Ltd for CU750,000 a number of years ago. During the year- ended 31 December 20X7 Romeo plc disposed of its entire interest in Juliet Ltd for CU1,020,000 in cash. The net assets of Juliet Ltd at the date of disposal were:

	CU
Property, plant and equipment	700,000
Inventories and receivables	150,000
Cash and cash equivalents	75,000
Trade payables	(47,000)
	878,000

Requirement

In accordance with IAS 7, *Statement of Cash Flows* what amount would be disclosed as 'Disposal of subsidiary' under cash flows from investing activities?

8 Cloudesdale plc

Cloudesdale plc has a number of subsidiaries and an investment in a joint venture. A junior accountant has prepared the following group statement of cash flows.

Consolidated statement of cash flows for the year-ended 31 December 20X9

	CUm	CUm
Net cash from operating activities		354
Cash flows from investing activities		
Purchase of property, plant and equipment	(105)	
Net cash used in investing activities		(105)
Cash flows from financing activities		
Repayment of loan notes	(80)	
Net cash used in financing activities		(80)
Net increase in cash and cash equivalents		169

Note: Reconciliation of profit before tax to net cash from operating activities	**CUm**
Group profit before taxation	335
Depreciation	120
Interest expense	15
	470
Decrease in inventories	42
Increase in trade receivables	(16)
Decrease in trade payables	(57)
Cash generated from operations	439
Interest paid	(20)
Income tax paid	(65)
Net cash from operating activities	354

The increase in cash and cash equivalents shown above does not agree to the amounts of cash and cash equivalents shown in the consolidated statements of financial position at 31 December 20X8 (CU124,000) and 31 December 20X9 (CU235,000). This is because the following issues have not been taken into account:

(1) Cloudesdale plc acquired a 100% subsidiary during the year. The fair values of the identifiable assets acquired and liabilities assumed, the goodwill at acquisition, and the consideration transferred were as follows:

	CUm
Property, plant and equipment	90
Inventories	20
Trade receivables	25
Cash and cash equivalents	15
Trade payables	(40)
Goodwill	30
Consideration transferred (all cash)	140

(2) Non-controlling interests brought forward at the beginning of the year was CU70 million. Profit attributable to the non-controlling interests for the year-ended 31 December 20X9 was CU35 million. The consolidated statement of financial position at 31 December 20X9 showed non-controlling interests at CU79 million.

(3) The group profit before taxation includes CU8 million being group share of profit of a joint venture. During the year dividends of CU6 million were received from the joint venture.

Requirement

In accordance with IAS 7, *Statement of Cash Flows*, prepare an amended statement of cash flows and reconciliation of profit before tax to net cash from operating activities for Cloudesdale plc for the year-ended 31 December 20X9, taking account of issues 1 to 3 above.

9 Greenfingers plc

Greenfingers plc is a 40-year-old company producing wooden furniture. Twenty-two years ago, it acquired a 100% interest in a timber import company, Arbre Ltd. In 20W9 it acquired a 40% interest in a competitor, Water Features Ltd and on 1 January 20X7 it acquired a 75% interest in Garden Furniture Designs Ltd. The draft consolidated accounts for the Greenfingers Group are as follows.

Draft consolidated statement of profit or loss for the year-ended 31 December 20X7

	CU
Operating profit	4,455,000
Share of profit of associates	1,050,000
Dividends from long-term investments	465,000
Interest payable	(450,000)
Profit before taxation	5,520,000
Income tax expense	(1,485,000)

Profit for the year	4,035,000
Profit attributable to:	
- Owners of Greenfingers plc	3,735,000
- Non-controlling interests	300,000
	4,035,000

Draft consolidated statement of financial position as at 31 December

		20X7		20X6
	CU	CU	CU	CU
ASSETS				
Non-current assets				
Property, plant and equipment				
Buildings at carrying amount		6,225,000		6,600,000
Machinery:				
- Cost	9,000,000		4,200,000	
- Acc depreciation	(3,600,000)		(3,300,000)	
- Carrying amount		5,400,000		900,000
		11,625,000		7,500,000

		20X7		20X6
	CU	CU	CU	CU
Goodwill		300,000		-
Investments in associates		3,300,000		3,000,000
Other investments		1,230,000		1,230,000
		16,455,000		11,730,000
Current assets				
Inventories	5,925,000		3,000,000	
Receivables	5,550,000		3,825,000	
Cash and cash equivalents	13,545,000		5,460,000	
		25,020,000		12,285,000
Total assets		41,475,000		24,015,000

EQUITY AND LIABILITIES	CU	CU	CU	CU
Attributable to owners of the parent				
Ordinary share capital (25p shares)	11,820,000		6,000,000	
Share premium account	8,649,000		6,285,000	
Retained earnings	10,335,000		7,500,000	
	30,804,000		19,785,000	
Non-controlling interests	345,000			
Total equity		31,149,000		19,785,000
Non-current liabilities				
Lease liabilities	2,130,000		510,000	
Loans	4,380,000		1,500,000	
		6,510,000		2,010,000
Current liabilities				
Trade payables	1,500,000		840,000	
Lease liabilities	720,000		600,000	
Income tax payable	1,476,000		690,000	
Interest and finance charges	120,000		90,000	
		3,816,000		2,220,000
Total equity and liabilities		41,475,000		24,015,000

Additional information

(1) There have been no acquisitions or disposals of buildings during the year.

Machinery costing CU1.5 million was sold for CU1.5 million resulting in a profit of CU300,000. New machinery was acquired in 20X7, including some items acquired by way of leases. The relevant right-of-use assets and lease liabilities were initially recognised at CU2.55 million.

(2) Information relating to the fair value of identifiable assets acquired and liabilities assumed by Greenfingers plc on the acquisition of Garden Furniture Designs Ltd is as follows:

	CU
Property, plant and equipment	495,000
Inventories	96,000
Trade receivables	84,000
Cash	336,000
Trade payables	(204,000)
Income tax	(51,000)
	756,000

Non-controlling interests	(189,000)
	567,000
Goodwill	300,000
	867,000
2,640,000 ordinary shares issued as part consideration	825,000
Balance of consideration paid in cash	42,000
	867,000

Requirement

Prepare a consolidated statement of cash flows for the Greenfingers Group for the year-ended 31 December 20X7 using the indirect method. The only note required is that reconciling profit before tax to cash generated from operations.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Statement of cash flows (extract) for the year-ended 31 December 20X7

	CU
Cash flows from operating activities	
Interest paid (W)	(2,487)
Cash flows from financing activities	
Payment of lease liabilities (W)	(7,513)

WORKING

Lease liability

Year-ended 31 December 20X7	Bal b/ f 1 January 20X7	Interest accrued at 10%	Payment 31 December 20X7	Bal c/ f 31 December 20X7
	CU	CU	CU	CU
Lease liability	24,870	2,487	(10,000)	17,357

The payment of CU10,000 therefore represents:

	CU
Interest	2,487
Capital (10,000 – 2,487)	7,513
	10,000

Answer to Interactive question 2

NON-CONTROLLING INTERESTS

	CU		CU
		b/f NCI (CSFP)	200,000
NCI dividend paid (bal figure)	**6,000**	NCI (CSPL)	10,000
c/f NCI (CSFP)	204,000		
	210,000		210,000

Answer to Interactive question 3

INVESTMENT IN JOINT VENTURES

	CU		CU
b/f Inv in JV	176,000	**Dividend received** (bal figure)	**12,000**
Share of profit of JV	20,000	c/f Inv in JV	184,000
	196,000		196,000

Answer to Interactive question 4

Consolidated statement of cash flows for the year-ended 31 December 20X8

Cash flows from operating activities

	CU	CU
Cash generated from operations (Note 1)	340,000	
Income taxes paid (W4)	(100,000)	
Net cash from operating activities		240,000
Cash flows from investing activities		
Acquisition of subsidiary S Ltd, net of cash acquired (Note 2)	(90,000)	
Purchase of property, plant and equipment (W1)	(220,000)	
Net cash used in investing activities		(310,000)
Cash flows from financing activities		
Issue of share capital (1,150 + 650 – 1,000 – 500 – (100 × CU2))	100,000	
Dividends paid to non-controlling interests (W3)	(4,000)	
Net cash from financing activities		96,000
Net increase in cash and cash equivalents		26,000
Cash and cash equivalents at the beginning of period		50,000
Cash and cash equivalents at the end of period		76,000

Notes to the statement of cash flows

Reconciliation of profit before tax to cash generated from operations

	CU
Profit before taxation	420,000
Adjustments for: Depreciation	210,000
	630,000
Increase in trade receivables (1,370 – 1,100 – 30)	(240,000)
Increase in inventories (1,450 – 1,200 – 70)	(180,000)
Increase in trade payables (1,690 – 1,520 – 40)	130,000
Cash generated from operations	340,000

Acquisition of subsidiary

During the period the group acquired subsidiary S Ltd. The fair value of assets acquired and liabilities assumed were as follows:

	CU
Cash and cash equivalents	10,000
Inventories	70,000
Receivables	30,000
Property, plant and equipment	190,000
Trade payables	(40,000)
Non-controlling interests	(26,000)
	234,000
Goodwill	66,000
Total purchase price	300,000
Less: Cash of S Ltd	(10,000)
Non-cash consideration	(200,000)
Cash flow on acquisition net of cash acquired	90,000

WORKINGS

(1)

PROPERTY, PLANT AND EQUIPMENT

	CU		CU
b/f	2,300,000	Depreciation	210,000
On acquisition of subsidiary	190,000	c/f	2,500,000
Additions (β)	220,000		
	2,710,000		2,710,000

(2)

GOODWILL

	CU		CU
b/f	–		
Additions (100 + 200 + (10% × 260) - 260)	66,000	Impairment losses (β)	0
		c/f	66,000
	66,000		66,000

(3)

NON-CONTROLLING INTEREST

	CU		CU
Dividend (β)	4,000	b/f	
c/f	31,000	On acquisition	26,000
		CSPL	9,000
	35,000		35,000

(4)

INCOME TAX PAYABLE

	CU		CU
		b/f	100,000
Cash paid (β)	100,000	CSPL	150,000
c/f	150,000		
	250,000		250,000

Answer to Interactive question 5

5.1 **Cash flows from investing activities**

	CU
Disposal of subsidiary Desdemona Ltd, net of cash disposed of (400 – 20)	380,000

5.2 **Cash flows from investing activities**

	CU
Purchase of property, plant and equipment	(1,307,000)

WORKING

	CU		CU
b/f	3,950,000	On disposal of subsidiary	390,000
Additions (β)	1,307,000	Depreciation	800,000
		c/f	4,067,000
	5,257,000		5,257,000

5.3 **Cash flows from financing activities**

WORKING

	CU
Dividends paid to non-controlling interests (W)	(41,600)

	CU		CU
Disposal (457 × 20%)	91,400	b/f	512,000
Dividend paid (β)	41,600	CSPLOCI	103,000
c/f	482,000		
	615,000		615,000

5.4 Note to the statement of cash flows

During the period the group disposed of subsidiary Desdemona Ltd. The carrying amount of assets and liabilities disposed of were as follows:

	CU
Cash and cash equivalents	20,000
Inventories	50,000
Receivables	39,000
Property, plant and equipment	390,000
Payables	(42,000)
Non-controlling interests (W2)	(91,400)
	365,600
Profit on disposal	34,400
Total sale proceeds	400,000
Less cash of Desdemona Ltd disposed of	(20,000)
Cash flow on disposal net of cash disposed of	380,000

5.5 Reconciliation of profit before tax to cash generated from operations

	CU
Profit before tax (862 + 20)	882,000
Adjustments for:	
Depreciation	800,000
	1,682,000
Increase in receivables (605 – 417 + 39)	(227,000)
Increase in inventories (736 – 535 + 50)	(251,000)
Increase in payables (380 – 408 + 42) Cash generated from operations	14,000
	1,218,000

Answers to Self-test questions

1 IAS 7, Statement of Cash Flows

CU11,600

	CU
Inflows:	
- Share issue	5,000
- Loan	9,000
	14,000
Outflows:	
- Share expenses	(500)
- Loan repayments, less interest (2,200 – 300)	(1,900)
	11,600

2 Sun plc

CU767,000

	CU
Profit before tax	775,000
Decrease in inventory (550 – 475 – 80)	5,000
Increase in receivables (943 – 800 – 110)	(33,000)
Increase in payables (620 – 530 – 70)	20,000
	767,000

3 Spades plc

CU190,000

NON-CONTROLLING INTERESTS

	CU		CU
c/f	750,000	b/f	720,000
		Non-controlling interests in profit for the year	100,000
Dividend paid to non-controlling interests (β)	190,000	Acquisition of subsidiary (600 × 20%)	120,000
	940,000		940,000

4 Rain plc

CU130,000

NON-CONTROLLING INTERESTS

	CU		CU
		b/f (CSFP)	525,000
NCI dividend paid (β)	130,000	NCI (CSPL)	55,000
c/f (CSFP)	550,000	NCI in S acquired (400,000 × 25%)	100,000
	680,000		680,000

5 Brink plc

CU870,000

PPE – CARRYING AMOUNT

	CU		CU
b/f	3,700,000		
Acquired with Edge	500,000	Depreciation charge	970,000
Additions (β)	870,000	c/f	4,100,000
	5,070,000		5,070,000

6 Brad plc

CU26,000

INVESTMENTS IN ASSOCIATES

	CU		CU
b/f (CSFP)	387,000	Dividend received (β)	26,000
Share of profit (CSPL) (tax already deducted)	44,000	c/f (CSFP)	405,000
	431,000		431,000

7 Romeo plc

CU945,000 (1,020,000 – 75,000)\

8 Cloudesdale plc

Statement of cash flows for the year-ended 31 December 20X9

	CUm	CUm
Net cash from operating activities		351
Cash flows from investing activities		
Purchase of property, plant and equipment (105 – 90 re acq)	(15)	
Acquisition of subsidiary net of cash acquired (140 – 15)	(125)	
Dividend received from joint venture	6	
Net cash used in investing activities		(134)
Cash flows from financing activities		
Repayment of loan notes	(80)	
Dividend paid to non-controlling interests (70 + 35 – 79)	(26)	
Net cash used in financing activities		(106)
Net increase in cash and cash equivalents		111
Cash and cash equivalents at 31 December 20X8		124
Cash and cash equivalents at 31 December 20X9		235

Note: Reconciliation of profit before tax to net cash from operating activities	**CUm**
Group profit before taxation	335
Less share of profit of joint venture	(8)
Depreciation	120
Interest expense	15
	462
Decrease in inventories (42 + 20 re acquisition)	62
Decrease in trade receivables (16 – 25 re acquisition)	9
Decrease in trade payables (57 + 40 re acquisition)	(97)
Cash generated from operations	436
Interest paid	(20)
Income tax paid	(65)
Net cash from operating activities	351

9 Greenfingers plc

Consolidated statement of cash flows for the year-ended 31 December 20X7

	CU	CU
Cash flows from operating activities		
Cash generated from operations (Note)	1,116,000	
Interest paid (W2)	(420,000)	
Income taxes paid (W3)	(750,000)	
Net cash used in operating activities		(54,000)
Cash flows from investing activities		
Acquisition of subsidiary, net of cash acquired (W4)	294,000	
Purchase of property, plant and equipment (W5)	(3,255,000)	
Proceeds from sale of property, plant and equipment	1,500,000	
Dividends received from investments	465,000	
Dividends received from associates (W6)	750,000	
Net cash used in investing activities		(246,000)
Cash flows from financing activities		
Proceeds from issue of ordinary share capital (W7)	7,359,000	
Proceeds from issue of loan notes (W8)	2,880,000	
Payments under leases (W10)	(810,000)	
Dividends to owners of Greenfingers (3,735 + 7,500 – 10,335)	(900,000)	
Dividends paid to non-controlling interests (W9)	(144,000)	
Net cash from financing activities		8,385,000
Net increase in cash and cash equivalents		8,085,000
Cash and cash equivalents at beginning of year		5,460,000
Cash and cash equivalents at end of year		13,545,000

Reconciliation of profit before tax to cash generated from operations	**CU**
Profit before tax	5,520,000
Adjustments for:	
– Depreciation (W1)	975,000
– Profit on sale of property, plant and equipment	(300,000)
– Share of profits of associates	(1,050,000)
– Investment income	(465,000)
– Interest expense	450,000
	5,130,000
Increase in receivables (5,550 – 3,825 – 84)	(1,641,000)
Increase in inventories (5,925 – 3,000 – 96)	(2,829,000)
Increase in trade payables (1,500 – 840 – 204)	456,000
Cash generated from operations	1,116,000

WORKINGS

(1)

ACCUMULATED DEPRECIATION – MACHINERY

	CU		CU
Disposal	300,000	b/f (Machinery)	3,300,000
c/f (Machinery)	3,600,000	Depreciation charge (β)	600,000
	3,900,000		3,900,000

	CU
Total depreciation:	
- Freehold buildings (6,600 – 6,225)	375,000
- Machinery	600,000
	975,000

(2)

INTEREST PAYABLE

	CU		CU
Cash paid (β)	420,000	b/f	90,000
c/f	120,000	CSPL	450,000
	540,000		540,000

(3)

TAXATION

	CU		CU
Cash paid (β)	750,000	b/f	690,000
c/f	1,476,000	CSPL	1,485,000
		On acquisition	51,000
	2,226,000		2,226,000

(4) Acquisition of subsidiary, net of cash acquired

	CU
Cash received on acquisition	336,000
Less cash consideration	(42,000)
Net cash inflow	2,94,000

(5)

MACHINERY – COST

	CU		CU
b/f	4,200,000	Disposal	1,500,000
On acquisition	495,000		
Right-of-use assets	2,550,000		
Additions (β)	3,255,000	c/f	9,000,000
	10,500,000		10,500,000

(6)

INVESTMENTS IN ASSOCIATES

	CU		CU
b/f	3,000,000		
Share of profit (CSPL)	1,050,000	Dividends received (β)	750,000
		c/f	3,300,000
	4,050,000		4,050,000

(7)

SHARE CAPITAL AND PREMIUM

	CU'000		CU'000
		b/f (6,000 + 6,285)	12,285
		Non-cash consideration (660 + 165)	825
c/f (11,820 + 8,649)	20,469	Proceeds from issue (β)	7,359
	20,469		20,469

(8)

LOAN NOTES

	CU		CU
		b/f	1,500,000
		Proceeds from issue (β)	2,880,000
c/f	4,380,000		
	4,380,000		4,380,000

(9)

NON-CONTROLLING INTERESTS

	CU		CU
		b/f	–
Dividends to NCI (β)	144,000	Share of profits (CSPL)	300,000
c/f	345,000	On acquisition	189,000
	489,000		489,000

(10)

OBLIGATIONS UNDER LEASES

	CU		CU
		b/f Current	600,000
		b/f Long-term	510,000
Capital repayment (β)	810,000	New lease commitment	2,550,000
c/f Current	720,000		
c/f Long-term	2,130,000		
	3,660,000		3,660,000

Chapter 18
Islamic Financial Accounting and Reporting

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1. *The AAOIFI conceptual framework and comparison with the IFRS Conceptual Framework*
2. *Standard-setting bodies: AAOIFI and IFSB*
3. *Financial statements of Islamic Financial Institutions (IFIs) - format and unique statements*
4. *Murabaha (Cost-Plus-Profit Sale)*
5. *Ijarah and Ijarah Muntahia Bittamleek*
6. *Musharaka financing*
7. *Mudaraba financing*
8. *Salam and Parallel Salam (AAOIFI FAS 7)*
9. *Istisna and Parallel Istisna (AAOIFI FAS 10)*
10. *Investment Accounts, PER, IRR and Displaced Commercial Risk*
11. *Zakah*
12. *Ethical and professional considerations in Islamic financial reporting*

Summary

Technical references

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Islamic finance is one of the fastest-growing segments of the global financial system, with assets exceeding USD 3 trillion worldwide. It operates on the foundational Shari'ah principles of prohibiting Riba (interest), Gharar (excessive uncertainty) and Maysir (speculation), requiring all financial activity to be linked to real economic assets and socially beneficial purposes.

Bangladesh has a significant Islamic banking sector, with dedicated Islamic banks, Islamic windows of conventional banks and , all regulated by Bangladesh Bank. This chapter provides a comprehensive treatment of Islamic financial accounting and reporting, covering all areas examinable under updated learning outcomes of the revised Financial Accounting and Reporting (FAR) syllabus of professional level of ICAB.

Learning outcomes

On completion of this chapter candidates will be able to:

- *Explain and contrast the objectives of financial reporting for Islamic Financial Institutions (IFIs) with the IFRS Conceptual Framework, focusing on the concepts of Amanah (fiduciary duty) and accountability.*
- *Identify the roles of Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) and the International Financial Services Board (IFSB) and explain how their standards promote governance and stability in the Islamic finance industry.*
- *Prepare and analyse the presentation and disclosure requirements of the unique financial statements required for IFIs, including the Statement of Sources and Uses of Zakah and Charity Funds and the Statement of Income and Expenditure for Profit Sharing Investment Accounts (PSIAs).*
- *Apply the specific recognition, measurement and presentation rules for Murabaha, Ijarah, Musharaka, Mudaraba, Salam and Istisna; prepare journal entries and financial statement extracts from both the IFI perspective and the customer perspective.*
- *Differentiate the accounting treatment of each Shari'ah-compliant instrument from its conventional IFRS/IAS equivalent.*
- *Account for and disclose Profit Equalisation Reserve (PER) and Investment Risk Reserve (IRR); explain their role in managing Displaced Commercial Risk.*
- *Calculate Zakah using the net asset method and the net invested funds method under AAOIFI FAS 9.*
- *Identify and explain ethical and professional issues arising in Islamic financial reporting, including Shari'ah arbitrage, PER manipulation and disclosure obligations.*

Syllabus links

Islamic Finance was first introduced in the "Financial Management" module of professional level under "Sources of Finance". There we pictured how the various modes of Islamic Finance works. Now this new chapter addresses Learning Outcomes LO7 of the revised FAR syllabus. The conceptual principles introduced in Chapter 1 (Reporting Framework) provide the foundation. Ijarah has strong parallels with IFRS 16 (Chapter 7) - candidates should read the two chapters together. Revenue recognition principles in Chapter 6 provide context for Murabaha profit recognition, and financial instruments in Chapter 8 provide contrast for Mudaraba treatment.

Examination context

In the examination, candidates may be required to:

- *Explain and contrast the AAOIFI and IFRS conceptual frameworks, focusing on the objective of Amanah.*
- *Prepare extracts from IFI financial statements including the Zakah Fund statement and PSIA income statement.*
- *Calculate and journal all stages of a deferred Murabaha transaction using the proportionate allocation method; account for early settlement and default scenarios.*
- *Account for an Ijarah Muntahia Bittamleek from the perspective of the lessor (IFI) through all stages, including impairment; contrast with IFRS 16.*
- *Calculate and record Musharaka profit-sharing and loss allocations, including diminishing Musharaka unit transfers at fair value.*
- *Allocate Mudaraba profit; account for losses including the special treatment for negligence-related losses.*
- *Prepare journal entries for Salam (AAOIFI FAS 7): Salam receivable, delivery, Parallel Salam - both contracts through to profit recognition.*
- *Prepare journal entries for Istisna (AAOIFI FAS 10): cost accumulation, percentage of completion revenue recognition, Parallel Istisna.*
- *Account for Murabaha, Ijarah, Musharaka and Mudaraba from the customer's perspective; contrast with IFI treatment.*
- *Calculate the full Profit Equalisation Reserve (PER)/ Investment Risk Reserve (IRR) waterfall; account for each step; explain Displaced Commercial Risk (DCR).*
- *Calculate Zakah under both the net asset method and the net invested funds method.*
- *Identify and respond to ethical issues including Shari'ah arbitrage and PER manipulation scenarios.*

Chapter study guidance

Use this schedule alongside your study timetable to plan your study dates.

Topic	Practical significance	Study approach	Exam approach	Interactive Questions (IQ)
1. Conceptual framework	*Foundation for the chapter; explains why IFI accounting differs from IFRS*	*Study the comparison table; understand Amanah and accountability*	*Explain/contrast questions; focus on Amanah and unique qualitative characteristics*	*IQ1*
2. Standard-setting	*AAOIFI and IFSB are directly examinable*	*Learn FAS numbers and their subjects; understand the SSB role*	*Short 'explain' questions; know at least 6 FAS by number and title*	*IQ2*
3. IFI financial statements	*Unique statements are a frequent exam topic*	*Study all seven statements; master the proformas for*	*Preparation of extracts; full Zakah Fund statement*	*IQ3*

Topic	Practical significance	Study approach	Exam approach	Interactive Questions (IQ)
		Zakah and PSIA statements		
4. Murabaha	*The most commonly examined Islamic contract; detailed calculations essential*	*Work through all illustrations step-by-step; complete IQ4 before checking answers*	*Multi-period deferred Murabaha; Hamish Jiddiyyah scenarios*	*IQ4*
5. Ijarah	*Fundamental differences from IFRS 16; lessor retains asset throughout*	*Work through operating Ijarah and IMB separately; use the IFRS comparison table*	*SFP extracts; depreciation/rental calculations; IFRS 16 contrast*	*IQ5*
6. Musharaka	*Both constant and diminishing Musharaka examinable; loss allocation is key*	*Work through both illustrations; focus on capital-ratio loss allocation*	*Profit/loss allocation; diminishing Musharaka unit transfer calculations*	*IQ6*
7. Mudaraba	*Liability side (PSIAs) and asset side both examinable*	*Work through the worked example; apply the negligence exception*	*Profit/loss calculations; negligence scenarios; PSIA link*	*IQ7*
8. Salam and Parallel Salam	*New area; FAS 7 - pre-payment forward sale for commodity/agri financing*	*Master the 'full price upfront' rule; work through IQ8 step by step*	*JEs for both legs of Parallel Salam; non-delivery; contrast with conventional forward*	*IQ8*
9. Istisna and Parallel Istisna	*New area; FAS 10 - custom manufacturing/construction finance*	*Master % completion vs completion method; work all stage payments in both contracts*	*Revenue/cost per period; Parallel Istisna JEs; contrast with IAS 11*	*IQ9*
10. Investment Accounts, PER, IRR, DCR	*New syllabus area; highly likely to be examined*	*Memorise the 5-step waterfall; work through the worked example*	*Full waterfall calculation; closing reserve balances; explain DCR*	*IQ10*

Topic	*Practical significance*	*Study approach*	*Exam approach*	*Interactive Questions (IQ)*
11. Zakah	*Two methods: net asset and net invested funds*	*Study both methods and their inclusion tables carefully*	*Calculate Zakah base and Zakah payable under stated method*	*IQ11*
12. Ethical and professional considerations	*Scenarios combine with practical questions*	*Identify Riba risk, Shari'ah arbitrage, PER manipulation, SSC obligations*	*Identify issues; apply ICAB Code of Ethics; recommend action*	*IQ12*

1 The Islamic Financial System and Conceptual Framework

1.1 The need for Islamic finance

Islamic finance arose primarily from the prohibition in Shari'ah (Islamic law) of Riba - a term that encompasses interest and usury in any form. In the conventional financial system, the time value of money is the central mechanism through which credit is priced and returns are generated. Islam fundamentally rejects this, requiring instead that returns on capital be linked to genuine economic activity, trade, and the acceptance of ownership risk. The prohibition of Riba is one of the most clearly established rulings in the Qur'an and Hadith.

The foundational prohibitions and requirements of Islamic finance are:

- ***Prohibition of Riba:*** *Money cannot be lent or borrowed at interest. The IFI neither charges nor pays interest in any form.*
- ***Prohibition of Gharar:*** *Excessive uncertainty in the terms or subject matter of a contract is prohibited. Contracts must be transparent and their terms must be mutually understood and agreed at the outset.*
- ***Prohibition of Maysir:*** *Speculation and gambling are prohibited. All investments must be linked to identifiable, real economic assets or services.*
- ***Requirement of Halal activity:*** *Financing must not be provided to businesses engaged in activities prohibited by Shari'ah - including alcohol, pork products, gambling, weapons of mass destruction, and tobacco.*
- ***Asset-backing:*** *All financial transactions must be linked to a real, tangible asset or a genuine service. Money cannot be sold for money at a premium - this is the definition of Riba.*
- ***Risk and return sharing:*** *Both profit and loss must be shared between the IFI and its customers in proportion to their respective contributions. The conventional model of guaranteed fixed returns is incompatible with Shari'ah.*

1.2 Key differences between Islamic and conventional finance

Feature	Islamic finance	Conventional finance
Status of money	Medium of exchange and store of value only; cannot be sold at a premium to face value	Commodity that can be lent at interest
Basis of profit	Profit on trade, rental income, or share of business profits linked to real assets	Interest on money lent, regardless of underlying economic activity
Risk sharing	Risk must be shared between the provider and user of capital	Risk transferred to borrower; lender earns fixed return regardless of outcome
Penalty for late payment	Penalty may be charged to deter wilful default, but proceeds	Penalty interest recognised as bank income

	donated to charity - not recognised as bank income	
Relationship with customer	*Partners, traders, lessor/lessee - IFI has a stake in the underlying business or asset*	*Creditor and debtor - bank has no direct interest in the customer's success*
Asset link	*Every transaction must have an underlying real asset or service*	*No requirement for asset linkage*
Prohibited activities	*Financing of Haram (prohibited) activities strictly prohibited; SSB monitors compliance*	*No equivalent religious or ethical restriction on the nature of activities financed*

1.3 The AAOIFI conceptual framework

The Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) has published a Statement of Financial Accounting Concepts (SFAC) which forms the conceptual basis for all AAOIFI Financial Accounting Standards (FAS). The AAOIFI framework identifies the following objectives of financial reporting for IFIs:

Primary objective 1: Accountability (Amanah)

IFIs act as trustees (Amin) on behalf of their investors, depositors, and the wider community. The primary duty of financial reporting is to discharge that stewardship responsibility - to demonstrate that funds have been managed in compliance with Shari'ah principles and in the best interests of all stakeholders. This concept of trusteeship is fundamental in Islam.

Primary objective 2: Decision usefulness

Financial statements should provide information useful to stakeholders for making informed economic decisions - consistent with the IFRS framework's objective.

*Critically, AAOIFI places **accountability before decision-usefulness** - a reversal of the IFRS Conceptual Framework's ordering. This reflects the concept of Amanah: the IFI is not merely an entity reporting to capital providers; it is an institution entrusted with the community's wealth and obligated to deploy it in a Shari'ah-compliant manner.*

1.4 Comparison: IFRS Conceptual Framework vs AAOIFI

Area	*IFRS Conceptual Framework*	*AAOIFI Conceptual Framework*
Primary objective	*Decision usefulness for existing and potential investors, lenders and creditors*	*Accountability (Amanah/stewardship) to all stakeholders; decision usefulness is secondary*
Primary users	*Existing and potential investors, lenders, other creditors*	*Equity holders, investment account holders (IAH), depositors, Zakah agencies, regulatory bodies, the wider community*
Shari'ah compliance	*No concept of religious obligation*	*Fundamental constraint on all transactions, contracts and*

		reporting; non-compliance voids the transaction
Substance over form	*Financial information represents economic substance*	*Both form and substance recognised; Shari'ah requires that legal form cannot override substance, but Islamic law itself considers both*
Financial statements	*SFP, P&L and OCI, changes in equity, cash flows, notes*	*SFP, income statement, changes in equity, cash flows, changes in restricted investments, Zakah and charity funds statement, PSIA income statement, notes*
Zakah	*No equivalent requirement*	*IFIs must account for and disclose Zakah obligations in a dedicated statement*
Revenue recognition	*Interest income (IFRS 9 EIR); revenue on transfer of control (IFRS 15)*	*No interest concept; revenue from trade profit (Murabaha), rental (Ijarah), profit share (Mudaraba/Musharaka)*
Qualitative characteristics	*Relevance, faithful representation (fundamental); comparability, verifiability, timeliness, understandability (enhancing)*	*High quality, true and fair view, decision usefulness, transparency, relevance, understandability, reliability, faithful representation, neutrality, completeness, verifiability, consistency, comparability, prudence*

1.5 Why separate standards are required for IFIs

The following areas create information needs for IFI stakeholders that are not met by conventional IFRS-based financial statements:

- ***Profit and loss distribution:*** *In IFIs, profits are shared with IAH at a pre-agreed ratio and losses are shared in proportion to capital contributed. In conventional banks, deposits are guaranteed and losses are borne entirely by the bank.*
- ***Investment accounts:*** *Funds received under Mudaraba investment accounts bear investment risk - they are quasi-equity, not liabilities. They are presented separately between liabilities and owners' equity on the SFP.*
- ***Prudential reserves:*** *IFIs maintain the Profit Equalisation Reserve (PER) and Investment Risk Reserve (IRR) to manage PSIA returns over time. No equivalent exists in conventional banking.*
- ***Zakah:*** *IFIs must prepare a dedicated Statement of Sources and Uses of Zakah and Charity Funds.*
- ***Ijarah vs conventional leasing:*** *The IFI must own the asset, bear major maintenance risk, and retain the asset on its balance sheet throughout. This differs fundamentally from IFRS 16 finance lease lessor accounting.*

- ***Segment reporting:*** *AAOIFI FAS 22 requires all IFIs - whether publicly listed or not - to disclose segment information. Under IFRS 8, this is required only of listed entities.*

> ***Interactive question 1: Conceptual framework comparison***
>
> *You are the Chief Financial Officer of ABC Islami Bank PLC. The Board of Directors has requested a briefing note comparing the objectives of financial reporting under the AAOIFI Conceptual Framework with those under the IFRS Conceptual Framework.*
>
> ***Requirements:***
>
> 1. *Identify the primary objective of financial reporting under each framework and explain the key philosophical difference between them.*
> 2. *Explain the concept of Amanah and describe two practical implications for how an IFI prepares and presents its financial statements.*
> 3. *Identify three specific areas where the financial statements of an IFI under AAOIFI differ from those of a conventional bank reporting under IFRS.*
>
> *See Answer at the end of this chapter.*

2 Standard-Setting Bodies: AAOIFI and IFSB

2.1 AAOIFI - structure, objectives and key standards

The Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) was registered in 1991 in the Kingdom of Bahrain as an international autonomous non-profit corporate body. It has over 200 member organisations from more than 45 countries. AAOIFI's core objectives are: to develop accounting and auditing concepts relevant to IFIs; to prepare, promulgate and interpret accounting, auditing and governance standards for IFIs; and to review and amend standards as the Islamic finance industry develops.

AAOIFI has issued over 100 standards across five categories: Financial Accounting Standards (FAS), Auditing Standards, Governance Standards, Ethics Standards and Shari'ah Standards.

FAS No.	Title	Chapter relevance
FAS 1	General Presentation and Disclosure in the Financial Statements of IFIs	Format of all IFI financial statements; disclosure requirements
FAS 2	Murabaha and Murabaha to the Purchase Orderer	Section 4 - Murabaha accounting
FAS 3	Mudaraba Financing	Section 7 - Mudaraba accounting
FAS 4	Musharaka Financing	Section 6 - Musharaka accounting
FAS 5	Disclosure of Bases for Profit Allocation Between Owners' Equity and IAH	Section 10 - Investment account disclosures
FAS 6	Equity of Investment Account Holders	Section 10 - UIA and RIA presentation

FAS 7	*Salam and Parallel Salam*	*Section 8 – Salam and Parallel Salam*
FAS 8	*Ijarah and Ijarah Muntahia Bittamleek*	*Section 5 - Ijarah accounting*
FAS 9	*Zakah*	*Section 11 - Zakah calculation and disclosure*
FAS 10	*Istisna and Parallel Istisna*	*Section 9 - Istisna and Parallel Istisna*
FAS 11	*Provisions and Reserves*	*Section 10 - PER and IRR*
FAS 22	*Segment Reporting*	*All IFIs must disclose segment information*
FAS 26	*Investment in Real Estate*	*Background reference*
FAS 27	*Investment Accounts (supersedes FAS 5 and 6)*	*Updated investment account standard*

AAOIFI standards are mandatory in Bahrain, Sudan, Jordan, Qatar, Oman, Dubai International Financial Centre, Syria and Lebanon. In Bangladesh, Bangladesh Bank guidance requires Islamic banks to follow AAOIFI standards where they do not conflict with local regulatory requirements.

2.2 The Islamic Financial Services Board (IFSB)

The IFSB (established 2002, headquartered in Kuala Lumpur) is the prudential standard-setter for Islamic finance - the Islamic equivalent of the Basel Committee on Banking Supervision. It issues capital adequacy, risk management and corporate governance standards for IFIs.

- ***IFSB-1: Guiding Principles of Risk Management*** *- covers credit risk, market risk, rate of return risk, displaced commercial risk, liquidity risk and operational risk. Provides the framework for managing DCR.*
- ***IFSB-2: Capital Adequacy Standard*** *- adapts the Basel framework for IFIs. Requires IFIs to hold additional regulatory capital for PSIA-funded assets because of Displaced Commercial Risk.*
- ***IFSB-3: Guiding Principles on Corporate Governance*** *- includes principles for the Shari'ah Supervisory Board's composition and responsibilities.*

2.3 The Shari'ah Supervisory Board (SSB)

Under AAOIFI Governance Standard No. 1, every IFI must establish an SSB - an independent body of qualified Islamic scholars. Its responsibilities include:

- *Reviewing and approving all new financial products and transactions to ensure Shari'ah compliance.*
- *Reviewing financial statements and transactions on an ongoing basis.*
- *Issuing a mandatory annual Shari'ah Supervisory Report, which is published as part of the IFI's annual report. This is a mandatory component of the financial statements - there is no equivalent in conventional financial reporting.*
- *Providing Fatwas (religious rulings) on novel or complex transactions.*
- *Reviewing AAOIFI standards issued in accounting, auditing and ethics to ensure they comply with Shari'ah rules.*

The SSB report addresses religious compliance - confirming that all transactions comply with Shari'ah - not financial accuracy. That remains the role of the external auditor.

*In **Bangladesh**, Bangladesh Bank IBRPD Circular No. 01 (September 2025) formalises the requirements for the **Shari'ah Supervisory Committee (SSC)** - referred to in Bangladesh as the SSC rather than SSB. Under this circular, which became effective from 1 January 2026, all Islamic banks and Islamic banking branches of conventional banks in Bangladesh must comply with detailed requirements governing SSC composition, member qualifications, tenure, remuneration, responsibilities and reporting.*

- *The SSC must have 3 or 5 members, all of whom must be practising Muslims. The Board of Directors appoints SSC members with prior approval from Bangladesh Bank's IBRPD.*
- *Each member serves a 3-year term. A member who has served for 6 consecutive years must wait 2 years before re-appointment to the same institution.*
- *SSC members receive a monthly honorarium of BDT 25,000 and up to BDT 8,000 per meeting attended (subject to applicable withholding tax).*
- *The SSC must meet at least quarterly (maximum 6 meetings per year). Minutes of each meeting must be submitted to Bangladesh Bank's IBRPD within 15 days.*
- *Each IFI must publish its annual Shari'ah compliance report on its website and submit it to Bangladesh Bank within 2 months after each financial year end.*
- *The SSC has access to all bank records and transactions, and must report Shari'ah non-compliance incidents to Bangladesh Bank if they persist after being raised with the Board.*

2.4 Bangladesh Bank Guidelines for Islamic Banking

Bangladesh Bank - the central bank and banking regulator of Bangladesh - has issued dedicated guidelines specifically governing the operations of Islamic banks and Islamic banking branches of conventional banks in Bangladesh. These guidelines, issued under the Banking Companies Act 1991, provide the domestic regulatory framework within which all Islamic financial institutions in Bangladesh operate alongside AAOIFI standards.

The Guidelines for Conducting Islamic Banking (full-fledged Islamic banks, Islamic branches, and Islamic windows of conventional banks) establish several key requirements:

- *Islamic banks must follow Islamic Shari'ah in all their principles and modes of operations and must avoid receiving and paying interest at all levels.*
- *The investment modes recognised by Bangladesh Bank are: Mudaraba, Musharaka, Bai-Murabaha, Bai-Muajjal, Salam and Parallel Salam, Istisna and Parallel Istisna, Ijarah, Ijarah Muntahia Bittamleek (Hire-Purchase), Hire-Purchase Musharaka Mutanaqisa (HPMM), Direct Investment, Quard and Quard Hassan.*
- *Funds received under the Al-Wadeeah principle (current accounts) are held as deposits; the bank uses these funds at its own responsibility and depositors do not share in profit or loss. Funds received under Mudaraba principles (savings and term deposits) form the Mudaraba deposit pool, where depositors as Rab al-Maal share in investment income at pre-agreed ratios.*
- *Islamic banking branches of conventional banks must maintain completely separate accounting systems, software and records for Islamic banking transactions, and must prepare separate financial statements.*
- *All Islamic banks must comply with Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) requirements as prescribed by Bangladesh Bank from time to time.*

2.5 Bangladesh Bank's Framework for Rate of Return

Bangladesh Bank has published a Framework of Rate of Return (Appendix III of the Guidelines for Islamic Banking) which standardises the method for calculating profit distributions to Mudaraba depositors. This framework is directly relevant to the PER/IRR waterfall covered in Section 10 of this chapter, and represents Bangladesh Bank's operationalisation of the AAOIFI principle of fair and equitable profit sharing.

Under the Framework, profit income is allocated to Mudaraba depositors using three interconnected tables:

- ***Table 1 - Ratio of Participating Fund:*** *Calculates the proportion of total investment funded by Mudaraba deposits versus the bank's own cost-free funds (equity and Al-Wadeeah balances). This ratio determines what share of gross investment income is attributable to Mudaraba depositors.*
- ***Table 2 - Distributable Profit:*** *From the Mudaraba depositors' share of gross investment income, deductions are made for: (a) the bank's management fee (Mudarib share), and (b) the Investment Loss Off-Setting Reserve (equivalent to the IRR under AAOIFI). The balance is the distributable profit.*
- ***Table 3 - Allocation and Rate of Return:*** *The distributable profit is allocated among different types of Mudaraba deposits using a weightage system. Longer-term deposits receive higher weightage, reflecting their greater stability and the higher risk borne by longer-term depositors. The rate of return for each deposit type is calculated as the depositor's share of distributable profit divided by their outstanding product balance.*

The Bangladesh Bank Framework requires that:

(i) the Profit Sharing Ratio between Mudaraba depositors and the bank (Mudarib) is declared before the start of each accounting year;

(ii) Mudaraba deposits are given investment priority over the bank's own cost-free funds;

(iii) exchange income from foreign currency operations is included in distributable income; and

(iv) complete records of the rate of return calculation are maintained and available for examination by Bangladesh Bank, statutory auditors, and the Shari'ah Supervisory Committee.

Interactive question 2: Standard-setting bodies and the SSB

Horizon Islamic Bank has completed the following transactions during the year: (1) Home purchase financing under a Diminishing Musharaka structure. (2) An industrial machine purchased and leased under Ijarah Muntahia Bittamleek. (3) A three-year Murabaha facility for an importing company. (4) Funds received from retail investors under Unrestricted Investment Accounts.

Requirements:

1. *For each of the four transactions, identify the AAOIFI Financial Accounting Standard that governs its accounting treatment and state its number and title.*
2. *Explain the role of the SSB in approving each type of transaction and describe the content of the SSB report that would appear in Horizon Islamic Bank's annual report.*
3. *Explain why AAOIFI and the IFSB are described as complementary rather than competing standard-setters, and explain the role each plays in the regulation of an IFI.*

See Answer at the end of this chapter.

3 Financial Statements of Islamic Financial Institutions

3.1 Overview: the seven financial statements

Under AAOIFI FAS 1, a complete set of IFI financial statements comprises the following seven statements. The first four have equivalents in conventional IFRS reporting; the last three are unique to IFIs.

Statement	Description	IFI-specific?
Statement of Financial Position (SFP)	*Assets, liabilities, equity of IAH, and owners' equity*	*Partially - UIAH section and PER/IRR presentation are unique*
Income Statement	*Income and expense for the period, categorised by contract type - no interest income*	*Partially - no interest lines; income categorised by Shari'ah contract type*
Statement of Changes in Owners' Equity	*Movements in equity during the period*	*No*
Statement of Cash Flows	*Cash flows adjusted for the absence of interest*	*Partially*
Statement of Changes in Restricted Investments	*Movements in funds managed on a restricted Mudaraba basis - off-balance-sheet*	*Yes - unique to IFIs*
Statement of Sources and Uses of Zakah and Charity Funds	*Zakah collected, received and disbursed during the period*	*Yes - unique to IFIs*

Statement	Description	IFI-specific?
Statement of Income and Expenditure for PSIAs	*Gross income generated on PSIA-funded assets; allocation between bank and PSIA holders*	*Yes - unique to IFIs*

3.2 Statement of Financial Position - IFI-specific features

- ***Assets include:*** *Murabaha receivables (not 'loans receivable'), Ijarah assets (not 'lease receivables'), Musharaka investments, Mudaraba investments, investment in real estate under FAS 26. The terminology reflects the Shari'ah nature of each transaction.*
- ***Unrestricted Investment Accounts (UIAs):*** *Presented as a separate section between liabilities and owners' equity, labelled 'Equity of Unrestricted Investment Account Holders'. They are not liabilities (the IFI is not obliged to repay principal in the event of investment losses) and not equity (IAH have no voting rights).*
- ***Profit Equalisation Reserve (PER) and Investment Risk Reserve (IRR):*** *Disclosed separately. The bank's portion of PER is shown within owners' equity; the IAH portion is shown within the UIAH section. The IRR is shown entirely within the UIAH section.*

3.3 Statement of Sources and Uses of Zakah and Charity Funds - proforma

Statement of Sources and Uses of Zakah and Charity Funds	CU 000	CU 000
SOURCES OF ZAKAH AND CHARITY FUNDS		
Zakah on shareholders' funds (2.5% of Zakah base)	*X*	
Zakah collected from depositors and customers on their behalf	*X*	
Zakah collected from investment account holders	*X*	
Donations and charitable contributions received	*X*	
Balance brought forward	*X*	
Total sources		*X*
USES OF ZAKAH AND CHARITY FUNDS		
Distribution to the poor and needy (Fuqara and Masakin)	*(X)*	
Distribution to those in debt (Gharimin)	*(X)*	
Distribution to travellers in need (Ibn al-Sabil)	*(X)*	
Zakah administration expenses	*(X)*	
Other Shari'ah-approved uses	*(X)*	
Total uses		*(X)*
Balance carried forward		*X*

3.4 Statement of Income and Expenditure for PSIAs - proforma

Statement of Income and Expenditure for Profit Sharing Investment Accounts	*CU 000*
Income from Murabaha transactions funded by PSIAs	*X*
Income from Ijarah assets funded by PSIAs	*X*
Income from Musharaka investments funded by PSIAs	*X*
Income from Mudaraba investments funded by PSIAs	*X*
Other income on PSIA-funded assets	*X*
Total gross income from PSIA-funded assets	*X*
Less: Direct expenses allocated to PSIA pool	*(X)*
Net Mudaraba income available for distribution	*X*
Less: Transfer to Profit Equalisation Reserve (PER) [from gross income, before Mudarib share]	*(X)*
Net income after PER transfer	*X*
Less: Bank's share as Mudarib (pre-agreed %)	*(X)*
Income attributable to PSIA holders	*X*
Less: Transfer to Investment Risk Reserve (IRR) [from PSIA holders' income]	*(X)*
Income distributed to PSIA holders	*X*

Interactive question 3: Preparing IFI financial statement extracts

Al Barakah Islamic Bank has provided the following information for the year ended 31 December 20X5:

- *Zakah on shareholders' funds: Zakah base is CU 96,000,000; rate 2.5%.*
- *Zakah collected from depositors during the year: CU 14,800,000.*
- *Zakah collected from investment account holders: CU 9,200,000.*
- *Cash donations received from members of the public: CU 1,150,000.*
- *Opening balance of the Zakah and Charity Fund: CU 3,800,000.*
- *Distributions: CU 19,500,000 to registered charitable organisations; CU 5,100,000 to verified eligible individuals; CU 300,000 administration expenses.*
- *PSIA data: Gross income CU 18,000,000; PER transfer rate 8%; Mudarib share 25% of post-PER income; IRR transfer rate 5% of PSIA holders' income.*

Requirements:

1. *Calculate the Zakah on shareholders' funds.*
2. *Prepare the complete Statement of Sources and Uses of Zakah and Charity Funds for the year ended 31 December 20X5.*

3. *Prepare the Statement of Income and Expenditure for PSIAs, showing all steps of the waterfall calculation and the income distributed to PSIA holders.*
4. *Explain why AAOIFI requires IFIs to publish these two dedicated statements, when no equivalent is required from conventional banks.*

See Answer at the end of this chapter.

4 Murabaha (Cost-Plus-Profit Sale)

Definition: *Murabaha - A sale of goods at cost plus an agreed profit mark-up, where the seller must disclose the cost to the buyer and stipulate the amount of profit in addition to it. The distinguishing feature is the full disclosure of cost and profit - it is a 'trust sale'. (AAOIFI FAS 2 Appendix B; Shari'ah Standard No. 8)*

Murabaha is the most widely used financing instrument in Islamic banking globally - accounting for approximately 60–80% of IFI financing portfolios in many jurisdictions. It is used for trade finance, home finance (to purchase goods), vehicle finance, and other consumer and corporate financing. Its defining characteristic is that it is a genuine sale of goods, not a loan of money.

4.1 Types of Murabaha

1. ***Standard Murabaha***

   The IFI holds inventory of a generic commodity or asset and sells it to the customer at cost plus an agreed profit margin. Payment may be spot (cash Murabaha) or deferred.

2. ***Murabaha to the Purchase Orderer (MPO)***

   The most common form in modern Islamic banking. The customer identifies a specific asset they wish to acquire and requests the IFI to purchase it. The flow of the transaction is:

   - *The customer (purchase orderer) approaches the IFI with a request to finance the purchase of a specific asset. The customer signs a Promise (Wa'ad) to purchase the asset from the IFI once the IFI has acquired it.*
   - *The IFI purchases the asset from the supplier and obtains legal title and physical or constructive possession. At this stage the IFI bears the risk of ownership.*
   - *The IFI sells the asset to the customer at the agreed Murabaha price (cost + profit). The customer pays the price spot, as a lump sum, or in instalments over the agreed financing period.*

4.2 Key Shari'ah conditions (Shari'ah Standard No. 8)

- *The IFI must own the asset and have actual or constructive possession before selling it to the customer. A sale of an asset the IFI does not yet own is invalid (Bay' al-Ma'dum - sale of non-existent goods).*
- *The cost and profit margin must both be fully disclosed to the customer. Concealment of cost renders the transaction void as it betrays the 'trust sale' nature of Murabaha.*
- *The agreed sale price cannot be increased if the customer defaults on payment. The price is fixed at inception.*

- *Any penalty charged to deter wilful default must be donated to charity - it cannot be recognised as income by the IFI.*
- *The Murabaha contract cannot be rolled over at the end of its term. The IFI cannot re-sell the same goods to the same buyer under a new Murabaha.*
- *The subject matter must be Shari'ah-compliant tangible goods. Currencies, gold and silver cannot be the subject of a Murabaha.*
- *The supplier must be a genuine third party, unrelated to the customer. The IFI cannot purchase goods from a company wholly or majority-owned by the customer, as this would be tantamount to E'ina (a prohibited back-to-back structure).*

4.3 Security deposits: Hamish Jiddiyyah and Urboun

To mitigate the risk that the customer does not complete the purchase after the IFI has acquired the asset, the IFI may demand a security deposit:

Feature	Hamish Jiddiyyah (Security deposit)	Urboun (Earnest money)
Purpose	To ensure the customer is serious in their commitment to the transaction	Down payment that forms part of the final sale price
Binding promise - customer completes the Murabaha	Adjusted against the sale price at completion	Adjusted against the sale price at completion
Binding promise - customer defaults	IFI may retain only its actual loss; balance returned to customer	IFI retains the full Urboun amount regardless of actual loss
Non-binding promise - customer defaults	Refunded in full to customer, even if IFI suffers a loss	IFI retains the full Urboun amount regardless
If actual loss exceeds the deposit (binding promise)	IFI may claim the excess loss from the customer as a receivable	IFI retains Urboun; cannot claim beyond it
Summary principle	Maximum retention = actual loss	Non-refundable regardless of loss

4.4 Measurement principles (AAOIFI FAS 2)

Initial measurement of Murabaha asset:

Recorded at historical cost: purchase price plus all directly attributable costs necessary to bring the asset into the IFI's possession, such as freight, insurance in transit, customs duties, port handling, and installation. Indirect costs (administrative overheads, marketing, storage other than mandatory bonded warehousing) are excluded.

Subsequent measurement before sale:

- *Binding promise from customer: Asset held at historical cost. If value declines due to damage, destruction or unfavourable circumstances, the decline is recognised as a loss in the income statement in the period it occurs.*

- *Non-binding promise (or standard Murabaha): If recovery of cost is in doubt, the asset is written down to its cash equivalent value (net realisable value) via a provision for decline in value.*

4.5 Profit recognition

Current period (spot or short-term credit):

If the Murabaha is on a spot basis or credit that falls within the same financial period, the entire profit is recognised at the time of contracting.

Deferred profits - credit over multiple financial periods (AAOIFI FAS 2 preferred method):

AAOIFI FAS 2 specifies two acceptable methods for deferred profit recognition:

- *Proportionate allocation method (preferred): Total profit is allocated to each financial period in proportion to the outstanding Murabaha receivable balance. This achieves a result broadly equivalent to the effective interest rate (EIR) method under IFRS 9 - but the income is a trade margin, not interest. A simple equal annual allocation over the credit period is an acceptable approximation.*
- *Instalment receipt method: Profit is recognised as and when each instalment is received. This method requires approval by the Shari'ah Supervisory Board or supervisory authorities and is not preferred by AAOIFI.*

Under both methods, the full Murabaha receivable (face value = cost + total profit) is recognised at inception. Deferred Murabaha profit (the unearned portion) is presented as a deduction from the Murabaha receivable on the Statement of Financial Position.

4.6 Journal entries - Method A (AAOIFI preferred)

Account	Dr CU	Cr CU	Ref
AT INCEPTION - IFI purchases asset from supplier			
Murabaha asset (at historical cost)	*Cost*		*SFP*
Cash / Payable to supplier		*Cost*	*SFP*
AT INCEPTION - IFI sells asset to customer			
Murabaha receivable (face value = cost + total profit)	*Face*		*SFP*
Murabaha asset (cost)		*Cost*	*SFP*
Deferred Murabaha profit (total profit)		*Profit*	*SFP*
AT EACH PERIOD-END - proportionate allocation of profit			
Deferred Murabaha profit	*portion*		*SFP*
Murabaha income earned		*portion*	*IS*
ON RECEIPT OF EACH INSTALMENT			
Cash	*instalment*		*SFP*
Murabaha receivable		*instalment*	*SFP*

Worked example: Deferred Murabaha - full multi-period illustration

Al Amin Islamic Bank enters into a Murabaha to the Purchase Orderer arrangement on 1 January 20X4. The bank purchases machinery for CU 200,000 and sells it to Sunrise Traders on the same date at a total sale price of CU 260,000, payable in five equal annual instalments of CU 52,000, falling due on 31 December each year. The bank uses the proportionate allocation method (equal annual); its year-end is 31 December.

Total deferred profit = CU 260,000 − CU 200,000 = CU 60,000. Annual profit (equal allocation) = CU 60,000 ÷ 5 = CU 12,000.

Year	Opening receivable CU	Instalment CU	Profit earned CU	Cumulative profit CU	Closing receivable CU
20X4	260,000	52,000	12,000	12,000	208,000
20X5	208,000	52,000	12,000	24,000	156,000
20X6	156,000	52,000	12,000	36,000	104,000
20X7	104,000	52,000	12,000	48,000	52,000
20X8	52,000	52,000	12,000	60,000	-
Total		260,000	60,000		

Journal entries - 1 January 20X4 (inception):

Dr Murabaha Receivable CU 260,000 (SFP)

Cr Murabaha Asset CU 200,000 (SFP)

Cr Deferred Murabaha Profit CU 60,000 (SFP)

31 December 20X4 (profit recognition and instalment receipt):

Dr Deferred Murabaha Profit CU 12,000 (SFP)

Cr Murabaha Income Earned CU 12,000 (IS)

Dr Cash CU 52,000 (SFP)

Cr Murabaha Receivable CU 52,000 (SFP)

Statement of Financial Position extract - 31 December 20X4:

SFP item	CU
Non-current assets: Murabaha receivable (Year 2–5 instalments due > 1 year)	156,000
Current assets: Murabaha receivable (Year 1 instalment due within 1 year)	52,000
Total Murabaha receivable (gross face value)	208,000
Less: Deferred Murabaha profit (unearned - Years 2–5)	(48,000)
Net Murabaha receivable presented on SFP	160,000

4.7 Early settlement

If a customer pays one or more instalments before the due date, the IFI may - at its own discretion - grant a rebate by crediting the Murabaha receivable (reducing it). This discretionary rebate is permissible; however, it cannot be a pre-agreed contractual right of the customer. A contractually pre-agreed rebate would make the profit amount uncertain at inception, which is inconsistent with the requirement that the Murabaha price be fixed and known at the time of contracting.

4.8 Commodity Murabaha (Tawarruq)

Commodity Murabaha (Tawarruq) is a structure used by IFIs primarily for liquidity management and interbank placements. It involves the purchase of a permissible commodity (typically metals traded on established commodity exchanges, such as the London Metal Exchange) on a deferred basis, followed by the immediate sale of that commodity to a third party for spot cash. The result: the purchasing party obtains cash against a future payment obligation.

AAOIFI Shari'ah Standard No. 30 permits Tawarruq subject to strict conditions including genuine transfer of commodity ownership, actual or constructive possession by the buyer, and the prohibition against selling the commodity back to the original seller (E'ina). Many scholars consider Tawarruq an instrument of necessity only - to be used when other Shari'ah-compliant liquidity mechanisms are not available.

4.9 Key comparison with conventional IFRS treatment

Feature	Murabaha (AAOIFI FAS 2)	Conventional loan (IFRS 9)
Legal form	Sale of goods - IFI must take ownership and bear risk	Loan of money - IFI bears only credit risk
Income classification	Trade profit - 'Murabaha income earned'	Interest income
Profit/income recognition	Proportionate allocation of fixed trade margin	Effective interest rate (EIR) method
Late payment penalty	To charity only; bank cannot recognise as income	Additional interest recognised as income by bank
SFP presentation	Murabaha receivable (gross) less deferred Murabaha profit	Financial asset at amortised cost
Asset ownership risk	IFI bears asset risk during ownership period	IFI bears only credit risk on the loan
Price adjustability	Price fixed at inception; cannot increase	Interest can vary (floating rate)
Rollover	Contract cannot be rolled over	Loan can be renewed/restructured

Interactive question 4: Multi-period deferred Murabaha - calculations and journals

Al Falah Islamic Finance enters into a Murabaha to the Purchase Orderer on 1 April 20X5. The bank purchases industrial equipment for CU 480,000 from a supplier and sells it to Northern Industries Ltd on the same date for a total Murabaha price of CU 624,000, payable in three equal annual instalments of CU 208,000. Instalments fall due on 31 March each year. The bank's year-end is 31 December. The bank applies the proportionate allocation method using equal annual profit recognition.

Requirements:

1. *Calculate the total deferred Murabaha profit and show its allocation over the three-year period in a profit allocation table, taking account of the bank's 31 December year-end.*
2. *Prepare journal entries in the bank's books at: (a) 1 April 20X5 (inception); (b) 31 December 20X5 (first year-end); (c) 31 March 20X6 (first instalment due); (d) 31 December 20X6 (second year-end).*
3. *Show the Statement of Financial Position extract at 31 December 20X5, clearly presenting the gross Murabaha receivable, deferred Murabaha profit and net carrying amount, split between current and non-current.*
4. *The customer approaches the bank on 1 January 20X6 offering to settle the entire outstanding balance immediately. The bank decides to grant an early settlement rebate of CU 18,000. Show the journal entries to record this rebate.*
5. *Explain how the accounting treatment of this transaction under AAOIFI FAS 2 differs from the treatment that would apply if it were classified as a term loan under IFRS 9.*

See Answer at the end of this chapter.

4.10 Accounting from the Customer (Purchaser) Perspective

All sections above cover accounting from the IFI's (seller's) perspective. Under AAOIFI FAS 2, the customer recognises the transaction as a sale - not a loan - which creates fundamental differences from IFRS treatment.

Recognition at inception

When the IFI transfers the asset, the customer records:

- *The ASSET at the full Murabaha selling price (cost to customer = asset cost + agreed profit). This is the initial carrying amount.*
- *A MURABAHA PAYABLE (liability) equal to the total selling price.*
- *No separate interest or finance charge is recorded. The profit is embedded in the asset cost - there is no interest expense in the income statement over the repayment period.*

Journal entries - Customer perspective

Example: Murabaha price CU 390,000 (cost CU 300,000 + profit CU 90,000), payable in 4 equal annual instalments of CU 97,500.

Account	Dr CU	Cr CU	Ref
AT INCEPTION - asset received from IFI			
Machinery (at full Murabaha selling price)	*390,000*		*SFP*
Murabaha payable		*390,000*	*SFP*
EACH YEAR - instalment paid			
Murabaha payable	*97,500*		*SFP*
Cash		*97,500*	*SFP*

The machinery is depreciated over its useful life at CU 390,000. There is no interest expense line - only depreciation.

Comparison: Murabaha customer vs conventional loan (IFRS)

Feature	Murabaha - Customer	Conventional Loan - IFRS
Asset initial value	*Full Murabaha price (cost + profit)*	*Purchase price only*
Liability recognised	*Murabaha payable (full selling price)*	*Loan payable (principal only)*
Income statement charge	*Depreciation only*	*Depreciation + interest expense*
Profit/interest treatment	*Embedded in asset cost at inception*	*Accrues via EIR over loan term*
Legal relationship	*Buyer / Seller*	*Borrower / Lender*

5 *Ijarah and Ijarah Muntahia Bittamleek*

Definition: *Ijarah - Defined by AAOIFI as 'the transfer of ownership of a service for an agreed upon consideration'. The lessor (Mu'ajjir) allows the lessee (Musta'jir) to use a specified asset for an agreed period in return for agreed rental payments (Ujrah). Ownership of the asset remains with the lessor throughout, unless the contract is structured as Ijarah Muntahia Bittamleek. (AAOIFI FAS 8; Shari'ah Standard No. 9)*

Ijarah is the Islamic equivalent of a lease and is the second most commonly used financing instrument in Islamic banking. It is used for aircraft leasing, property leasing, vehicle and equipment leasing, and - in its Ijarah Muntahia Bittamleek form - as a Shari'ah-compliant substitute for hire-purchase and finance leasing.

5.1 *Classification of Ijarah under AAOIFI FAS 8*

1. ***Operating Ijarah***

   A lease that does not end with the transfer of ownership of the leased asset to the lessee. At the end of the term the asset is returned to the lessor. This is equivalent in commercial terms to an operating lease.

2. ***Ijarah Muntahia Bittamleek (IMB) - Lease ending with ownership transfer***

A lease contract that ends with the transfer of legal title to the lessee. Under AAOIFI Shari'ah Standard No. 9, the transfer of ownership must be effected through a separate contract or promise, independent of the Ijarah contract itself. The four modes of ownership transfer are:

- *Transfer as a gift (Hibah) - asset transferred to lessee for nil consideration on payment of final rental.*
- *Transfer for a token price or specified amount - asset sold to lessee at end of term for a nominal sum.*
- *Transfer for a price equivalent to remaining Ijarah instalments - lessee purchases the asset before the end of the term by paying all outstanding rentals.*
- *Gradual transfer of legal title (Diminishing Ijarah) - the lessee progressively purchases units of the lessor's ownership share during the lease term.*

> ***Point to note***
>
> *Under Shari'ah, the promise to transfer ownership must be in a document separate from the Ijarah contract. The two cannot be merged into a single binding obligation - because merging them would convert the Ijarah from a lease into a conditional sale, which has different Shari'ah implications and different accounting treatment.*

5.2 Shari'ah obligations of the lessor and lessee (Shari'ah Standard No. 9)

Lessor's obligations:

- *Making the leased asset available: The lessor must deliver the asset in a condition suitable for the purpose specified in the contract. The lessee is entitled to revoke the contract if the asset is not delivered as agreed.*
- *Major maintenance: The lessor bears the cost of all major maintenance and repairs necessary to maintain the asset in a condition fit for its intended use. This is a fundamental Shari'ah requirement - it flows from the principle that ownership carries risk (liability for the asset's upkeep). Routine operational maintenance (such as lubrication of machinery parts) may be assigned to the lessee by agreement.*
- *Insurance: The lessor, as owner, is responsible for insuring the asset against loss or destruction.*
- *Risk of total loss: If the asset is totally destroyed through no fault of the lessee, the lessor bears the loss and the obligation to pay rent ceases.*

Lessee's obligations:

- *Use the asset in accordance with the terms of the contract and normal usage norms.*
- *Keep the asset intact and return it in the same condition (subject to normal wear and tear) at the end of the lease.*
- *Pay the agreed rental on the due dates.*
- *Bear the cost of damage arising from misuse or negligence.*

5.3 Accounting - Operating Ijarah: IFI as Lessor (AAOIFI FAS 8)

- *The asset acquired for operating Ijarah is initially recognised at historical cost (purchase price plus all expenditure necessary to bring it into its intended use - freight, licence fees, installation, customs duties, etc.).*
- *The Ijarah asset is presented on the lessor's SFP under 'Assets Acquired for Leasing' (or 'Ijarah Assets') - a separate line item within non-current assets.*
- *Depreciation: The same depreciation policy applied to the lessor's own similar PP&E is applied to the Ijarah asset. The depreciable amount is cost less estimated residual value.*
- *Ijarah rental revenue is recognised on a straight-line (time-proportionate) basis over the lease term and presented as 'Ijarah Revenue' or 'Rental Income from Ijarah'.*
- *Major maintenance costs are expensed by the lessor as incurred. A provision may be created for material maintenance expected to be uneven in amount across periods.*
- *Any material reduction in the estimated residual value is recognised as a loss in the period it occurs.*
- *Immaterial initial direct costs are expensed immediately; material initial direct costs are deferred and amortised over the lease term consistently with the recognition of Ijarah revenue.*

Account	Dr CU	Cr CU	Ref
INCEPTION - Purchase of Ijarah asset			
Ijarah asset (at historical cost)	X		SFP
Cash / Bank / Payable		X	SFP
EACH PERIOD - Depreciation			
Depreciation expense (IS)	dep		IS
Accumulated depreciation - Ijarah asset (SFP)		dep	SFP
EACH PERIOD - Rental income accrual			
Ijarah rental receivable (SFP)	rental		SFP
Ijarah rental revenue (IS)		rental	IS
ON RECEIPT OF RENTAL			
Cash (SFP)	rental		SFP
Ijarah rental receivable (SFP)		rental	SFP

5.4 Accounting - Ijarah Muntahia Bittamleek: IFI as Lessor (AAOIFI FAS 8)

The fundamental AAOIFI principle governing IMB lessor accounting is that the lessor retains the leased asset on its Statement of Financial Position throughout the entire lease term. This is the key difference from IFRS 16 finance lease lessor accounting, which derecognises the asset from the lessor's books at inception.

The accounting treatment for IMB (transfer via gift or token consideration):

- *Asset recognised at cost on the lessor's SFP on purchase.*
- *Depreciation: The depreciable amount is the cost of the asset (since the residual value is nil - it will be transferred as a gift). Depreciation is charged over the lease term (the lessor's period of ownership).*
- *Rental income: Recognised proportionately over the lease term (straight-line or other systematic basis).*
- *Major repairs: Borne and expensed by the lessor throughout the lease term.*
- *Initial direct costs: Material costs deferred and amortised over lease term; immaterial costs expensed immediately.*
- *At end of lease (transfer of title via Hibah): Derecognise the fully-depreciated asset and accumulated depreciation. The asset transfers at nil consideration - no gain or loss.*

Worked example: Ijarah Muntahia Bittamleek - lessor accounting (transfer via Hibah)

Al Baraka Islamic Finance Ltd (lessor) purchases industrial equipment on 1 January 20X4 for CU 600,000. It enters into a 4-year IMB arrangement with Crescent Manufacturing Ltd (lessee). Annual rental: CU 180,000 payable in arrears on 31 December. Ownership transfers to Crescent Manufacturing as a gift (Hibah) at the end of Year 4. The equipment has a 4-year useful life and zero residual value.

Annual depreciation: CU 600,000 ÷ 4 = CU 150,000

Year	Rental income CU	Depreciation CU	Net income CU	Carrying amount CU
20X4	180,000	150,000	30,000	450,000
20X5	180,000	150,000	30,000	300,000
20X6	180,000	150,000	30,000	150,000
20X7	180,000	150,000	30,000	-
Total	720,000	600,000	120,000	

1 January 20X4 - Purchase:

Dr IMB Ijarah Asset CU 600,000

Cr Cash CU 600,000

31 December 20X4 (and each year to 20X7) - Depreciation:

Dr Depreciation expense CU 150,000

Cr Accumulated depreciation CU 150,000

31 December 20X4 (and each year to 20X7) - Rental income:

Dr Cash CU 180,000

Cr Ijarah rental revenue CU 180,000

Statement of Financial Position extract - 31 December 20X4:

Item	CU
IMB Ijarah Asset - at cost	600,000

Less: Accumulated depreciation	*(150,000)*
Carrying amount	*450,000*

31 December 20X7 - Transfer via Hibah (nil consideration):

Dr Accumulated depreciation CU 600,000 / Cr IMB Ijarah Asset CU 600,000

(Asset is fully depreciated; nil consideration; no gain or loss)

5.5 IMB - transfer via token consideration or remaining rentals

Where the IMB ends with transfer for a token price (e.g. CU 5,000) or for a price equivalent to remaining rentals, the accounting treatment during the lease is identical to the Hibah method - except:

- *The depreciable amount is cost less the token residual value (not cost less nil). Example: cost CU 400,000, token value CU 5,000, 5-year term - annual depreciation = (CU 400,000 − CU 5,000) / 5 = CU 79,000.*
- *At end of lease, when lessee purchases:*

  Dr Cash (token price);

  Dr Accumulated depreciation;

  Cr Ijarah Asset.

  Any small gain or loss (token price vs net book value) is recognised in the income statement.

5.6 Impairment of IMB assets

If an IMB asset is permanently impaired before legal title passes to the lessee, and the impairment is not caused by the lessee, and the Ijarah rentals already paid exceed the fair rental value of the asset:

- *The difference between total rentals paid (the lessee's expected contribution towards ultimate ownership) and the fair rental value represents amounts paid in excess of the benefit received.*
- *The lessor must refund this excess to the lessee - recognised as a liability (payable to lessee) and charged to the income statement.*

5.7 Lessee accounting under IMB (AAOIFI FAS 8)

From the lessee's perspective under IMB:

- *Ijarah expense: Each rental payment is recognised as an expense in the income statement when due (Dr Ijarah expense / Cr Cash or Payable).*
- *At transfer of title (via gift or nominal consideration): The lessee recognises the asset received at its cash equivalent value (market value) on the date of transfer. Any excess of cash equivalent value over consideration paid is recognised as a gain in the income statement (or equity, depending on the nature of the gain).*
- *This contrasts with IFRS 16 lessee accounting, where a right-of-use asset and lease liability are recognised at the commencement of the lease.*

5.8 Sale and leaseback transactions (AAOIFI FAS 8)

In an Ijarah sale and leaseback: the asset owner sells the asset to the IFI (lessor) and immediately leases it back under an operating Ijarah or IMB arrangement.

- *If the sale price equals fair (market) value: Any gain or loss on the sale is recognised immediately in the seller/lessee's income statement.*
- *If the sale price differs from fair value: The gain or loss is deferred and amortised over the lease term as an adjustment to the Ijarah rental expense.*
- *If the leaseback is an IMB (ends with repurchase of asset): The gain or loss on the sale is deferred and amortised over the lease term as an adjustment to Ijarah expense.*

5.9 Comparison with IFRS 16

Feature	Ijarah / IMB (AAOIFI FAS 8) - Lessor	Finance Lease - Lessor (IFRS 16)
Asset in lessor's SFP?	*Yes - retained throughout lease term; depreciated*	*No - derecognised at inception; replaced by net investment in lease*
Income recognised by lessor?	*Rental income (straight-line / time-proportionate)*	*Finance income (effective interest rate on net investment)*
Depreciation by lessor?	*Yes - over lease term (IMB) or useful life (operating)*	*No - asset derecognised*
Major maintenance?	*Borne by lessor (Shari'ah requirement)*	*Typically borne by lessee under finance lease*
Lessee's books - asset?	*No ROU asset during lease (expense only); asset recognised at transfer only*	*ROU asset recognised at commencement*
Lessee's books - liability?	*No lease liability (no IFRS 16 equivalent treatment); rent expensed*	*Lease liability at PV of future payments*
Transfer of ownership?	*Via separate contract at end of lease term*	*May or may not occur*
Risk of asset destruction?	*Borne by lessor (owner throughout)*	*May be borne by lessee in IFRS 16 finance lease*

Interactive question 5: Ijarah Muntahia Bittamleek - comprehensive accounting

Gulf Islamic Finance Company (GIFC) purchases a manufacturing plant on 1 July 20X5 for CU 5,200,000 and enters into a 4-year Ijarah Muntahia Bittamleek arrangement with Atlantic Chemicals Ltd. Annual rental is CU 1,560,000, payable in advance on 1 July each year. Ownership will transfer to Atlantic Chemicals as a gift (Hibah) after the final rental payment on 1 July 20X8. GIFC depreciates the plant over the 4-year lease term. GIFC's year-end is 31 December.

Requirements:

1. *Prepare all journal entries in GIFC's books for the period 1 July 20X5 to 31 December 20X5.*
2. *Show the Statement of Financial Position extract in GIFC's books at 31 December 20X5.*
3. *Prepare the journal entries for GIFC for the full year 20X6.*
4. *Show the journal entry for the transfer of the plant to Atlantic Chemicals on 1 July 20X8 (assuming all rentals are paid).*
5. *Explain, with reference to the applicable AAOIFI standard, why GIFC retains the plant on its balance sheet throughout the lease term, and contrast this with the treatment that would apply under IFRS 16 if this were classified as a finance lease.*

See Answer at the end of this chapter.

6 Musharaka Financing

Definition: *Musharaka - Defined by AAOIFI as 'a form of partnership between the IFI and its clients whereby each party contributes to the capital of the partnership in equal or varying degrees to establish a new project or share in an existing one, and whereby each party shall have its due share of profits. However, losses are shared in proportion to the contributed capital. It is not permissible to stipulate otherwise.' (AAOIFI FAS 4 Appendix E; Shari'ah Standard No. 12)*

Musharaka is an equity-based financing instrument in which the IFI and its customer are genuine partners - both contributing capital, both sharing profits and losses. It embodies the core Islamic finance principle of risk and profit sharing.

6.1 Types of Musharaka

1. ***Constant Musharaka***

   Each partner's share in the capital remains constant throughout the duration of the contract. The IFI and the customer jointly own the venture for the entire term, sharing profits at the agreed ratio and losses in proportion to capital.

2. ***Diminishing Musharaka (Musharaka Mutanaqisa)***

   The IFI agrees to gradually transfer its ownership share to the other partner over time, so that the IFI's share declines and the customer's share increases until the customer becomes the sole proprietor. This structure is widely used for home finance and project finance as a Shari'ah-compliant substitute for a conventional mortgage or term loan.

   In Diminishing Musharaka for home finance: the IFI and customer jointly purchase a property; the customer occupies the property and pays rent to the IFI for the IFI's ownership share (Ijarah element); the customer also makes periodic payments to purchase units of the IFI's ownership share; over time, the IFI's share reduces to zero.

6.2 Key Shari'ah rules (Shari'ah Standard No. 12)

- *Capital can be in the form of cash, gold, silver, or other assets valued at their agreed cash equivalent at the time of contracting. Non-cash capital contributions are not included in Musharaka capital until the asset has been delivered and its value has been agreed.*
- *Partners cannot provide guarantees to each other for their capital contributions - a capital guarantee would convert Musharaka into a Riba-bearing arrangement.*
- *Profit-sharing ratio: Partners may agree any profit-sharing ratio, which need not equal the capital contribution ratio. However, losses must be allocated strictly in proportion to capital contribution. It is impermissible to stipulate that a partner will bear no loss.*
- *Transfer of a partner's share during the Musharaka: Transfer must be at fair value (market value at the time of transfer). Transfer at historical cost is not permissible, as this could allow concealed profit to one party.*
- *All partners have the right to participate in management. No partner may prevent another from participating. However, partners may waive their management rights by agreement.*

6.3 Initial recognition (AAOIFI FAS 4)

Musharaka capital is brought onto the books at the point the contribution is actually received by the partnership or made available to it. The IFI's share is presented in its SFP under 'Musharaka Financing'.

- *Cash capital: Measured at the amount paid.*
- *Non-cash assets: Measured at their agreed cash equivalent value (fair value) at the time of contracting. If the fair value differs from the IFI's book value, the difference is recognised in the income statement at the time of contribution.*
- *Initial expenses (feasibility studies, legal fees): Not included in Musharaka capital unless both parties agree otherwise.*

Account	Dr CU	Cr CU	Ref
INCEPTION - IFI contributes cash to Musharaka			
Musharaka financing (SFP)	*X*		*SFP*
Cash / Bank (SFP)		*X*	*SFP*

6.4 Subsequent measurement and profit/loss recognition

In a constant Musharaka, the carrying amount of the IFI's investment is maintained at its original historical cost at each reporting date. Diminishing Musharaka is measured at historical cost after deducting the book value of units transferred to the customer.

Profit recognition:

- *Short-term Musharaka (commences and concludes within one financial period): Profit recognised on liquidation.*
- *Constant Musharaka extending over multiple periods: IFI's share of profit recognised in the period it is distributed or allocated. If profits are not yet distributed at period-end, a receivable is recognised.*

Loss recognition:

Losses are shared in proportion to capital contribution (not the profit-sharing ratio). Each partner's share of a loss reduces their capital balance:

Account	Dr CU	Cr CU	Ref
PROFIT - period end			
Cash / Profit receivable (SFP)	*X*		*SFP*
Profit from Musharaka financing (IS)		*X*	*IS*
LOSS - period end			
Loss on Musharaka financing (IS)	*X*		*IS*
Musharaka financing (SFP)		*X*	*SFP*

6.5 Diminishing Musharaka - accounting for unit transfers

When the customer purchases a unit of the IFI's ownership share during the Diminishing Musharaka:

- *The customer pays fair value for the unit at the date of transfer.*
- *The IFI derecognises the carrying amount (book value) of that unit from its Musharaka Financing account.*
- *Any difference between the fair value received and the book value of the unit is recognised as a gain or loss in the income statement.*

Account	Dr CU	Cr CU	Ref
DIMINISHING MUSHARAKA - customer purchases a unit from IFI			
Cash / Receivable (at fair value of unit)	*FV*		*SFP*
Musharaka Financing (book value of unit)		*BV*	*SFP*
Gain on Diminishing Musharaka (IS) [if FV > BV]		*diff*	*IS*

Worked example: Constant and Diminishing Musharaka - full illustration

Part A: Constant Musharaka

On 1 January 20X1, Safa IFI invests CU 120,000 in a constant Musharaka with a customer who invests CU 40,000. Total capital: CU 160,000. IFI share: 75%. Profit-sharing ratio: 70% (IFI) : 30% (customer). On 31 December 20X1, profit of CU 30,000 was earned and distributed. On 31 December 20X2, a loss of CU 16,000 was incurred.

IFI's profit 20X1: 70% × CU 30,000 = CU 21,000

IFI's loss 20X2: capital ratio 75% × CU 16,000 = CU 12,000 (note: loss allocation uses capital ratio, NOT profit ratio)

Event	Entry	Dr CU	Cr CU
1 Jan 20X1 - Investment	*Musharaka Financing* *Cash*	*120,000*	 *120,000*
31 Dec 20X1 - Profit	*Cash* *Profit from Musharaka*	*21,000*	 *21,000*

31 Dec 20X2 - Loss	*Loss on Musharaka Musharaka Financing*	*12,000*	*12,000*
31 Dec 20X2 - Closing balance	*Musharaka Financing = 120,000 – 12,000 = 108,000*		

Part B: Diminishing Musharaka - home finance

Beta IFI and Mr Rahman jointly purchase a residential property on 1 January 20X2 for CU 800,000. IFI contributes CU 600,000 (75%) and Mr Rahman CU 200,000 (25%). Terms: Mr Rahman pays annual rent on IFI's share at 6% per annum; and purchases 25% of IFI's share annually at fair value. By 31 December 20X2, the property is valued at CU 840,000.

Year 1 calculations:

Rental income on IFI's 75% share: 6% × CU 600,000 = CU 36,000

Unit transfer: IFI sells 25% of its 75% share = 18.75% of property. Book value: 18.75% × CU 800,000 = CU 150,000. Fair value: 18.75% × CU 840,000 = CU 157,500. Gain: CU 7,500.

Closing Musharaka Financing: CU 600,000 − CU 150,000 = CU 450,000 (IFI now holds 56.25%)

Entry	*Dr CU*	*Cr CU*	*Account*
Rental income	*36,000*	*36,000*	*Dr Cash* *Cr Ijarah Rental Income*
Unit purchase (FV)	*157,500*	*-*	*Dr Cash*
Musharaka Financing (BV)	*-*	*150,000*	*Cr Musharaka Financing*
Gain on unit transfer	*-*	*7,500*	*Cr Gain on Diminishing Musharaka*

Interactive question 6: Musharaka - profit/loss, diminishing, and wind-up

Al Noor IFI enters into a 3-year constant Musharaka on 1 January 20X4 with Valley Textiles Ltd. IFI contributes CU 2,100,000 (70%) and Valley Textiles CU 900,000 (30%). Profit-sharing ratio: 65% (IFI) : 35% (Valley Textiles).

- *Year 20X4: Musharaka profit CU 500,000 - distributed in full on 31 December 20X4.*
- *Year 20X5: Musharaka loss CU 240,000. No distributions.*
- *Year 20X6: Musharaka profit CU 720,000 - distributed in full. Musharaka wound up on 31 December 20X6, assets returned at book value.*

Requirements:

1. *Calculate the IFI's share of profit or loss for each year, explaining the different rules for profit and loss allocation.*
2. *Prepare all journal entries in the IFI's books for 20X4, 20X5 and 20X6, including the wind-up entry.*
3. *Show the carrying amount of Musharaka Financing at the end of each year.*

4. *Explain what Diminishing Musharaka is and how it is used as a Shari'ah-compliant substitute for a conventional mortgage.*

See Answer at the end of this chapter.

6.6 Accounting from the Partner (Customer) Perspective

The sections above cover the IFI's Musharaka accounting. The customer/partner records the transaction in their own books as follows.

Constant Musharaka - partner's entries

Account	Dr CU	Cr CU	Ref
AT INCEPTION - partner contributes capital			
Musharaka investment (at contributed amount)			
Cash / asset contributed			
PROFIT - partner's share (per agreed ratio)			
Cash / Profit receivable			
Income from Musharaka investment (IS)			
LOSS - proportional to capital contributed			
Loss on Musharaka investment (IS)			
Musharaka investment (carrying amount)			

Diminishing Musharaka - partner's entries

As the partner buys the IFI's units, the investment account grows and annual rental on the IFI's remaining share decreases.

Account	Dr CU	Cr CU	Ref
PURCHASE OF IFI UNIT - at fair value			
Musharaka investment (additional ownership)			
Cash / Payable to IFI			
RENTAL PAYMENT - for IFI's remaining share			
Ijarah expense (rental for IFI's share)			
Cash / Payable			

7 Mudaraba Financing

Definition: *Mudaraba - Defined by AAOIFI as 'a partnership in profit between capital and work. The sharing of profits is as agreed between the two parties, and the losses are borne by the provider of funds except if they were due to misconduct, negligence or violation of the conditions agreed upon by the Mudarib.' (AAOIFI FAS 3 Appendix E; Shari'ah Standard No. 13)*

Mudaraba is unique among Islamic finance contracts in that only one party provides capital while the other provides expertise and labour. It operates on two sides of an Islamic bank's balance sheet simultaneously.

7.1 The two-sided nature of Mudaraba in Islamic banking

	Liability side (deposit-taking)	***Asset side (financing/investment)***
Rab al-Maal (capital provider)	*Customer / depositor*	*IFI (bank)*
Mudarib (working partner)	*IFI (bank)*	*Customer / entrepreneur*
Who invests the funds?	*IFI at its discretion*	*Customer manages the business*
Who bears financial loss?	*Customer (depositor) bears the loss of capital*	*IFI (bank) bears the loss of capital*
Capital guarantee?	*No - PSIA holders' capital is at risk*	*No - IFI's capital is at risk*
Revenue to IFI?	*IFI earns a Mudarib share (% of profit)*	*IFI earns a Rab al-Maal share (% of profit)*

7.2 Types of Mudaraba

Unrestricted Mudaraba (Al-Mudaraba Al-Mutlaqa):

The Rab al-Maal gives the Mudarib complete discretion to invest the funds in any Shari'ah-compliant manner. The IFI may commingle these funds with its own funds or with other funds it has the right to use. On the liability side, this is the basis for Unrestricted Investment Accounts (UIAs/PSIAs).

Restricted Mudaraba (Al-Mudaraba Al-Muqayyadah):

The capital is restricted to investment in a specific project, sector or geography as specified by the Rab al-Maal. The IFI acts as an agent/fund manager. The assets are managed separately and are not commingled with IFI's own funds. On the liability side, this is the basis for Restricted Investment Accounts (presented off-balance-sheet or in a separate section).

7.3 Initial recognition (AAOIFI FAS 3)

Mudaraba capital is recognised when paid to or placed at the disposal of the Mudarib. The IFI's Mudaraba investment (asset side) is presented as 'Mudaraba Financing' in the SFP.

- *Cash capital: Recognised at the amount paid.*
- *Non-cash assets: Recognised at their agreed cash equivalent value.*
- *Instalment payments: Each instalment is recognised only when actually paid.*
- *Contingent payments: Recognised only when the contingency is resolved and payment is made.*

Account	Dr CU	Cr CU	Ref
INCEPTION - IFI provides capital to Mudarib			
Mudaraba Financing (SFP)	X		SFP
Cash / Bank (SFP)		X	SFP

7.4 Profit and loss recognition

Profits:

- *Recognised when earned and distributed or allocated to the IFI in accordance with the pre-agreed profit-sharing ratio.*
- *If profit is earned but not yet distributed at period-end, a receivable is recognised.*

Losses:

- ***Non-negligence losses:*** *Losses reduce the carrying amount of the Mudaraba Financing. They are borne entirely by the Rab al-Maal (the IFI).*
- ***Negligence or misconduct by Mudarib:*** *When a loss arises from the Mudarib's proven negligence or violation of contract terms, the negligence portion shall not affect Mudaraba capital (AAOIFI FAS 3, Section 3.6). The treatment depends on timing: (a) If negligence is established in the same period as the loss - the full loss reduces Mudaraba Financing, but the negligence portion is immediately offset by a receivable (Dr Receivable from Mudarib / Cr Mudaraba Financing); (b) If negligence is discovered in a later period after the loss was already fully charged to the income statement - a reversal entry is required (Dr Receivable from Mudarib / Cr Reversal of loss on Mudaraba (IS)).*

Account	Dr CU	Cr CU	Ref
PROFIT - period end (IFI's share)			
Cash / Profit receivable (SFP)	share		SFP
Income from Mudaraba Financing (IS)		share	IS
LOSS - ordinary (not due to negligence)			
Loss on Mudaraba Financing (IS)	loss		IS
Mudaraba Financing (SFP) [reduces investment]		loss	SFP
LOSS - due to Mudarib's negligence			
Receivable from Mudarib (SFP)	loss		SFP
Mudaraba Financing (SFP)		loss	SFP

Worked example: Mudaraba financing - three-year illustration with negligence

Crescent Islamic Bank (Rab al-Maal) invests CU 3,000,000 in a Mudaraba arrangement with Green Energy Ltd (Mudarib) on 1 January 20X4. Profit-sharing ratio: 70% (bank) : 30% (Mudarib).

20X4: Profit CU 500,000 - distributed on 31 December 20X4.

20X5: Loss CU 400,000. On investigation, CU 150,000 was due to the Mudarib's proven negligence; the remaining CU 250,000 was from genuine market losses.

20X6: Profit CU 600,000 - distributed. Mudaraba wound up.

Journal entries:

Date	Entry	Dr CU	Cr CU
1 Jan 20X4	*Mudaraba Financing* *Cash*	*3,000,000*	 *3,000,000*
31 Dec 20X4	*Cash (bank's 70% share = CU 350,000)* *Income from Mudaraba*	*350,000*	 *350,000*
31 Dec 20X5 (market loss CU 250k)	*Loss on Mudaraba Mudaraba Financing*	*250,000*	 *250,000*
31 Dec 20X5 (negligence CU 150k)	*Receivable from Green Energy / Mudaraba Financing*	*150,000*	 *150,000*
31 Dec 20X6	*Cash (70% × CU 600,000 = CU 420,000)* *Income from Mudaraba*	*420,000*	 *420,000*
31 Dec 20X6 wind-up	*Cash CU 2,600,000* *Mudaraba Financing*	*2,600,000*	 *2,600,000*

Mudaraba Financing account balance:

End 20X4: CU 3,000,000 (unchanged - profit distributed separately)

End 20X5: CU 3,000,000 − CU 250,000 − CU 150,000 = CU 2,600,000

End 20X6: Nil (wound up)

Shari'ah basis for negligence treatment:

Under AAOIFI FAS 3, the treatment of a negligence-related loss depends on the timing of discovery. The fundamental principle is that a loss due to the Mudarib's negligence shall not affect the Mudaraba capital (FAS 3, Section 3.6). In our scenario, the negligence is established in the same period as the loss. Therefore the negligence portion never reduces the IFI's income - it is treated as a recoverable amount from the Mudarib, and Mudaraba Financing is reduced by the full loss amount (both portions), but the negligence portion is immediately offset by a receivable. The net economic effect is that only the ordinary (non-negligence) loss is borne by the IFI. Contrast this with, where negligence is discovered in a later period: in that case, the full loss was already charged to the income statement in the prior year, so upon establishing negligence the entry is Dr Receivable / Cr Reversal of loss on Mudaraba (IS) - reversing what was previously recognised as expense.

Interactive question 7: Mudaraba - asset-side financing with complex year

Al Ihsan Islamic Bank (Rab al-Maal) provides CU 4,000,000 to MegaTech Ltd (Mudarib) under a 3-year Mudaraba arrangement commencing 1 January 20X5. Profit-sharing ratio: 68% (bank) : 32% (MegaTech).

- *20X5: Mudaraba profit CU 700,000 - fully distributed on 31 December 20X5.*

- *20X6: Mudaraba loss CU 500,000. Investigation confirmed that CU 200,000 of the loss resulted from MegaTech's failure to follow agreed investment guidelines (negligence). The remaining CU 300,000 was attributable to genuine market deterioration.*
- *20X7: Mudaraba profit CU 1,100,000 - fully distributed on 31 December 20X7. MegaTech pays its negligence debt in full. Mudaraba wound up on 31 December 20X7.*

Requirements:

1. *Prepare all journal entries in the bank's books for all three years, including the wind-up entry on 31 December 20X7.*
2. *Show the Mudaraba Financing account balance and the Receivable from Mudarib at the end of each year.*
3. *Explain how the accounting treatment of MegaTech's CU 200,000 negligence loss differs from the CU 300,000 ordinary loss.*
4. *Calculate the total profit (net of losses) earned by the bank over the three-year Mudaraba and comment on the return on capital invested.*

See Answer at the end of this chapter.

7.5 Accounting from the Mudarib (Customer) Perspective

The IFI records Mudaraba Financing as an asset. The Mudarib (entrepreneur) who receives the capital records it as a liability - held in trust (Amanah) and must be returned.

- *Capital received: recorded as a LIABILITY (Mudaraba capital payable).*
- *Assets purchased: recorded at cost in the Mudarib's books.*
- *Profits: Mudarib's share retained; IFI's share recorded as payable.*
- *Ordinary losses: reduce the Mudaraba capital payable (borne by capital, not the Mudarib personally).*
- *Negligence losses: Mudarib records a separate liability to the IFI.*

Journal entries - Mudarib perspective

Account	*Dr CU*	*Cr CU*	*Ref*
AT INCEPTION - capital received			
Cash / Assets acquired			
Mudaraba capital payable (to IFI)			
PROFIT - at period end			
Profit from Mudaraba operations (IS)			
Payable to IFI (IFI's share)			
Mudarib income retained (Mudarib's share)			
LOSS - ordinary (not negligence)			
Mudaraba capital payable (reduces liability)			
Assets / Cash written down			
SETTLEMENT - return capital to IFI			
Mudaraba capital payable			
Cash / Assets returned			

8 Salam and Parallel Salam (AAOIFI FAS 7)

> ***Definition: Salam***
> *A forward sale contract where the FULL price is paid upfront by the buyer (IFI) and the goods are delivered on a specified future date. The goods must be fungible commodities, precisely specified by type, quality and quantity. Permitted as a named exception to the general prohibition on selling goods not yet owned, on condition that the price is paid in full at inception.*

8.1 Shari'ah requirements

- *Full price (Ra's al-Mal) must be paid in full AT CONTRACT DATE - deferred payment invalidates the contract. Key distinction from Istisna.*
- *Goods must be precisely specified: type, quality, quantity, delivery date and place - eliminates Gharar.*
- *Goods must be fungible commodities (rice, wheat, cotton) - Salam cannot be used for unique custom-built assets.*
- *Seller need not own the goods at contract date but must be capable of delivering them on the due date.*

8.2 IFI accounting - AAOIFI FAS 7

At inception - IFI pays upfront

Account	Dr CU	Cr CU	Ref
AT INCEPTION - full Salam price paid			
Salam receivable (right to receive goods)			
Cash			

At delivery - goods received

Account	Dr CU	Cr CU	Ref
ON DELIVERY - goods received from seller			
Inventory / Goods (at Salam contract price)			
Salam receivable			
ON SUBSEQUENT SALE - profit recognised			
Cash / Receivable (at selling price)			
Inventory (at Salam cost)			
Profit on Salam (IS)			

Non-delivery by seller

Under AAOIFI FAS 7, if the seller fails to deliver, the IFI has three options:

- *Grant additional time: Salam receivable remains on SFP unchanged; disclosure required.*
- *Cancel and recover: Dr Cash / Cr Salam receivable. Any shortfall recognised as a loss.*
- *Accept substitute goods of equivalent value: inventory recognised at fair value; difference between FV and Salam price in income statement.*

8.3 Parallel Salam

The IFI enters two independent contracts simultaneously:

- *Contract 1 (IFI as buyer): IFI pays a seller upfront - records Salam receivable.*
- *Contract 2 (IFI as seller): IFI receives payment from third-party buyer - records Salam payable.*
- *CRITICAL: The two contracts are LEGALLY INDEPENDENT. The IFI's delivery obligation under C2 exists regardless of whether C1 delivery occurs.*

Parallel Salam - journal entries

Account	*Dr CU*	*Cr CU*	*Ref*
CONTRACT 1 - IFI pays seller (IFI as buyer)			
Salam receivable - C1			
Cash			
CONTRACT 2 - IFI receives from buyer (IFI as seller)			
Cash			
Salam payable - C2			
DELIVERY DATE - goods received under C1; delivered under C2			
Inventory (at C1 cost)			
Salam receivable - C1			
Salam payable - C2			
Inventory (cost)			
Profit on Parallel Salam (IS)			

Profit is recognised AT DELIVERY - not at inception.

8.4 Comparison: Salam vs conventional forward contract

Feature	*Salam (AAOIFI FAS 7)*	*Conventional Forward Contract*
Payment timing	*Full price paid UPFRONT at contract date*	*Settlement at future delivery date*
Underlying asset	*Must be real fungible commodity*	*Can be financial instruments or indices*
Purpose	*Financing of production; asset-backed*	*Hedging or speculation*
Sharia status	*Permitted (named exception under Shari'ah)*	*Not permissible (speculative Gharar)*

Interactive question 8: Salam and Parallel Salam

Noor Islamic Finance Bank (NIFB) enters the following Salam transactions:

Contract 1 (IFI as buyer): On 1 March 20X5, NIFB pays CU 600,000 upfront to a rice farmer for delivery of 2,000 tonnes on 1 September 20X5. The farmer delivers in full on 1 September 20X5.

Contract 2 (Parallel Salam - IFI as seller): On 1 March 20X5, NIFB simultaneously enters a Parallel Salam with a food processor for CU 720,000, delivering 2,000 tonnes on 1 September 20X5. The food processor pays CU 720,000 upfront on 1 March 20X5.

Requirement:

- *(a) Prepare all journal entries for NIFB from 1 March to 1 September 20X5 for both contracts, including profit recognition.*
- *(b) Explain what NIFB should do if the farmer fails to deliver on 1 September 20X5. State two options under AAOIFI FAS 7.*
- *(c) Explain why the two contracts must be legally independent.*

See Answer at the end of this chapter.

9 Istisna and Parallel Istisna (AAOIFI FAS 10)

Definition: Istisna
A manufacturing/construction contract where one party commissions another to produce a specific asset to agreed specifications. Unlike Salam, payment can be made in stages - before, during or after delivery. The asset must not yet exist and must require manufacturing to specification.

9.1 Shari'ah requirements and key features

- *Subject matter must require MANUFACTURING or CONSTRUCTION to precise specifications - cannot be a pre-existing commodity.*
- *Specifications (type, quality, quantity, delivery date) must be agreed at outset.*
- *Unlike Salam, the price does NOT need to be paid in full upfront - flexible stage payments are permitted. This is the critical distinction.*
- *IFI may sub-contract to a manufacturer (Parallel Istisna) but remains the primary obligor to the buyer - the two contracts are independent.*

9.2 Revenue recognition - IFI as seller (AAOIFI FAS 10)

AAOIFI FAS 10 permits two approaches:

- *Method A - Percentage of completion (preferred): Revenue recognised proportional to stage of completion. Revenue = Contract price × % complete in period.*
- *Method B - Completion method: Revenue and profit recognised ONLY on completion and delivery. Costs accumulated as Istisna WIP on SFP during construction.*

9.3 Journal entries - IFI as seller (% completion method)

Account	Dr CU	Cr CU	Ref
AS COSTS ARE INCURRED DURING CONSTRUCTION			
Istisna work-in-progress (WIP)			
Cash / Payable to contractor			
REVENUE RECOGNITION - period end (% completion)			
Istisna receivable / Billings receivable			
Istisna revenue (IS)			
Cost of Istisna (IS)			
Istisna WIP (cost portion removed)			
RECEIPT OF PROGRESS PAYMENT FROM BUYER			
Cash			
Istisna receivable			

9.4 Parallel Istisna - structure and accounting

The IFI acts as both buyer (from manufacturer) and seller (to customer) through two separate independent Istisna contracts:

- *Contract 1 (IFI buys from manufacturer): IFI commissions and pays stage payments.*
- *Contract 2 (IFI sells to customer): IFI bills at agreed milestones; recognises revenue.*
- *Profit = Contract 2 price minus Contract 1 cost.*

Account	Dr CU	Cr CU	Ref
CONTRACT 1 - IFI pays manufacturer stage payments			
Istisna WIP - C1 (manufacturing cost)			
Cash / Payable to manufacturer			
CONTRACT 2 - IFI bills customer at milestones			
Istisna receivable - C2			
Istisna revenue - C2 (IS)			
Cost of Istisna - C1 (IS)			
Istisna WIP - C1 (cleared)			
RECEIPT FROM CUSTOMER			
Cash			
Istisna receivable - C2			

9.5 Customer (buyer) perspective

The customer records stage payments as WIP, transferring to PP&E on delivery:

Account	Dr CU	Cr CU	Ref
STAGE PAYMENTS DURING CONSTRUCTION			
Istisna asset in progress (WIP)			
Cash / Istisna payable			
ON COMPLETION AND DELIVERY			
PP&E / Asset (at total contract price)			
Istisna asset in progress (WIP)			

9.6 Comparison: Salam vs Istisna vs IAS 11

Feature	Salam (FAS 7)	Istisna (FAS 10)	IAS 11 (Conventional)
Asset type	*Fungible commodity (natural)*	*Custom manufactured asset*	*Long-term construction*
Payment timing	*Full price UPFRONT (mandatory)*	*Flexible - stages permitted*	*Progress billings typical*
Revenue recognition	*On delivery*	*% completion (preferred) or completion method*	*% completion (mandated)*
Parallel structure	*Parallel Salam (independent contracts)*	*Parallel Istisna (independent contracts)*	*Sub-contracting (no special name)*

Interactive question 9: Parallel Istisna - stage recognition

Crescent Islamic Bank (CIB) enters a Parallel Istisna to finance construction of a specialised industrial loom for Sunrise Textiles Ltd.

Contract 1 (CIB commissions manufacturer): Total cost CU 800,000, payable in two equal stage payments: CU 400,000 on 1 January 20X5 and CU 400,000 on 30 June 20X5 (50% completion).

Contract 2 (CIB sells to Sunrise): Selling price CU 960,000. Sunrise pays CU 320,000 on 1 January 20X5, CU 320,000 on 30 June 20X5, and CU 320,000 on 31 December 20X5 (delivery). Completion: 0% at 1 Jan; 50% at 30 Jun; 100% at 31 Dec. CIB uses % completion method.

Requirement:

- *(a) Prepare all journal entries for CIB for the year ended 31 December 20X5 covering both contracts, all stage payments, revenue recognition and delivery.*
- *(b) Calculate CIB's total profit and show how recognised across H1 and H2.*
- *(c) Contrast CIB's revenue recognition with IAS 11.*

See Answer at the end of this chapter.

10 Investment Accounts, PER, IRR and Displaced Commercial Risk

10.1 Unrestricted Investment Accounts (UIAs) - AAOIFI FAS 6/27

Definition: *Unrestricted Investment Account - Amounts received from investors who authorise the institution to invest their funds on the basis of Mudaraba without restricting the investment to a specific project or programme. Profits and losses are shared between the bank and the IAH. (AAOIFI Shari'ah Standard No. 40)*

- *UIAs are the Shari'ah-compliant equivalent of savings and time deposits. They are the primary source of funds for most Islamic banks.*
- *Classification on SFP: UIAs are presented as a separate section between liabilities and owners' equity, labelled 'Equity of Unrestricted Investment Account Holders'. They are not liabilities (the IFI is not obliged to return principal if investments make a loss, unless loss is due to negligence) and not equity (IAH have no voting rights).*
- *Initial recognition: At the amount received. Period-end: At book value.*

10.2 Restricted Investment Accounts (RIAs) - AAOIFI FAS 6/27

RIAs are accounts where the investor specifies the project, sector or geographic area in which funds must be invested. The IFI acts as a fund manager (Mudarib/agent) and cannot commingle RIA funds with its own. Under AAOIFI, where the IFI has decision-making authority over the use of funds, RIA assets are presented on-balance-sheet in a separate section; where the IFI has limited discretion, they are presented off-balance-sheet.

10.3 Profit Equalisation Reserve (PER) - AAOIFI FAS 11

Definition: PER - Defined by AAOIFI FAS 11 as: 'the amount appropriated by the Islamic bank out of the Mudaraba income, before allocating the Mudarib share, in order to maintain a certain level of return on investment for investment account holders and to increase owners' equity.'

- *The PER is funded from gross Mudaraba income - before the bank's Mudarib share is deducted. Both the bank and the IAH effectively contribute to the PER.*
- *Purpose: To smooth PSIA returns over time, building up reserves in profitable years to supplement distributions in poor years. This prevents sharp downward fluctuations in IAH returns that might trigger mass withdrawals.*
- *Attribution: The PER belongs partly to IAH and partly to the bank. The bank's portion is shown within owners' equity; the IAH portion is shown in the UIAH section of the SFP.*

10.4 Investment Risk Reserve (IRR) - AAOIFI FAS 11

Definition: IRR - Defined by AAOIFI FAS 11 as: 'the amount appropriated by the Islamic bank out of the income of investment account holders, after allocating the Mudarib share, in order to cater against future investment losses for investment account holders.'

- *The IRR is funded solely from IAH income (after the bank's Mudarib share). The bank does not contribute to the IRR.*
- *Purpose: To absorb future investment losses before they directly reduce IAH principal. The IRR protects PSIA holders from the full impact of adverse investment performance.*
- *Attribution: The IRR belongs entirely to IAH. It is shown in the UIAH section of the SFP.*

10.5 Displaced Commercial Risk (DCR)

> ***Definition:*** *Displaced Commercial Risk - The risk that an IFI will be compelled to pay a rate of return to PSIA holders that is higher than the return generated by actual investments - to avoid the reputational damage and liquidity risk of PSIA holders withdrawing their funds. In effect, the IFI assumes a risk that contractually belongs to the PSIA holders. (IFSB-1)*

DCR arises from a structural tension in Islamic banking: PSIA holders contractually bear investment risk (their capital is not guaranteed), but in practice they are sensitive to returns relative to what conventional bank depositors receive. If an IFI's investment returns fall significantly below market rates, PSIA holders may withdraw - regardless of the theoretical loss-sharing structure of the Mudaraba contract. This threatens the IFI's liquidity.

To prevent this, the IFI may:

- *Draw from the PER to supplement distributions in low-return years.*
- *Waive part or all of its Mudarib share to increase the amount available for PSIA distribution.*

The IFSB (IFSB-2: Capital Adequacy Standard) requires IFIs to hold additional regulatory capital for PSIA-funded assets precisely because of DCR - recognising that the IFI may be compelled to absorb losses that contractually belong to PSIA holders.

10.6 The PER/IRR income allocation waterfall

The allocation of income from PSIA-funded assets follows a strict five-step sequence:

Step	Calculation	Result
1	*Total gross income from PSIA-funded assets*	*Gross Mudaraba income*
2	*Less: Transfer to PER (rate × gross income) - before Mudarib share*	*Income after PER transfer*
3	*Less: Bank's Mudarib share (% of post-PER income)*	*Income attributable to PSIA holders*
4	*Less: Transfer to IRR (rate × PSIA holders' income)*	*Distributable income for PSIA holders*
5	*= Income distributed to PSIA holders*	*Amount paid to account holders*

Worked example: PER, IRR and DCR - full waterfall calculation

Al Ameen Islamic Bank has the following data for its PSIA investment pool for the year ended 31 December 20X5:

- *Gross income from PSIA-funded investments: CU 12,000,000*

- *PER transfer policy: 8% of gross income (before Mudarib share)*
- *Bank's Mudarib share: 25% of post-PER income*
- *IRR transfer policy: 6% of PSIA holders' income (after Mudarib share)*
- *Opening PER balance: CU 1,800,000; Opening IRR balance: CU 1,100,000*

Step	Calculation	CU
1. Gross income from PSIA assets		12,000,000
2. Less: PER transfer	8% × 12,000,000	(960,000)
3. Income after PER		11,040,000
4. Less: Mudarib share × Bank income	25% × 11,040,000	(2,760,000)
5. PSIA holders' income		8,280,000
6. Less: IRR transfer	6% × 8,280,000	(496,800)
7. Income distributed to PSIA holders		7,783,200
Closing PER: 1,800,000 + 960,000		2,760,000
Closing IRR: 1,100,000 + 496,800		1,596,800

Journal entries:

Dr PSIA Income (gross)	CU 960,000
Cr Profit Equalisation Reserve	CU 960,000
Dr PSIA Pool	CU 2,760,000
Cr Bank Income (Mudarib share)	CU 2,760,000
Dr PSIA Holders' Income	CU 496,800
Cr Investment Risk Reserve	CU 496,800
Dr PSIA Distribution payable	CU 7,783,200
Cr Cash	CU 7,783,200

Interactive question 10: PER, IRR, DCR and waterfall - comprehensive

Crescent Bank (Islamic) has the following information for its PSIA pool and reserves for the year ended 31 December 20X6:

- *Gross income from PSIA-funded investments: CU 20,000,000*
- *PER policy: 7% of gross income*
- *Bank's Mudarib share: 30% of post-PER income*
- *IRR policy: 4% of PSIA holders' income*
- *Opening PER: CU 3,100,000 (bank's share CU 1,400,000; IAH share CU 1,700,000)*
- *Opening IRR: CU 2,400,000*
- *Average conventional deposit rate in the market: 6.2%*
- *Total PSIA pool balance (average during year): CU 220,000,000*

Requirements:

1. *Calculate all steps of the income allocation waterfall and determine: (a) the income distributed to PSIA holders; (b) the closing PER and IRR balances.*
2. *Prepare all journal entries for the PER transfer, Mudarib share allocation, IRR transfer, and distribution to PSIA holders.*
3. *Calculate the effective rate of return paid to PSIA holders as a percentage of the average PSIA pool balance.*
4. *The conventional market rate is 6.2%, but the actual return to PSIA holders (from Step 3) is lower. Explain the concept of Displaced Commercial Risk in the context of Crescent Bank, and discuss how the PER and IRR serve as tools for managing DCR.*
5. *Explain what would happen if Crescent Bank's management proposed drawing CU 1,500,000 from the PER in a year when the actual return to PSIA holders already exceeds the market rate. What governance and ethical concerns does this raise?*

See Answer at the end of this chapter.

11 Zakah

Definition: *Zakah - One of the Five Pillars of Islam. Zakah is an obligatory annual payment on wealth exceeding the Nisab (minimum threshold) by Muslims who hold that wealth for a full lunar year. It is levied at 2.5% of net assets (or 2.5775% for solar calendar years) on the Zakah base. AAOIFI FAS 9 standardises the accounting treatment and disclosure of Zakah for IFIs.*

11.1 When must an IFI pay Zakah?

Under AAOIFI FAS 9, an IFI is legally obligated to pay and recognise Zakah as an expense when any of the following conditions is met:

- *The law of the country in which the IFI operates requires it.*
- *The IFI's charter or bye-laws stipulate that the IFI will satisfy the Zakah obligation on behalf of shareholders.*
- *The shareholders have passed a general assembly resolution requiring the IFI to pay Zakah on their behalf.*

Where the IFI pays Zakah on behalf of shareholders who have not specifically authorised it, the amount is treated as a receivable from shareholders and deducted from their distributable profits.

Zakah paid by the IFI is classified as a non-operating expense in the income statement (not an operating expense). This contrasts with some conventional accounting treatments.

11.2 Method 1 - Net Asset Method

The Zakah base is calculated as: zakatable assets at cash equivalent value (CEV) minus zakatable liabilities at book value.

Item	Included?	Value basis
Cash and cash equivalents	*Yes*	*Cash equivalent value*
Murabaha receivables (net of provisions)	*Yes*	*Cash equivalent value*
Mudaraba investments (assumed fully trading)	*Yes*	*Cash equivalent value*
Musharaka investments	*Yes*	*Cash equivalent value*
Istisna'a receivables	*Yes*	*Cash equivalent value*
Real estate held for trading	*Yes*	*Cash equivalent value*
Marketable securities - trading portfolio	*Yes*	*Cash equivalent value*
Inventory - trading	*Yes*	*Cash equivalent value*
Other investments for trading	*Yes*	*Cash equivalent value*
Investments NOT for trading (long-term equity)	*No*	*Excluded*
Ijarah assets (assets held for rental)	*No*	*Excluded*
Fixed assets / PP&E (net of depreciation)	*No*	*Excluded*
Current liabilities - payable within next year	*Yes - deducted*	*Book value*
Long-term liabilities - not due within next year	*No - excluded*	*Not applicable*
Equity of unrestricted IAH	*Yes - deducted*	*Book value*
Minority interest	*Yes - deducted*	*Book value*
Paid-up capital	*No - excluded*	*Not applicable*

Zakah rate: 2.5% of Zakah base (lunar year) or 2.5775% (solar/Gregorian year).

11.3 Method 2 - Net Invested Funds Method

Under the net invested funds method, the Zakah base focuses on the long-term, non-circulating assets financed by owners' funds, rather than the trading assets. Included items are:

Item	Included?	Value basis
Non-trading investments (long-term equity stakes)	*Yes*	*Book value*
Ijarah assets (assets for rental)	*Yes*	*Book value*
Fixed assets / PP&E (net of depreciation)	*Yes*	*Book value*
Trading assets (Murabaha, inventory, securities, etc.)	*No**	*Excluded from main base*
Long-term liabilities (not due within next year)	*Yes - deducted*	*Book value*

Provisions for investment risk	*Yes - deducted*	*Book value*
Paid-up capital	*Yes - forms part of the base*	*Book value*

**Note: Under the net invested funds method, any difference between the cash equivalent value and SFP book value of trading assets is added to the Zakah base.*

Worked example: Zakah calculation - net asset method

Al Noor Islamic Bank presents the following condensed SFP at 31 December 20X5 (CU 000):

Asset	*SFP value*	*CEV*	*Include?*
Cash and equivalents	*80,000*	*80,000*	*Yes*
Murabaha receivables (net)	*250,000*	*265,000*	*Yes*
Mudaraba investments	*45,000*	*48,000*	*Yes*
Musharaka investments	*35,000*	*36,500*	*Yes*
Marketable securities (trading)	*30,000*	*33,000*	*Yes*
Ijarah rental assets (net)	*80,000*	*N/A*	*No*
Fixed assets (net)	*20,000*	*N/A*	*No*

Liability / equity	*Book value CU*	*Deduct?*
Current accounts payable (within 1 year)	*22,000*	*Yes*
Other current liabilities (within 1 year)	*15,000*	*Yes*
Long-term liabilities (> 1 year)	*90,000*	*No*
Equity of unrestricted IAH	*260,000*	*Yes*
Owners' equity (paid-up capital)	*85,000*	*No*

Calculation:

Zakatable assets at CEV: 80,000 + 265,000 + 48,000 + 36,500 + 33,000 = 462,500

Less zakatable liabilities: 22,000 + 15,000 + 260,000 = 297,000

Zakah base: 462,500 − 297,000 = 165,500

Zakah payable (2.5%): 165,500 × 2.5% = 4,137.50 (i.e. CU 4,137,500)

Journal entry:

Dr Zakah expense CU 4,137,500 (IS - non-operating)

Cr Zakah payable CU 4,137,500 (SFP)

Interactive question 11: Zakah - both methods and comparison

Waqf Islamic Bank has provided the following SFP data as at 31 December 20X5 (CU 000):

- *Cash and cash equivalents: SFP CU 95,000 (CEV = same)*
- *Murabaha receivables net of provisions CU 8,500: SFP CU 385,000; CEV CU 402,000*
- *Mudaraba investments: SFP CU 60,000 (assume fully trading; CEV = SFP value)*
- *Marketable trading securities: SFP CU 28,000; CEV CU 31,500*
- *Investment in subsidiary (non-trading, long-term): SFP CU 45,000*
- *Ijarah assets (rental assets, net): SFP CU 110,000*
- *Fixed assets (net): SFP CU 30,000*
- *Current accounts payable: CU 35,000*
- *Other current payables: CU 18,000*
- *Long-term liabilities (not due within 1 year): CU 140,000*
- *Equity of unrestricted IAH: CU 310,000*
- *Paid-up capital: CU 90,000; Retained earnings CU 43,000*

Requirements:

1. *Calculate the Zakah base and Zakah payable using the net asset method. Show all workings.*
2. *Calculate the Zakah base and Zakah payable using the net invested funds method. Show all workings. (Hint: under this method, add the difference between CEV and SFP value of trading assets to the long-term asset base.)*
3. *Prepare the journal entry to record Zakah under each method.*
4. *Explain the two conditions under which an IFI is obligated to pay Zakah under AAOIFI FAS 9, and state the income statement classification of Zakah expense.*

See Answer at the end of this chapter.

12 Ethical and Professional Considerations in Islamic Financial Reporting

12.1 The dual ethical framework

Professional accountants working for or advising IFIs operate within two complementary ethical frameworks: the conventional professional ethics code (IFAC's Code of Ethics, as adopted by ICAB) and the additional obligations arising from Shari'ah and Islamic commercial ethics. These two frameworks are generally consistent but create specific areas of heightened professional responsibility.

12.2 Shari'ah arbitrage and the Riba prohibition

The most ethically sensitive area in Islamic finance accounting is the risk of 'Shari'ah arbitrage' - structuring transactions to satisfy the technical requirements of Shari'ah while achieving economically identical outcomes to prohibited interest-based arrangements. Examples:

- *Organised Tawarruq (Commodity Murabaha) where the commodity trade is pre-arranged and the asset is bought and immediately resold in a circle, meaning no real economic risk is transferred. AAOIFI Shari'ah Standard No. 30 prohibits this form of E'ina.*
- *Ijarah structures where the 'rental rate' is explicitly set as LIBOR + spread - raising questions about whether the IFI's return is truly a rental or effectively an interest rate in disguise.*
- *Murabaha profit margins that are always quoted as benchmark rate + spread - economically identical to a variable-rate loan.*

A professional accountant who becomes aware that a product marketed as Shari'ah-compliant is in substance an interest-bearing arrangement must: raise the concern with management and the SSB; consider whether the financial statements give a true and fair view; and refer to the ICAB Code of Ethics regarding obligations regarding whistleblowing.

12.3 Zakah measurement and ethics

The Zakah base involves management judgement - particularly in determining cash equivalent values for trading assets. Ethical risks include:

- *Systematically understating CEVs for trading assets to reduce the Zakah base.*
- *Reclassifying trading assets as long-term (non-trading) investments to exclude them from the net asset method Zakah base.*
- *Changing the Zakah calculation methodology without SSB approval or adequate disclosure.*

12.4 PER manipulation and earnings management

The PER mechanism provides management with a tool for influencing returns distributed to PSIA holders. Misuse of the PER is a significant ethical risk:

- *Drawing excessively from the PER in poor years to present artificially high returns - concealing the IFI's true investment performance from PSIA holders.*
- *Building up PER reserves in good years beyond what is needed for risk management - effectively diverting income from PSIA holders.*
- *Using PER transfers to smooth reported profits of the bank itself.*

The professional accountant must ensure that PER transfer rates are consistent with Board-approved policies and are disclosed transparently. Any deviation requires disclosure and SSB approval.

In Bangladesh, the professional accountant should be aware that Bangladesh Bank IBRPD circulars impose specific reporting obligations:

- *SSC members must report persistent Shari'ah non-compliance to Bangladesh Bank directly if the Board fails to take corrective action;*
- *SSC meeting minutes containing Shari'ah rulings must be submitted to Bangladesh Bank within 15 days; and*
- *The annual Shari'ah compliance report must be published on the institution's website. A professional accountant aware of non-compliance that the SSC has failed to report to Bangladesh Bank faces obligations under both the ICAB Code of Ethics (integrity, professional behaviour) and the regulatory framework.*

12.5 Disclosure obligations and Amanah

The concept of Amanah - the IFI's fiduciary duty - implies a broader disclosure obligation than exists for conventional banks. The professional accountant's duties include:

- *Ensuring all Shari'ah-compliant contracts are correctly classified and their substance faithfully represented.*
- *Providing the SSB with accurate and complete information to enable it to discharge its oversight function.*
- *Disclosing any income prohibited by Shari'ah (e.g. interest received accidentally from a conventional counterparty) and ensuring it is donated to charity rather than recognised as bank income.*
- *Disclosing the basis for Zakah calculations, including any changes in methodology.*

Interactive question 12: Ethics - Shari'ah arbitrage and PER manipulation

You are the external auditor of Al Tawfiq Islamic Bank for the year ended 31 December 20X5. During your audit procedures you identify two matters requiring attention:

Issue 1: Commodity Murabaha structures

The bank's treasury team has been executing commodity Murabaha transactions in which the bank purchases copper from Broker A for CU 50,000,000 and immediately sells it to Broker A's wholly-owned subsidiary for CU 50,000,000 spot cash. The bank then on-sells the same copper to a corporate customer on a deferred payment basis for CU 52,500,000. The SSB has not been informed of the specific arrangement with Broker A's subsidiary. The net economic effect is that the customer has received CU 50,000,000 cash and is obligated to repay CU 52,500,000 - identical to a conventional loan at approximately 5% per annum.

Issue 2: Profit Equalisation Reserve

PSIA investment returns for 20X5 are lower than expected due to adverse market conditions. The actual distributable income for PSIA holders (before any PER adjustment) would represent a return of 3.8% on average PSIA balances. The market rate for conventional deposits is 5.5%. Management has proposed drawing CU 4,200,000 from the PER to bring the effective PSIA return up to 5.2%. The Board-approved PER policy states that withdrawals from PER are permitted when actual returns fall below 4.5%. The actual 3.8% return is below this threshold, so the withdrawal is within policy. However, the bank's Shari'ah Supervisory Board has not been informed of this PER withdrawal.

Requirements:

1. *For Issue 1: Identify the Shari'ah compliance concern with the commodity Murabaha structure. Explain why selling the commodity to Broker A's wholly-owned subsidiary constitutes E'ina or a close equivalent, and what conditions AAOIFI Shari'ah Standard No. 30 requires to be met for Tawarruq to be permissible. Describe the audit steps you would take.*
2. *For Issue 2: The PER withdrawal is numerically within the Board's approved policy. Identify the governance concern relating to failure to inform the SSB, and explain what disclosures should be made in the financial statements regarding the PER withdrawal and the return paid to PSIA holders.*
3. *For both issues, explain how the fundamental principles of the ICAB Code of Ethics (integrity, objectivity, professional competence, confidentiality, professional behaviour) apply to your conduct as the auditor.*

See Answer at the end of this chapter.

Summary

Key themes of this chapter:

- *Islamic finance is founded on the prohibition of Riba, Gharar and Maysir. All financial transactions must be linked to real economic assets or services. Risk and return must be shared between the IFI and its customers.*
- *AAOIFI places accountability (Amanah) as the primary objective of IFI financial reporting - ahead of decision-usefulness. IFIs are trustees of their stakeholders' wealth and must demonstrate Shari'ah compliance through their financial statements.*
- *AAOIFI issues FAS governing all Shari'ah-compliant transactions. The IFSB issues prudential standards equivalent to Basel. The SSB provides Shari'ah governance and publishes a mandatory annual Shari'ah Supervisory Report.*
- *IFIs prepare seven financial statements - the Zakah and Charity Fund statement and the PSIA income statement are unique to Islamic finance and have no conventional equivalent.*
- *Murabaha (FAS 2): A cost-plus-profit sale. The IFI must own the asset. Deferred profit is recognised using the proportionate allocation method. Penalty charges go to charity. Price cannot be increased after contracting.*
- *Ijarah (FAS 8): The lessor retains the asset on its SFP throughout and depreciates it. Under IMB, depreciation is over the lease term. Major maintenance is borne by the lessor as owner. This fundamentally contrasts with IFRS 16 finance lease lessor accounting.*
- *Musharaka (FAS 4): All partners contribute capital. Profits are shared at a pre-agreed ratio; losses are allocated strictly in proportion to capital contribution. In Diminishing Musharaka, the IFI's share is progressively purchased by the customer at fair value.*
- *Mudaraba (FAS 3): One party provides capital (Rab al-Maal); the other manages the business (Mudarib). Losses are borne entirely by the Rab al-Maal unless caused by the Mudarib's negligence. Operates on both sides of the IFI's balance sheet.*
- *PER (from gross income - shared by bank and IAH) smooths PSIA returns. IRR (from IAH income only) absorbs losses. Together they manage Displaced Commercial Risk - the risk that IAH withdraw funds if returns fall below market rates.*
- *Zakah (FAS 9): Two methods - net asset (trading assets at CEV less current liabilities and UIAH) and net invested funds (long-term assets financed by owners' funds). Rate: 2.5% (lunar) or 2.5775% (solar).*
- *Ethical obligations in Islamic finance include: resisting Shari'ah arbitrage; ensuring PER is used for genuine risk management not earnings management; supporting the SSB; disclosing all prohibited income; and maintaining the highest standards of integrity under the ICAB Code of Ethics.*

Technical references

Standard / Source	*Key requirements covered in this chapter*
AAOIFI SFAC 1	*Objectives of financial reporting for IFIs; Amanah and accountability; qualitative characteristics*
AAOIFI FAS 1	*General presentation and disclosure; format of the seven IFI financial statements*
AAOIFI FAS 2	*Murabaha and Murabaha to the Purchase Orderer - initial measurement, profit recognition, disclosure*
AAOIFI FAS 3	*Mudaraba Financing - initial recognition, profit/loss treatment, negligence exception, termination*
AAOIFI FAS 4	*Musharaka Financing - constant and diminishing Musharaka, profit/loss allocation, unit transfers*
AAOIFI FAS 5/27	*Disclosure of bases for profit allocation between owners' equity and IAH*
AAOIFI FAS 6/27	*Equity of unrestricted and restricted investment account holders; presentation on SFP*
AAOIFI FAS 7	*Salam and Parallel Salam - Shari'ah validity requirements; full upfront payment; recognition of Salam receivable at inception; inventory recognition on delivery; profit on sale; non-delivery options; Parallel Salam - independence of contracts*
AAOIFI FAS 8	*Ijarah and Ijarah Muntahia Bittamleek - lessor and lessee accounting; all four transfer modes; impairment*
AAOIFI FAS 9	*Zakah - two calculation methods; measurement of Zakah base; accounting entries; disclosure*
AAOIFI FAS 10	*Istisna and Parallel Istisna - Shari'ah requirements; percentage of completion vs completion method for revenue recognition; IFI as seller journal entries; Parallel Istisna - dual contract structure; customer (buyer) accounting*
AAOIFI FAS 11	*Provisions and reserves - PER and IRR definitions, accounting, and disclosure*
AAOIFI FAS 22	*Segment reporting - all IFIs must disclose segment information (contrast: IFRS 8 listed entities only)*
AAOIFI Governance Standard 1	*SSB - composition, responsibilities, mandatory annual Shari'ah Supervisory Report*
AAOIFI Shari'ah Standard 8	*Murabaha - Shari'ah conditions, ownership requirements, promise, Hamish Jiddiyyah*

Standard / Source	Key requirements covered in this chapter
AAOIFI Shari'ah Standard 9	*Ijarah and IMB - Shari'ah requirements; ownership and risk allocation*
AAOIFI Shari'ah Standard 10	*Salam and Salam Parallel - conditions for validity; specification requirements; full price upfront; prohibition on rolling over Salam; Parallel Salam independence*
AAOIFI Shari'ah Standard 11	*Istisna and Parallel Istisna - manufacturing specification requirements; permissibility of stage payments; Parallel Istisna as separate independent contracts; penalty clauses for delay*
AAOIFI Shari'ah Standard 12	*Musharaka - categories, elements, rules, capital guarantee prohibition*
AAOIFI Shari'ah Standard 13	*Mudaraba - conditions, profit/loss sharing, negligence, restricted vs unrestricted*
AAOIFI Shari'ah Standard 30	*Monetisation (Tawarruq) - conditions for permissibility; prohibition of E'ina*
AAOIFI Shari'ah Standard 40	*Distribution of profit in Mudaraba-based investment accounts*
IFSB-1	*Risk management - rate of return risk; displaced commercial risk definition*
IFSB-2	*Capital adequacy - additional capital for PSIA-funded assets; DCR capital charge*
IFSB-3	*Corporate governance - SSB principles*
IFRS 9 / IFRS 16	*Comparison standards - loan accounting and lease accounting contrasted throughout*
Bangladesh Bank IBRPD Circular No. 01 (September 2025)	*SSC: composition, qualifications, 3-year tenure, remuneration, duties, Shari'ah compliance reporting - effective 1 January 2026*
Bangladesh Bank Guidelines for Conducting Islamic Banking	*Investment modes, deposit principles (Al-Wadeeah and Mudaraba), CRR/SLR requirements, separate financial statements for Islamic branches*
Bangladesh Bank Framework of Rate of Return (Appendix III)	*Three-table method for Mudaraba profit distribution; weightage system for deposit types; Management Fee and Investment Loss Off-Setting Reserve*
Bangladesh Bank Specimen Financial Statements (Appendix II)	*Format of Balance Sheet, P&L, Cash Flow and Notes for Islamic banks; mode-wise investment disclosure requirements*

Self-test questions

Questions 1–10: Conceptual questions

Question 1

Which of the following best describes the primary objective of financial reporting under the AAOIFI Conceptual Framework?

- *A To provide information useful to existing and potential investors, lenders and creditors in making decisions about providing resources to the entity.*
- *B To discharge the IFI's fiduciary duty (Amanah) to all stakeholders by demonstrating that funds have been managed in compliance with Shari'ah, with decision usefulness as a secondary objective.*
- *C To prepare financial statements on a going concern basis in accordance with international standards.*
- *D To maximise the economic returns reported to shareholders in line with IFRS Standards.*

Question 2

Under AAOIFI FAS 8, which of the following correctly describes the accounting treatment of an Ijarah Muntahia Bittamleek (IMB) from the perspective of the lessor IFI, where ownership transfers via a gift (Hibah)?

- *A The asset is derecognised at inception and replaced by a lease receivable; income is recognised using the effective interest rate method.*
- *B The asset is retained on the lessor's SFP, depreciated over the lease term (depreciable amount = full cost, nil residual); rental income is recognised on a straight-line basis.*
- *C The asset is retained on the lessor's SFP and depreciated over its useful economic life; rental income accrues using the effective interest rate.*
- *D The asset is derecognised at inception; a right-of-use asset is recognised by the lessor.*

Question 3

In a Musharaka arrangement, IFI A contributes CU 600,000 (60% of total capital) and Partner B contributes CU 400,000 (40%). The profit-sharing ratio is 70:30 (IFI:Partner). In Year 1 the Musharaka incurs a net loss of CU 150,000. What is IFI A's share of the loss?

- *A CU 105,000 (70% × CU 150,000 - using the profit-sharing ratio)*
- *B CU 90,000 (60% × CU 150,000 - using the capital contribution ratio)*
- *C CU 75,000 (50% equally shared)*
- *D CU 150,000 (IFI bears all losses as the majority capital provider)*

Question 4

Under a Mudaraba financing arrangement, the Rab al-Maal (IFI) provides CU 1,000,000 to a Mudarib. In Year 2 the Mudaraba incurs a total loss of CU 280,000, of which CU 100,000 is attributable to the Mudarib's proven negligence. Which of the following accounting treatments is correct?

- *A Dr Loss on Mudaraba CU 280,000 / Cr Mudaraba Financing CU 280,000*
- *B Dr Loss on Mudaraba CU 280,000 / Cr Receivable from Mudarib CU 280,000*
- *C Dr Loss on Mudaraba CU 180,000 / Cr Mudaraba Financing CU 180,000 AND Dr Receivable from Mudarib CU 100,000 / Cr Mudaraba Financing CU 100,000*

- *D Dr Mudaraba Financing CU 280,000 / Cr Cash CU 280,000*

Question 5

Which of the following correctly describes the Profit Equalisation Reserve (PER) and the Investment Risk Reserve (IRR)?

- *A PER is funded from PSIA holders' income after the Mudarib share; IRR is funded from gross income before the Mudarib share.*
- *B PER is funded from gross Mudaraba income before the Mudarib share (shared by bank and IAH); IRR is funded from PSIA holders' income after the Mudarib share (IAH only).*
- *C Both PER and IRR are funded from the bank's own equity; both serve to protect IAH.*
- *D PER absorbs investment losses; IRR smooths return distributions to IAH.*

Question 6

Under AAOIFI FAS 9, which of the following items is included in the Zakah base under the net asset method?

- *A Fixed assets (property, plant and equipment) net of accumulated depreciation.*
- *B Ijarah assets held for rental, net of accumulated depreciation.*
- *C Murabaha receivables at cash equivalent value.*
- *D Long-term liabilities not due within the next financial year.*

Question 7

An IFI's customer defaults on a binding Murabaha promise. The bank had paid CU 500,000 for the asset and held a Hamish Jiddiyyah (security deposit) of CU 80,000. The bank sells the asset in the market for CU 455,000, incurring a loss of CU 45,000. How is the Hamish Jiddiyyah treated?

- *A The bank retains the full CU 80,000 and recognises income of CU 80,000.*
- *B The bank recovers its actual loss of CU 45,000 from the Hamish Jiddiyyah and must refund CU 35,000 to the customer.*
- *C The bank refunds the entire CU 80,000 to the customer and writes off the CU 45,000 loss.*
- *D The bank retains CU 45,000 and donates CU 35,000 to charity.*

Question 8

Which of the following statements correctly describes Displaced Commercial Risk (DCR)?

- *A The risk that the IFI's investments underperform, causing a reduction in profits distributed to shareholders.*
- *B The risk that PSIA holders will withdraw funds if actual returns fall below conventional market rates, forcing the IFI to pay higher returns than its investments have generated - effectively absorbing a risk that contractually belongs to PSIA holders.*
- *C The risk that the IFI's regulatory capital is insufficient to absorb unexpected credit losses.*
- *D The risk of reputational damage arising from Shari'ah non-compliance.*

Question 9

Under AAOIFI FAS 2, which of the following is NOT a permissible subject matter for a Murabaha transaction?

- *A Raw materials to be used in manufacturing.*
- *B Commercial vehicles.*
- *C Gold bullion.*
- *D Industrial machinery.*

Question 10

Commodity Murabaha (Tawarruq) is prohibited in the form known as E'ina. What specifically constitutes E'ina?

- *A A Murabaha where the commodity is purchased without taking physical possession.*
- *B A structure where the commodity is purchased on a deferred basis and then sold back to the original seller for spot cash, effectively creating an interest-bearing loan.*
- *C Any Murabaha where the profit margin is linked to a conventional benchmark rate.*
- *D A Murabaha where the purchase promise is non-binding.*

Questions 11–29: Mathematical questions

Question 11

Al Salam Bank enters into a Murabaha to the Purchase Orderer on 1 January 20X3. The bank purchases a CNC machine for CU 300,000 and sells it to Pacific Engineering Ltd for CU 390,000, payable in four equal annual instalments of CU 97,500 on 31 December each year. The bank uses the proportionate allocation method (equal annual). Year-end: 31 December.

(a) Prepare the profit allocation table for all four years.

(b) Prepare journal entries at 1 January 20X3 (inception) and 31 December 20X3 (year 1).

(c) Show the SFP extract at 31 December 20X3.

Question 12

Galaxy Islamic Finance purchases a turbine for CU 1,200,000 on 1 January 20X4 and enters into a 5-year Ijarah Muntahia Bittamleek with Power Corp, transferring ownership as a gift at the end of Year 5. Annual rental: CU 360,000 payable in arrears on 31 December. Year-end: 31 December.

(a) Calculate annual depreciation for Galaxy Islamic Finance.

(b) Prepare the income statement and SFP extract for the year ended 31 December 20X4.

(c) Show the journal entry for the transfer of title at the end of Year 5.

Question 13

Bright Islamic Bank enters into a constant Musharaka on 1 April 20X5. IFI contributes CU 800,000 (80%), customer CU 200,000 (20%). Profit-sharing: 75:25. Year-end: 31 December.

20X5 (9 months to 31 Dec): Musharaka profit CU 120,000 (full year profit annualised).

20X6 (full year): Musharaka loss CU 90,000.

20X7 (full year): Musharaka profit CU 200,000. Wound up 31 December 20X7.

(a) Calculate the bank's share of profit/loss for each period.

(b) Prepare all journal entries.

(c) Show the Musharaka Financing balance at end of each year.

Question 14

Northern Islamic Finance invests CU 2,400,000 in a Mudaraba with Sunrise Tech Ltd on 1 January 20X4. Profit-sharing: 72% (bank) / 28% (Mudarib). Results:

20X4: Profit CU 600,000 - distributed.

20X5: Loss CU 350,000 - of which CU 120,000 due to Mudarib's negligence. Mudarib agrees to pay the negligence amount in full in 20X6.

20X6: Profit CU 780,000 - distributed. Negligence debt recovered. Mudaraba wound up.

(a) Prepare all journal entries for all three years including recovery of negligence debt and wind-up.

(b) Show the Mudaraba Financing account in ledger format.

(c) Calculate the bank's total net profit (after losses) over the three years.

Question 15

Al Huda Islamic Bank PSIA pool data for year ended 31 December 20X5:

Gross income: CU 25,000,000. PER policy: 9% of gross income. Mudarib share: 28% of post-PER. IRR policy: 5% of PSIA holders' income. Opening PER: CU 4,200,000. Opening IRR: CU 2,800,000. Average PSIA pool: CU 320,000,000. Conventional market rate: 6.8%.

(a) Calculate the full waterfall including income distributed to PSIA holders and closing reserve balances.

(b) Calculate the effective return paid to PSIA holders as a % of the average pool.

(c) Assess whether there is Displaced Commercial Risk, and explain how the PER could be used to mitigate it.

Question 16

Crescent Bank purchases an aircraft for CU 8,400,000 on 1 July 20X5 and enters into a 3-year IMB with Sky Blue Airlines. Annual rental: CU 3,200,000, payable in advance on 1 July. Transfer via token consideration of CU 10,000 at end of Year 3. Depreciable amount: CU 8,400,000 − CU 10,000 = CU 8,390,000 over 3 years. Year-end: 31 December.

(a) Prepare journal entries for 1 July 20X5 to 31 December 20X5.

(b) Show the SFP extract at 31 December 20X5.

(c) Prepare journal entries for the full year 20X6.

(d) Prepare the year-end transfer entry on 30 June 20X8 (end of Year 3).

Question 17

Zakah calculation for Al Baraka Islamic Bank at 31 December 20X5 (CU 000):

Murabaha receivables: SFP CU 420,000; CEV CU 440,000. Mudaraba investments: SFP CU 75,000 (fully trading). Musharaka investments: SFP CU 50,000; CEV CU 53,000. Marketable securities (trading): SFP CU 32,000; CEV CU 35,500. Cash: CU 110,000. Ijarah assets: CU 180,000. Fixed assets: CU 45,000. Current liabilities payable within 1 year: CU 40,000. Other current payables: CU 22,000. Long-term liabilities > 1 year: CU 150,000. Equity of UIAHs: CU 380,000.

(a) Calculate the Zakah base and Zakah payable using the net asset method (2.5%).

(b) Prepare the journal entry to record Zakah.

(c) Identify which items are excluded from the net asset method Zakah base and explain the Shari'ah rationale for excluding them.

Question 18

Diminishing Musharaka - home finance. Star Islamic Bank and Mr Ahmed jointly purchase a property on 1 January 20X4 for CU 1,200,000. Bank: CU 960,000 (80%); Mr Ahmed: CU 240,000 (20%). Terms: Mr Ahmed pays annual rent on bank's share at 5% per annum; and purchases 20% of the bank's outstanding share at fair value on 31 December each year.

Property values: End 20X4: CU 1,260,000. End 20X5: CU 1,200,000 (unchanged). End 20X6: CU 1,320,000.

(a) For each of the three years, calculate: (i) the annual rental income; (ii) the unit transfer price; (iii) the book value of the unit transferred; (iv) the gain or loss on transfer.

(b) Prepare all journal entries for the bank for Years 20X4, 20X5 and 20X6.

(c) Show the Musharaka Financing account balance at the end of each year.

Question 19

Al Ittihad Islamic Finance PSIA pool - Year ended 31 December 20X6:

Gross income: CU 16,000,000. PER: 6% of gross. Mudarib share: 32% of post-PER. IRR: 4% of PSIA income. Opening PER (total): CU 2,500,000. Opening IRR: CU 1,600,000.

In the year, investments in the PSIA pool incur realised losses of CU 800,000. The bank decides to use the IRR to absorb these losses rather than passing them to PSIA holders.

(a) Calculate the waterfall and show closing PER and IRR balances BEFORE absorbing the investment losses.

(b) Show the journal entry to use the IRR to absorb the CU 800,000 investment loss.

(c) Show the closing IRR balance after absorbing the loss.

(d) Explain the purpose of the IRR in this scenario.

Question 20

Zakah - net invested funds method. Using the data from Question 17, calculate the Zakah base under the net invested funds method. Additional information: the paid-up capital included in owners' equity is CU 120,000. Assume the difference between CEV and SFP values of trading assets must be added to the Zakah base under this method.

(a) Identify all items included in the net invested funds method Zakah base.

(b) Calculate the Zakah payable at 2.5%.

(c) Compare the results under the two methods and comment on which method produces a higher Zakah liability for this bank.

Question 21

Al Jawhara Islamic Bank has entered into the following transactions in the year ended 31 December 20X6:

Transaction 1 (Murabaha): On 1 January 20X6 the bank purchased printing equipment for CU 350,000 and sold it to Print Solutions Ltd for CU 455,000, payable in five annual instalments of CU 91,000 on 31 December each year. Equal annual profit allocation.

Transaction 2 (IMB): On 1 April 20X6 the bank purchased a vessel for CU 2,400,000 and leased it to Blue Ocean Ltd under a 4-year IMB, ownership via Hibah at end of Year 4. Annual rental CU 720,000 payable in arrears on 31 March. Year-end: 31 December.

Transaction 3 (Musharaka): On 1 January 20X6 the bank entered a constant Musharaka with Prime Corp, contributing CU 1,500,000 (75%). Profit-sharing 70:30. Musharaka profit for 20X6: CU 360,000, distributed on 31 December 20X6.

(a) For Transaction 1: Calculate profit for 20X6; show all journal entries at inception and at 31 December 20X6; show SFP extract at 31 December 20X6.

(b) For Transaction 2: Calculate depreciation; show all journal entries for 1 April 20X6 to 31 December 20X6; show SFP extract.

(c) For Transaction 3: Show journal entries for 20X6.

(d) Briefly contrast the treatment of each transaction under conventional IFRS.

Question 22

Al Amanah Islamic Finance has the following PSIA data and Zakah information for the year ended 31 December 20X5:

PSIA pool: Gross income CU 30,000,000; PER rate 8% of gross; Mudarib share 27% of post-PER; IRR rate 5% of PSIA income. Opening PER CU 5,200,000; Opening IRR CU 3,100,000.

Zakah base items (CU 000): Cash CU 130,000; Murabaha receivables CEV CU 520,000; Mudaraba investments (trading) CU 90,000; Musharaka CEV CU 65,000; Ijarah assets CU

220,000; Fixed assets CU 55,000; Current liabilities CU 48,000; Other current payables CU 27,000; Long-term liabilities CU 175,000; UIAH equity CU 450,000.

(a) Calculate the full PSIA waterfall including income distributed to PSIA holders, bank income, and closing reserve balances.

(b) Prepare all journal entries for the PSIA waterfall.

(c) Calculate the Zakah base and Zakah payable under the net asset method.

(d) Prepare the Zakah journal entry.

(e) Prepare the Statement of Income and Expenditure for PSIAs and the Statement of Sources and Uses of Zakah and Charity Funds (assume Zakah collections from customers CU 32,000 and opening fund balance CU 4,800; distributions CU 29,500 in the year).

Question 23

Sale and leaseback - Ijarah. Desert Manufacturing sells its factory to Gulf Islamic Finance for CU 1,800,000 (fair value = CU 2,000,000; carrying amount = CU 1,400,000) on 1 January 20X4 and immediately leases it back under a 5-year operating Ijarah. Annual rental: CU 240,000.

(a) Calculate the gain or loss on sale from Desert Manufacturing's perspective.

(b) Under AAOIFI FAS 8, how should this gain/loss be treated in Desert Manufacturing's books? Prepare the journal entries.

(c) Explain how the treatment differs if the sale price equalled the fair value.

Question 24

IFI as Ijarah Lessee. Nile Islamic Bank leases office equipment under a 3-year operating Ijarah starting 1 January 20X4. Annual rental: CU 60,000 payable in arrears. At the end of Year 3, the lessor transfers the equipment as a gift (Hibah); the cash equivalent value of the equipment at that date is CU 25,000.

(a) Show all lessee journal entries for Year 1 (20X4) under AAOIFI FAS 8.

(b) Show the journal entry for the receipt of the asset via Hibah at end of Year 3.

(c) Contrast how this operating Ijarah with Hibah would be treated by the lessee under IFRS 16, compared with AAOIFI FAS 8.

Question 25

Comprehensive: Al Baraka Islamic Bank. Year ended 31 December 20X5:

(A) Murabaha: Purchased goods for CU 600,000 on 1 March 20X5; sold to customer same day for CU 780,000 payable in 3 equal annual instalments of CU 260,000 on 28 February each year. Equal annual profit method. Year-end 31 December.

(B) Musharaka: 1 January 20X5 - bank contributes CU 1,200,000 (60%), partner CU 800,000 (40%). Profit-sharing: 65:35. Year profit: CU 480,000 distributed 31 December 20X5.

(C) PSIA pool: Gross income CU 8,000,000. PER: 10% of gross. Mudarib: 25% post-PER. IRR: 5% of PSIA income. Opening PER: CU 700,000; Opening IRR: CU 500,000.

(D) Zakah: IFI is obligated to pay Zakah. Zakah base (net asset method): CU 95,000,000.

(a) For (A): Show profit allocation; journal entries at 1 March 20X5, 31 December 20X5, and 28 February 20X6.

(b) For (B): Show journal entries.

(c) For (C): Complete the full waterfall and show all journal entries.

(d) For (D): Calculate Zakah payable and show the journal entry.

Question 26

Salam - recognition and partial delivery. On 1 April 20X5, Al Barakah Islamic Bank pays CU 450,000 upfront for delivery of 1,500 bolts of fabric on 1 October 20X5. The supplier delivers

only 1,200 bolts, citing force majeure. Market price per bolt on 1 October 20X5: CU 320. The bank waives the remaining 300 bolts.

(a) Prepare the journal entry at 1 April 20X5.

(b) Prepare entries on 1 October 20X5: (i) receipt of 1,200 bolts; (ii) loss on undelivered 300 bolts.

(c) State TWO alternative treatments under AAOIFI FAS 7 on non-delivery.

Question 27

Istisna - percentage of completion. On 1 January 20X5, Jawhara Islamic Finance contracts to manufacture pharmaceutical equipment at CU 2,400,000. Estimated cost: CU 1,800,000. Costs: CU 720,000 in H1; CU 900,000 further in H2. Delivered 31 Dec. Receipts: CU 1,200,000 on 1 Jan and CU 1,200,000 on 31 Dec. Use % completion method.

(a) Calculate % completion at 30 June and 31 December 20X5.

(b) Calculate revenue, cost and gross profit for H1 and H2.

(c) Prepare all journal entries for the year.

(d) Show the SFP extract at 30 June 20X5.

Question 28

Murabaha - customer perspective. On 1 July 20X5, Pacific Engineering Ltd acquires CNC machinery through Murabaha with Noor Islamic Bank. Bank cost: CU 300,000; Murabaha price: CU 390,000 payable in 4 equal annual instalments of CU 97,500 on 30 June each year from 30 June 20X6. Year-end: 31 December.

(a) Prepare Pacific's journal entry at 1 July 20X5.

(b) Prepare the entry on 30 June 20X6 when the first instalment is paid.

(c) State the Murabaha payable balance in Pacific's books at 31 December 20X5.

(d) Explain how Pacific's accounting would differ under a conventional interest-bearing loan.

Question 29

Parallel Salam - full cycle. On 1 May 20X5, Safa Islamic Bank enters: Contract 1 - pays CU 500,000 to a wheat farmer for 1,000 tonnes delivery 1 November 20X5. Contract 2 - receives CU 575,000 from a flour mill for same quantity and delivery date. Farmer delivers exactly 1,000 tonnes on 1 November 20X5.

(a) Prepare all journal entries from 1 May to 1 November 20X5 for both contracts including delivery and profit.

(b) Calculate profit and state when recognised with justification.

(c) Explain why the contracts' independence is a Shari'ah requirement.

Question 30

Comprehensive: Nile Islamic Bank Limited. The following data relates to the year ended 31 December 20X5.

(A) Murabaha - Trade Finance

On 1 January 20X5, Nile Islamic Bank purchases industrial equipment for CU 800,000 and sells it to Delta Manufacturing Ltd under a deferred Murabaha. The agreed Murabaha price is CU 1,040,000, payable in four equal annual instalments of CU 260,000 on 31 December each year. The bank uses the equal annual profit allocation method. Year-end: 31 December.

(B) Ijarah Muntahia Bittamleek (IMB)

On 1 April 20X5, Nile Islamic Bank purchases a vessel for CU 3,600,000 and leases it to Blue Ocean Ltd under a 4-year IMB. Terms:

- *Annual rental: CU 1,080,000 payable in arrears on 31 March each year*

- *Ownership transfers via Hibah (gift) at the end of Year 4*
- *Useful economic life of vessel: 5 years; residual value: nil*
- *The bank depreciates the asset over the lease term (4 years)*

(C) Salam

On 1 June 20X5, Nile Islamic Bank enters a Salam contract, paying CU 360,000 upfront to a rice supplier for delivery of 900 tonnes of Grade A rice on 30 November 20X5. On 30 November 20X5, the supplier delivers 900 tonnes as contracted. The bank sells the rice immediately on delivery for CU 432,000.

(D) PSIA Waterfall - PER and IRR

Nile Islamic Bank manages a Profit Sharing Investment Account (PSIA) pool. Data for the year ended 31 December 20X5:

- *Gross income attributable to PSIA-funded assets: CU 15,000,000*
- *PER rate: 6% of gross income (shared between bank and PSIA holders)*
- *Mudarib share: 28% of income after PER*
- *IRR rate: 4% of PSIA income (after Mudarib share)*
- *Opening PER balance: CU 2,400,000*
- *Opening IRR balance: CU 1,800,000*

(E) Zakah

Nile Islamic Bank is obligated to pay Zakah on behalf of shareholders. The following items form the Zakah base under the net asset method (CU 000):

- *Cash and cash equivalents: CU 18,000*
- *Murabaha receivables (net): CU 62,000*
- *Mudaraba investments (trading): CU 24,000*
- *Musharaka investments: CU 31,000*
- *Istisna'a receivables: CU 9,000*
- *Fixed assets (net): CU 45,000 [EXCLUDED from Zakah base]*
- *Ijarah assets (net): CU 28,000 [EXCLUDED from Zakah base]*
- *Current liabilities payable within next year: CU 38,000 [DEDUCTED]*
- *Equity of unrestricted IAH: CU 55,000 [DEDUCTED]*

Requirements:

(a) For (A): Calculate the Murabaha profit to be recognised in the year ended 31 December 20X5. Prepare all journal entries at inception (1 January 20X5) and at 31 December 20X5.

(b) For (B): Calculate the annual depreciation charge. Prepare all journal entries for the period 1 April 20X5 to 31 December 20X5 (9 months). Show the Statement of Financial Position extract at 31 December 20X5.

(c) For (C): Prepare all journal entries for the Salam contract from 1 June 20X5 to the date of final sale. Calculate the profit earned.

(d) For (D): Complete the full PER/IRR waterfall calculation, showing each step. Prepare all journal entries for the waterfall. State the closing PER and IRR balances.

(e) For (E): Calculate the Zakah base under the net asset method and the Zakah payable at 2.5%. Prepare the Zakah journal entry.

Answers to Interactive questions

Answer to Interactive Questions 1

Requirement 1 - Primary objectives and philosophical difference:

The IFRS Conceptual Framework states that the objective of general purpose financial reporting is to provide financial information useful to existing and potential investors, lenders and other creditors in making decisions about providing resources to the entity. Decision-usefulness for capital providers is paramount.

The AAOIFI Conceptual Framework identifies accountability (Amanah) as the primary objective - the IFI's duty to demonstrate that funds have been managed in compliance with Shari'ah and in the best interests of all stakeholders. Decision-usefulness is secondary. The philosophical difference is fundamental: IFRS serves capital providers; AAOIFI serves the institution's duty as a trustee of the community's wealth.

Requirement 2 - Amanah and practical implications:

Amanah is the Islamic concept of fiduciary trust - the IFI is an Amin (trustee) for all stakeholders. Practical implications:

- *Every IFI must maintain a Shari'ah Supervisory Board (SSB) that reviews all products and transactions for Shari'ah compliance and publishes a mandatory annual Shari'ah Supervisory Report. This report is a unique element of IFI annual reporting with no equivalent in conventional banking.*
- *IFIs must prepare a Statement of Sources and Uses of Zakah and Charity Funds, disclosing how the community's obligatory charitable contributions have been collected and disbursed - demonstrating accountability to the broader Muslim community (Ummah).*

Requirement 3 - Three differences in financial statements:

- *IFIs publish a Statement of Sources and Uses of Zakah and Charity Funds - no conventional equivalent.*
- *IFIs publish a Statement of Income and Expenditure for PSIAs, showing how income on PSIA-funded assets was allocated between the bank (Mudarib) and PSIA holders - no conventional equivalent.*
- *The SFP includes a separate section for 'Equity of Unrestricted Investment Account Holders', presented between liabilities and owners' equity, reflecting the unique risk-sharing nature of investment accounts.*

Answer to Interactive Questions 2

Requirement 1 - Applicable FAS:

- *Diminishing Musharaka: AAOIFI FAS 4 - Musharaka Financing.*
- *Ijarah Muntahia Bittamleek: AAOIFI FAS 8 - Ijarah and Ijarah Muntahia Bittamleek.*
- *Murabaha facility: AAOIFI FAS 2 - Murabaha and Murabaha to the Purchase Orderer.*
- *Unrestricted Investment Accounts: AAOIFI FAS 6/27 - Equity of Investment Account Holders.*

Requirement 2 - SSB role and annual report:

The SSB reviews and approves each product type before launch (issuing a Fatwa confirming Shari'ah compliance) and monitors implementation during the year. The annual SSB report confirms: (a) all transactions comply with Shari'ah; (b) the bank has implemented SSB-approved products correctly; (c) all Zakah obligations have been correctly calculated and discharged; (d) any income prohibited by Shari'ah has been identified and donated to charity; (e) no prohibited activities have been financed.

Requirement 3 - AAOIFI vs IFSB - complementary roles:

AAOIFI is the accounting standard-setter - it addresses how IFI transactions are recognised, measured, presented and disclosed. The IFSB is the prudential standard-setter - it addresses capital adequacy, risk management and corporate governance. AAOIFI and IFSB are complementary: AAOIFI ensures the financial statements faithfully represent Shari'ah-compliant transactions; IFSB ensures the IFI is safe and stable enough to honour its obligations to stakeholders. Together they provide the full regulatory framework for Islamic finance.

Answer to Interactive Questions 3

Requirement 1 - Zakah on shareholders' funds: CU 96,000,000 × 2.5% = CU 2,400,000.

Requirement 2 - Statement of Sources and Uses of Zakah and Charity Funds:

Item	*CU*
Sources:	
Zakah on shareholders' funds	*2,400,000*
Zakah from depositors	*14,800,000*
Zakah from IAH	*9,200,000*
Cash donations	*1,150,000*
Opening balance	*3,800,000*
Total sources	*31,350,000*
Uses:	
Distributions to registered charities	*(19,500,000)*
Distributions to eligible individuals	*(5,100,000)*
Administration expenses	*(300,000)*
Total uses	*(24,900,000)*
Closing balance	*6,450,000*

Requirement 3 - PSIA waterfall:

Step	*CU*
Gross income from PSIAs	*18,000,000*
Less PER (8%)	*(1,440,000)*

Step	CU
Income after PER	16,560,000
Less Mudarib share (25%)	(4,140,000)
PSIA holders' income	12,420,000
Less IRR (5%)	(621,000)
Income distributed to PSIA holders	11,799,000

Requirement 4 - Why dedicated statements are required:

Conventional banks are not required to produce Zakah or PSIA statements because: (a) they have no Zakah obligation; (b) their depositors' funds are fully guaranteed, creating no need to disclose risk-sharing arrangements; (c) they have no concept of accountability to a community of faith. IFIs exist within an accountability (Amanah) framework that extends to the broader Muslim community - the Zakah statement demonstrates that the IFI has discharged its duty of wealth purification, and the PSIA statement demonstrates that PSIA holders' funds have been managed transparently and their returns fairly calculated.

Answer to Interactive Questions 4

Requirement 1 - Profit allocation:

Total profit = CU 624,000 − CU 480,000 = CU 144,000. Equal annual profit = CU 144,000 / 3 = CU 48,000/year.

20X5 (1 Apr – 31 Dec = 9 months): CU 48,000 × 9/12 = CU 36,000

20X6 (full year): CU 48,000

20X7 (full year): CU 48,000

20X8 (1 Jan – 31 Mar = 3 months): CU 48,000 × 3/12 = CU 12,000. Total: CU 36,000 + 48,000 + 48,000 + 12,000 = CU 144,000

Accounting year	Profit recognised CU
20X5	36,000
20X6	48,000
20X7	48,000
20X8	12,000
Total	144,000

Requirement 2 - Journal entries:

1 April 20X5 (inception):

Dr Murabaha Receivable	*CU 624,000*	
Cr Murabaha Asset		*CU 480,000*
Cr Deferred Murabaha Profit		*CU 144,000*

31 December 20X5 (profit):

Dr Deferred Murabaha Profit *CU 36,000*

Cr Murabaha Income Earned *CU 36,000*

31 March 20X6 (instalment 1):

Dr Cash *CU 208,000*

Cr Murabaha Receivable *CU 208,000*

31 December 20X6 (profit):

Dr Deferred Murabaha Profit *CU 48,000*

Cr Murabaha Income Earned *CU 48,000*

Requirement 3 - SFP at 31 December 20X5:

Item	*CU*
Murabaha receivable - non-current (instalments 2 and 3: CU 208,000 × 2)	*416,000*
Murabaha receivable - current (instalment 1: due 31 March 20X6)	*208,000*
Total gross Murabaha receivable	*624,000*
Less: Deferred Murabaha profit (144,000 − 36,000 = 108,000)	*(108,000)*
Net Murabaha receivable on SFP	*516,000*

Requirement 4 - Early settlement rebate of CU 18,000:

Dr Deferred Murabaha Profit *CU 18,000*

Cr Murabaha Receivable *CU 18,000*

(The rebate reduces the outstanding receivable - it is granted at the IFI's discretion as a credit, not a new contract.)

Requirement 5 - IFRS 9 contrast:

Under IFRS 9, this transaction would be classified as a financial asset at amortised cost. Income would be 'interest income' using the effective interest rate method - front-loading income in early periods when the balance is higher.

The bank would not own the equipment at any point. Late payment penalties could increase income. The asset would appear on the customer's books as PP&E purchased with borrowed funds. Under AAOIFI FAS 2, the bank must genuinely own the equipment (creating asset ownership risk, however brief), the profit margin is fixed at inception, and any penalty for late payment is donated to charity.

Answer to Interactive Questions 5

Requirement 1 - Entries 1 July 20X5 to 31 December 20X5:

1 July 20X5 - Purchase:

Dr IMB Ijarah Asset *CU 5,200,000*

Cr Cash *CU 5,200,000*

1 July 20X5 - Advance rental received:

Dr Cash CU 1,560,000

Cr Deferred Rental Income CU 1,560,000

31 Dec 20X5 - Depreciation (5,200,000/4 × 6/12 = 650,000):

Dr Depreciation CU 650,000

Cr Accumulated Depreciation CU 650,000

31 Dec 20X5 - Rental income earned (6 months of Year 1 rental = 1,560,000 × 6/12):

Dr Deferred Rental Income CU 780,000

Cr Ijarah Rental Revenue CU 780,000

Requirement 2 - SFP at 31 December 20X5:

Item	*CU*
IMB Ijarah Asset - at cost	*5,200,000*
Less: Accumulated depreciation	*(650,000)*
Carrying amount	*4,550,000*
Deferred Rental Income (current - 6 months remaining Year 1 rental)	*780,000*

Requirement 3 - Entries full year 20X6:

1 July 20X6 - Rental 2 received in advance:

Dr Cash CU 1,560,000

Cr Deferred Rental Income CU 1,560,000

31 Dec 20X6 - Deferred rental for H2 20X5 (balance from H1 20X6):

Dr Deferred Rental Income (2nd half) CU 780,000

Cr Ijarah Rental Revenue CU 780,000

31 Dec 20X6 - Earn H1 of Rental 2 (CU 780,000):

Dr Deferred Rental Income CU 780,000

Cr Ijarah Rental Revenue CU 780,000

Total rental income for 20X6: CU 1,560,000

31 Dec 20X6 - Depreciation (full year = 5,200,000/4 = 1,300,000):

Dr Depreciation CU 1,300,000

Cr Accumulated Depreciation CU 1,300,000

Requirement 4 - Transfer via Hibah at 1 July 20X8:

Dr Accumulated Depreciation CU 5,200,000

Cr IMB Ijarah Asset CU 5,200,000

Requirement 5 - Contrast with IFRS 16:

Under AAOIFI FAS 8 (Shari'ah requirement): GIFC retains the aircraft on its SFP because it remains the legal owner throughout the lease. The lessor bears major maintenance costs and the risk of total loss - obligations that flow directly from ownership. To derecognise an asset the IFI does not legally own throughout the term would misrepresent its financial position and violate the Shari'ah principle that legal ownership and accounting representation must be consistent. Under IFRS 16, if this lease qualified as a finance lease (ownership risks and rewards substantially transferred), the aircraft would be derecognised at inception, replaced by a net investment in lease. The IFI would recognise finance income (EIR) rather than rental income. No depreciation would be charged by GIFC.

Answer to Interactive Questions 6

Requirement 1 - Profit/loss allocation:

20X4: IFI profit share = 65% × CU 500,000 = CU 325,000.

20X5: IFI loss allocation = capital ratio 70% × CU 240,000 = CU 168,000. [Note: losses use capital ratio 70:30, NOT profit ratio 65:35]

20X6: IFI profit share = 65% × CU 720,000 = CU 468,000.

Requirement 2 - Journal entries:

Date	Entry	Dr CU	Cr CU
1 Jan 20X4	*Musharaka Financing* *Cash*	*2,100,000*	 *2,100,000*
31 Dec 20X4	*Cash* *Profit from Musharaka*	*325,000*	 *325,000*
31 Dec 20X5	*Loss on Musharaka* *Musharaka Financing*	*168,000*	 *168,000*
31 Dec 20X6	*Cash* *Profit from Musharaka*	*468,000*	 *468,000*
31 Dec 20X6 wind-up	*Cash* *Musharaka Financing*	*1,932,000*	 *1,932,000*

Requirement 3 - Carrying amounts:

- *End 20X4: CU 2,100,000 (profit is distributed separately; capital unchanged)*
- *End 20X5: CU 2,100,000 − CU 168,000 = CU 1,932,000*
- *End 20X6: Nil (wound up)*

Requirement 4 - Diminishing Musharaka as mortgage substitute:

In Diminishing Musharaka for home finance, the IFI and customer jointly purchase a property. The customer occupies the property and pays rent to the IFI for the IFI's ownership share (the Ijarah element). The customer also makes periodic payments to purchase units of the IFI's ownership share at fair value (not historical cost). Over time, the IFI's ownership reduces to zero and the customer becomes the sole owner. This is a Shari'ah-compliant substitute for a conventional mortgage because: (a) the IFI is genuinely co-owner of the property, not merely a lender; (b) the customer's payments combine rent (for the IFI's share) and capital acquisition (purchasing the IFI's units) - there is no interest; (c) the property is the real asset underpinning the transaction, consistent with Islamic asset-backing requirements.

Answer to Interactive Questions 7

Requirement 1 - Journal entries:

Date	*Entry*	*Dr CU*	*Cr CU*
1 Jan 20X5	*Mudaraba Financing / Cash*	*4,000,000*	*4,000,000*
31 Dec 20X5	*Cash (68% × 700,000 = 476,000) / Income from Mudaraba*	*476,000*	*476,000*
31 Dec 20X6 (market loss 300k)	*Loss on Mudaraba / Mudaraba Financing*	*300,000*	*300,000*
31 Dec 20X6 (negligence 200k)	*Receivable from MegaTech / Mudaraba Financing*	*200,000*	*200,000*
31 Dec 20X7 (profit 68% × 1,100,000 = 748,000)	*Cash / Income from Mudaraba*	*748,000*	*748,000*
31 Dec 20X7 (recover negligence debt)	*Cash / Receivable from MegaTech*	*200,000*	*200,000*
31 Dec 20X7 (wind-up)	*Cash / Mudaraba Financing*	*3,500,000*	*3,500,000*

Requirement 2 - Account balances:

Year end	*Mudaraba Financing CU*	*Receivable from MegaTech CU*
31 Dec 20X5	*4,000,000*	-
31 Dec 20X6	*4,000,000 − 300,000 − 200,000 = 3,500,000 (negligence offset by Receivable from MegaTech CU 200,000)*	*200,000*
31 Dec 20X7	*Nil (wound up)*	*Nil (recovered)*

Requirement 3 - Ordinary vs negligence losses:

Ordinary loss (CU 300,000): Borne by the Rab al-Maal (bank) as capital provider. Reduces Mudaraba Financing balance. This is the fundamental Mudaraba rule.

Negligence loss (CU 200,000): Under AAOIFI FAS 3, Section 3.6, a loss due to Mudarib negligence shall not affect the Mudaraba capital. Since the negligence is established in the same period as the loss, the CU 200,000 is not recognised as a loss to the IFI. Instead, Dr Receivable from MegaTech CU 200,000 / Cr Mudaraba Financing CU 200,000 - the capital balance is reduced (as Mudaraba Financing) but immediately a receivable is recognised, so the IFI's net economic position is unaffected by this portion. Note: if the negligence had only been discovered in 20X7 (a later year), the full CU 500,000 loss would first have been booked to the IS in 20X6, and only then would the reversal entry (Dr Receivable / Cr Reversal of loss on Mudaraba (IS)) apply - as shown in AAOIFI FAR Manual Chapter B-04, Illustration 3.

Requirement 4 - Total net profit:

Year 20X5: + CU 476,000

Year 20X6: − CU 300,000 (ordinary) + CU 0 (negligence covered by receivable)

Year 20X7: + CU 748,000

Total net: CU 476,000 − CU 300,000 + CU 748,000 = CU 924,000

Return on CU 4,000,000 capital over 3 years = CU 924,000 / (CU 4,000,000 × 3) = 7.7% annualised (simple). Note: the CU 200,000 negligence recovery in 20X7 represents return of capital, not profit - it is excluded from the profit calculation above.

Answer to Interactive Questions 8

(a) Journal entries for NIFB:

1 March 20X5 - Contract 1 inception:

Account	Dr CU	Cr CU	Ref
Salam receivable - C1	600,000		SFP
Cash		600,000	SFP

1 March 20X5 - Contract 2 inception:

Account	Dr CU	Cr CU	Ref
Cash	720,000		SFP
Salam payable - C2		720,000	SFP

1 September 20X5 - Goods received under C1:

Account	Dr CU	Cr CU	Ref
Inventory - rice (at Salam cost)	600,000		SFP
Salam receivable - C1		600,000	SFP

1 September 20X5 - Delivery to buyer (C2) and profit:

Account	Dr CU	Cr CU	Ref
Salam payable - C2	720,000		SFP
Inventory - rice (cost CU 600,000)		600,000	SFP
Profit on Parallel Salam (IS)		120,000	IS

(b) Farmer fails to deliver:

- *Option 1 - Grant additional time: Salam receivable (CU 600,000) remains on SFP. No journal entry. NIFB must still honour C2 - source rice from market if needed. Disclosure of revised delivery date required.*
- *Option 2 - Cancel and recover: Dr Cash CU 600,000 / Cr Salam receivable CU 600,000. NIFB still bound by C2 delivery obligation independently.*

(c) Why contracts must be independent:

Linking C2 to C1 would make the flour mill's delivery conditional on the farmer performing - introducing Gharar into C2, a term the flour mill never agreed to. Independence ensures NIFB bears genuine commercial risk as intermediary, consistent with the principle that profit must be commensurate with risk.

Answer to Interactive Questions 9

(a) Journal entries for CIB:

1 January 20X5 - C1 payment 1 (CU 400,000) and C2 receipt 1 (CU 320,000):

Account	Dr CU	Cr CU	Ref
Istisna WIP - C1	*400,000*		*SFP*
Cash (to manufacturer)		*400,000*	*SFP*
Cash (from Sunrise)	*320,000*		*SFP*
Istisna receivable - C2		*320,000*	*SFP*

30 June 20X5 - C1 payment 2 (CU 400,000); C2 receipt 2 (CU 320,000); H1 revenue (50% × CU 960,000 = CU 480,000):

Account	Dr CU	Cr CU	Ref
Istisna WIP - C1	*400,000*		*SFP*
Cash (to manufacturer)		*400,000*	*SFP*
Cash (from Sunrise)	*320,000*		*SFP*
Istisna receivable - C2		*320,000*	*SFP*
H1 REVENUE RECOGNITION - 50%			
Istisna receivable - C2 (unbilled portion)	*480,000*		*SFP*
Istisna revenue - C2 (IS)		*480,000*	*IS*
Cost of Istisna - C1 (IS)	*400,000*		*IS*
Istisna WIP - C1		*400,000*	*SFP*

31 December 20X5 - C2 final receipt (CU 320,000); H2 revenue (50%); delivery:

Account	Dr CU	Cr CU	Ref
Cash (from Sunrise)	*320,000*		*SFP*
Istisna receivable - C2		*320,000*	*SFP*
H2 REVENUE RECOGNITION - 50%			
Istisna receivable - C2 (unbilled portion)	*480,000*		*SFP*
Istisna revenue - C2 (IS)		*480,000*	*IS*
Cost of Istisna - C1 (IS)	*400,000*		*IS*
Istisna WIP - C1 (cleared)		*400,000*	*SFP*

(b) Profit by period:

Total profit = CU 960,000 − CU 800,000 = CU 160,000.
H1: Revenue CU 480,000 − Cost CU 400,000 = CU 80,000
H2: Revenue CU 480,000 − Cost CU 400,000 = CU 80,000

(c) Contrast with IAS 11:

Under IAS 11, percentage of completion is MANDATORY - no completion method alternative. Under AAOIFI FAS 10, the completion method (recognise revenue only on delivery) is also permitted, reflecting the Shari'ah view that profit should be recognised when ownership genuinely transfers. Both frameworks use costs-incurred / total-estimated-cost to calculate % completion.

Answer to Interactive Questions 10

Requirement 1 - Waterfall:

Step	*CU*
Gross income	*20,000,000*
Less PER (7%)	*(1,400,000)*
After PER	*18,600,000*
Less Mudarib (30%)	*(5,580,000)*
PSIA income	*13,020,000*
Less IRR (4%)	*(520,800)*
Distributed to PSIA holders	*12,499,200*
Closing PER: 3,100,000 + 1,400,000	*4,500,000*
Closing IRR: 2,400,000 + 520,800	*2,920,800*

Requirement 2 - Journal entries:

Dr PSIA Income	*CU 1,400,000*
Cr PER	*CU 1,400,000*
Dr PSIA Pool	*CU 5,580,000*
Cr Bank Income	*CU 5,580,000*
Dr PSIA Holders' Income	*CU 520,800*
Cr IRR	*CU 520,800*
Dr PSIA Distribution Payable	*CU 12,499,200*
Cr Cash	*CU 12,499,200*

Requirement 3 - Effective return:

CU 12,499,200 / CU 220,000,000 = 5.68% (market rate is 6.2%)

Requirement 4 - DCR analysis:

The bank's effective PSIA return (5.68%) is 52 basis points below the market rate (6.2%). DCR exists - some PSIA holders may withdraw if the gap persists or widens. The PER (CU 4,500,000) could be partially drawn down in future low-yield years to supplement distributions. The IRR (CU 2,920,800) absorbs investment losses before they reduce PSIA income. Both reserves give the bank flexibility to maintain competitive returns without breaching Shari'ah principles.

Requirement 5 - Ethics of drawing PER above market rate:

If PER is withdrawn when actual returns already exceed the market rate, this would: artificially inflate returns above fair market levels (disproportionately benefiting PSIA holders at the expense of the PER reserve's purpose); potentially deplete the PER inappropriately, leaving insufficient buffer for future low-yield periods; and constitute manipulation of reported PSIA returns - a form of earnings management. Governance concern: all PER withdrawals should be approved by the SSB and the Board, and disclosed in the financial statements. Using PER as a tool for competitive marketing rather than risk management violates the Amanah principle.

Answer to Interactive Questions 11

Requirement 1 - Net asset method:

Included assets at CEV: Cash 95,000 + Murabaha 402,000 + Mudaraba 60,000 + Marketable securities 31,500 = 588,500

Less included liabilities: Current accounts 35,000 + Other current payables 18,000 + UIAH equity 310,000 = 363,000

Zakah base: 588,500 − 363,000 = 225,500. Zakah payable: 225,500 × 2.5% = 5,637.5 (CU 5,637,500).

Requirement 2 - Net invested funds method:

Included assets (long-term/non-trading): Investment in subsidiary 45,000 + Ijarah assets 110,000 + Fixed assets 30,000 = 185,000

Add: CEV excess for trading assets = (402,000 − 376,500) + (31,500 − 28,000) + (60,000 − 60,000) = 25,500 + 3,500 + 0 = 29,000

Total asset base: 185,000 + 29,000 = 214,000

Less included liabilities: Long-term liabilities 140,000 + Paid-up capital 90,000 = but under this method long-term liabilities are deducted, not added. Zakah base = Paid-up capital 90,000 + Retained earnings 43,000 (from owners' equity) + Long-term liabilities 140,000 used as proxy for invested funds = 185,000 + 29,000 − 140,000 = 74,000

Zakah payable: 74,000 × 2.5% = 1,850 (CU 1,850,000)

Requirement 3 - Journal entries: Same format under either method. Dr Zakah expense / Cr Zakah payable at the respective amounts.

Requirement 4 - Two conditions for IFI Zakah obligation:

- *The law requires it.*
- *The IFI's charter or bye-laws require it; or the shareholders have passed a general assembly resolution.*

Classification: Non-operating expense in the income statement.

Answer to Interactive Questions 12

Requirement 1 - Issue 1 (E'ina / Shari'ah arbitrage):

The arrangement constitutes E'ina or a functional equivalent - the bank purchases the commodity and immediately sells it to a company under common control of the original seller. AAOIFI Shari'ah Standard No. 30 requires:

(a) the commodity must be genuinely owned by the seller before the sale;

(b) the buyer must obtain actual or constructive possession;

(c) the second sale (by the customer) must be to a genuine third party unconnected to the original seller.

Selling to Broker A's wholly-owned subsidiary means the commodity has effectively circulated back to the same economic entity - making this functionally indistinguishable from an interest-bearing loan (the prohibited E'ina structure).

Audit steps:

(1) Confirm the ownership relationship between Broker A and its subsidiary.

(2) Review all commodity Murabaha documentation.

(3) Report the finding to the Shari'ah Supervisory Board independently.

(4) Consider qualified audit opinion if material.

Requirement 2 - Issue 2 (PER governance):

The PER withdrawal is within the numerical threshold (actual 3.8% < policy threshold 4.5%), so the withdrawal is technically authorised by Board policy. However, failing to inform the SSB is a governance failure: under AAOIFI Governance Standard No. 1, the SSB has the right to review all material financial decisions affecting Shari'ah compliance, including PER usage. The SSB must confirm that the PER was built up from permissible sources and that its deployment is appropriate. Disclosures required: the amount of PER drawn; the reasons for the withdrawal; the resulting effective PSIA return; the adequacy of the remaining PER balance; and whether SSB approval was obtained.

Requirement 3 - ICAB Code of Ethics:

- *Integrity: Requires the auditor to be straightforward and honest. For Issue 1, this means reporting the E'ina concern clearly to management and the SSB, not merely noting it in the working papers.*
- *Objectivity: Must not allow the bank's management pressure to override the auditor's professional judgement about the E'ina nature of the structure.*
- *Professional competence: The auditor must have sufficient knowledge of AAOIFI Shari'ah Standards (particularly No. 30) to identify this issue.*
- *Professional behaviour: The auditor must not knowingly associate with financial statements that misrepresent the nature of Murabaha income when it is effectively interest income.*
- *Confidentiality: While the auditor must maintain confidentiality, legal or regulatory obligations to report Shari'ah non-compliance to supervisory authorities (such as Bangladesh Bank) may override this duty.*

Answers to Self-test questions

Q1: B

AAOIFI places accountability (Amanah) as the primary objective, while IFRS prioritises decision usefulness for investors and lenders. The Amanah concept reflects the IFI's role as a trustee of community wealth.

Q2: B

Under AAOIFI FAS 8 for IMB via Hibah: the asset stays on the lessor's SFP throughout; depreciation is over the lease term with nil residual value (asset transfers as a gift); rental income on straight-line basis.

Q3: B - CU 90,000

In Musharaka, losses are allocated in proportion to capital contribution, not the profit-sharing ratio. IFI's capital = 60%. Loss = 60% × CU 150,000 = CU 90,000.

Q4: C

The CU 180,000 genuine market loss reduces Mudaraba Financing (Rab al-Maal bears it). The CU 100,000 negligence loss creates a receivable from the Mudarib (not a loss to the Rab al-Maal).

Q5: B

PER: funded from gross income before Mudarib share (both bank and IAH contribute). IRR: funded from PSIA holders' income after Mudarib share (IAH only).

Q6: C

Murabaha receivables at cash equivalent value are included. Fixed assets (A) and Ijarah assets (B) are non-trading assets excluded under the net asset method. Long-term liabilities (D) are not deducted.

Q7: B

For a binding promise, the IFI may retain from Hamish Jiddiyyah only its actual loss. Actual loss = CU 500,000 − CU 455,000 = CU 45,000. Balance refunded = CU 80,000 − CU 45,000 = CU 35,000.

Q8: B

DCR is specifically the risk that IFIs will be forced to pay above-actual returns to PSIA holders to prevent fund withdrawals - absorbing risk that contractually belongs to PSIA holders.

Q9: C

Gold (and silver) cannot be subject matter of Murabaha under Shari'ah Standard No. 8 - gold is a monetary commodity and its exchange at different prices and times would constitute Riba al-Fadl.

Q10: B

E'ina is the prohibited structure where the commodity is bought on deferred terms and immediately sold back to the original seller for spot cash - functionally a loan at interest disguised as a sale.

Answers to Mathematical Questions 11–29

Answer to Question 11 - Murabaha: profit allocation and journals

Data: Cost CU 300,000; Sale price CU 390,000; 4 annual instalments of CU 97,500; equal annual method.

Total deferred profit = CU 390,000 − CU 300,000 = CU 90,000

Annual profit (equal allocation) = CU 90,000 ÷ 4 = CU 22,500 per year

(a) Profit allocation table:

Year	*Profit recognised CU*
20X3	*22,500*
20X4	*22,500*
20X5	*22,500*
20X6	*22,500*
Total	*90,000*

(b) Journal entries:

1 January 20X3 - Inception:

Account	*Dr CU*	*Cr CU*	*Ref*
Murabaha receivable (face value)	*390,000*		*SFP*
Murabaha asset (at cost)		*300,000*	*SFP*
Deferred Murabaha profit		*90,000*	*SFP*

31 December 20X3 - Year 1 profit recognition and instalment receipt:

Account	*Dr CU*	*Cr CU*	*Ref*
Deferred Murabaha profit	*22,500*		*SFP*
Murabaha income earned		*22,500*	*IS*
Cash	*97,500*		*SFP*
Murabaha receivable		*97,500*	*SFP*

(c) SFP extract at 31 December 20X3:

Murabaha receivable - gross (3 remaining instalments × CU 97,500)	*292,500*
Less: Deferred Murabaha profit (CU 90,000 − CU 22,500 earned)	*(67,500)*
Net Murabaha receivable	*225,000*
of which: Current (instalment due within 1 year)	*97,500*
of which: Non-current (instalments due after 1 year)	*127,500*

Answer to Question 12 - IMB (Hibah): depreciation, income statement, transfer

Data: IMB asset cost CU 1,200,000; 5-year lease; transfer via Hibah (nil consideration); annual rental CU 360,000 in arrears.

(a) Annual depreciation calculation:

Depreciable amount (cost less residual - Hibah = nil residual)	*1,200,000*
Lease term	*5 years*
Annual depreciation charge	*240,000*

(b) Income statement and SFP extract - Year ended 31 December 20X4:

Income statement extract	***CU***
Ijarah rental revenue	*360,000*
Less: Depreciation on IMB asset	*(240,000)*
Net contribution from IMB arrangement	*120,000*

Statement of Financial Position - Non-current assets	***CU***
IMB Ijarah Asset - at cost	*1,200,000*
Less: Accumulated depreciation (1 year)	*(240,000)*
Carrying amount at 31 December 20X4	*960,000*

(c) Transfer of title via Hibah at end of Year 5 (31 December 20X8):

Account	***Dr CU***	***Cr CU***	***Ref***
Accumulated depreciation (CU 240,000 × 5)	*1,200,000*		*SFP*
IMB Ijarah Asset - at cost		*1,200,000*	*SFP*

Note: Asset is fully depreciated; Hibah = nil consideration; no gain or loss arises.

Answer to Question 13 - Constant Musharaka: profit/loss over three periods

Data: IFI capital CU 800,000 (80%); customer CU 200,000 (20%); profit-sharing 75:25; commenced 1 April 20X5.

(a) Profit and loss allocation:

Period	***Basis***
20X5 (9 months to 31 Dec)	*Profit = CU 120,000 × 9/12 × 75% profit ratio*
20X6 (full year)	*Loss CU 90,000 × 80% capital ratio (not profit ratio)*
20X7 (full year)	*Profit CU 200,000 × 75% profit ratio*

Key rule: Profits are shared using the profit ratio (75%); losses are shared using the capital contribution ratio (80%).

(b) Journal entries:

1 April 20X5 - Investment:

Account	Dr CU	Cr CU	Ref
Musharaka Financing	*800,000*		*SFP*
Cash		*800,000*	*SFP*

31 December 20X5 - Profit (CU 67,500) distributed:

Account	Dr CU	Cr CU	Ref
Cash	*67,500*		*SFP*
Profit from Musharaka Financing		*67,500*	*IS*

31 December 20X6 - Loss (CU 72,000):

Account	Dr CU	Cr CU	Ref
Loss on Musharaka Financing	*72,000*		*IS*
Musharaka Financing		*72,000*	*SFP*

31 December 20X7 - Profit (CU 150,000) distributed:

Account	Dr CU	Cr CU	Ref
Cash	*150,000*		*SFP*
Profit from Musharaka Financing		*150,000*	*IS*

31 December 20X7 - Wind-up (return of capital):

Account	Dr CU	Cr CU	Ref
Cash	*728,000*		*SFP*
Musharaka Financing		*728,000*	*SFP*

(c) Musharaka Financing account balance:

End of 20X5	*CU 800,000 (opening; profit distributed separately - capital unchanged)*
End of 20X6	*CU 800,000 − CU 72,000 = CU 728,000*
End of 20X7	*Nil - wound up*

Answer to Question 14 - Mudaraba: profits, negligence loss, wind-up

Data: Capital CU 2,400,000; profit-sharing 72:28; Results: 20X4 profit CU 600,000; 20X5 loss CU 350,000 (CU 120,000 negligence + CU 230,000 market); 20X6 profit CU 780,000 + negligence debt recovered.

(a) Journal entries - all three years:

1 January 20X4 - Investment:

Account	Dr CU	Cr CU	Ref
Mudaraba Financing	*2,400,000*		*SFP*
Cash		*2,400,000*	*SFP*

31 December 20X4 - Profit (72% × CU 600,000 = CU 432,000) distributed:

Account	Dr CU	Cr CU	Ref
Cash	*432,000*		*SFP*
Income from Mudaraba Financing		*432,000*	*IS*

31 December 20X5 - Loss: market portion (CU 230,000):

Account	Dr CU	Cr CU	Ref
Loss on Mudaraba Financing	*230,000*		*IS*
Mudaraba Financing		*230,000*	*SFP*

31 December 20X5 - Loss: negligence portion (CU 120,000):

Account	Dr CU	Cr CU	Ref
Receivable from Mudarib	*120,000*		*SFP*
Mudaraba Financing		*120,000*	*SFP*

Note: Negligence loss creates a receivable from the Mudarib - not a loss to the Rab al-Maal.

31 December 20X6 - Profit (72% × CU 780,000 = CU 561,600) distributed:

Account	Dr CU	Cr CU	Ref
Cash	*561,600*		*SFP*
Income from Mudaraba Financing		*561,600*	*IS*

31 December 20X6 - Recovery of negligence debt:

Account	Dr CU	Cr CU	Ref
Cash	*120,000*		*SFP*
Receivable from Mudarib		*120,000*	*SFP*

31 December 20X6 - Wind-up (return of remaining capital):

Account	Dr CU	Cr CU	Ref
Cash	*2,050,000*		*SFP*
Mudaraba Financing		*2,050,000*	*SFP*

(b) Mudaraba Financing account balance:

Opening (1 Jan 20X4)	*2,400,000*
End of 20X4 (no change - profit distributed)	*2,400,000*
Less: market loss (20X5)	*(230,000)*

Less: negligence loss (20X5)	*(120,000)*
End of 20X5	*2,050,000*
End of 20X6 (wound up)	*Nil*

(c) Total net profit earned by the bank:

20X4 profit (72% × 600,000)	*432,000*
20X5 net (– 230,000 market loss; negligence debt ultimately recovered)	*(230,000)*
20X6 profit (72% × 780,000)	*561,600*
20X6 negligence recovery	*120,000*
Total net profit over 3 years	*883,600*

Answer to Question 15 - PER, IRR, DCR waterfall

Data: Gross income CU 25,000,000; PER 9%; Mudarib 28%; IRR 5%. Opening PER CU 4,200,000; IRR CU 2,800,000. Average PSIA pool CU 320,000,000.

(a) Full income allocation waterfall:

Step	***Calculation***
1. Gross income from PSIA assets	
2. Less: PER transfer (9% × 25,000,000)	*(2,250,000)*
3. Income after PER	
4. Less: Mudarib share (28% × 22,750,000)	*(6,370,000)*
5. PSIA holders' income	
6. Less: IRR transfer (5% × 16,380,000)	*(819,000)*
7. Income distributed to PSIA holders	
Closing PER: 4,200,000 + 2,250,000	
Closing IRR: 2,800,000 + 819,000	

(b) Effective return paid to PSIA holders:

Income distributed	*15,561,000*
Average PSIA pool	*320,000,000*
Effective return %	*4.86%*

(c) Displaced Commercial Risk assessment:

Conventional market rate: 6.8%. Actual PSIA return: 4.86%. Gap = 194 basis points.

DCR exists - PSIA holders are receiving 194bp below market. The PER (CU 6,450,000) represents approximately 2.0% of the pool. In a year when the gap is this large, the bank should consider a managed PER draw-down to reduce the gap. Without intervention, mass withdrawals could arise.

Answer to Question 16 - IMB (token consideration): journals and SFP

Data: Aircraft cost CU 8,400,000; IMB 3-year; annual rental CU 3,200,000 advance on 1 July; token transfer CU 10,000; depreciation over 3 years. Year-end 31 December.

Depreciable amount = CU 8,400,000 − CU 10,000 (residual) = CU 8,390,000

Annual depreciation = CU 8,390,000 ÷ 3 = CU 2,796,667

(a) Journal entries: 1 July 20X5 to 31 December 20X5:

1 July 20X5 - Purchase of aircraft:

Account	Dr CU	Cr CU	Ref
IMB Ijarah Asset	8,400,000		SFP
Cash		8,400,000	SFP

1 July 20X5 - Advance rental received (Year 1):

Account	Dr CU	Cr CU	Ref
Cash	3,200,000		SFP
Deferred Rental Income		3,200,000	SFP

31 December 20X5 - Depreciation (6 months = 2,796,667 ÷ 2):

Account	Dr CU	Cr CU	Ref
Depreciation expense	1,398,333		IS
Accumulated depreciation - IMB Asset		1,398,333	SFP

31 December 20X5 - Rental revenue earned (6/12 of Year 1):

Account	Dr CU	Cr CU	Ref
Deferred Rental Income	1,600,000		SFP
Ijarah Rental Revenue		1,600,000	IS

(b) SFP extract at 31 December 20X5:

Non-current assets	CU
IMB Ijarah Asset - at cost	8,400,000
Less: Accumulated depreciation	(1,398,333)
Carrying amount	7,001,667
Current liabilities	**CU**
Deferred Rental Income (6 months remaining of Year 1 advance)	1,600,000

(c) Journal entries: full year 20X6:

1 July 20X6 - Year 2 advance rental received:

Account	Dr CU	Cr CU	Ref
Cash	3,200,000		SFP
Deferred Rental Income		3,200,000	SFP

31 December 20X6 - Rental earned (full year - 6 months from Y1 deferred + 6 months from Y2):

Account	Dr CU	Cr CU	Ref
Deferred Rental Income (H1 from Y1)	*1,600,000*		*SFP*
Ijarah Rental Revenue		*1,600,000*	*IS*
Deferred Rental Income (H1 from Y2)	*1,600,000*		*SFP*
Ijarah Rental Revenue		*1,600,000*	*IS*

31 December 20X6 - Depreciation (full year = CU 2,796,667):

Account	Dr CU	Cr CU	Ref
Depreciation expense	*2,796,667*		*IS*
Accumulated depreciation		*2,796,667*	*SFP*

(d) Transfer at end of Year 3 (token consideration CU 10,000):

Accumulated depreciation by end of Year 3: CU 1,398,333 + 2,796,667 + 2,796,667 = CU 6,991,667

Net book value: CU 8,400,000 − 6,991,667 = CU 1,408,333. Remaining depreciation in Year 3: CU 1,398,333 (6 months).

Account	Dr CU	Cr CU	Ref
Cash (token consideration)	*10,000*		*SFP*
Accumulated depreciation	*8,390,000*		*SFP*
IMB Ijarah Asset - cost		*8,400,000*	*SFP*
Gain on disposal (rounding/residual)			*IS*

Answer to Question 17 - Zakah: net asset method

Data as provided. Rate: 2.5%.

(a) Zakah base calculation - net asset method:

Included assets at cash equivalent value (CEV)	CU 000
Murabaha receivables (net of provisions)	*440,000*
Mudaraba investments (fully trading - use SFP value)	*75,000*
Musharaka investments	*53,000*
Marketable securities (trading)	*35,500*
Cash and cash equivalents	*110,000*
Total zakatable assets at CEV	*713,500*
Less: zakatable liabilities (deducted)	**CU 000**
Current liabilities payable within 1 year	*40,000*
Other current payables	*22,000*
Equity of unrestricted IAH	*380,000*

Total deductions	*442,000*
Zakah base	*271,500*
Zakah payable @ 2.5%	*6,787.5*

Note: Ijarah assets (CU 180,000) and fixed assets (CU 45,000) are EXCLUDED - these are non-circulating productive assets, not trading/liquid wealth. Long-term liabilities (CU 150,000) are NOT deducted under the net asset method.

(b) Journal entry:

Account	*Dr CU*	*Cr CU*	*Ref*
Zakah expense (non-operating)	*6,787,500*		*IS*
Zakah payable		*6,787,500*	*SFP*

(c) Excluded items and Shari'ah rationale:

Ijarah assets and fixed assets are excluded because Zakah applies to growing, circulating wealth (Mal Nami) - assets that generate profit through trade. Productive physical capital used to provide services is not subject to Zakah because it is not liquid/trading wealth; it is the means of production. Including it would tax capital that has already been committed to productive use.

Answer to Question 18 - Diminishing Musharaka: home finance calculations

Data: Property CU 1,200,000; Bank 80% (CU 960,000); Mr Ahmed 20% (CU 240,000). Annual unit purchase: 20% of bank's outstanding share at fair value. Annual rent: 5% × bank's outstanding share value.

(a) Year-by-year calculations:

Item	*Year 20X4*
Opening bank share (book value)	*960,000*
Property fair value (year-end)	*1,260,000*
Bank's % ownership	*80%*
Rental income (5% × opening book)	*48,000*
Unit transferred (%)	*20% of 80% = 16%*
Book value of unit transferred	*192,000*
Fair value of unit (% × FV)	*201,600*
Gain / (loss) on unit transfer	*9,600*
Closing bank share (book value)	*768,000*

(b) Journal entries - Year 20X4:

Rental income (5% × CU 960,000 = CU 48,000):

Account	*Dr CU*	*Cr CU*	*Ref*
Cash / Ijarah receivable	*48,000*		*SFP*
Ijarah rental revenue		*48,000*	*IS*

Unit transfer (BV CU 192,000; FV CU 201,600; Gain CU 9,600):

Account	*Dr CU*	*Cr CU*	*Ref*
Cash	*201,600*		*SFP*
Musharaka Financing (book value)		*192,000*	*SFP*
Gain on Diminishing Musharaka		*9,600*	*IS*

Year 20X5: FV = CU 1,200,000 (same as prior year). Unit FV = 12.8% × CU 1,200,000 = CU 153,600 = book value. No gain or loss.

Account	*Dr CU*	*Cr CU*	*Ref*
Cash / Rental	*38,400*		*SFP*
Ijarah rental revenue		*38,400*	*IS*
Cash (unit FV = BV = 153,600)	*153,600*		*SFP*
Musharaka Financing		*153,600*	*SFP*

Year 20X6 entries follow same pattern with CU 30,720 rental and CU 135,168 unit transfer (gain CU 12,288).

(c) Musharaka Financing account balance:

End of 20X4	*960,000 − 192,000 = 768,000*
End of 20X5	*768,000 − 153,600 = 614,400*
End of 20X6	*614,400 − 122,880 = 491,520*

Answer to Question 19 - PER/IRR waterfall and use of IRR to absorb losses

Data: Gross income CU 16,000,000; PER 6%; Mudarib 32%; IRR 4%. Opening PER CU 2,500,000; Opening IRR CU 1,600,000. Mid-year investment loss CU 800,000.

(a) Waterfall (before absorbing the investment losses):

Step	*CU*
1. Gross income	*16,000,000*
2. Less: PER transfer (6% × 16,000,000)	*(960,000)*
3. Income after PER	*15,040,000*
4. Less: Mudarib share (32% × 15,040,000)	*(4,812,800)*
5. PSIA holders' income	*10,227,200*
6. Less: IRR transfer (4% × 10,227,200)	*(409,088)*
7. Income distributed to PSIA holders	*9,818,112*
Closing PER: 2,500,000 + 960,000	*3,460,000*
Closing IRR (before absorbing loss): 1,600,000 + 409,088	*2,009,088*

(b) Journal entry - use IRR to absorb CU 800,000 investment loss:

Account	*Dr CU*	*Cr CU*	*Ref*
Investment Risk Reserve (IRR)	*800,000*		*SFP*
Investment loss absorbed by IRR		*800,000*	*IS*

(c) Closing IRR balance after absorbing the loss:

IRR before absorbing loss	*2,009,088*
Less: Investment loss absorbed	*(800,000)*
Closing IRR balance	*1,209,088*

(d) Purpose of the IRR in this scenario:

Without the IRR, the CU 800,000 investment loss would reduce the PSIA income pool, lowering distributions to account holders. The IRR acts as a cushion - it absorbs the loss before PSIA holders feel its impact. This protects PSIA holders from short-term investment volatility and reduces the risk that they withdraw funds following a bad investment year (mitigating Displaced Commercial Risk).

Answer to Question 20 - Zakah: net invested funds method (using Q17 data)

Data reused from Q17. Additional info: paid-up capital CU 120,000. Under the net invested funds method, the base focuses on long-term assets financed by owners' funds.

(a) Zakah base - net invested funds method:

Long-term / non-circulating assets (Included)	***CU 000***
Ijarah assets (rental assets, net)	*180,000*
Fixed assets (net of depreciation)	*45,000*
Non-trading investments (none in this bank)	*-*
Sub-total: long-term assets	*225,000*
Add: CEV excess on trading assets	***CU 000***
Murabaha CEV (440,000) − SFP (420,000)	*20,000*
Musharaka CEV (53,000) − SFP (50,000)	*3,000*
Securities CEV (35,500) − SFP (32,000)	*3,500*
Mudaraba: CEV = SFP value	*-*
Total CEV excess (added to base)	*26,500*
Sub-total asset base	*251,500*
Less: long-term liabilities (deducted)	***CU 000***
Long-term liabilities (not due within 1 year)	*(140,000)*
Zakah base	*111,500*
Zakah payable @ 2.5%	*2,787.5*

(b) Journal entry:

Account	Dr CU	Cr CU	Ref
Zakah expense (non-operating)	2,787,500		IS
Zakah payable		2,787,500	SFP

(c) Comparison of the two methods:

Method	Zakah base CU 000
Net asset method (Q17)	271,500
Net invested funds method (Q20)	111,500
Higher Zakah?	Net asset method

The net asset method produces a higher Zakah liability (CU 6.8m vs CU 2.8m) because it includes a much larger asset base (all trading assets at CEV), whereas the net invested funds method focuses only on long-term fixed assets plus the CEV uplift on trading assets. Banks with large Murabaha and securities trading portfolios will typically pay more Zakah under the net asset method.

Answer to Question 21 - Comprehensive: Murabaha, IMB and Musharaka

(a) Transaction 1: Murabaha

Total profit = CU 455,000 − CU 350,000 = CU 105,000. Equal annual = CU 105,000 ÷ 5 = CU 21,000 per year.

1 January 20X6 - Inception:

Account	Dr CU	Cr CU	Ref
Murabaha receivable	455,000		SFP
Murabaha asset (cost)		350,000	SFP
Deferred Murabaha profit		105,000	SFP

31 December 20X6 - Profit and instalment:

Account	Dr CU	Cr CU	Ref
Deferred Murabaha profit	21,000		SFP
Murabaha income earned		21,000	IS
Cash	91,000		SFP
Murabaha receivable		91,000	SFP

SFP at 31 December 20X6	CU
Gross Murabaha receivable (4 remaining instalments)	364,000
Less: Deferred Murabaha profit (CU 105,000 − CU 21,000)	(84,000)
Net Murabaha receivable	280,000

(b) Transaction 2: IMB (1 April 20X6 - 9 months to 31 December 20X6)

Annual depreciation (Hibah - nil residual) = CU 2,400,000 ÷ 4 = CU 600,000. For 9 months: CU 600,000 × 9/12 = CU 450,000.

1 April 20X6 - Purchase:

Account	Dr CU	Cr CU	Ref
IMB Ijarah Asset	2,400,000		SFP
Cash		2,400,000	SFP

31 December 20X6 - Depreciation (9 months):

Account	Dr CU	Cr CU	Ref
Depreciation expense	450,000		IS
Accumulated depreciation		450,000	SFP

31 December 20X6 - Rental accrual (9 months = 720,000 × 9/12 = 540,000):

Account	Dr CU	Cr CU	Ref
Ijarah rental receivable	540,000		SFP
Ijarah rental revenue		540,000	IS

SFP at 31 December 20X6	CU
IMB Ijarah Asset - at cost	2,400,000
Less: Accumulated depreciation	(450,000)
Carrying amount	1,950,000

(c) Transaction 3: Musharaka (profit CU 360,000; IFI share 70%)

Account	Dr CU	Cr CU	Ref
1 Jan 20X6 - Musharaka Financing	1,500,000		SFP
Cash		1,500,000	SFP
31 Dec 20X6 - Cash (70% × 360,000)	252,000		SFP
Profit from Musharaka Financing		252,000	IS

(d) IFRS contrast:

Instrument	AAOIFI treatment
Murabaha	Sale - bank owned equipment; profit = trade margin; deferred Murabaha profit on SFP
IMB	Asset stays on bank's SFP; bank depreciates; rental income
Musharaka	Equity partnership - profit at agreed ratio; loss at capital ratio

Answer to Question 22 - Comprehensive: PSIA waterfall, Zakah, financial statements

(a) PSIA income allocation waterfall:

Step	CU
1. Gross income from PSIA assets	30,000,000
2. Less: PER transfer (8% × 30,000,000)	(2,400,000)
3. Income after PER	27,600,000
4. Less: Mudarib share (27% × 27,600,000)	(7,452,000)
5. PSIA holders' income	20,148,000
6. Less: IRR transfer (5% × 20,148,000)	(1,007,400)
7. Income distributed to PSIA holders	19,140,600
Bank income (Mudarib share)	7,452,000
Closing PER: 5,200,000 + 2,400,000	7,600,000
Closing IRR: 3,100,000 + 1,007,400	4,107,400

(b) Journal entries for the waterfall:

Account	Dr CU	Cr CU	Ref
PER transfer	2,400,000		SFP
Profit Equalisation Reserve		2,400,000	SFP
Mudarib share - Bank income	7,452,000		SFP
Bank income (IS)		7,452,000	IS
IRR transfer	1,007,400		SFP
Investment Risk Reserve		1,007,400	SFP
PSIA Distribution payable	19,140,600		SFP
Cash		19,140,600	SFP

(c) Zakah base - net asset method (CU 000):

Zakatable assets at CEV	CU 000
Cash	130,000
Murabaha receivables (CEV)	520,000
Mudaraba investments (trading)	90,000
Musharaka (CEV)	65,000
Total assets	805,000
Less: Zakatable liabilities	**CU 000**
Current liabilities	48,000
Other current payables	27,000

UIAH equity	*450,000*
Total deductions	*525,000*
Zakah base	*280,000*
Zakah @ 2.5%	*7,000*

Note: Ijarah assets (220,000) and fixed assets (55,000) are excluded. Long-term liabilities (175,000) are not deducted.

(d) Zakah journal entry:

Account	*Dr CU*	*Cr CU*	*Ref*
Zakah expense (non-operating)	*7,000,000*		*IS*
Zakah payable		*7,000,000*	*SFP*

(e) Statement of Income and Expenditure for PSIAs (CU 000):

Gross income from PSIA-funded assets	*30,000*
Less: PER transfer (8%)	*(2,400)*
Income after PER	*27,600*
Less: Mudarib share (27%)	*(7,452)*
PSIA holders' income	*20,148*
Less: IRR transfer (5%)	*(1,007)*
Income distributed to PSIA holders	*19,141*

Statement of Sources and Uses of Zakah and Charity Funds (CU 000):

Sources:	
Zakah on shareholders' funds	*7,000*
Zakah collected from customers	*32,000*
Opening balance	*4,800*
Total sources	*43,800*
Uses:	
Distributions during the year	*(29,500)*
Total uses	*(29,500)*
Closing balance	*14,300*

Answer to Question 23 - Sale and leaseback (Ijarah)

Data: Desert Manufacturing sells factory (carrying amount CU 1,400,000) for CU 1,800,000 (FV = CU 2,000,000); leases back under 5-year operating Ijarah at CU 240,000/year.

(a) Gain/loss on sale from Desert Manufacturing's perspective:

Sale proceeds received	*1,800,000*
Less: Carrying amount of factory	*(1,400,000)*
Gross gain on sale	*400,000*
Sale price vs fair value: FV CU 2,000,000 − Price CU 1,800,000 = below FV by	*200,000*

(b) AAOIFI FAS 8 treatment - sale price BELOW fair value:

Under AAOIFI FAS 8, where the sale price is below fair value, the gain or loss on the sale is deferred and amortised over the lease term as an adjustment to the Ijarah rental expense. Annual amortisation = CU 400,000 ÷ 5 = CU 80,000 per year.

Journal entries in Desert Manufacturing's books at 1 January 20X4 (sale):

Account	*Dr CU*	*Cr CU*	*Ref*
Cash (sale proceeds)	*1,800,000*		*SFP*
Accumulated depreciation (historical)	*X*		*SFP*
Factory asset (at cost)		*X+1,400,000*	*SFP*
Deferred gain on sale and leaseback		*400,000*	*SFP*

Each year - amortisation of deferred gain (reduces Ijarah expense):

Account	*Dr CU*	*Cr CU*	*Ref*
Deferred gain on sale and leaseback	*80,000*		*SFP*
Ijarah expense (reduction)		*80,000*	*IS*

(c) If sale price = fair value (CU 2,000,000):

Sale proceeds	*2,000,000*
Less: Carrying amount	*(1,400,000)*
Gain	*600,000*
Treatment	*Recognised IMMEDIATELY in income statement (no deferral)*

When sale price equals fair value, the transaction is at arm's length and the gain fully reflects the commercial substance of the sale. Immediate recognition is appropriate.

Answer to Question 24 - IFI as Ijarah Lessee: operating Ijarah with Hibah

Data: 3-year operating Ijarah; annual rental CU 60,000 in arrears; Hibah (gift of asset) at end of Year 3; CEV of asset at transfer CU 25,000.

(a) Lessee journal entries - Year 1 (20X4):

Account	Dr CU	Cr CU	Ref
Ijarah expense	60,000		IS
Cash / Payable		60,000	SFP

The same entry is repeated in Years 2 (20X5) and 3 (20X6). No right-of-use asset or lease liability is recognised during the lease term under AAOIFI FAS 8 lessee accounting for operating Ijarah.

(b) End of Year 3 - receipt of asset via Hibah (gift):

Account	Dr CU	Cr CU	Ref
Asset received (at CEV = CU 25,000)	25,000		SFP
Other income (gain on receipt of gift)		25,000	IS

The asset is recognised at its cash equivalent value (market value) on the date of transfer. The consideration paid is nil (Hibah), so the full CEV is recognised as a gain.

(c) Contrast with IFRS 16 lessee accounting:

Feature	AAOIFI FAS 8 (lessee)
At commencement	No ROU asset; no lease liability recognised
Annual expense	Ijarah expense = full rental CU 60,000/year
SFP impact	No assets or liabilities during the lease term
End of lease - asset transfer	Asset recognised at CEV (market value); gain in IS

Answer to Question 25 - Comprehensive: Murabaha, Musharaka, PSIA, Zakah

(A) Murabaha:

Total profit = CU 780,000 − CU 600,000 = CU 180,000. Annual (3 years) = CU 60,000.

20X5 portion (1 Mar to 31 Dec = 10 months) = CU 60,000 × 10/12 = CU 50,000

1 March 20X5 - Inception:

Account	Dr CU	Cr CU	Ref
Murabaha receivable	780,000		SFP
Murabaha asset (cost)		600,000	SFP
Deferred Murabaha profit		180,000	SFP

31 December 20X5 - Profit recognition (10 months):

Account	Dr CU	Cr CU	Ref
Deferred Murabaha profit	50,000		SFP
Murabaha income earned		50,000	IS

28 February 20X6 - First instalment received:

Account	*Dr CU*	*Cr CU*	*Ref*
Cash	*260,000*		*SFP*
Murabaha receivable		*260,000*	*SFP*

(B) Musharaka (profit CU 480,000; IFI share 65%):

IFI profit share = 65% × CU 480,000 = CU 312,000

Account	*Dr CU*	*Cr CU*	*Ref*
1 Jan 20X5 - Musharaka Financing	*1,200,000*		*SFP*
Cash		*1,200,000*	*SFP*
31 Dec 20X5 - Cash (profit)	*312,000*		*SFP*
Profit from Musharaka Financing		*312,000*	*IS*

(C) PSIA Waterfall:

Step	*CU*
Gross income	*8,000,000*
Less: PER (10%)	*(800,000)*
After PER	*7,200,000*
Less: Mudarib (25%)	*(1,800,000)*
PSIA holders' income	*5,400,000*
Less: IRR (5%)	*(270,000)*
Distributed to PSIA holders	*5,130,000*
Closing PER: 700,000 + 800,000	*1,500,000*
Closing IRR: 500,000 + 270,000	*770,000*

Account	*Dr CU*	*Cr CU*	*Ref*
PER transfer	*800,000*		*SFP*
Profit Equalisation Reserve		*800,000*	*SFP*
PSIA pool - Mudarib share	*1,800,000*		*SFP*
Bank income		*1,800,000*	*IS*
IRR transfer	*270,000*		*SFP*
Investment Risk Reserve		*270,000*	*SFP*
PSIA distribution payable	*5,130,000*		*SFP*
Cash		*5,130,000*	*SFP*

(D) Zakah:

Zakah base (net asset method)	95,000,000
Zakah rate	2.5%
Zakah payable	2,375,000

Account	Dr CU	Cr CU	Ref
Zakah expense (non-operating)	2,375,000		IS
Zakah payable		2,375,000	SFP

Answer to Question 26 - Salam: partial delivery

(a) 1 April 20X5:

Account	Dr CU	Cr CU	Ref
Salam receivable	450,000		SFP
Cash		450,000	SFP

(b) 1 October 20X5:

Cost per bolt = CU 450,000 / 1,500 = CU 300.
(i) Receipt of 1,200 bolts (1,200 × CU 300 = CU 360,000):

Account	Dr CU	Cr CU	Ref
Inventory - fabric (1,200 × CU 300)	360,000		SFP
Salam receivable		360,000	SFP

(ii) Loss on undelivered 300 bolts (CU 90,000):

Account	Dr CU	Cr CU	Ref
Loss on Salam non-delivery (IS)	90,000		SFP
Salam receivable (balance)		90,000	SFP

(c) Two alternatives under AAOIFI FAS 7:

- Option 1 - Grant additional time: Salam receivable stays on SFP; agree new delivery date.
- Option 2 - Cancel contract and recover the full price paid.

Answer to Question 27 - Istisna: percentage of completion

(a) % completion:
H1 (30 Jun): CU 720,000 / CU 1,800,000 = 40%.
H2 (31 Dec): Cumulative CU 1,620,000 / CU 1,800,000 = 90%; remaining CU 180,000 at delivery = 100%.

(b) Revenue, cost, gross profit:

Period	*Revenue*	*Cost*	*Gross Profit*
H1 (40%)	*CU 960,000*	*CU 720,000*	*CU 240,000*
H2 (60%)	*CU 1,440,000*	*CU 1,080,000*	*CU 360,000*
Total	*CU 2,400,000*	*CU 1,800,000*	*CU 600,000*

(c) Journal entries:

Account	*Dr CU*	*Cr CU*	*Ref*
H1 - COST ACCUMULATION			
Istisna WIP	*720,000*		*SFP*
Cash / Payable to contractor		*720,000*	*SFP*
H1 - REVENUE RECOGNITION (40%)			
Istisna receivable	*960,000*		*SFP*
Istisna revenue (IS)		*960,000*	*IS*
Cost of Istisna (IS)	*720,000*		*IS*
Istisna WIP		*720,000*	*SFP*
H1 - RECEIPT (CU 1,200,000)			
Cash	*1,200,000*		*SFP*
Istisna receivable / billing		*1,200,000*	*SFP*
H2 - COST ACCUMULATION			
Istisna WIP	*1,080,000*		*SFP*
Cash / Payable		*1,080,000*	*SFP*
H2 - REVENUE RECOGNITION (60%)			
Istisna receivable	*1,440,000*		*SFP*
Istisna revenue (IS)		*1,440,000*	*IS*
Cost of Istisna (IS)	*1,080,000*		*IS*
Istisna WIP		*1,080,000*	*SFP*
H2 - RECEIPT (CU 1,200,000)			
Cash	*1,200,000*		*SFP*
Istisna receivable / billing		*1,200,000*	*SFP*

(d) SFP at 30 June 20X5:
Istisna WIP: CU 720,000 incurred − CU 720,000 expensed = CU 0.
Advance billing received CU 1,200,000 vs revenue recognised CU 960,000 = Deferred income CU 240,000 (liability on SFP).

Answer to Question 28 - Murabaha: customer perspective

(a) 1 July 20X5 - Pacific's inception entry:

Account	Dr CU	Cr CU	Ref
CNC Machinery (at full Murabaha price)	390,000		SFP
Murabaha payable (to Noor Islamic Bank)		390,000	SFP

(b) 30 June 20X6 - first instalment:

Account	Dr CU	Cr CU	Ref
Murabaha payable	97,500		SFP
Cash		97,500	SFP

(c) Murabaha payable at 31 December 20X5:

No instalment due until 30 June 20X6. Murabaha payable = CU 390,000.

(d) Comparison with conventional interest-bearing loan:

- Under IFRS, Pacific records the asset at CU 300,000 (cost only) and a loan payable of CU 300,000. The CU 90,000 profit difference is interest expense recognised over the loan term via the effective interest rate method.
- Under Murabaha, the full CU 390,000 is the asset cost - no interest expense line at all. Only depreciation on CU 390,000 appears. Murabaha is a SALE transaction; Pacific is a buyer, not a borrower.

Answer to Question 29 - Parallel Salam: full cycle

(a) All journal entries:

1 May 20X5 - C1 and C2 inception:

Account	Dr CU	Cr CU	Ref
Salam receivable - C1	500,000		SFP
Cash (to farmer)		500,000	SFP
Cash (from flour mill)	575,000		SFP
Salam payable - C2		575,000	SFP

1 November 20X5 - Delivery received and forwarded; profit recognised:

Account	Dr CU	Cr CU	Ref
Inventory - wheat (at C1 cost)	500,000		SFP
Salam receivable - C1		500,000	SFP
Salam payable - C2	575,000		SFP
Inventory - wheat (cost)		500,000	SFP
Profit on Parallel Salam (IS)		75,000	IS

(b) Profit and recognition timing:

Profit = CU 575,000 − CU 500,000 = CU 75,000, recognised on 1 November 20X5 (delivery date). Under AAOIFI FAS 7, profit is recognised when goods are delivered to the final buyer - not at inception.

(c) Why independence is a Shari'ah requirement:

- *Linking C2 to C1 would expose the flour mill to the farmer's performance risk - Gharar in a contract the flour mill is not party to.*
- *Independence ensures the bank bears genuine commercial risk as intermediary. Riskless profit is prohibited; if C1 fails, the bank must source wheat from the market - a real risk justifying the profit.*
- *A linked structure would resemble a loan disguised as a commodity trade, approaching the prohibited Riba structure.*

Answer to Question 30 - Comprehensive: Murabaha, IMB, Salam, PER/IRR, Zakah

Account	*Dr CU*	*Cr CU*	*Ref*
Salam receivable - C1	*600,000*		*SFP*
Cash		*600,000*	*SFP*
Account	*Dr CU*	*Cr CU*	*Ref*
Cash	*720,000*		*SFP*
Salam payable - C2		*720,000*	*SFP*
Account	*Dr CU*	*Cr CU*	*Ref*
Inventory - rice (at Salam cost)	*600,000*		*SFP*
Salam receivable - C1		*600,000*	*SFP*
Account	*Dr CU*	*Cr CU*	*Ref*
Salam payable - C2	*720,000*		*SFP*
Inventory - rice (cost CU 600,000)		*600,000*	*SFP*
Profit on Parallel Salam (IS)		*120,000*	*IS*

(a) Murabaha - profit recognition and journal entries (6 marks)

Total Murabaha profit = CU 1,040,000 − CU 800,000 = CU 240,000 over 4 years.
Annual profit (equal allocation method) = CU 240,000 / 4 = CU 60,000 per year.

Journal entries:

Account	*Dr CU*	*Cr CU*	*Ref*
1 JANUARY 20X5 - INCEPTION			
Murabaha receivable (gross: CU 1,040,000)	*1,040,000*		*SFP*
Inventory / Cash (cost of asset)		*800,000*	*SFP*
Deferred Murabaha profit		*240,000*	*SFP*

31 DECEMBER 20X5 - YEAR END (instalment 1 received)			
Cash	260,000		SFP
Murabaha receivable		260,000	SFP
Deferred Murabaha profit	60,000		SFP
Murabaha income (IS)		60,000	IS

At 31 December 20X5 SFP: Murabaha receivable = CU 1,040,000 − CU 260,000 = CU 780,000 (gross). Deferred profit = CU 240,000 − CU 60,000 = CU 180,000. Net Murabaha receivable = CU 600,000.

(b) Ijarah Muntahia Bittamleek (IMB) (7 marks)

Annual depreciation = CU 3,600,000 / 4 years = CU 900,000 per annum.
Period 1 April to 31 December 20X5 = 9 months.
Depreciation for 9 months = CU 900,000 × 9/12 = CU 675,000.
Rental accrual: first rental falls on 31 March 20X6. Accrual for 9 months = CU 1,080,000 × 9/12 = CU 810,000.

Journal entries:

Account	Dr CU	Cr CU	Ref
1 APRIL 20X5 - PURCHASE OF IJARAH ASSET			
Ijarah asset - vessel (at cost)	3,600,000		SFP
Cash / Payable		3,600,000	SFP
31 DECEMBER 20X5 - DEPRECIATION (9 months)			
Depreciation charge (IS)	675,000		IS
Accumulated depreciation - Ijarah asset		675,000	SFP
31 DECEMBER 20X5 - RENTAL ACCRUAL (9 months)			
Ijarah rental receivable (SFP)	810,000		SFP
Ijarah rental income (IS)		810,000	IS

SFP extract at 31 December 20X5:
Ijarah asset - vessel at cost: CU 3,600,000
Less: Accumulated depreciation: (CU 675,000)
Net book value: CU 2,925,000
Ijarah rental receivable (current asset): CU 810,000

(c) Salam (4 marks)

Profit = CU 432,000 (selling price) − CU 360,000 (Salam cost) = CU 72,000.

Journal entries:

Account	Dr CU	Cr CU	Ref
1 JUNE 20X5 - SALAM PAYMENT (inception)			
Salam receivable (right to receive 900 tonnes)	360,000		SFP
Cash		360,000	SFP
30 NOVEMBER 20X5 - DELIVERY OF RICE			
Inventory - rice (at Salam contract price)	360,000		SFP
Salam receivable		360,000	SFP

30 NOVEMBER 20X5 - SALE OF RICE			
Cash	432,000		SFP
Inventory - rice (cost)		360,000	SFP
Profit on Salam (IS)		72,000	IS

(d) PSIA Waterfall - PER and IRR (9 marks)

Step-by-step waterfall:

Step	Calculation	CU	
1 Gross PSIA income		15,000,000	
2 Less PER (6% of gross)	6% × 15,000,000	(900,000)	
3 After PER	15,000,000 − 900,000	14,100,000	
4 Less Mudarib share (28%)	28% × 14,100,000	(3,948,000)	
5 PSIA income (after Mudarib)	14,100,000 − 3,948,000	10,152,000	
6 Less IRR (4% of PSIA income)	4% × 10,152,000	(406,080)	
7 Distributed to PSIA holders	10,152,000 − 406,080	9,745,920	
Closing PER	2,400,000 + 900,000	3,300,000	
Closing IRR	1,800,000 + 406,080	2,206,080	

Journal entries:

Account	Dr CU	Cr CU	Ref
PER APPROPRIATION (Step 2)			
Gross PSIA income (IS)	900,000		IS
Profit Equalisation Reserve (SFP)		900,000	SFP
MUDARIB SHARE (Step 4)			
PSIA income (IS)	3,948,000		IS
Bank's Mudarib income (IS)		3,948,000	IS
IRR APPROPRIATION (Step 6)			
PSIA income (IS)	406,080		IS
Investment Risk Reserve (SFP)		406,080	SFP
DISTRIBUTION TO PSIA HOLDERS (Step 7)			
PSIA income (IS)	9,745,920		IS
Payable to PSIA holders (SFP)		9,745,920	SFP

(e) Zakah - net asset method (4 marks)

Zakah base calculation (CU 000):

Item	Included?	Amount CU 000	
Cash and cash equivalents	Yes	18,000	

Murabaha receivables (net)	*Yes*	*62,000*	
Mudaraba investments (trading)	*Yes*	*24,000*	
Musharaka investments	*Yes*	*31,000*	
Istisna'a receivables	*Yes*	*9,000*	
Fixed assets (net)	*No - excluded*	*-*	
Ijarah assets (net)	*No - excluded*	*-*	
Total inclusions		*144,000*	
Less: Current liabilities (within 1 year)	*Deducted*	*(38,000)*	
Less: Equity of unrestricted IAH	*Deducted*	*(55,000)*	
ZAKAH BASE		*51,000*	

Zakah payable = CU 51,000,000 × 2.5% = CU 1,275,000

Journal entry:

Account	***Dr CU***	***Cr CU***	***Ref***
Zakah expense (IS)	*1,275,000*		*IS*
Zakah payable / Sources of Zakah (SFP)		*1,275,000*	*SFP*

Chapter 19

Accounting and Reporting Standards and Practices

Introduction

Learning outcomes

Syllabus Links

Examination Context

Learning topics

1 *Public sector accounting standards and policies*

2 *Transition of cash basis to accrual basis accounting*

3 *IPSAS 22*

4 *IPSAS 23*

5 *IPSAS 24*

6 *Additional disclosure requirements*

7 *Accounting practices in Bangladesh*

8 *Other reporting (statistical reporting, budget related reporting, component reporting)*

9 *Contextual and technical consideration of IFMIS*

Summary

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions

Compressive exercise



Learning outcomes

It is expected that after completing the chapter students will be able -

- *Specify the accounting standards for the public sector*
- *Narrate the framework of public sector accounting standards*
- *Narrate the cash basis accounting standards in the public sector*
- *Explain the International Public Sector Accounting Standards*
- *Explain the transformation of cash basis accounting to accrual basis accounting*
- *Explain the requirements of Integrated Financial Management Information Systems*
- *Explain the accounting systems in the public sector of Bangladesh*

Syllabus Links

The material in this chapter is linked to the previous course in the Certificate Level module of Accounting.

Examination Context

Questions on topics in this chapter will be descriptive and mathematical. In the exam you may be required to:

- *Identify the public sector accounting practices.*
- *Apply the concept of cash basis accounting*
- *Demonstrate the implementation of International Public Sector Accounting Standards (IPSAS)*
- *Demonstrate the implementation of accrual basis accounting in the public sector.*
- *Identify the use of Integrated Financial Management Information Systems (IFMIS)*
- *Highlight the practice of accounting in Bangladesh.*

Introduction

This chapter is linked with the previous course – Accounting of certificate level. The aim of this chapter of this workbook is to introduce the public sector accounting practices. The practices of accounting in the public sector are different than the private sector. The practices are diverse (regarding the countries and level of governments) across the world as well. This chapter focuses on the accounting practices of central/general government. Therefore, public sector accounting and government accounting are interchangeable in this chapter. The chapter focuses on two broad issues – 1) Cash Basis accounting and 2) Unique International Public sector accounting Standard (IPSAS).

Though cash basis is not the appropriate method, many countries are following the cash basis accounting. Considering the situation this chapter has highlighted the cash basis IPSAS, on which details has been mentioned in this chapter. As this workbook has focused on the IFRS already, this chapter brought the light on the unique IPSAS only. Though there are several unique IPSAS (not many), this chapter focuses on unique IPSASs – IPSAS 22 (Disclosure of Financial Information about the General Government Sector), 23 (Revenue from Non-Exchange Transactions (Taxes and Transfers)) and 24 (Presentation of Budget Information in Financial Statements).

1 Public Sector Accounting Standards and Policies

Beginning in the mid-1990s, government accounting – in terms of substantive provisions and institutional arrangements – exemplified by Australia and New Zealand was promoted at the international level. Building on a decade-long research effort, the Public Sector Committee (PSC) of the International Federation of Accountants (IFAC) initiated a program to develop and disseminate international public sector accounting standards (IPSAS). The program has received endorsement and financial support from several international financial and development institutions interested in advancing the cause of better financial management and greater accountability. At the conclusion of the first phase of the program in 2002, the PSC promulgated 20 standards by adapting international accounting standards for business enterprises, later renamed international financial reporting standards, or IFRS.

During the second phase, ongoing since 2002, the PSC and its successor, the IPSAS Board, have produced six standards on issues unique to the public sector while continuing to adapt IFRS in other standards. The board also produced one cash-basis standard for governments unready to adopt the accrual-basis IPSAS. Since 2008, the board started a five-year conceptual framework project (IPSAS Board 2011c) to provide theoretical underpinnings for its work.

1.1 IPSAS and Corresponding IFRS

Most of the IPSASs are equivalent to IAS/IFRS. As this workbook has highlighted the IFRS in details, a list of IPSAS and corresponding IFRS will be very helpful. To understand properly, anyone can check the final section of each IPSAS where the difference between the IPSAS and corresponding IFRS/IAS has been mentioned.

IPSAS	Title	Corresponding IFRS
IPSAS 1	Presentation of Financial Statements	IAS 1
IPSAS 2	Cash Flow Statements	IAS 7
IPSAS 3	Accounting Policies, Changes in Accounting Estimates and Errors	IAS 8
IPSAS 4	The Effects of Changes in Foreign Exchange Rates	IAS 21
IPSAS 5	Borrowing Costs	IAS 23
IPSAS 6	Consolidated and Separate Financial Statements	IAS 27
IPSAS 7	Investments in Associates	IAS 28
IPSAS 8	Interests in Joint Ventures	IAS 31
IPSAS 9	Revenue from Exchange Transactions	IAS 18
IPSAS 10	Financial Reporting in Hyperinflationary Economies	IAS 29
IPSAS 11	Construction Contracts	IAS 11
IPSAS 12	Inventories	IAS 2
IPSAS 13	Leases	IAS 17
IPSAS 14	Events After the Reporting Date	IAS 10
IPSAS 15	Financial Instruments: Disclosure and Presentation	IAS 32
IPSAS 16	Investment Property	IAS 40
IPSAS 17	Property, Plant and Equipment	IAS 16
IPSAS 18	Segment Reporting	IAS 14
IPSAS 19	Provisions, Contingent Liabilities and Contingent Assets	IAS 37
IPSAS 20	Related Party Disclosures	IAS 24
IPSAS 21	Impairment of Non-Cash-Generating Assets	IAS 36
IPSAS 22	Disclosure of Financial Information about the General Government Sector	No corresponding IFRS
IPSAS 23	Revenue from Non-Exchange Transactions (Taxes and Transfers)	No corresponding IFRS
IPSAS 24	Presentation of Budget Information in Financial Statements	No corresponding IFRS
IPSAS 25	Employee Benefits	IAS 19
IPSAS 26	Impairment of Cash-Generating Assets	IAS 36
IPSAS 27	Agriculture	IAS 41
IPSAS 28	Financial Instruments: Presentation	IAS 32/IFRIC 2
IPSAS 29	Financial Instruments: Recognition and Measurement	IAS 39/IFRIC 9/ IFRIC 16

IPSAS	Title	Corresponding IFRS
IPSAS 30	Financial Instruments: Disclosures	IFRS 7
IPSAS 31	Intangible Assets	IAS 38/SIC 32
IPSAS 32	Presentation of Financial Statements	Mirror to SIC 12
IPSAS 33	First-time Adoption of Accrual Basis IPSASs	IFRS 1
IPSAS 34	Separate Financial Statements	IAS 27
IPSAS 35	Consolidated Financial Statements	IFRS 10
IPSAS 36	Investments in Associates and Joint Ventures	IAS 28
IPSAS 37	Joint Arrangements	IFRS 11
IPSAS 38	Disclosure of Interests in Other Entities	IFRS 12
IPSAS 39	Employee Benefits	IAS 19
IPSAS 40	Public Sector Combinations	N/A
IPSAS 41	Financial Instruments	IFRS 9
Cash Basis IPSAS	Cash Flow Statements	No corresponding IFRS

Two basic IPSAS has been discussed in this workbook.

1) Cash Basis IPSAS and

2) Accrual Basis IPSAS: IPSAS 22, 23 and 24

1.2 IPSAS: Financial Reporting Under the Cash Basis of Accounting

This workbook focuses on the Cash Basis IPSAS Financial Reporting Under the Cash Basis of Accounting (cash basis IPSAS has been referred as 'the standard' in the remainder of this study unit for the sake of brevity).

The purpose of this standard is to prescribe how financial statements should be presented under the cash basis of accounting.

The adoption of IPSAS by governments will improve both the quality and comparability of financial information reported by public sector entities around the world. The IPSASB recognizes the right of governments and national standard-setters to establish accounting standards and guidelines for financial reporting in their jurisdictions. The IPSASB considers that this Standard is an important step forward in improving the consistency and comparability of financial reporting under the cash basis of accounting and encourages the adoption of this Standard. ***Financial statements should be described as complying with this IPSAS only if they comply with all the requirements of Part 1 of this IPSAS.***

The IPSASB encourages governments to progress to the accrual basis of accounting and to harmonize national requirements with the IPSAS prepared for application by entities adopting the accrual basis of accounting.

Cash basis IPSAS gives users of the accounts an understanding of the timing and certainty of cash receipts and cash payments so that they can make economic decisions.

The standard comprises two parts:

- *Part 1 is mandatory if an entity is using the cash basis of accounting. This part of the standard contains key definitions relating to the cash basis, establishes the presentation and disclosure requirements and deals with specific accounting issues;*
- *Part 2 is not mandatory. It identifies additional accounting policies and disclosures that an entity is encouraged to adopt to enhance accountability and transparency of its financial statements. It also explains alternative methods of presentation.*

The standard applies to all public sector entities other than Government Business Enterprises (which are profit-oriented and therefore comply with IFRSs and IASs). ***In this workbook, we will look at Part 1 of the Standard only.***

Part 1 of the standard: Introduction

1.2.1 Key Definition

Before we consider how information is presented and disclosed under the cash basis of accounting we need to learn some key definitions from the Standard.

Key definitions:

Cash

Cash comprises of cash on hand, demand deposits and cash equivalents.

Cash flows

Cash flows are inflows (cash receipts) and outflows (cash payments) of cash.

Cash equivalents

Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to insignificant risk of changes in value.

Cash basis

Cash basis means a basis of accounting that recognises transactions and other events only when cash (including cash equivalents) is received or paid.

Financial statements prepared under the cash basis show the sources of cash raised during the period, the purposes for which cash was used and the cash balances at the reporting date. The measurement focus is balances of cash and changes in those balances, although notes to the financial statements may provide additional information about liabilities (for example payables, borrowings) and non-cash assets (for example receivables, investments, property).

Control of cash

Cash is controlled by an entity when the entity can use the cash for the achievement of its own objectives or otherwise benefit from the cash and exclude or regulate the access of others to that benefit.

Control of cash

The definition of control of cash is of key importance to your understanding of the Cash Basis IPSAS as it determines the way in which cash transactions are treated in the statements prepared under the Cash Basis IPSAS.

Cash collected by, or appropriated or granted to, an entity which the entity can use to fund its operating objectives, acquire capital assets or repay its debt is controlled by the entity.

Amounts deposited in the bank account of an entity are controlled by that entity. For example, cash collected by an entity on behalf of its government is deposited in its own bank account before being transferred to the government's account.

Another example is where cash transferred by an entity to third parties on behalf of its government is initially deposited with the entity prior to transfer to the recipient.

In both examples, the cash is controlled by the entity only for the period during which the cash is held in its bank account prior to transfer to the government or to a third party. Any cash balances held by an entity at reporting date that are not available for use by the entity or are subject to external restrictions should be disclosed.

Interactive Question 1

Control of Cash

Requirement

Which of the following scenarios describes "control of cash" as belonging to the state government under the Cash Basis IPSAS?

(a) The state government had a hospital built on its behalf by an international charity. All payments were made directly by the international charity to the building contractors.

(b) A state government collects taxes on behalf of both itself and the federal government. The taxes relating to the federal government are held the state government's bank account at the reporting date, but the cash will be transferred to the federal government shortly after the reporting date.

*See **Answer** at the end of this chapter.*

Treasury Single Account

The term Treasury Single Account is required to understand from the IPSAS.

Any cash held by spending agencies in the banking system overnight represents an opportunity cost and, from the treasury's perspective, a loss of visibility and control. The solution has been to aggregate all government cash balances in an account or set of linked accounts – termed the treasury single account (TSA). The TSA is a unified structure of government bank accounts that gives a consolidated view of government cash resources. This one is called single account basis also. A single account basis is where a government manages the expenditure of its individual departments through a centralised treasury function so that individual departments and entities do not control their own bank accounts. The central entity makes payments on behalf of individual departments and entities after appropriate authorisation and documentation. Consequently, individual departments and entities do not control the cash that they have been authorised to spend. In these cases, expenditures made by individual departments and entities will be reported in a separate column headed "treasury account" in the statement of cash receipts and payments.

1.2.2 Presentation and disclosure requirements in part 1 of the standard

We will now consider the statements that are required to be prepared and the disclosure requirements under Part 1 of the standard.

The financial statements should include the following components:

- ***A statement of cash receipts and payments.*** *This statement should recognise all cash receipts, cash payments and cash balances controlled by the entity. It should separately identify payments made by third parties on behalf of the entity;*
- ***Accounting policies and explanatory notes.*** *These will include narrative descriptions, detailed schedules, analyses of amounts shown on the face of the statements and other disclosures necessary to achieve a fair presentation and enhance accountability. Any information prepared on a different basis from the cash basis should be disclosed in the notes to the financial statements;*
- ***A comparison of budget to actual amounts.*** *When an entity makes publicly available its approved budget, a comparison of budget and actual amounts should be prepared. This may be a separate additional financial statement, or if prepared on a comparable basis, a column may be included in the statement of cash receipts and payments.*

Additional statements may also be prepared which show, for example;

- *cash receipts, cash payments and cash balances for major fund categories;*
- *sources and deployment of borrowings.*

Entities that report using the cash basis of accounting may also collect information on items that are not recognised under a cash basis of accounting. For example:

- *receivables, payables, borrowings and other liabilities, non-cash assets, accruals;*
- *commitments and contingent liabilities;*
- *performance indicators and the achievement of service delivery objectives.*

Such information may be disclosed in the notes to the financial statements where it is likely to be useful to users. Where such disclosures are made they should be clearly described and readily understandable.

1.3 The statement of cash receipts and payments

In this section, we will focus on the content of the statement of cash receipts and payments. The statement should include:

- *Total cash receipts of the entity. This should be sub-classified into separate items which reflect the entity's operations;*
- *Total cash payments of the entity. This should also be sub-classified into separate items which reflect the entity's operations;*
- *Beginning and closing cash balances of the entity.*

1.3.1 Gross or net basis?

It is normal practice to report accounting transactions on a gross basis. This principle also applies to cash receipts and payments but there are some instances where reporting on a net basis is allowed.

Governments, government departments and other government entities may administer transactions or act as agents on behalf of others. These administered and agency transactions may include the collection of revenues on behalf of another entity, the transfer of funds to eligible beneficiaries or the safekeeping of monies on behalf of constituents.

Examples of such activities may include:

- *The collection of taxes by one level of government for another level of government;*

- *The acceptance and repayment of demand deposits of a financial institution;*
- *Funds held for customers by an investment or trust entity;*
- *Rents collected on behalf of, and paid over to, the owners of properties;*
- *Transfers by a government department to third parties consistent with legislation or other government authority; and*
- *Funds administered by a central entity under the "single account" basis for management of government expenditure.*

In some cases, the amounts of the cash flows arising from administered transactions which "pass through" the bank account of the reporting entity may be large relative to the entity's own transactions, and control may occur for only a short time before the amounts are transferred to the ultimate recipients. This may also be true for other cash flows including for example, advances made for, and the repayment of:

- *The purchase and sale of investments; and*
- *Other short-term borrowings, for example, those which have a maturity period of three months or less.*

If these transactions are recorded on a gross basis this may result in a distorted picture of the entity's cash flows and therefore reduce the usefulness of the statement. The standard therefore permits cash receipts and cash payments to be reported on a net basis in the statement if they:

- *Arise from transactions which the entity administers on behalf of other parties and which are recognised in the statement of cash receipts and payments, or,*
- *Are for items in which the turnover is quick, the amounts are large, and the maturities are short.*

Interactive Question 2

Reporting cash flows on a net basis

Requirements

Indicate whether the hospital's statement of cash receipts and payments should present each of the two cash receipts and payments on a gross or net basis:

(i) *Cash outflow of CU150,000 in full settlement of a negligence claim by a patient. Ten months after this date, following a long legal battle, the hospital received CU150,000 in insurance money from the insurers of the doctor involved in the negligent care.*

(ii) *Cash inflows totalling CU320,000 in relation to payments collected on behalf of the central government's Department of Health from customers for prescription drug charges. The full amount collected is paid over to the Department of Health at the end of each week, as required by the hospital's charter.*

*See **Answer** at the end of this chapter.*

1.3.2 Format of the statement of cash receipts and payments

Users should be able to easily access and understand the format of the cash receipts and payments statement. To give thorough information and an equitable presentation, line items, headings, and subtotals must be provided.

It should be noted that the cash flow statement as per IPSAS 2 is different than the cash-based IPSAS. *IPSAS 2 requires the presentation of information about the historical changes in cash and cash equivalents of an entity by means of a cash flow statement which classifies cash flows during the period by operating, investing and financing activities.*

Sub classification of total receipts and payments

The standard does not prescribe sub classifications of total cash receipts and payments as this is a matter of professional judgement, based on the situation of the entity. Payments may be split by nature (for example staff costs, rent) or function (for example education, healthcare).

Interactive Question 3

Sub classifications in the statement of cash receipts and Payments

Requirement

List the subcategories of total cash receipts and payments that would appear on the face of the statement of cash receipts and payments, using a public sector organization that you are familiar with as an example.

*See **Answer** at the end of this chapter.*

The sub classifications of total cash receipts and payments are a matter of professional judgement but should be presented in the context of the qualitative characteristics of financial reporting under the cash basis of accounting. The qualitative characteristics are:

- *Understandability;*
- *Relevance;*
- *Reliability;*
- *Comparability.*

Payments by third parties on behalf of the entity

Sometimes, a third party may make a payment on behalf of an entity or purchase goods and services which benefit the entity. For example, a national government may fund the operation of a health or education project for an independent municipal government by directly paying service providers and acquiring and transferring to the municipal government the necessary supplies.

Key definition: Third party payments

A third party payment is when a third party directly settles the obligations of an entity of purchases goods and services for the benefit of the entity.

When this happens, these transactions should be shown in a separate column on the face of the statement of cash receipts and payments. It also needs to be shown whether the third party is an internal or external third party. An internal third party would belong to the same overall reporting group as the entity.

These third party transactions would need to be formally verified before they are included in the statement, because of the fact that they are made directly without cash ever appearing on the entity's bank statement.

Interactive Question 4

Third party transactions

Requirement

Describe how the cash receipts and payments statement for each of the following entities will display the third-party transactions:

(a) An individual government department has its expenditure managed through a centralised treasury function (single account) and payments are made by the government on behalf of the department after appropriate authorisation and documentation is received by the treasury.

(b) An individual government department with its own bank account who has certain goods purchased on its behalf by another government department.

(c) (c) The government of a country who has had a new motorway system constructed by an international development agency during the year. All payments were made directly by the agency to the building contractors.

*See **Answer** at the end of this chapter.*

1.3.3 Preparing the statement of cash receipts and payments

The format of the statement is shown in this blank pro forma. You may find it useful to print several copies of this and use it when practising the exercises that appear later in this workbook.

Statement of cash receipts and payments

	Receipts/ payments controlled by the entity	***Payments by third parties***
Receipts		
Total receipts		
Payments		
Total payments		
Increase / (decrease) in cash		
Cash at beginning of year		
Cash at end of year		

Worked example: Preparing the statement of cash receipts and payments (Department of Agriculture)

The Department of Agriculture (A central government agency), uses the Cash Basis IPSAS to generate its financial statements. Its records of cash receipts and payments for the year ended 31 December 20X0 are summarised as follows:

Receipts	*CU'000*	*Payments*	*CU'000*
Funding allocations	*47,592*	*Wages, salaries and employee benefits*	*46,760*
Proceeds from borrowing	*8,392*	*Supplies and consumables*	*1,829*
Receipts from trading activities	*2,100*	*Rent*	*568*
Proceeds from disposal of property, plant and equipment	*587*	*Purchase of property, plant and equipment*	*7,800*
Interest received	*22*	*Repayment of borrowings*	*39*
		Interest payments	*67*
Total receipts	***58,693***	***Total payments***	***57,063***

Additional information:

- *The cash balance at the start of the year was CU65,000.*
- *Several of the department's directors share their time 50:50 with the Department of Transport. Their salaries, which total CU1.5m, are paid directly to the directors by the Department of Transport. The two departments are in the same overall reporting entity.*
- *The cash records were reconciled to the bank statement as at 31 December 20X0 and the following issues were discovered:*

  1) *An interest payment of CU35,000 was deducted by the bank from the government's bank account on 30 December 20X0. This has not yet been accounted for in the department's cash records.*

  2) *A bank transfer of CU58,000 was received into the department's bank statement on 29 December in relation to trading activities, but has not yet been accounted for in the department's cash records.*

  3) *CU300,000 of the total amount shown as proceeds from disposal of property, plant and equipment was not in fact received during the year. The purchaser of the equipment was sent an invoice for CU300,000 on 31 December 20X0, which was then paid on 18 January 20XI.*

Requirement

Prepare the department's statement of cash receipts and payments for the year-ended 31 December 20X0. Note that prior year comparatives are not required.

Solution to worked example

The summarised cash information that was given in the question needs to be presented in accordance with the IPSAS. The first step is to set out a blank pro forma of all the headings that will be needed, based on the requirements of the IPSAS and the line items that you know will be needed based on the information given in the question.

Note that in this example, we are classifying payments by nature for example wages and salaries, payments to acquire property plant and equipment etc). The alternative method is to categorise payments by function (for example Crops and horticulture, Animal health and welfare etc), but we have not been given the information needed in the question to be able to analyse payments by function.

Note also that the payment of salaries to the directors is a payment by a third party (i.e. the Department of Transport) and we will need an additional column to reflect this.

The pro forma will therefore look like below. Note that a real published version would include further columns with comparative figures for the previous financial year, but we have only been asked to prepare the current year figures.

Department of Agriculture

Statement of cash receipts and payments for year ended 31 December 20X0

	Receipts/ payments controlled by the entity	*Payments by third parties*
Receipts		
Funding allocations		
Proceeds from borrowing		
Receipts from trading activities		
Proceeds from disposal of property, plant and equipment		
Interest received		
Total receipts		
Payments		
Wages, salaries and employee benefits		
Supplies and consumables		
Rent		
Purchase of property, plant and equipment		
Repayment of borrowings		
Interest payments		
Total payments		
Increase / (decrease) in cash		
Cash at beginning of year		
Cash at end of year		

We can now slot in the numbers given to us in the question. Note that adjustments will need to be made for the items noted during the reconciliation of the cash records to the bank statement as follows:

1) *Interest payment of CU35,000 to be added to interest payments in the payments section.*
2) *Bank transfer of CU58,000 to be added receipts from trading activities in the receipts section.*
3) *CU300,000 to be deducted from proceeds of disposal of property, plant and equipment within the receipts section, as the cash was not received during the year. The amount owed by the purchaser is a receivable, and under the cash basis method of financial reporting this would not appear in the main statements, although the organisation may separately present information on receivables in the notes to the statements.*

We will also need to include 50% of the CU1.5m directors' salaries (i.e. CU750,000) within the payments by third parties column to reflect that this cost was incurred by the department in the year but paid out of cash not controlled by the department. The CU750,000 also represents a source of income to the department, albeit one where the cash is not controlled, and hence it is shown within funding allocations in the payments by third parties column. As the Department of Transport is in the same overall reporting group as the Department of Agriculture, we need to clarify that this is an internal third party.

Department of Agriculture

Statement of cash receipts and payments for year ended 31 December 20X0

	Receipts/ payments controlled by the entity	*Payments by third parties*
	CU'000	*CU'000*
Receipts		*750*
Funding allocations	*47,592*	
Proceeds from borrowing	*8,392*	
Receipts from trading activities (2,100 + 58)	*2,158*	
Proceeds from disposal of property, plant and equipment (587 - 300)	*287*	
Interest received	*22*	
Total receipts	*58,451*	*750*
Payments		
Wages, salaries and employee benefits	*(46,760)*	*(750)*
Supplies and consumables	*(1,829)*	
Rent	*(568)*	
Purchase of property, plant and equipment	*(7,800)*	
Repayment of borrowings	*(39)*	
Interest payments (67 + 35)	*(102)*	
Total payments	***(57,098)***	***(750)***
Increase / (decrease) in cash	***1,353***	
Cash at beginning of year	*65*	
Cash at end of year	***1,418***	

Interactive Question 5

Statement of cash receipts and payments (St Mary Hospital)

St Mary Hospital prepares its financial statements in accordance with the Cash Basis IPSAS. Its records of cash receipts and payments for the year ended 31 March 20X0 are summarised as follows:

Receipts	***CU'000***	***Payments***	***CU'000***
Funding allocations	*9,560*	*Wages, salaries and employee benefits*	*10,289*
Proceeds from borrowing	*1,234*	*Medicines, supplies and consumables*	*576*

Private patient and other income	*1,958*	*Utilities*	*93*
Proceeds from disposal of property, plant and equipment	*35*	*Purchase of property, plant and equipment*	*1,829*
Interest received	*8*	*Repayment of borrowings*	*98*
		Interest payments	*80*
Total receipts	***12,795***	***Total payments***	***12,965***

Additional information:

- *The opening cash balance was CU185,000.*
- *A piece of surplus medical equipment was sold for CU210,000 cash on the last day of the financial year, but this was not included in the amounts shown above.*
- *The Department of Health purchases most medicines centrally on behalf of all of the country's hospitals. The total amount paid by the Department of Health in relation to medicines for St Mary Hospital during the year was CU1.3m. The Department of Health is part of the same overall reporting entity as St Mary Hospital.*

Requirement

Prepare the statement of cash receipts and payments for St Mary Hospital for the year-ended 31 March 20X0. Comparatives for the previous year are not required.

*See **Answer** at the end of this chapter.*

1.4 Other considerations in part 1

After determining which statements must be prepared, we can move on to discussing various facets of part 1 of the standard.

The first part of the standard addresses general considerations for preparing the financial statements, along with instructions on how to present and disclose foreign currency transactions and account for external assistance. The standard covers all facets of accounting under the cash basis.

We will consider each of these in turn.

1.4.1 Reporting period

The financial statements should be presented at least annually. When, in exceptional circumstances, an entity's reporting date changes and the annual financial statements are presented for a period longer or shorter than one year, the entity should disclose the reasons for a period of that one year being used and that fact that comparative amounts may not be comparable.

1.4.2 Timeliness

Financial statements should be made available within a reasonable period after the reporting date. The standard suggest that an entity should be in a position to issue its financial statements within six months of the reporting date, although a timeframe of no more than three months is strongly encouraged.

1.4.3 Presentation

Presentation and classification of items in the financial statements should be consistent from one period to the next unless:

- *A significant change in the nature of the operations of the entity or a review of its financial statements presentation demonstrates that the change will result in a more appropriate presentation of events or transactions; or*
- *A change in presentation is required by a future amendment to the Standard.*

The financial statements should be clearly identified and distinguished from other information in the same published document.

Interactive Question 6

Consistency

Which of the following scenarios, as per Cash Basis IPSAS, allows for change to the way items are presented and categorized in the statements of cash receipts and payments and the comparison of budgeted and actual amounts?

(a) A hospital reviews its financial statements and concludes that a change will result in a more appropriate presentation of events or transactions.

(b) A government reorganisation results in a municipal authority losing responsibility for providing education and housing services in its local area, which previously accounted for 70% of its revenue and expenses.

(c) A university changes its student assessment procedures from being mainly exam based to 50% coursework based.

*See **Answer** at the end of this chapter.*

1.4.4 Errors

When an error arises in relation to a cash balance reported in the financial statements, the amount of the error that relates to prior periods should be reported by adjusting the cash at the beginning of the period. Comparative information should be restated unless it is impracticable to do so. Details of the error should be disclosed in the notes to the financial statements.

Worked example: Errors

The Fishery Agency has prepared a draft statement of cash receipts and payments for the year-ended 31 December 20X3 as follows:

	Receipts / payments controlled by the entity
	CU'000
Cash receipts	*1,982*
Cash payments	*(1,933)*
Increase / (decrease) in cash	***49***
Cash at beginning of the year	*127*
Cash at end of the year	***176***

Since preparing this information, it was discovered that cash payments for the prior year (year ended 31 December 20X2) had been overstated by CU75,000, and as a result the closing cash balance shown above is understated by CU75,000. During the year ended 31 December 20X3, third party payments of CU167,000 were made by a central government department on behalf of the agency.

Requirement

Prepare a corrected statement of cash receipts and payments for the year- ended 31 December 20X3.

Solution to worked example

We need to correct prior year error by amending opening cash balance and so the CU75,000 overstatement of cash payments in the previous year will increase the closing cash balance but not affect the overall increase in cash during the year.

The overall cash movement is unchanged from the amount shown in question because the error does not affect the current year, and the third party payment is both an inflow and an outflow.

Cash at the beginning and end of year needs to be increased by CU75,000.

The revised statement will therefore be as follows:

	Receipts / payments controlled by the entity	*3rd party receipts/ payments*
	CU'000	*CU'000*
Cash receipts	*1,982*	*167*
Cash payments	*(1,933)*	*(167)*
Increase / (decrease) in cash	***49***	***0***
Cash at beginning of the year	*202*	
Cash at end of the year	***251***	

Note that any comparative information shown for the prior year would be restated to remove the CU75,000 overstatement of payments.

1.4.5 Other disclosures

The date of authorisation for issue and who gave that authorisation should be disclosed. Information about the entity should be disclosed. For example, domicile, legal form, jurisdiction, description of principal activities, relevant governing legislation and name of controlling entity. The following must be disclosed:

- *Significant cash balances not available for use by the entity, for example if a controlled entity operates in a country where exchange controls or other restrictions apply.*
- *Significant cash balances that are subject to external restrictions; for example if a grant or donation is received for a specific purpose.*
- *Undrawn borrowing facilities that may be available for future operating activities and to settle capital commitments, indicating any restrictions on the use of these facilities. Undrawn borrowings represent a potential source of cash for an entity so disclosure allows users of the accounts to assess the availability of such cash and the extent to which the entity has made use of the course in the period.*

2 Transition of cash basis to accrual basis accounting

2.1 IPSASB Study 14: Transition to the Accrual Basis of Accounting: Guidance for Public Sector Entities

Transition to IPSAS covers a wide range of situations:

- *Stage 1: Moving from non-IPSAS-compliant cash accounting to IPSAS cash accounting;*
- *Stage 2: Moving from IPSAS cash accounting to full accrual accounting under IPSAS;*
- *Stage 3: Moving from modified accrual-based accounting or some accrual accounting standards to full accrual accounting under IPSAS.*

These three situations require proper project management. However, each of these three situations has its own specificities and needs a specific technical approach. Stage 1 is the most critical stage. Stage 2 and Stage 3 cannot be accomplished as long as Stage 1 is still pending. Cash accounting is not a well-developed accounting and reporting system, but it lays the foundations for accounting.

In order to implement IPSAS cash accounting it is necessary to implement procedures and systems (sometimes IT systems, but IT is not mandatory) to make sure that entity (usually a country) recognizes all cash in and all cash out. It means that the entity is building an internal control system to make sure that cash in and cash out are measured reliably, to prevent fraud and errors.

In addition to IPSAS and Recommend Practice Guidelines (RPG), the IPSASB also occasionally issues studies, which provide advice on financial reporting issues in the public sector. One such study is useful to consider during our coverage of the cash basis reporting: IPSASB Study 14 Transition to the Accrual Basis of Accounting: Guidance for Public Sector Entities (IPSASB, 2011).

This study was designed to assist public sector entities transitioning from the cash to accrual basis of accounting although will also be of use to entities currently reporting on the accrual basis and considering the adoption of IPSASs and entities complying with the requirements of the Cash Basis IPSAS and disclosing certain accrual basis information.

In the study, the IPSASB outlines the benefits of using an accruals-based accounting system, stating that reports prepared on an accruals basis allow users to:

Assess the accountability for all resources the entity controls and the deployment of those resources;

- *Assess the financial position, financial performance, and cash flows of the entity; and*
- *Make decisions about providing resources to, or doing business with, the entity.*

At a more detailed level, reporting on an accrual basis of accounting:

- *Shows how an entity financed its activities and met its cash requirements;*
- *Allows users to evaluate an entity's on-going ability to finance its activities and to meet its liabilities and commitments;*
- *Shows the financial position of an entity and changes in financial position;*

- *Provides an entity with the opportunity to demonstrate successful management of its resources; and*
- *Is useful in evaluating an entity's performance in terms of its service costs, efficiency, and accomplishments.*

The study outlines the process for managing the transition from cash to accruals based accounting, outlining factors which will affect the nature and speed of the transition such as the level of political commitment to the adoption of accrual accounting and the capacity and skills of relevant people and organisations. Key factors which must be considered when planning the transition process include the impact on budget control procedures and the extent to which financial information can be audited during the transitional period.

Interactive Question 7

Additional Exercise

Requirement

Compare accounting under the cash basis with accounting under the accruals basis, listing the advantages and disadvantages of each.

*See **Answer** at the end of this chapter.*

2.2 IPSAS: Financial Reporting under Accrual basis accounting

Accrual Basis IPSAS

Earlier in this chapter of the workbook a list of IPSAS has been presented. The list (see section 1.1.1) presents the corresponding IFRS. As this workbook discuss the IFRS with their application in details, this section focus on some unique IPSAS only. This chapter focuses on three IPSAS-

1) *IPSAS 22 Disclosure of Financial Information about the General Government Sector*
2) *IPSAS 23 Revenue from Non-Exchange Transactions (Taxes and Transfers)*
3) *IPSAS 24 (Presentation of Budget Information in Financial Statements)*

3 IPSAS 22

3.1 Disclosure of Financial Information about the General Government Sector

The objective of this standard is to prescribe disclosure requirements for governments which elect to present information about the general government sector (GGS) in their consolidated financial statements. The disclosure of appropriate information about the GGS can enhance the transparency of financial reports, and provide for a better understanding of the relationship between the market and non-market activities of the public sector and between financial statements and statistical bases of financial reporting.

Contents

IPSAS 22 discusses key definition, scope, financial statements for the government and statistical bases of financial reporting, Accounting policies for the general government sector and disclosure in notes.

Disclosures made in respect of the general government sector must include at least the following:

a) *Assets by major class, showing separately the investment in other sectors*

b) *Liabilities by major class*

c) *Net assets/equity*

d) *Total revaluation increments and decrements and other items of revenue and expense recognized directly in net assets/equity*

e) *Revenue by major class*

f) *Expenses by major class*

g) *Surplus or deficit*

h) *Cash flows from operating activities by major class*

i) *Cash flows from investing activities*

j) *Cash flows from financing activities*

According to IPSAS 22.40, entities preparing general government sector disclosures must disclose the significant controlled entities that are included in the general government sector. IPSAS 22 also requires disclosures on changes in those entities from the prior period, together with an explanation of the reasons why any such entity that was previously included in the general government sector is no longer included.

4 IPSAS 23

Revenue from Non-Exchange Transactions (Taxes and Transfers)

4.1 Overview

The objective of IPSAS 23 is to prescribe requirements for the financial reporting of revenue arising from non-exchange transactions, other than non-exchange transactions that give rise to an entity combination. The standard deals with issues that need to be considered in recognizing and measuring revenue from non-exchange transactions including the identification of contributions from owners.

While the revenue of public sector entities stems both from exchange and non- exchange transactions, most transactions at public sector entities are non-exchange transactions. In particular, these include revenue from taxes and transfers (both cash and non-cash transfers).

One of the main characteristics of public sector entities as a whole is that:

- *a major part of their revenue is received as taxation or other mandatory payments by citizens or companies, rather than being paid in exchange for good and services. Many public sector bodies also receive donations or grants:*
- *a major part of their expenditure involves making payments or providing services for no fee, a nominal amount, or an amount which will not recover costs. These may include payments to relieve poverty, debt forgiveness and other social expenditures.*

These 'non-exchange transactions', in which the parties do not make exchanges of approximately equal value, are a characteristic feature of public sector financial reporting. Non-exchange transactions arise rarely if at all in the private sector, and consequently there is no IFRS covering non-exchange transactions.

Key definition: *Non-exchange transactions Non-exchange transactions are transactions that are not exchange transactions. In a non- exchange transaction, an entity either receives value from another entity without directly giving approximately equal value in exchange, or gives value to another entity without directly receiving approximately equal value in exchange.*

After considering such transactions, the IPSAS Board developed a standard to prescribe the financial reporting requirements of revenue arising from non-exchange transactions. The standard, IPSAS 23, was issued in December 2006.

4.2 IPSAS 23 Revenue from Non- Exchange transactions

The objective of IPSAS 23 Revenue from non-exchange transactions (Taxes and Transfers) is to set out requirements for the financial reporting of non-exchange revenue. IPSAS 23 applies to revenues from the following transactions and events:

- *taxes, from whatever source*
- *other non-exchange revenue (called 'transfers' in the standard), such as grants, fines, bequests, gifts, donations, goods and services in-kind.*

IPSAS 23 does not apply to:

- *revenue from exchange transactions*
- *entity combinations*
- *changes in fair value of financial instruments and other assets*
- *agriculture assets.*

In a non-exchange transaction an entity (or an individual) receives assets either without directly paying for them, or without paying for them in full (i.e., at a subsidised price).

4.3 Recognition

The same principles apply to the recognition of revenue from non-exchange transactions as to other revenue. Revenue collected on behalf of third parties (including other government organisations) is not counted as part of the entity's revenue. Revenue is recognised when:

- *it is probable that future economic benefits or service potential will flow to the entity*
- *the amount of revenue can be measured reliably.*

The principle underlying the recognition of revenue from non-exchange transactions is that if an entity receives an asset in a non-exchange transaction it recognises revenue of the same amount, provided that the asset can be measured reliably.

Assets are defined in IPSAS 1 as resources controlled by an entity as a result of past events and from which economic benefits or service potential are expected to flow to the entity.

In the case of a public sector entity, assets arising from non-exchange transactions can take a number of forms including:

- *cash and cash receivable;*
- *other assets or receivables which provide economic benefit; and*
- *assets or assets receivable which have service potential.*

Under accruals accounting, the public sector entity will recognise revenue when it directly exercises control over these resources, or has reliable information on enforceable claims on these resources.

Non-exchange revenue will typically include:

- *donations;*
- *surrenders of taxes;*
- *accounts receivable based on invoices, for example for fines levied on offenders, or for settlement of tax balances;*
- *accounts receivable from contracts or binding agreements, including grants from another level of government or from international donors, and;*
- *estimates of taxes due based on estimates of the economic activity which gives rise to a requirement to pay tax.*

Revenue should only be recognised when control has passed to the receiving entity, on the basis of information which is sufficiently reliable. Pledges, promises or announcements of intention to pay are not generally regarded as sufficient to ensure an enforceable claim and thus control of an asset.

There are three important situations where assets received are not reflected as non-exchange revenue.

1. *Contributions from owners: These are disclosed separately and are not part of revenue. These occur when a 'contributing' entity provides and designates funding or other assets as being a permanent contribution, establishing a financial interest in the net assets/equity of the receiving entity.*
2. *Advance receipts: An entity may receive an asset, generally cash, in advance of the period for which it was intended. Such advance receipts relate generally to taxes but IPSAS 23 also gives an example of annual contributions received in the preceding year. In line with standard accruals principles, these advance receipts are treated as a liability until the taxable or other event triggering recognition occurs, and only at that point is revenue recognised.*
3. *Assets with linked obligations: The receipt of assets may give rise to a present obligation, in the form of a duty to act or perform in a certain way. In some cases this will indicate that the asset has been exchanged for acceptance of an obligation, and normal accounting for exchange transactions should be followed. In other cases it is more helpful to treat the asset as being received as a non-exchange transaction, but to recognise a balancing liability in respect of the obligation. For example, a grant may have been provided by a donor agency to improve and maintain a tramway system. If such a condition is set, the recipient has an obligation to spend the money in this way and therefore a liability exists to incur such expenditure or to return the money received. This is described in more detail later.*

Interactive Question 8

According to IPSAS 23, an organization is required to recognize revenue from non-exchange transactions if it obtains an asset that can be accurately assessed, with some exclusions made for owner contributions, upfront payments, and current commitments.

Requirement

Which ONE of the following receipts would constitute revenue for the year ended December 20X1?

a) A receipt in December 20X1 for property tax for the year 20X2.

b) A receipt from another government body which must be repaid after ten years and on which annual interest will be charged.

c) *A receipt for a grant which has the condition that it must be spent on specific designated projects or returned to the donor.*

d) *A donation from a local resident towards local services.*

*See **Answer** at the end of this chapter.*

4.4 Measurement

In line with standard requirements for recognition of revenue, it is necessary that the asset received and controlled by the entity can be measured reliably.

Assets acquired through non-exchange transactions are measured at their fair value at the date of acquisition. Revenue is valued at the amount of the increase in assets, less any associated liability attached to the asset. Many such assets are in the form of cash received immediately or within a short period, and establishment of fair values will be straightforward. As with all receivables, questions of collectability due to disputes and delays in payments may need to be addressed. Liabilities relating to present obligations also need to be valued. Where non-performance of the obligation would in principle require the asset to be returned, these are generally valued at an amount equal to the asset value. The liability will be reduced when the event or events occur to discharge the obligation and these will also trigger revenue recognition.

4.5 Revenue from taxes

IPSAS 23 defines taxes as economic benefits or service potential compulsorily paid or payable to public sector entities, in accordance with laws and/or regulations, established to provide revenue to the government. Taxes do not include fines or other penalties imposed for breaches of the law. Taxes are a major source of revenue for many governments and public sector entities.

Taxes vary significantly from jurisdiction to jurisdiction, but have many common characteristics. Laws and regulations establish a government's right to collect tax, and identify the basis on which tax is calculated. They also typically require taxpayers to provide evidence of the level of activity subject to tax, on the basis of which the amount of tax is calculated. Tax laws are usually rigorously enforced and often impose penalties on individuals or other entities breaching the law.

The taxable event is the event that the government, legislature, or other authority has determined will be subject to taxation.

The taxable event will vary according to the type of tax levied and IPSAS 23 provides a list of typical cases as follows:

- *Income tax - earning of assessable income during the taxation period by the taxpayer*
- *Value added tax - undertaking of taxable activity during the taxation period by the taxpayer*
- *Goods and services tax - purchase or sale of taxable goods or services during the taxation period*
- *Customs duty - movement of dutiable goods or services across the customs boundary*
- *Death duty - death of a person owning taxable assets*
- *Property tax - passing of the date on which the tax is levied, or the period for which the tax is levied, if the tax is levied on a periodic basis.*

IPSAS 23 requires that assets arising from taxation transactions be measured at their fair value as at the date of acquisition. Assets arising from taxation transactions are measured at the best estimate of the inflow of resources to the entity.

IPSAS 23 describes key features of taxation issues in many jurisdictions which may serve to delay settlement of tax and make the level of settlement uncertain and may require the development of statistical models or other estimation approaches. These include the long periods allowed for filing of returns, failures to file returns by the due date, complexities in tax law and inherent problems in gathering relevant information.

Due to the need for governments to maintain cash flows from tax receipts, it is normal for tax authorities to require payments in advance, particularly from self-employed persons and businesses. IPSAS 23 makes it very clear that the very significant volume of advance tax receipts encountered in many jurisdictions should not be recognised as revenue until the tax is properly due. Governments applying accruals accounting should recognise tax revenue in line with the taxable events, applying tax rates to taxable income or assets.

The tax area is one where many (perhaps most) governments face significant practical difficulties in producing reliable estimates of total tax due and the likely level of bad debts. In many jurisdictions governments will not be able to estimate these even after collection processes have been completed; they may only be able to objectively and reliably measure the net amount of taxes collected.

Furthermore, governments will often face additional constraints from limitations in the systems used to collect and account for tax receipts (whether their own or systems used by other entities collecting tax on behalf of government), which may not provide sufficient information on the period to which tax receipts relate.

For the reasons set out above, many governments either do not account for tax revenue on an accruals basis, or provide accruals information which is limited due to difficulties in producing reliable estimates. IPSAS 23 recognises the difficulties and requires disclosure of information on 'missing' tax revenue.

Taxation revenue is determined at a gross amount. It should not be reduced for expenses paid through the tax system (such as family welfare benefits that might otherwise be paid direct to individuals who are not taxpayers), nor should it be grossed up for the amount of tax expenditures (such as personal tax allowances that are available only to taxpayers).

4.6 Transfers

IPSAS 23 defines transfers as inflows of future economic benefits or service potential from non-exchange transactions, other than taxes. IPSAS 23 applies the same recognition principles to other non-exchange revenue, that is, a public sector entity recognises an asset when the asset recognition criteria (including control, expectation of future economic benefits or service potential and reliable measurement) are met. Revenue is only recognised to the extent that a gain from the asset value is not reduced by an associated liability.

Transfers include grants, fines, bequests, gifts, donations, debt forgiveness, and goods and services in-kind. All these items have the common attribute that they transfer resources from one entity to another without providing approximately equal value in exchange, and are not taxes as defined in IPSAS 23. We shall consider each type of transfer in turn.

(a) Grants

Although grants are not defined in IPSAS 23, they represent a significant type of revenue from non-exchange transactions. Grants are frequently provided from one level of government to another or from donor agencies to governments.

Grants are often provided with limitations ('stipulations') on how money should be spent or assets utilised. The standard separates such stipulations into:

- ***conditions**, where the money must be spent as specified or returned to the donor (in other words a performance obligation); and*
- ***restrictions**, where there is a more general requirement to spend the money in a specified area but not to return it if this is not achieved.*

Key definitions:

Stipulations on transferred assets

Stipulations on transferred assets are terms in laws or regulation, or a binding arrangement, imposed upon the use of a transferred asset by entities external to the reporting entity.

Conditions on transferred assets

Conditions on transferred assets are stipulations that specify that the future economic benefits or service potential embodied in the asset is required to be consumed by the recipient as specified or future economic benefits or service potential must be returned to the transferor.

Restrictions on transferred assets

Restrictions on transferred assets are stipulations that limit or direct the purposes for which a transferred asset may be used, but do not specify that future economic benefits or service potential is required to be returned to the transferor if not deployed as specified.

This distinction may not always be clear cut and it is necessary to consider the substance of the stipulation and not merely its form. This might take into account:

- *the likelihood of enforcement;*
- *prior experience with the donor;*
- *the extent of specification of detailed requirements; and*
- *the degree of monitoring by the donor.*

Where the recipient entity considers that the donor has imposed conditions they will set up a liability for the obligation, generally to the value of the money received, which will be reduced as the conditions are satisfied (by spending the money or through other actions) in accordance with the agreement.

There is no such requirement for grants with restrictions, and revenue is recognised immediately.

Worked example: Conditions vs. restrictions

A national government makes a cash transfer of CU50 million to a state government housing agency, specifying that it must use the cash transfer either to support its existing social housing objectives or towards new objectives which are in line with national housing priorities.

A CU77 million cash transfer from the federal government to a state government housing agency is made, with the stipulation that the agency must use the funds for new or existing social housing goals that align with national housing priorities.

If this objective is not satisfied, the recipient entity must return the cash to the national government. How would this be accounted for in the housing entity's financial statements?

Solution to worked example

The state government social housing entity recognises an increase in an asset (cash) and revenue in the amount of CU77 million. The stipulations in the transfer agreement are stated so broadly that they do not impose on the recipient a performance obligation – the performance obligation is imposed by the operating mandate of the entity, not the terms of the transfer.

Interactive Question 9

Grant

A university (reporting entity) receives 450 acres of property in a large city from the national government (transferor) in order to develop a campus. The land must be used for a campus, as stated in the transfer agreement; however, it is not stated that the land must be returned if it is not needed for a campus.

Requirement

How should the university account for the transaction?

*See **Answer** at the end of this chapter.*

(b) Fines

Fines are economic benefits or service potential received or receivable by public sector entities, as determined by a court or other law enforcement body, as a consequence of the breach of laws or regulations.

(c) Bequests

A bequest is a transfer made according to the provisions of a deceased person's will. According to IPSAS 23.90, the past event giving rise to the control of resources embodying future economic benefits or service potential for a bequest occurs when the entity has an enforceable claim, for example on the death of the testator, or the granting of probate, depending on the laws of the jurisdiction. Bequests which satisfy the definition of an asset and meet the recognition criteria are recognized as assets. Determining the probability of an inflow of future economic benefits or service potential may be problematic if a period of time elapses between the death of the testator and the entity receiving any assets. Bequests are generally measured at fair value at the date of acquisition.

(d) Gifts and donations

Gifts and donations are voluntary transfers of cash or other assets to an entity. Gifts and donations are generally recognised on receipt of the cash or other asset. The accounting entry is to debit the asset (cash or other asset such as property, plant and equipment) and credit revenue. Where the asset is not cash, for example the donation of a house or work of art to a government entity, the asset and revenue will be recognised at fair value. Pledges to give in the future are not generally recognised as they are not controlled by the entity, but may warrant disclosure as a contingent asset. As with grants and bequests, gifts and donations may be subject to stipulations as to how the money or assets are to be spent or utilised.

Interactive Question 10

Donation

A local television station holds a fundraising appeal for a public hospital (reporting institution) on the evening of December 31, 20X0. The public hospital's yearly reporting date is December 31. Viewers of television make phone calls or send emails pledging to donate a certain amount of money. CU4 million has been pledged at the end of the appeal. The people making the promise are not obligated to make the donations. Previous appeal experience suggests that roughly 75% of donations that are committed will be made.

Requirement

How should the public hospital account for the pledged donations?

*See **Answer** at the end of this chapter.*

(e) Debt forgiveness

Lenders may waive their right to collect a debt owed by a public sector entity, thus effectively cancelling the debt. In such a case the entity has an increase in net assets/equity and treats the amount forgiven as revenue from a non-exchange transaction.

(f) Services in-kind

Services in-kind are voluntary services provided to an entity by an individual or individuals. Such services may include free technical assistance from other governments or international organisations, voluntary work in schools and hospitals or community services performed by convicted offenders.

The standard provides that entities may, but are not required to, recognise services in-kind as revenue and expenditure where the amount can be measured, is material and its inclusion enhances the presentation of the financial statements. Disclosure of the nature of significant in-kind services in all cases is encouraged.

Worked example: Services in-kind

A hospital employs the following staff:

- *a medical student from university during vacation periods on a voluntary basis, who carries out a variety of jobs in various departments to gain work experience*
- *a trained nurse whose salary is paid by an international agency, who works within standard procedures and whose work is assessed as of equal quantity and quality as that of local nursing staff.*

How would this be accounted for in the hospital's financial statements?

Solution to worked example

It is unlikely that the services of the medical student would be recognised in the financial statements, as it will normally be difficult to assess the value of this work. There is a better case for recognition of the work of the trained nurse, especially if there are several such staff whose total contribution is material. The valuation of the work might be based on, for example, the salary rate of the local staff who do equivalent work.

4.7 Disclosure

IPSAS 23 requires disclosure of the following:

- *the accounting policies for the recognition of revenue from non-exchange transactions, including for major classes, the basis of assessing fair value*
- *information about the nature of taxes which cannot be measured reliably and are therefore not recognized*
- *the nature and types of major classes of bequests, gifts and donations*
- *the amount of revenue from taxation, split by major classes*
- *the amount of other revenue/transfers from non-exchange transactions, split by major classes*
- *the amount of receivables recognised in respect of revenue from non-exchange transactions*
- *the amount of liabilities associated with amounts received with conditions and from advance payments as well as liabilities forgiven*
- *the amount of assets subject to restrictions.*

The disclosure of information about services in-kind is encouraged.

5 IPSAS 24

5.1 Presentation of Budget Information in Financial Statements

A discussion on IPSAS 24 has been presented in the section of cash basis IPSAS in this workbook. In general IPSAS 24 provides that all comparisons of budget and actual amounts must be presented on a comparable basis to the budget (cf. IPSAS 24.31). According to IPSAS 24.21, an entity must present a comparison of budget and actual amounts as additional budget columns in the primary financial statements only where the financial statements and the budget are prepared on a comparable basis. For example, if the budget is prepared on the cash basis and the financial statements are prepared on the accrual basis, no comparison as additional budget columns is necessary. If the financial statements and the budget were prepared on a comparable basis, additional columns can be added to the existing primary financial statements presented in accordance with IPSASs.

5.2 The statement of comparison of budget to actual amounts (IPSAS 24)

Overview

Appropriation laws, which are legislative measures, are the means by which budgets in the public sector are authorized. A public sector organization is authorized by the appropriations law to use public funds, primarily obtained through taxes, for a certain purpose during the fiscal year. Usually, these budgets are released into the public domain. ***The standard mandates (IPSAS 24)*** *that entities incorporate budget information in the financial statements, acknowledging the significance of budgets in the public sector.* ***This standard is relevant both for the Cash basis and accrual basis accounting.***

The standard mandates that this information be included in the financial statements when an institution makes its budget available to the public. The budget amount should be compared to the actual amount. This may be as a separate financial statement or, if the financial statements and budget are prepared on a comparable basis, as additional budget columns in the statement of cash receipts and payments.

The comparison should include:

- *The original and final budget amounts;*
- *The actual amounts on a comparative basis; and*
- *A disclosure note explaining any material variations between budget and actual amounts.*

Where the financial statements and budget are not prepared on a comparable basis, there should be a reconciliation of actual amounts to total cash receipts and payments as shown on the face of the statement of cash receipts and payments.

The disclosure of comparative budget information in respect of the previous period is not required.

5.3 Key Definition

Key definitions (IPSAS 24):

Annual budget

Annual budget means an approved budget for one year. It does not include published forward estimates or projections for periods beyond the budget period.

Approved budget

Approved budget means the expenditure authority derived from laws, appropriation bills, government ordinances and other decisions related to the anticipated revenue or receipts for the budgetary period.

Budgetary basis

Budgetary basis means the accrual, cash or other basis of accounting adopted in the budget that has been approved by the legislative body.

Comparable basis

Comparable basis means the actual amounts presented on the same accounting basis, same classification basis, for the same entities and for the same period as the approved budget.

Final budget

Final budget is the original budget adjusted for all reserves, carry over amounts, transfers, allocations, supplemental appropriations, and other authorised legislative or similar authority changes applicable to the budget period.

Original budget

Original budget is the initial approved budget for the budget period.

5.4 Classification of cash flows

The illustration below shows the format of a statement of comparison of budget and actual amounts for a government using a classification of payments by function.

Interactive Question 11

Classification of cash flows

Requirement

Explain an alternative classification basis, other than by function, that could be used for cash outflows and what are the main headings that would appear in the statement using this alternative classification.

*See **Answer** at the end of this chapter.*

Statement of comparison of budget and actual amount

For Government X for the Year Ended December 31, 200X

Budget approved on the cash basis

Classification of payments by function

	Actual Amount	*Final Budget*	*Original Budget*	*Difference Actual-Final*
CASH INFLOWS				
Taxation	*X*	*X*	*X*	*X*
Aid agreements	*X*	*X*	*X*	*X*
International agencies	*X*	*X*	*X*	*X*
Other grants and aid	*X*	*X*	*X*	*X*
Proceeds – borrowing	*X*	*X*	*X*	*X*
Proceeds – disposals	*X*	*X*	*X*	*X*
Trading activities	*X*	*X*	*X*	*X*
Other receipts	*X*	*X*	*X*	*X*
Total receipts	***X***	***X***	***X***	***X***
CASH OUTFLOWS				
Health	*(X)*	*(X)*	*(X)*	*(X)*
Education	*(X)*	*(X)*	*(X)*	*(X)*
Public order and safety	*(X)*	*(X)*	*(X)*	*(X)*
Social protection	*(X)*	*(X)*	*(X)*	*(X)*
Defence	*(X)*	*(X)*	*(X)*	*(X)*
Housing and community	*(X)*	*(X)*	*(X)*	*(X)*
Recreation, culture and religion	*(X)*	*(X)*	*(X)*	*(X)*
Economic affairs	*(X)*	*(X)*	*(X)*	*(X)*
Other	*(X)*	*(X)*	*(X)*	*(X)*
Total payments	***(X)***	***(X)***	***(X)***	***(X)***
NET CASH FLOWS	***X***	***X***	***X***	***X***

5.5 Preparing the comparison of budget and actual amounts

Here is a pro forma of the statement:

Statement of comparison of budget and actual amounts

	Actual	*Final budget*	*Original budget*	*Difference Actual-final*
Cash inflows:				
Total receipts				
Cash outflows:				
Total payments				
Net cash flows				

How the statement is prepared is shown in a worked example below;

Worked example: Comparison of budget and actual amounts (Department of Agriculture).

The statement of comparison between the Department of Agriculture's budget and actual amount for the year that ended on December 31, 20X0, will be prepared in this worked example.

*In addition to the information given in the worked example in **section 1.2.3.3** for the Department for Agriculture, the following information is available. The original budget for the year ended 31 December 20X0 was as follows:*

Receipts – Original budget	*CU'000*	*Payments - Original budget*	*CU'000*
Funding allocations	*47,589*	*Wages, salaries and employee benefits (including directors)*	*47,859*
Proceeds from borrowing	*6,003*	*Supplies and consumables*	*1,700*
Receipts from trading activities	*1,500*	*Rent*	*590*
Proceeds from disposal of property, plant and equipment	*-*	*Purchase of property, plant and equipment*	*4,800*
Interest received	*18*	*Repayment of borrowings*	*78*
		Interest payments	*38*
Total receipts	***55,110***	***Total payments***	***55,065***

The following amendments were made to the original budget during the year as a result of unexpected operational problems:

- *The budgeted funding allocation had to be increased by CU1.5m.*
- *Budgeted proceeds from borrowing were increased by CU2.3m.*
- *Budgeted payments for the purchase of property, plant and equipment were increased by CU3m.*

You are required to prepare the department's statement of comparison of budget and actual amount for the year-ended December 31 20X0.

Solution to worked example

Refer back to the information relating to the Department of Agriculture worked example. The amounts included in your statement of total cash receipts and cash payments for the year forms the starting point for preparing the statement of comparison of budget and actual amounts for the department as this gives us our first column, i.e. actual. Note that there is a single actual column which is a total of both cash and third party payments. We can therefore begin by setting up the pro forma and completing the first column as follows.

Note that the final column ('Difference') is not a requirement of the IPSAS but the IPSAS does allow it to be included, and it makes the information more easily understood by users of the financial statements.

Note also that the CU750,000 third party salary payment is added in to the 'Actual' column.

Department of Agriculture

Statement of comparison of budget and actual amounts for the year ended 31 December

	20X0			
	Actual Amount	***Final Budget***	***Original Budget***	***Difference Actual-Final***
	CU	***CU***	***CU***	***CU***
Cash inflows				
Funding allocations (47,592 + 750)	*48,342*			
Proceeds from borrowing	*8,392*			
Receipts from trading activities	*2,158*			
Proceeds from disposal of property, plant and equipment	*287*			
Interest received	*22*			
Total receipts	***59,201***			
Cash out flows				
Wages, salaries and employee benefits (including directors) (46,760 + 750)	*(47,510)*			
Supplies and consumables	*(1,829)*			
Rent	*(568)*			
Purchase of property, plant and equipment	*(7,800)*			
Repayment of borrowings	*(39)*			
Interest payments	*(102)*			
Total payments	***(57,848)***			
Net cash flows	***1,353***			

The next step is to insert the 'Original budget' column amounts, as these are given in the question and require no calculations.

You can then insert the relevant balances in the 'Final budget' column, ensuring that you make the relevant adjustments from the original budget as detailed in the question.

Finally, you can compare the actual amounts to the final budget in order to complete the 'Difference' column. This gives the following:

Department of Agriculture

Statement of comparison of budget and actual amounts for the year ended 31 December 20X0

	Actual Amount	*Final Budget*	*Original Budget*	*Difference Actual-Final*
	CU'000	***CU'000***	***CU'000***	***CU'000***
Cash inflows				
Funding allocations (Final = 47,589 + 1,500)	*48,342*	*49,089*	*47,589*	*(747)*
Proceeds from borrowing (Final=6,003+2,300)	*8,392*	*8,303*	*6,003*	*89*
Receipts from trading activities	*2,158*	*1,500*	*1,500*	*658*
Proceeds from disposal of property, plant and equipment	*287*	*-*	*-*	*287*
Interest received	*22*	*18*	*18*	*4*
Total receipts	***59,201***	***58,910***	***55,110***	***291***
Cash out flows				
Wages, salaries and employee benefits (including directors) (46,760 + 750)	*(47,510)*	*(47,859)*	*(47,859)*	*349*
Supplies and consumables	*(1,829)*	*(1,700)*	*(1,700)*	*(129)*
Rent	*(568)*	*(590)*	*(590)*	*22*
Purchase of property, plant and equipment (Final=4,800+35,000)	*(7,800)*	*(7,800)*	*(4,800)*	*-*
Repayment of borrowings	*(39)*	*(78)*	*(78)*	*39*
Interest payments	*(102)*	*(38)*	*(38)*	*(64)*
Total payments	***(57,848)***	***(58,065)***	***(55,065)***	***217***
Net cash flows	***1,353***	***845***	***45***	***508***

Interactive Question 12

Statement of comparison of budget and actual amounts (St Mary Hospital)

Refer to the information relating to St Mary Hospital in ***interactive question 1.5.*** *The following additional information is available. The hospital's original budget for the year was as follows:*

Receipts	***CU'000***	***Payments***	***CU'000***
Funding allocations	*9,050*	*Wages, salaries and employee benefits*	*9,830*

Proceeds from borrowing	*1,300*	*Medicines, supplies and consumables*	*1,700*
Private patient and other income	*2,150*	*Utilities*	*95*
Proceeds from disposal of property, plant and equipment	*57*	*Purchase of property, plant and equipment*	*768*
Interest received	*9*	*Repayment of borrowings*	*89*
		Interest payments	*42*
Total receipts	***12,566***	***Total payments***	***12,524***

The final budget was almost the same as the original budget with the exception that payments for wages, salaries and employee benefits had to be increased by 3% as a result of unexpected increase in pay rates. As a result of this, the budgeted funding allocation for the year was increased by 2.5%

Requirement

Prepare the hospital's statement of comparison of budget and actual amount for the year-ended 31 March 20X0.

*See **Answer** at the end of this chapter.*

6 Additional disclosure requirements

Disclosures are required for the following in relation to the comparison of budget and actual amounts:

- *The period of the approved budget*
- *The entities included in the approved budget*
- *An explanation of the budgetary basis and classification basis adopted in the approved budget should be disclosed.*
- *An explanation of whether changes between the original and final budget are a consequence of reallocations within the budget, or of other factors. This may be by way of a disclosure note or in a separate report issued in conjunction with the financial statements.*

7 Accounting Practices in Bangladesh

7.1 Current Practice in General Government of Bangladesh

Bangladesh government is following cash basis accounting following the Constitution of People's Republic of Bangladesh (section 80 to section 92). A number of reformations in Public Financial Management (PFM) have attempted to enrich the accounting systems of Bangladesh.

Public Financial Management (PFM) Reform

Public Financial Management (PFM) reform is a key factor for improving the governance, accountability and transparency in Bangladesh. The colonial era PFM system that Bangladesh inherited mainly orbited around following administrative orders. To improve the management

of public resources, a series of public financial reform programs were undertaken since the 1990s onwards.

Prior to these reform initiatives, the public financial reporting systems was out of sync with international standards, not capable of generating high quality and timely fiscal information and budgeting was merely a number crunching exercise.

The second multi-year PFM Strategy 2016-21 was developed to build on the past reforms and learn from what has worked and what has not. The PFM Action Plan (2018-23) was approved by the Finance Ministry in 2018 to support implementation of the new PFM reform strategy. The Strategy sets out 5 strategic goals, the related objectives and priority reform actions. Under the 5 goals, there are 50 primary reform components derived from the PFM Strategy. These are prioritized under 14 reform components.

The objective of this key note is to focus on component number C-10: Financial Reporting. Particularly activity number 35: Improve the quality and timeliness of Government wide year-end fiscal reporting. This falls under Goal #4 : Promote Accountability through external scrutiny and transparency of the budget.

The two streams of accounts in public financial management are budgetary accounts and the financial accounts. Appropriation accounts are prepared from the budgetary accounts of the executing agencies.

The Controller General of Accounts (CGA) prepares the annual financial statements i.e. the consolidated appropriation accounts and the finance accounts which go the Honorable President and then Parliament with certification from the Auditor General. These documents are not made available to the public and these are eventually sent to the Public Accounts Committee. There is significant delay in this process due at least in part to the lateness of information being supplied by the self-accounting entities. The finance accounts are too voluminous with a high number of schedules and information overload. In terms of style and content these are not in sync with IPSAS. To mitigate these challenges certain activities have been identified in the PFM Action Matrix:

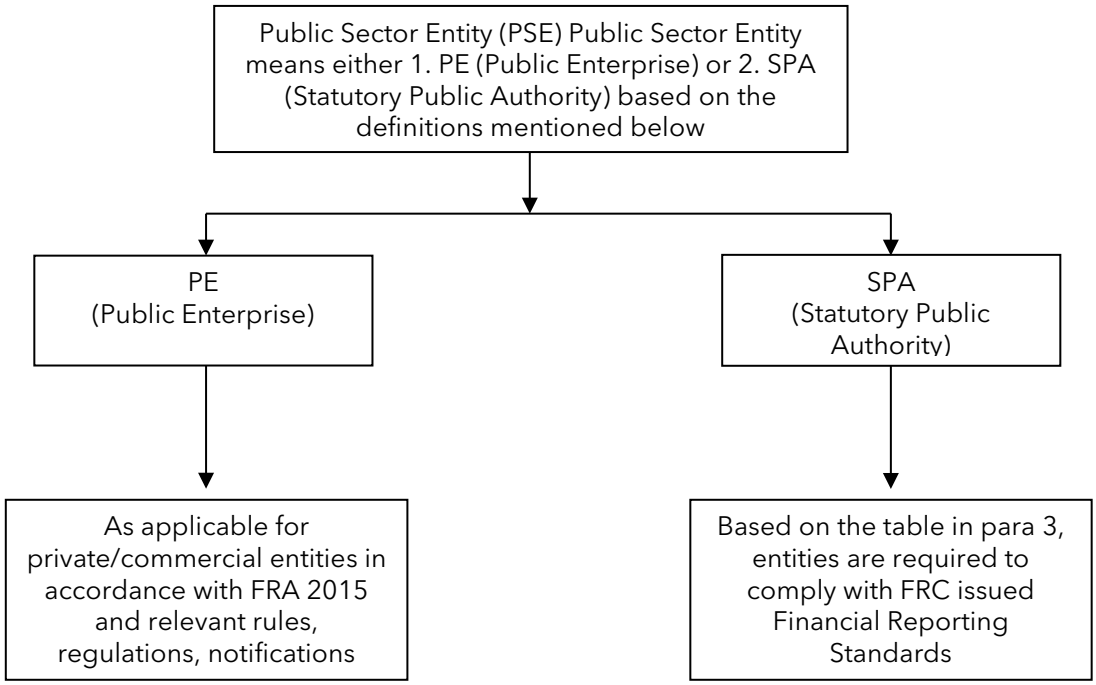
These are:

- *Adopt Cash Basis IPSAS and provide disclosures based on requirements*
- *Collection of additional data to meet the disclosure requirement.*
- *Development of new template and its circulation across the entities*
- *Update the current accounting policy, procedures and manual*
- *Training the CGA and CAG Officials*
- *Improvement of timeliness of Annual closing procedures. Submitting government-wide annual financial statements, compliant with IPSAS cash basis, to OCAG within 3 months after the fiscal year end.*

7.2 Reporting Requirements of Public Sector in Bangladesh

1. Financial Reporting Framework for Public Sector Entity (PSE) in Bangladesh

The Financial Reporting Framework governs which set of standards an entity must use for its Financial Reporting. The following flow chart summarizes which suite of standards applies:



Sources: Financial Reporting Framework, 2023, FRC, Bangladesh

2. Key Definition

As per Comptroller and Auditor-General (Additional Functions) Act, 1974 (Act No. XXIV of 1974), section (2)(cc)(d), definitions of PE and SPA are as follows-

***2.1 PE (Public Enterprise)** means a company or firm, incorporated or registered, in which the Government has at least fifty percent share or interest.*

***2.2 SPA (Statutory Public Authority)** means any authority, corporation, or body the activities or the principal activities authorized by any Act, Ordinance, Order, or instrument having the force of law in*

3. *All PEs (Public Enterprise) should follow standards applicable for other private/ commercial entities by FRA 2015 and relevant rules, regulations, and notifications. In the case of SPAs (Statutory Public Authority), entities should follow applicable standards as stated below. Under section 40 (4) of FRA, 2015, FRC is allowed to develop, and issue simplified standards.*

Accounting Standards Framework for SPAs	
Standards	***Entities***
Level 1: IFRS/ Accrual Basis IPSAS*	○ *Large scale of operation (Revenue> CU100 crore)*
Level 2: Simplified Accrual Basis IPSAS	○ *Big scale of operation (Revenue > CU50 crore) or* ○ *Elect to be in a higher level*
Level 3: Simple Accrual Basis	○ *Medium scale of operation (Revenue ≤ CU50 crore) or* ○ *Elect to be in a higher level*
Level 4: Modified Accrual Basis	○ *Small scale of operation (Revenue ≤ CU30 crore or gross assets > CU10 crore) or* ○ *Elect to be in a higher level*
Level 5: Cash Basis	○ *Very small scale of operation (Revenue ≤ CU5 crore and gross assets not more than 10 crores) or* ○ *Elect to be in a higher level*
"Revenue" is the total of income, gain, and grants recognized and measured by the appropriate level's standards for the preceding one (1) year of reporting period except for Level 5 revenue which should be determined based on Level 4 standards.	

Sources: Financial Reporting Framework, 2023, FRC, Bangladesh

4. Criteria of of different levels of Financial Reporting Formats (FRF) for SPAs

Stage	***Basis/ References***	***Statements to be included***	***Purpose/ Objectives***
Level 1	*IFRS or Accrual Basis IPSASs – Published by IASB and IPSASB in 2022 and continuously updated.*	*a. Statement of Financial Position* *b. Statement of Profit & Loss and Other Comprehensive Income* *c. Statement of Changes in Equity* *d. Statement of Cash Flows* *e. Notes to the Financial Statements* *f. Statement of Budget vs Actual*	*To fulfill the information expectation of all stakeholders administrative ministry, auditors, lenders, international agencies, WB, ADB, other regulators, suppliers, and service recipients of large SPAs.*
Level 2	*Simplified Accrual Basis IPSASs – Based on the SMEGA guideline published 1.by UN and IASB in 2004, updated by FRC as of 2022.*	*1. Statement of Financial Position* *2. Statement of Comprehensive Income* *3. Statement of Changes in Funds* *4. Statement of Cash Flow* *5. Notes to the Financial Statements* *6. Statement of Budget vs Actual*	*Simplified but covering all the basic principles of IPSAS would make the Financial Statements of higher quality and deliver a better picture of an entity's performance and position in monetary terms.*

Stage	Basis/ References	Statements to be included	Purpose/ Objectives
Level 3	*Simple Accrual basis –Published by UN in 2009, updated by FRC as of 2022.*	1. *Balance Sheet* 2. *Income Statement* 3. *Cash Flow Statement* 4. *Notes to the Financial Statements* 5. *Statement of Budget vs Actual*	*Governmental agencies have two key objectives: to a) demonstrate whether resources are being used to provide the target audience with the services. B) And whether according to legally adopted budgets. An accrual basis will serve these purposes.*
Level 4	*Modified Accrual based on US Govt. Accounting Standard Board (GASB) issued Standards.*	1. *Balance Sheet* 2. *Income Statement* 3. *Statement of Receipts and Payments* 4. *Notes to the Financial Statements* 5. *Statement of Budget vs Actual*	*Modified accrual basis is a combination of both accrual and cash basis. This method helps entities to keep track of long-term assets and liabilities and simplifies the preparation of income statements. It will significantly help the gradual shift from cash to accrual.*
Level 5	*Cash basis- Prepared by FRC aligning with IPSAS Cash Basis Standard*	1. *Receipts & Payments (R&P) Statement* 2. *Notes to the R&P Statement* 3. *Statement of Budget vs Actual* 4. *Fixed Assets (FA) Schedule from FA Register*	*To bring uniformity, consistency, and discipline in financial reporting, FRC has prepared level 5 Cash Basis FRF for very small size entities.*

Sources: Financial Reporting Framework, 2023, FRC, Bangladesh

Interactive Question 13

Financial Reporting Framework 2023

Recent assessment shows that Ministry of health yearly revenue is more than 50 crore taka.

Required:

Which statements are required to be prepared as per the financial reporting framework 2023 issued by FRC in Bangladesh?

*See **Answer** at the end of this chapter.*

8 Other Reporting (Statistical Reporting, Budget Related Reporting, Component Reporting)

Government accounting can integrate statistical reporting, budget related reporting, component reporting and others if there are common goal among the reporting. But, the reporting initiative may face challenges.

Components of a government include legally independent entities such as government business enterprises, as well as departments and off-budget funds. The latter are entities for which accounting records are kept, but national practices differ with regard to the preparation and publication of their financial statements.

In addition to preparing financial reports, a government's accounting system supplies data for the compilation of government finance statistics (GFS) and the System of National Accounts (SNA).

8.1 Integrated Financial Management Information Systems (IFMIS)

An IFMIS can be broadly defined as a "set of automation solutions that enable governments to plan, execute and monitor the budget, by assisting in the prioritization, execution, and reporting of expenditures, as well as the custodianship and reporting of revenues" (World Bank 2011). A narrower definition of an FMIS is the set of systems and procedures that automates the financial operations of both the budget preparation and treasury functions of government by recording all transactions, implementing controls and tracking financial events. The initial automation usually involves the general ledger (the final repository of accounting records and data) and the chart of accounts (the list of accounts used by governments for classifying expenses).

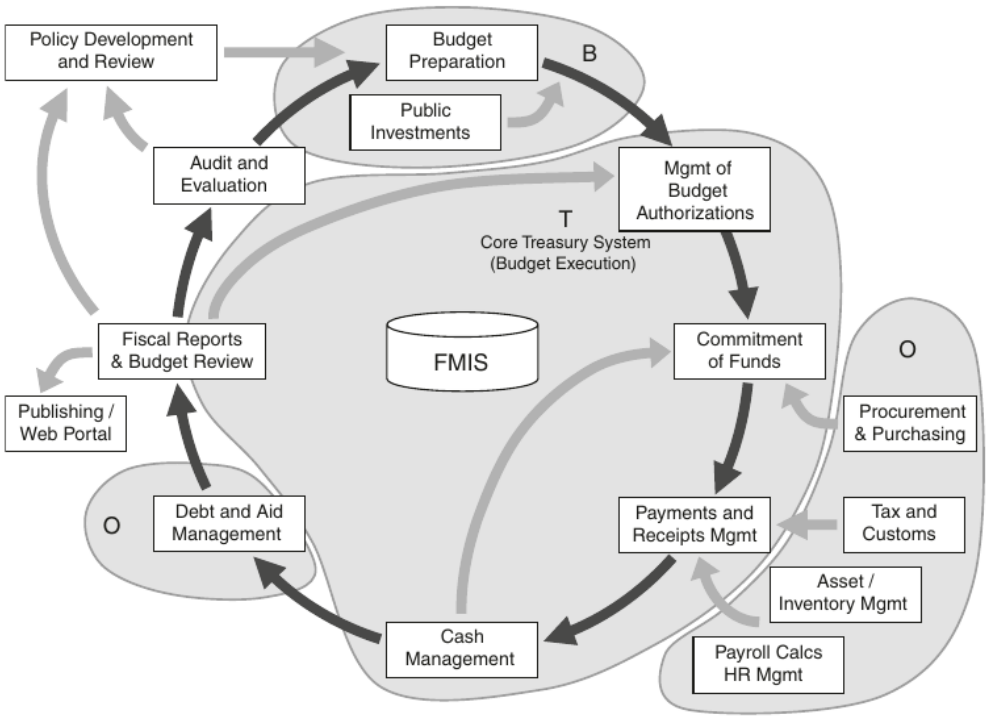


Figure 1 A modular Approach for building FMIS (source: World Bank (2011)

Figure 1 shows a modular approach for building IFMIS. Generally, treasury (T) systems include budget execution, management of budget authorizations/releases and payments/revenue, commitment of funds, cash forecasting and management, accounting and reporting, accounts payable and receivable and the general ledger. Budget (B) systems include budget planning/formulation, medium-term expenditure frameworks, performance-related budgeting systems and public investment management. The non-core modules (O) sometimes linked with automated FMIS solutions are personnel management or payroll, revenue administrations (tax and customs), public procurement, inventory and property management, and performance management information.

It should be noted that the term "integrated FMIS" (IFMIS) is often used interchangeably with the term "FMIS," even when referring solely to automating the core budget execution and budget formulation processes. However, truly integrated FMIS solutions are rare in practice and entail a number of additional applications that extend beyond the scope of automating core financial management processes. Only when FMIS and other PFM information systems (e.g., procurement, asset management, revenue administration and payroll) share the same central database to record and report all financial transactions can they be referred to as an IFMIS. While the focus here is on FMIS, these more broadly based systems are partially addressed in other chapters.

9 Contextual and Technical Consideration of IFMIS

9.1 Contextual Consideration

Many factors like human resource management, political infrastructure should not be overlooked in designing and implementing an FMIS. The IT literacy and public finance training items noted in the following table are two specific examples of measures required to address these "soft" issues. Another important element is the need to train ministers and senior officials on the types of financial information they should expect to receive through the FMIS and how they can make best use of such data.

Table. Factors need to consider for automation

- *Automate existing chart of accounts, using automated bridge tables to link with budget classification.*
- *Document accounting standards and procedures.*
- *Document treasury and budget preparation procedures.*
- *Develop awareness of basic PFM processes and procedures used by the finance staff and IT specialists who will be involved in the development of the FMIS.*
- *IT literacy – Train potential users of the FMIS in the use of automated systems to enter information, generate reports and analyze data.*
- *"Management" literacy – Train managers in the ministry of finance, line ministries and other agencies using FMIS in the benefits and uses of an automated financial management system, how to request information and how to use the reports and data generated as an input to decision making and improved accountability.*

Source: World Bank (2011).

9.2 Technical Consideration

A number of technical issues should be addressed in implementing the IFMIS. Following Table presents the factors that are needed to consider.

Table. Technical factors need to consider for automation

- *Explicitly address the expectations and incentives of all key stakeholders, and reach a consensus on the model to be adapted to smooth implementation.*
- *Assess areas in which PFM systems are performing poorly; evaluate the extent to which these problems can be addressed by automation or require a more thorough review of systems and business processes.*
- *If automation is deemed necessary to resolve PFM performance problems, keep the initial automation as simple and focused as possible, without too many supplemental or parallel reforms to distract from the main purpose.*
- *Pay attention to the needs of managerial and senior executive users for basic training in the use of automated information systems. Many senior officials grew up in a data-poor, manual system and will not be aware of the data that will become available in the new FMIS, what they should ask for and how to use the abundance of information.*
- *Pay attention to the incentives facing members of the FMIS project management team and their roles before assigning them to project team positions; minimize conflict of interests where they might occur.*
- *Assure adequate training for key ministry of finance and line ministry staff who will operate and use the new system to enable them to productively engage in the specification phases. Ensure that key officials have adequate time to participate in this early phase.*
- *Identify a senior official as the champion of the FMIS reform; he/she must understand the potential risks and barriers to reform internally and externally and be able to intervene to remove any issues or bottlenecks that arise. Hiring an international project advisor who has had experience with FMIS projects in other countries to provide advice on the implementation of the project can be useful, but the advisor should not be allowed to take over the leadership of the project.*
- *Approach the FMIS reform as a change management process; identifying potential areas of resistance as early as possible, proposing potential solutions and taking necessary steps to reduce or eliminate opposition by modifying attitudes and behavior will lead to improved performance.*

9.3 Practice in Bangladesh: iBAS++

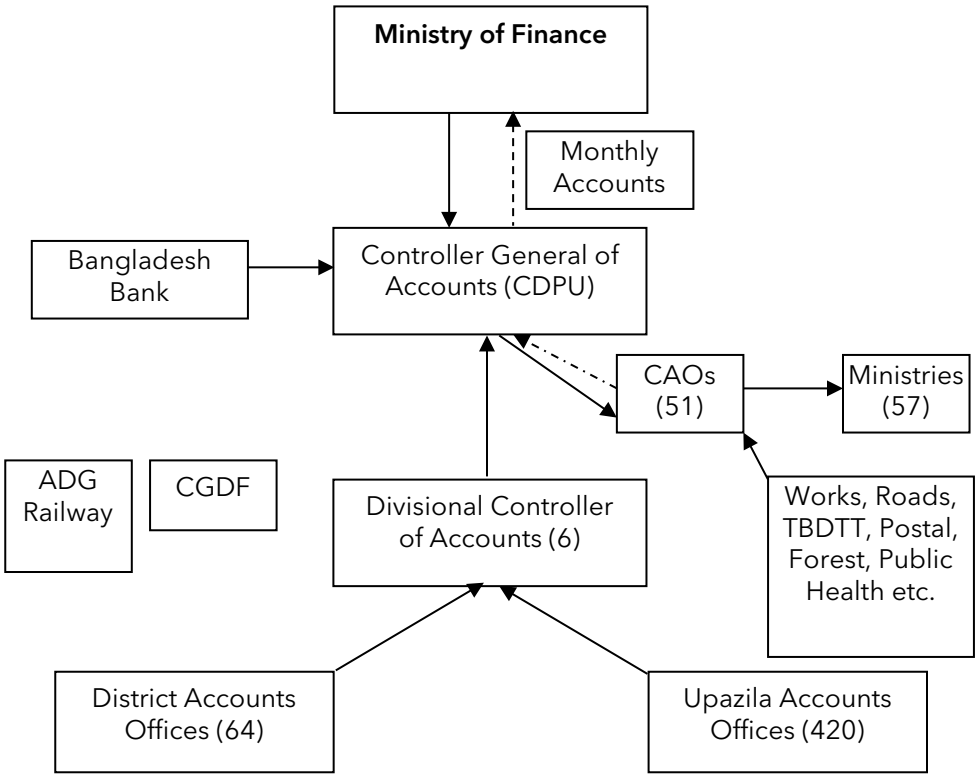
As a part of reformation of Public Financial Management (PFM), Bangladesh introduced Integrated Budget and Accounting Systems (iBAS). The iBAS is introduced under the Strengthening Public Expenditure Management (SPEMP) project, and still the iBAS is under the process of development. The SPEMP is funded by UK aid from Department of International Development (DfID), Danish International Development Agency (DANIDA), and European Union, and the project is administrated by the World Bank. The objectives of SPEMP are:

- *Strengthen and modernize core institutions of budgeting within the government with particular emphasis on introducing a performance orientation in public financial management*
- *Enhance demand for better budget outcomes by improving the effectiveness of formal institutions of financial accountability, in particular Comptroller and Auditor General's Office and the financial oversight committee of the parliament.*

Consisting with the objective of SPEMP, the iBAS is introduced in Bangladesh regarding the public finance management, especially focusing on the infrastructural strength of PSA. The iBAS was primarily considered as the modern replacement of TAS. Initially, iBAS was developed for simple transaction recording systems. During the development of the iBAS, authorities were aimed to add budget module in the same platform of accounting. However, because of traditional view, accounting and budgeting activities were maintained as separate activities.

Considering the limitation of the iBAS regarding the integration of budget and accounting, renovation of the software has taken place, and the renovation is continuing for further development. After the reformation, the iBAS++ has taken place of the iBAS. Integration between budget and accounting has given priority in reformation. Continuous assessment, monitoring, performance evaluation, and management are the concern of the iBAS++ to ensure the integration.

The flow of accounting data as well as the tasks of iBAS++ has been presented in the following figure.



(Where, C&AG: Comptroller & Auditor General, CGDF: Controller and General Defense Finance; ADG: Additional Director General; CAO: Chief Accounts Officer and CDPU: Central Data Processing Unit. Note: Number of CAOs may vary regarding the number of ministries)

Fig. *Flow of accounting data in Bangladesh (Source: Various document of CGA)*

9.4 Practices in the Central Government of Bangladesh

As per the constitution of Bangladesh, the Controller General of Accounts (CGA) has to prepare two accounts annually. They are – 1) Finance Accounts and 2) Appropriation Accounts.

However, focusing on the ongoing reformation of public sector accounting, the President of the country issued an order in 2021 (Memo no: 07.00.0000.082.35.001.21-439) to prepare the financial statement of the government. The Bangladesh Government had decided to adopt the

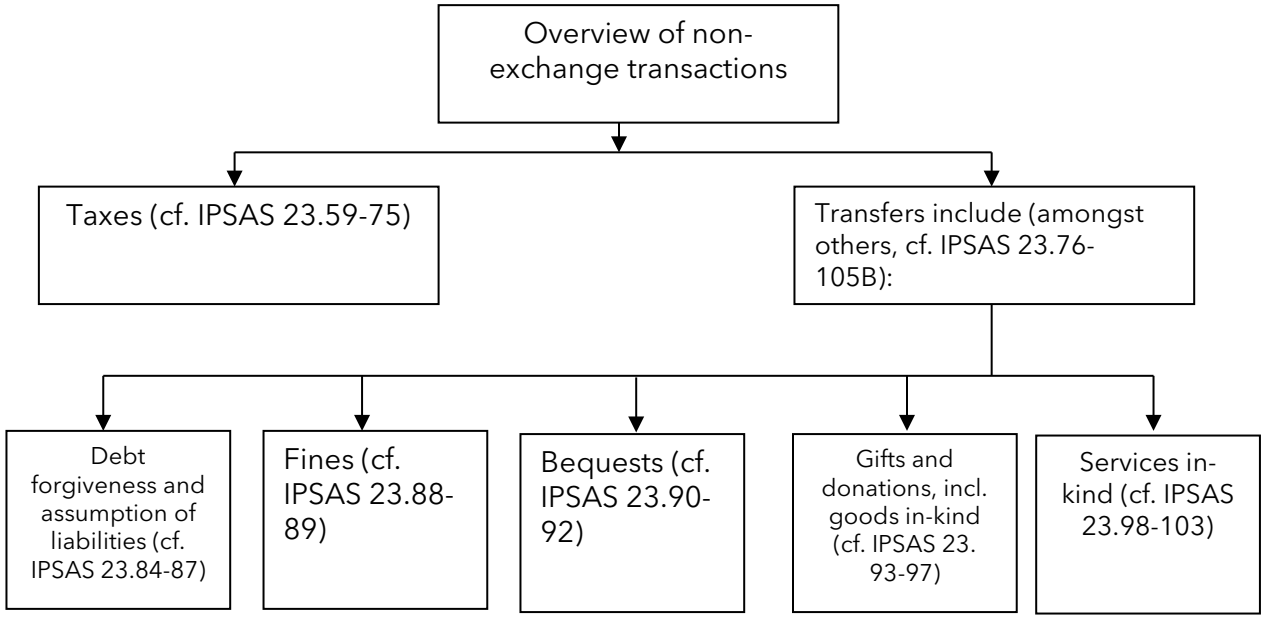
IPSAS, especially the cash basis IPSAS. Therefore, as per the president's order, the CGA has to prepare the following financial accounts annually.

1. *Statement of Cash receipts and payments*
2. *Accounting Policies and Explanatory Notes*
3. *Notes to the Financial Statements*
4. *Additional Statements*
    - *Statement of **Comparison of Budget and Actual Amounts***
    - *Information on **assets and liabilities** (even though they are not recognized on cash basis)*
    - *Details of **government debt***
    - *Information about **non-cash assets** and commitments*

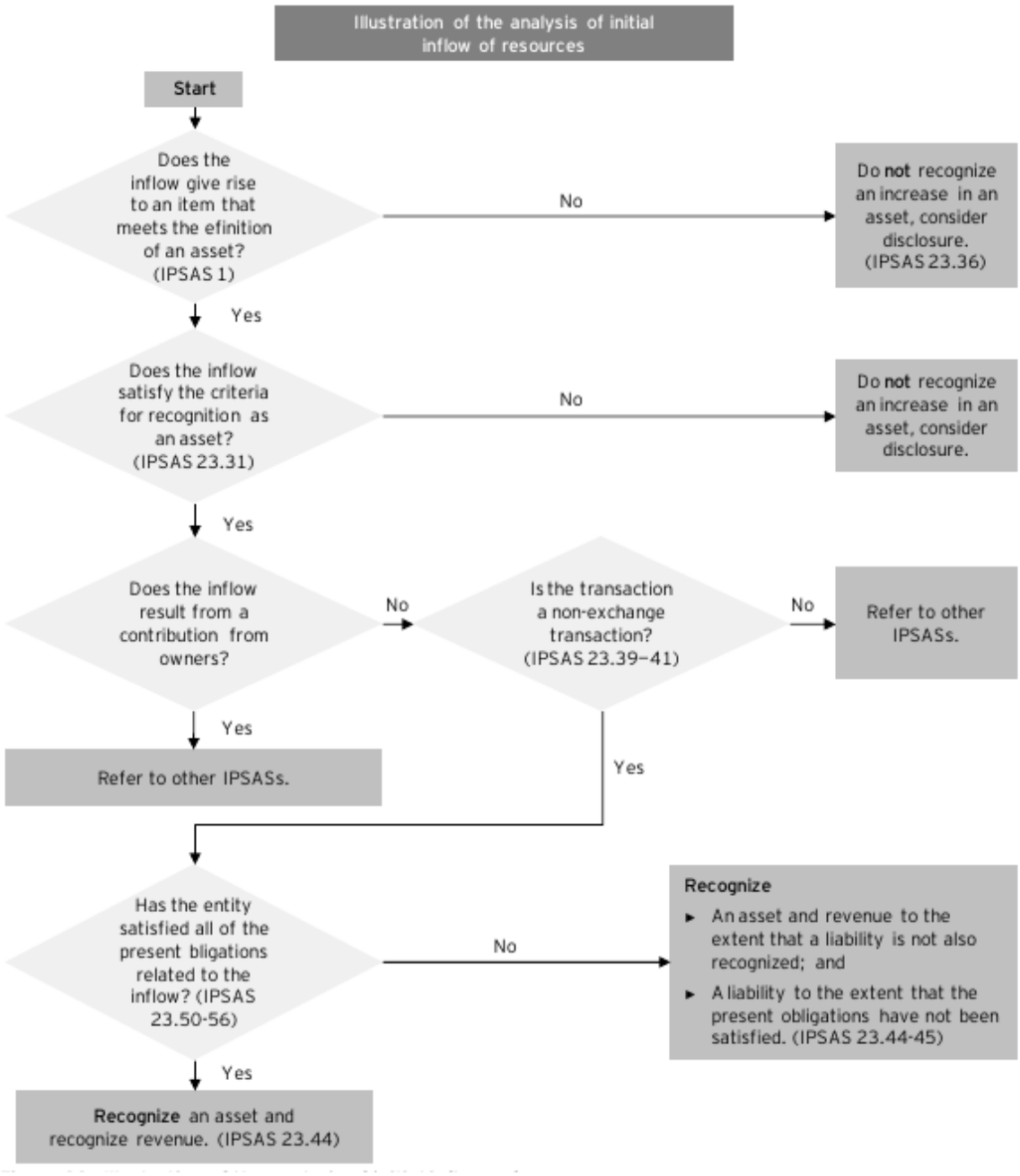
Therefore, as per the current situation, the CGA of Bangladesh has to maintain both the constitutional requirements and the requirements of the cash basis IPSAS.

Summary

1) Overview of non-exchange transactions



2) Illustration of the analysis of initial inflows of resources



Source: International Federation of Accountants, Handbook of International Public Sector Accounting Pronouncements, 2011 Edition, Volume 1, p. 727

Technical references

1	*Cash Basis IPSAS*	*IFAC*
2	*Transition to the Accrual Basis of Accounting: Guidance for Public Sector Entities*	*IFAC*
3	*International Public Sector Accounting Standards*	*IFAC*
4	*Financial Reporting Framework 2023*	*Financial Reporting Council (FRC), Bangladesh*

Self-test questions

1. *A university has adopted the Cash Basis IPSAS. It prepares its statement of cash receipts and payments to a 31 December year-end. Its approved budget is prepared to a 30 November year-end and is published following approval by legislature. In this situation, what would the requirements of the IPSAS be, with regard to the presentation of a comparison of budget and actual amounts?*

   a. *A comparison of budget and actual amounts should not be made due to lack of comparability.*
   b. *The budget should be adjusted to a 31 December year-end and then a separate comparison of budget and actual amounts prepared on this basis.*
   c. *Additional columns for the budget figures should be added to the statement of cash receipts and payments.*
   d. *A separate statement of comparison of budget and actual amounts should be presented on the budget basis.*

2. *According to the Cash Basis IPSAS, in which two of the following circumstances would it be acceptable to change the presentation and classification of items in the statement of cash receipts and payments?*

   i. *As result of recently discovered procedural errors, an agency's finance director and director of IT have both been replaced and as a result, significant changes in operational procedures have been implemented.*
   ii. *A general hospital shuts down all of its adult wards in order to become a specialized regional children's hospital, resulting in a 70% reduction in revenues and expenses.*
   iii. *A university outsources the provision of student catering to a private sector company. Catering income previously accounted for 3% of the university's total revenue.*
   iv. *A municipal authority reviews its financial statements and concludes that a change will result in a more appropriate presentation of events or transactions.*

      a. *(i) and (iii)*
      b. *(ii) and (iv)*
      c. *(i) and (ii)*
      d. *(iii) and (iv)*

3. *Which two of the following statements are true in relation to the presentation of the statement of cash receipts and payments for a government department which has been applying the Cash Basis IPSAS for several years?*

   i. *Payments made on behalf of the entity by a non-governmental aid organisation should be separately disclosed as external assistance.*
   ii. *Comparative information should be disclosed in respect of the previous period for all numerical information.*
   iii. *Errors which relate to prior periods should be reported by adjusting the cash at the beginning of the period.*

iv. *Payments by third parties should be excluded unless they are part of the economic entity to which the reporting entity belongs.*

a. *(i) and (iii)*

b. *(ii) and (iii)*

c. *(i) and (iv)*

d. *(ii) and (iv)*

4. *A government department is preparing its financial statements for the year-ended 31 December 20X3 in accordance with the Cash Basis IPSAS.*

The department sold property, plant and equipment during the financial year for total disposal proceeds of CU120,000, giving a loss on disposal of CU13,000. All of the disposal proceeds were received during the year and in addition, CU44,000 relating to a disposal in the prior year was received at the beginning of 20X3.

Which of the following statements is true regarding how these transactions should be shown in the department's statement of cash receipts and payments for the year-ended 31 December 20X3?

a. *The statement will include the total disposal proceeds received during the year of CU164,000.*

b. *The statement will include only disposal proceeds of CU120,000 received during the year.*

c. *The statement will net the CU13,000 loss on disposal off against the disposal proceeds of CU120,000.*

d. *The statement will include disposal proceeds of CU120,000 received during the year, with the department having the option of disclosing the CU44,000 disposal proceeds received in relation to the prior year in a note to the financial statements.*

Answers to Interactive questions

Interactive Question 1

Control of cash

In (a) the state government does not have control of cash as all payments are made directly to the contractors by a third party, in this case the international charity. The amount paid on its behalf does not constitute 'cash' as defined in the Standard.

In (b) the state government has control of cash for the period that the cash is in its bank account. Once the cash is transferred the control will transfer. The cash balance is not available for use by the state government but is nevertheless controlled by it for the period in which the cash resides in its bank account per paragraph 1.2.7 of the Cash Basis IPSAS.

Interactive Question 2

Reporting cash flows on a net basis

(i) This does not meet the requirement for showing the cash flows net. The turnover of the two transactions was not quick (10 month delay during the legal battle).

(ii) This does meet the requirement for showing the cash flows net because the collection of patient prescription drug charges is merely administered by the hospital on behalf of the central Department of Health.

Interactive Question 3

Sub classifications in the statement of cash receipts and payments

Example solution for a hospital:

Total cash receipts may be classified to separately identified cash receipts from:

- *Funding from central government*
- *Grants and donations*
- *Borrowings*
- *Proceeds from the disposal of property, plant and equipment*
- *Other on-going service delivery and trading activities (for example private patient income)*

Total cash payments may be classified to separately identified cash payments in respect of:

- *On-going service delivery activities*
- *Debt reduction programs*
- *Acquisitions of property, plant and equipment*
- *Any trading activities.*

Note:

Your answer will vary, depending on the organisation that you selected.

Alternative presentations are also possible, for example total cash receipts may be classified by reference to their source and cash payments may be sub-classified by reference to either the nature of the payments or their function or program within the entity, as appropriate.

Interactive Question 4

Third party transactions

(a) *In this case, the department does not control cash inflows, cash outflows and cash balances. However, the department benefits from the payments being made on its behalf, and knowledge of the amount of these payments is relevant to users in identifying the cash resources the government has applied to the department's activities during the period. The department reports in a separate column on the face of the statement of cash receipts and payments, the amount of payments made by the government on its behalf, and the sources and uses of the amount expended sub-classified on a basis appropriate for the department. These disclosures will enable users to identify the total amount of payments made, the purposes for which they were made and whether, for example, the payments were made from amounts allocated or appropriated from general revenue or from special purpose funds or other sources.*

(b) *The department reports in a separate column on the face of the statement of cash receipts and payments the amount, sources and uses of such expenditures made on its behalf during the reporting period. This will assist users in identifying the total cash resources of the economic entity which have been applied to the entity's activities during the reporting period, and the sources and uses of those cash resources.*

(c) *In this case, the government does not receive cash (including cash equivalents) directly from the international development agency. Therefore, the amount settled or paid on its behalf does not constitute "cash" as defined in this standard. However, the government benefits from the cash payments being made on its behalf. The government should report in a separate column on the face of its statement of cash receipts and payments, the amount, sources and uses of expenditures made by the third party (i.e. the international development agency) which is not part of the economic entity to which it belongs. This will enable users to identify the total cash resources being applied to the government's activities during the reporting period, and the extent to which those resources are provided from parties which are, and which are not, part of the government's reporting entity.*

Interactive Question 5

Statement of cash receipts and payments (St Mary Hospital)

St Mary Hospital

Statement of cash receipts and payments for year ended 31 March 20X0

	Receipts/ payments controlled by the entity	***Payments by third parties***
	CU'000	***CU'000***
Receipts		
Funding allocations	*9,560*	*1,300*
Proceeds from borrowing	*1,234*	
Private patient and other income	*1,958*	
Proceeds from disposal of property, plant and equipment (35+210)	*245*	
Interest received	*8*	
Total receipts	***13,005***	***1,300***

Payments		
Wages, salaries and employee benefits	*(10,289)*	
Medicines, supplies and consumables	*(576)*	*(1,300)*
Utilities	*(93)*	
Purchase of property, plant and equipment	*(1,829)*	
Repayment of borrowings	*(98)*	
Interest payments	*(80)*	
Total payments	***(12,965)***	***(1,300)***
Decrease in cash	***40***	
Cash at beginning of year	*185*	
Cash at end of year	***225***	

Interactive Question 6

Consistency

Paragraph 1.4.13 of the standard states that the presentation and classification of items in the financial statements should be retained from one period to the next unless a significant change in the nature of the operations of the entity or a review of its financial statements presentation demonstrates that the change will result in a more appropriate presentation of events or transactions. Therefore:

(a) meets the criteria for changing presentation and classification since the change will result in a more appropriate presentation.

(b) is a significant change in the nature of operations since the reorganisation involves losing responsibility for two major service lines which accounted for 70% of its revenues and expenses so this meets the criteria for a change in presentation/classification.

(c) does involve a change in operating activity but is not significant enough to justify a change in presentation or classification.

Interactive Question 7

Additional Exercise Cash and accruals bases of accounting

Advantages and disadvantages of accruals and cash bases of accounting

	Accruals basis	***Cash basis***
Advantages	*The recognition of assets and liabilities improves the management of those elements*	*Simple and objective*
	Provides information on the full cost of services which aids government policy and decision making and may assist improved economic performance	*Useful for assessing compliance with cash budgets*
	Focuses on retaining and upgrading assets, as well as spending, so examines a	*Useful for monitoring and estimating a government's cash resources*

	Accruals basis	*Cash basis*
	broader range of options for managing assets	
	Assets may be revalued and are reviewed for impairments so that the quality of information is improved when making asset assessments	
	Revenues and expenses are recognised making performance measurement more reliable	
	Gives useful information about a government's level of liabilities	
Disadvantages	*Technically complex and contains elements of subjectivity*	*Fails to show a full picture of financial position and performance*
	Costly to implement – adequate accounting systems, training	*Prevents decision makers from making future predictions*
		Does not provide full total cost of services
		Focuses on spending on new assets rather than retaining or upgrading
		Unaware of true level of liabilities.

Interactive Question 8

The following receipts would constitute revenue for the year ended December 20X1:

d) - A donation from a local resident towards local services

The donation would constitute revenue; all the other receipts are matched by liabilities or increases in owner's equity.

The 20X2 property tax is an advance receipt.

The repayable receipt is probably a loan, except that a higher level public sector funding body might designate it as an equity interest, when it would be a contribution from owners.

The specific grant creates a present obligation and thus a liability.

Interactive Question 9

Grant

The university recognises the land as an asset in the statement of financial position of the reporting period in which it obtains control of that land. The land should be recognised at its fair value in accordance with IPSAS 17. The restriction does not meet the definition of a liability or satisfy the criteria for recognition as a liability. Therefore, the university recognises revenue in

respect of the land in the statement of financial performance of the reporting period in which the land is recognised as an asset.

Interactive Question 10

Donation

The public hospital does not recognise any amount in its financial statements in respect of the pledges. The entity does not control the resources related to the pledge, because it cannot exclude or regulate the access of the prospective transferors to the economic benefits or service potential of the pledged resources; therefore it cannot recognise the asset or the related revenue until the donation is binding on the donor.

Interactive Question 11

Classification of cash flows

Cash outflows may be classified by nature of payments rather than by function.

The main headings that would be included in the statement using the nature basis are as follows:

- *Wages and salaries*
- *Goods and services*
- *Utilities*
- *Subsidies and transfers*
- *Capital outlays*
- *Other.*
- *An organisation which is a recipient of external assistance*

Interactive Question 12

Statement of comparison of budget and actual amounts (St Mary Hospital)

	Actual amounts (including 3rd party)	***Final Budget***	***Original budget***	***Difference Actual-Final***
	CU'000	*CU'000*	*CU'000*	*CU'000*
Receipts				
*Funding allocations (Final=9,050+2.5%)**	*10,860*	*9,276*	*9,050*	*1,584*
Proceeds from borrowing	*1,234*	*1,300*	*1,300*	*(66)*
Private patient and other income	*1,958*	*2,150*	*2,150*	*(192)*
Proceeds from disposal of property, plant and equipment	*245*	*57*	*57*	*188*
Interest received	*8*	*9*	*9*	*(1)*
Total receipts	***14,305***	***12,792***	***12,566***	***1,513***
Payments				
Wages, salaries and employee benefits (Final=9,830+3%)	*(10,289)*	*(10,125)*	*(9,830)*	*(164)*
Medicines, supplies and consumables	*(1,876)*	*(1,700)*	*(1,700)*	*(176)*

Utilities	*(93)*	*(95)*	*(95)*	*2*
Purchase of property, plant and equipment	*(1,829)*	*(768)*	*(768)*	*(1,061)*
Repayment of borrowings	*(98)*	*(89)*	*(89)*	*(9)*
Interest payments	*(80)*	*(42)*	*(42)*	*(38)*
Total payments	***(14,265)***	***(12,819)***	***(12,524)***	***(1,446)***
Net Cash Flows	***40***	***(27)***	***42***	***67***

** Includes CU1.3m third party payments*

Interactive Question 13

Financial Reporting Framework 2023

As per financial reporting framework 2023 issued by FRC, Ministry of health will be an institution of Level 3. Therefore, following statements are required to prepare

1. *Balance Sheet*
2. *Income Statement*
3. *Cash Flow Statement*
4. *Notes to the Financial Statements*
5. *Statement of Budget vs Actual*

Answers to Self-test questions

1	D	*According to paragraph 1.9.19 of the Cash Basis IPSAS, 'when the budget and financial statements are not prepared on a comparable basis, a separate statement of comparison of budget and actual amounts is presented...on the budget basis'.* *Option (a) is not permitted because the comparison is compulsory where the budget is published (paragraph 1.9.8).* *Option (b) is not permitted because the budget presented has been approved by legislature and hence the statement must present 'the budget amounts for which it is held publicly accountable' (paragraph 1.9.8).* *Option (c) is correct only where the budget and financial statements are prepared on a comparable basis (paragraph 1.9,8), which they aren't in this scenario because of differing year ends.*
2	B	*The standard states that the presentation and classification of items in the financial statements should be retained from one period to the next unless there is a significant change in the nature of the operations of the entity or a review of its financial statements presentation demonstrates that the change will result in a more appropriate presentation of events or transactions.* *(i) involves a change in operating procedures but is not a significant change in the agency's operations so is not significant enough to justify a change in presentation or classification..* *(ii) is a significant change in the nature of operations since the reorganisation involves losing responsibility for 75% of its transactions and changing its overall focus so this meets the criteria for a change in presentation/classification.* *(iii) is not a significant change in operations as only 3% of revenue/expenses are affected, and catering is unlikely to be a core activity for a university.* *(iv) meets the criteria for changing presentation and classification since the change will result in a more appropriate presentation.*
3	B	*(i) is incorrect because the payments have been made by a non-governmental organisation and so they do not meet the definition of official resources and hence are not external assistance.* *(ii) is correct per the standard. Don't get this confused with the requirement in relation to the comparison of budget and actual amounts, where prior year comparatives are not required.* *(iii) is correct per the standard.* *(iv) is incorrect because all third party payments are included in the statement, but they are disclosed separately between internal (i.e. part of the same economic entity) or external.*

4	*A*	*The standard states that transactions are only recognised when cash is received or paid by the entity. The CU44,000 cash received in the current year in relation to the prior year disposal would not have been recognised in the prior year's statement and so must be recognised in the current year's statement, regardless of the fact that this cash receipt relates to the prior year.* *Therefore, the statement will include total cash receipts of CU120,000 + CU44,000 = CU164,000. Note that the loss on disposal should not be included anywhere in the statement since this is an accruals based number and has no place in a statement of cash receipts and payments, although the department can choose to disclose accruals based information if it wishes.*

Comprehensive Exercise

The following trial balance was extracted from the accounting records of Junior Laboratory School as at 31 December 20X6:

	Debit (CU)	Credit (CU)
Sale of school uniforms and books		*345,000*
Funding grants		*1,012,000*
Other operating expenses	*255,000*	
Loan interest paid	*2,250*	
Rental income		*89,000*
Wages and salaries	*847,040*	
Income from adult education courses (note 5)		*205,000*
Capital contributed by government		*275,000*
Sheds and Buildings – at valuation	*450,000*	
Land - at valuation	*200,000*	
Fixtures, fittings and equipment	*567,000*	
Accumulated depreciation: buildings (at 1 Jan 20X6)		*30,000*
Accumulated depreciation: fixtures, fittings and equipment (at 1 Jan 20X6)		*250,000*
Provision (note 3)		*38,000*
Bank	*173,400*	
Current asset investments	*30,000*	
Trade receivables and payables	*38,460*	*75,150*
Long term bank loan		*110,000*
Retained earnings (at 1 Jan 20X6)		*39,000*
Revaluation reserve		*95,000*
	2,563,150	*2,563,150*

Additional Information

1. *The National Languages Agency deposited CU29,000 into the school's bank account on August 15, 20X6. This is included in the funding grants balance in the trial balance.*

   The grant was given to the school with the requirement that it be utilized to hire a language teacher with specialized training in order to improve learning outcomes for pupils whose first language is not English. A suitably qualified teacher was employed for this project from 1 September 20X6, and the total salary cost for the teacher up to 31 December 20X6 was CU8,000. Under the terms of the grant, the money can only be used as stipulated, and the school is required to include a note in its audited general purpose financial statements detailing how the grant money was spent. The agreement requires the grant to be spent as specified by 31 August 20X7 or be returned to the agency.

2. *The school provides evening courses to adults in the local area, and these are fully funded by fees charged to adults. Of the total income of CU205,000 shown in the trial balance,*

CU106,000 relates to the September – December 20X6 term and the remainder relates to fees paid in advance for the January – April 20X7 term.

3. *The school maintains land and buildings at their revalued worth per policy. During the year, an assessment of the land, sheds, and buildings showed that the land was worth CU230,000 and the sheds and building were worth CU475,000.*
4. *No depreciation charge has yet been accounted for.*
    - *The school's policy is to depreciate sheds & buildings straight line over their useful economic life of 60 years, of which 47 was remaining as at 1 January 20X6.*
    - *Equipment is depreciated using the reducing balance basis at 20% per year.*
5. *The provision relates to an on-going discrimination claim by a former teacher. Shortly before the end of the current financial year, the ex-teacher agreed to settle his claim in exchange for total compensation of CU45,000 and a bank transfer for the full amount was made on 31 December 20X6, thus marking the end of the case. No entries have yet been made to the accounts.*
6. *During the year, a pupil was injured during a rugby match. The pupil's parents have begun legal proceedings, and the school's legal advisors believe that the school will eventually have to pay compensation of CU500,000. Due to a backlog in the national courts system, the case is unlikely to be resolved in court until the end of 20X9. No amounts have yet been included in the trial balance.*

Requirements:

*(a) Explain, with reference to the relevant IPSAS, how items 5 and 6 above should be treated in the school's financial statements for the year-ended 31 December 20X6. [**Hint: IPSAS 9 or IAS 18**]*

(b) Prepare the school's statement of financial performance for the year-ended 31 December 20X6 and the statement of financial position at that date.

Solution

Item 5: Adult education fees

- *The payment for the education courses has been made in the form of fees. Since this is an exchange transaction, IPSAS 9 Revenue from Exchange Transactions is the applicable accounting standard.*
- *Under IPSAS 9, tuition fees have to be recognised over the period of instruction. Therefore, only the CU106,000 fees relating to course provided in 20X6 should be recognised and the amounts received in advance for 20X7 should be deferred until the following financial year.*
- *Therefore, CU99,000 of the tuition fees must be excluded from tuition fee income and included within 'Income in advance' under current liabilities in the statement of financial position as at 31 December 20X6. In the 20X7 financial year, once the tuition has been provided, they can be released from the deferred revenue liability and recognised in income.*

Item 6: Grant from National Languages Agency

- *Unlike the adult education fees, which were received in direct exchanged for a service, this grant was not received in direct exchange for an asset or service of the same value. It is a non-exchange transaction and therefore the relevant accounting standard is IPSAS 23 Revenue from Non-Exchange Transactions (Taxes and Transfers).*

- *Upon receipt, the school would have recognised the entire grant as a liability as it has conditions attached. As the school satisfies the condition, that is, as it makes authorized expenditures, it reduces the liability and recognises revenue in the statement of financial performance of the reporting period in which the liability is discharged. Therefore, CU8,000 of the grant can be recognised in revenue for the year to 31 December 20X6 and the rest (CU21,000) will be included in current liabilities. As all of the grant is currently included within grant income, grant income will need to be reduced by CU21,000. In the following financial year, assuming that the teacher remains in employment providing the services stipulated by the grant, the remainder of the grant income can be recognised.*

(a) Statement of financial performance for Junior Laboratory School for the year-ended 31 December 20X6

	Workings	
Operating Revenue		*CU*
Funding grants	*1,012,000-21,000 (a)*	*991,000*
Rental income		*89,000*
Tuition fees	*205,000 – 99,000 (a)*	*106,000*
Other revenue		*345,000*
Total operating revenue		*1,531,000*
Operating expenses:		
Wages, salaries and employee benefits		*(847,040)*
Depreciation	*10,106+63,400(W2)*	*(73,506)*
Legal claims	*7,000 + 500,000 (W3)*	*(507,000)*
Other operating expenses	*255,000*	*(255,000)*
Total operating expenses		*(1,682,546)*
Surplus/(deficit) from operating activities		*(151,546)*
Finance costs		*(2,250)*
Surplus (deficit) for the yea		*(153,796)*

Statement of financial position for Junior Laboratory School as at 31 December 20X6

	Workings	*CU'000*
ASSETS		
Current assets		
Receivables		*38,460*
Short term investments	*173,400 + 45,000 (note 3)*	*30,000*
Cash		*128,400*
		196,860
Non-current assets		
Land	*W1*	*230,000*
Sheds and Buildings	*W1*	*464,894*
Equipment	*W1*	*253,600*

		948,494
Total assets		***1,145,354***
LIABILITIES		
Current liabilities		
Payables		*75,150*
Provision for legal claim		*500,000*
Income in advance	*99,000 + 21,000*	*120,000*
		695,150
Non-current liabilities		
Bank loan		*110,000*
Total liabilities		***805,150***
Net assets		***340,204***
NET ASSETS/EQUITY		
Capital contributed by government		*275,000*
Revaluation reserve	*95,000 + 30,000 + 55,000 (W1)*	*180,000*
Accumulated deficit	*39,000 – 155,796*	*(114,796)*
Total net assets/equity		***340,204***

Working 1

Property, plant and equipment

	Land	*Sheds and Buildings*	*Furniture, fittings and equipment*
	CU	*CU*	*CU*
Cost or valuation			
b/f	*200,000*	*450,000*	*567,000*
Revaluation (balancing figure)	*30,000*	*25,000*	
c/f	*230,000*	*475,000*	*567,000*
Accumulated depreciation			
c/f		*30,000*	*250,000*
Revaluation		*(30,000)*	
Charge for the year (W2)		*10,106*	*63,400*
c/f	*-*	*10106*	*313400*
Carrying value at year-end	***230,000***	***464,894***	***253,600***

Revaluation of building:	***Before***	***After***	***Movement***
	CU	*CU*	*CU*
Gross cost	*450,000*	*475,000*	*25,000*
Accumulated depreciation	*(30,000)*	*-*	*30,000*
Net carrying value	***420,000***	***475,000***	***55,000***
			– to revaluation reserve

Working 2

Depreciation	
Sheds and Buildings: CU475,000/47 =	*10,106*
Equipment: (CU567,000-CU250,000) x 20%	*63,400*
	73,506

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